
ALBERTA REAL ESTATE PRACTICE REFERENCE

Practically Speaking

Complete Article Collection

134 articles

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What should a REALTOR® know about the Clean Energy Improvement Program (CEIP)?

Bryan Statt | Jan 26, 2026 10:33:17 AM | [Original article](#)

Fads come and go. Think Pogs, Beanie Babies, and Crystal Pepsi. Fun at the time, but few of us ever thought they were going to go the distance... apologies if you still have a box of Beanie Babies in your basement labelled "retirement". I think it is safe to say that, like the internet and online shopping, the drive to decrease energy consumption in our energy-dense lives is not a fad, and this is no different in the real estate sector. Enter the Clean Energy Improvement program, which helps property owners increase efficiency and provides a low-cost lending environment to do so; however, REALTORS® need to know key details about the program to ensure smooth transactions.

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What does CEIP offer property owners?

The program is open to residential, commercial, and rural properties and provides competitive long-term loans to property owners for the express purpose of improving energy efficiency and installing renewable energy upgrades. The loans are provided through a participating municipality in Alberta where the property is located which, at the time of this writing, includes over two dozen municipalities, so the program has progressed significantly in recent years. Loans are capped at \$50k for residential, \$1M for non-residential, and \$300k for farmland, and repayment terms can be as long as 25 years, with the option to repay the balance at any time without penalty.

How are the loans repaid?

Here is the sticky bit in my opinion. Because the programs are administered directly by the municipality, the municipality has only one mechanism for loan repayment: the collection of property taxes. The resulting loan through the CEIP basically acts like a local improvement charge assessed to a neighbourhood, except it is not an improvement to a neighbourhood, but only to a single property at the choice and discretion of the property owner at the time. The loan will be reported on the owner's tax bill, but otherwise largely remains blind to the rest of the world, in common practice. The payments on the loan will be added to the annual property taxes and paid to the municipality that way until the full balance is cleared.

The Worrisome Scenario

A REALTOR® is showing properties to a prospective client in a mature family neighbourhood close to desirable schools and amenities. Of the available properties, one stands out as a clear winner, especially with the upgraded heat pump, solar panels, fresh attic insulation, all-new LED light fixtures, and a high-efficiency hot water heating system. Compared to its competitors, it is the only one with these energy upgrades, and although the seller is asking a higher price than the others, the buyers feel it is a worthwhile investment to pay a little more for the upgraded home. The parties reach an agreement and move to closing, only to discover at the lawyer's office that there is a \$47,000 loan against the property taxes for the energy upgrades, for which the buyer believes they already paid a premium during negotiations.

The core issue

In my estimation, the breakdown in this realistic, albeit fictional scenario, happened at the point of listing. The seller's brokerage would've pulled the title to check for encumbrances to the property, but the loan is not registered on the land title; it's registered on the taxes. The one exception is the very forward-thinking Town of Rocky Mountain House, which deserves a special shout-out! Despite the brokerage seeing the tax information populated in the MLS® System through municipal tax records, the CEIP loan information is not accessible by any commercially efficient method for buyers or REALTORS®, and is known only to the municipality and the property owner.

Mitigation efforts

The CEIP is a program enabled by a regulation of the *Municipal Government Act*, and that regulation requires the agreement between the property owner and the municipality contain certain provisions. Of those provisions, the seller must disclose the existence of the loan to their REALTOR® and any prospective buyer, and include the agreement as a schedule or addendum to the purchase contract. This is good thinking, except sellers may genuinely forget about the program or may never have read the agreement to know they are expected to disclose the loan. Now, let's suppose the seller does disclose the loan, at the very least. In that case, the buyer can choose to accept the loan as a consideration when negotiating the purchase price, or the seller can pay out the remaining balance through disbursements without penalty. Failing that, it becomes legal fodder for a big, long, expensive fight.

If you made it this far in the article, I hope you have a better idea of the potential benefits and issues related to this program. As a REALTOR®, the best plan is to ask the seller the question and then take the appropriate action to disclose whether a loan is in place. This is especially true in situations where the property obviously underwent energy-efficient upgrades in the past few years, since it would be a fair assumption that the owner probably used some program(s) to help in the cost of upgrades, perhaps including the CEIP. If you fail to take notice or to exercise basic due diligence by asking the appropriate questions, it could prove to be an extraordinary problem at the closing table.

Who should hold real estate deposits?

Bryan Statt | Jul 16, 2025 10:19:05 AM | [Original article](#)

In other articles, I have spent much time explaining what deposits are and how to handle them, but it occurred to me that I have never really taken the time to explain the thought process around who may be best to hold deposits. Let's consider that question today and the best practices around who the deposit holder should be.

The Trustee

The term used for the individual who holds the deposit on behalf of, or in trust for a beneficiary is called a trustee. The Trustee is governed by the *Trustee Act* of Alberta but more importantly, the trustee must follow the terms of trust established by the beneficial parties. The terms of trust in an AREA residential resale purchase contract for example are found in section 4 of the contract where both the seller and buyer, as the beneficial parties, agree to how the trustee must act concerning the trust deposit and any resulting disputes. For the sake of the issue at hand, however, suffice it to say that anyone the parties agree is capable of holding the trust, and following the terms of trust can be named the trustee. The real estate act and the contract additionally require the trustee to make the deposit to a trust account within 3 business days of receipt of the deposit.

Brokerage as a trustee

In the vast majority of real estate transactions in Alberta, either the seller's or buyer's brokerage is named as the trustee of the deposit money. Once this happens, the brokerage is governed by other obligations under the *Real Estate Act* and its Rules to ensure the handling of the trust money is done properly. Real Estate brokerages have requirements to reconcile their trust accounts every month at minimum, as well as have an independent trust audit conducted annually by a chartered accountant which gets reported to the Real Estate Council of Alberta. As an added measure of consumer protection, the Real Estate Council of Alberta also maintains a consumer protection fund as outlined in the Act covering situations of fraud or breach of trust. Since brokerage trust accounts are so heavily regulated and protected, consumers can feel confident that a brokerage licensed by the Real Estate Council of Alberta is a reliable trustee of deposits for real estate transactions. It should be noted that not all Alberta brokerages have trust accounts or hold trust deposits, so that can sometimes be a determining factor of who holds the deposit as well.

Conveyancing

There is certainly more involved in closing a transaction than simply holding the trust deposit, and when a brokerage does hold the deposits, there are additional duties required to communicate to stakeholders such as cooperating brokerages and lawyers. This activity is generally referred to as conveyancing and ensures all the necessary parties know the status of the transaction, and the expectations around timelines to ensure a smooth closing for the parties. The conveyancing brokerage can be different from the brokerage holding the trust, but for practical reasons, it is most common for the brokerage holding the trust to also convey the documents as well.

Best practice

So with all the variables discussed here, what is the best practice for the smoothest transaction with the least number of complications? Although different regions may practice differently, and some circumstances warrant an alternate option, the recommended best practice is for the Seller's brokerage to hold the trust and also do the conveyancing. It is clear that the brokerage with the greatest line of sight on the transaction is the brokerage that holds the property listing. Since the property is the main subject of the contract itself, and the seller needs to release it ultimately to the buyer, the seller's brokerage is able to best communicate accurate and timely information to the seller, as well as all stakeholders on behalf of the seller. Whether you consider the movement of excess deposit money to the lawyers, fees payable to the brokerages, or the management of keys, the seller's brokerage has the best access to the seller and the best view of the whole landscape of the transaction.

Although it is possible to change up who holds the deposit or does the conveyancing in the AREA standard purchase contracts, years of real estate experience concludes that the path of least complication for the brokerages, REALTORS®, and consumers alike is for the seller's brokerage to hold the deposits and manage the conveyancing. Because these decisions are transaction specific, however, always discuss with the broker to ensure best practice for your situation.

Should you rely on existing reports when buying?

Bryan Statt | Jun 9, 2025 12:12:44 PM | [Original article](#)

Occasionally, I find myself reflecting on stories from my youth, sometimes with fondness but often with a facepalm. I did my fair share of foolish things and got myself into some potentially problematic situations. Still, those experiences have helped me see through a wiser lens in my, let's say, middle age, and for that reason, when I hear things that sound like a bad idea or too good to be true, my alert system starts sounding. Let's look at some bad ideas that percolate in the real estate process and clarify why they are not ideal.

Market conditions

I want to set the scene a bit. The market is hot in your town; if it is not, use your imagination, and the best properties are selling fast and with few conditions. The perfect home has just come on the market, and although it is a little older and may require some work, it checks most of the boxes. Speed is crucial for getting a chance to buy it. I often hear this lead-up story when someone calls me with their disastrous after-the-closing story.

Sweet talking, start walking.

The client is king in every transaction, and when provided with all the available information, their decision can be assumed to be the best possible decision for them. The trap for REALTORS® is that occasionally, they may, with the client's best intentions in mind, lean to one side of an issue or the other, forgetting that their job is not to talk anyone into or out of anything but rather to bring all available information to the client and let them make their own decision. To the client reading this article, this is your job: ask lots of questions, request more information, enlist experts when necessary, and then decide. Decisions are yours; gathering the essential information and asking for it is your Realtor's responsibility.

Concept in play

Ok, so what exactly am I getting at? Let's back up the truck to the market conditions scenario I laid out. In the fast-paced market, the seller has a previous inspection report for the home and is willing to provide it to the buyer, thereby eliminating the need for the buyer to conduct an inspection. Wow, what a lucky turn of events. The buyer may need to decide if it is acceptable to them, and the Realtor should note a couple of things for the buyer's consideration first.

1. Is the inspection current? Does it represent the current state of the home or what it was like at some previous time? Maybe when the seller bought it?...things changed.
2. Does a licensed home inspector do the inspection? Is it complete with all appropriate pages intact and no edits?
3. Who paid for the original inspection? (in other words, who was the inspector working for?) Was it a pre-purchase inspection or an inspection done for some other purpose?

These are a few of the more common questions that need to be considered when presenting the idea to a client considering a purchase in this situation. Once the buyer finds these things, getting their inspection seems like the prudent path.

Risky business

From the buyer's perspective, they may accept the risk once presented with the facts, given their overwhelming desire for the property; however, recourse in such situations is limited. If the Realtor® presents all the facts and the buyer proceeds anyway, they likely assume the risks of the purchase without recourse. For example, there would be limited recourse against the inspector who made the report since they never intended that report for this buyer and were never hired by this buyer. Because of the increased risk, the Realtor® should always take careful steps to document their due diligence and discussions with the buyer to ensure their role and actions are above reproach, should the buyer choose to move forward and assume those risks themselves.

Other land mines

The reader must understand that inspections are not the only report under consideration here. There are numerous standard documents in a transaction that require additional context or scrutiny. For example, a current land title ordered from the land titles office is the only protection against changes and encumbrances that even the seller may not be aware of, as the document is up to date. The existing RPR versus the current RPR, which I have written about in detail in other articles, is another issue. How about old condominium documents, foundation or roof inspections, out-of-season utility bills, or old quotes for repair or replacements not yet completed? The moral of the story is that relying on existing documents can be dangerous, and the risks and benefits must be presented to the client in a timely and comprehensive manner to facilitate informed decision-making. The best practice is always to seek current documents, inspections, quotes, and similar information to provide the client with the best and most up-to-date information and proper legal protection.

I am all for expediency, but expediency without calculating the risk is a recipe for disaster and potential financial loss. I wouldn't buy stocks based on outdated performance graphs, and I wouldn't buy a car solely on the seller's assurance that they haven't had any problems, just as I wouldn't purchase pills from someone who claimed to be "kind of like" a pharmacist. Bad ideas have consequences, but there is safety in a multitude of advisors, so when you hear "trust me," that should trigger an alarm bell that prompts more due diligence.

What Happens When a Titleholder Dies?

Bryan Statt | May 13, 2025 11:38:31 AM | [Original article](#)

The latest statistics are in: ten out of ten people die.

Wow - what a way to lead into an article. But there you have it: death is a reality, and many of those who die hold the title to a piece of real property. So, we need to set aside our sensitivities for the sake of expanding our knowledge about what to consider when this unfortunate event occurs.

The Basics

Let's start at the beginning - but not at birth. Although that would be a logical starting point for an article like this, I mean the bare basics. There are certain immutable truths we can rely on right away:

1. Dead people cannot sign things.
2. Dead people cannot be married.
3. Dead people cannot provide authority through power of attorney - even enduring power of attorney.

It should be apparent by now, based on common sense, that dead people cannot sell property, enter into listing contracts, or amend existing contracts, even if their name is on a land title.

The Will

After a person dies, their estate remains. That estate is governed entirely by a legal Will, which appoints an executor, executrix, or administrator (don't ask me the difference) to manage the affairs that the deceased no longer can.

Suffice it to say that when someone dies, any authority they once had - or gave to another person - dies with them. Powers of attorney, including enduring powers, become void. The deceased's "will" or intentions are now captured in the written Will, which speaks authoritatively after their passing.

The legal Will determines what happens to the possessions accumulated in life and left behind in death, including real property. The executor is legally bound to follow those instructions.

Probate

Probate is a process. It sounds scary and a bit painful, but when a person dies, what's left behind must be dealt with.

As mentioned in the previous section, a legal Will determines the path forward - or, if the person dies "intestate" (without a legal Will), the courts make those decisions based on legislation. For our purposes here, let's assume the deceased had a valid Will.

During probate, the courts validate the legal Will and issue a grant of probate. This allows the executor to carry out the Will's instructions within the bounds of applicable legislation.

To be clear: the Will is the document that grants the authority, but the probate process validates that the Will is legal and usable in certain contexts, such as under the Land Titles Act in Alberta. That Act requires a grant of probate to transfer a land title. There is no sense rushing ahead when the entire transaction could be derailed by an invalid or contested Will that stalls probate entirely.

Listing Stage

This stage starts the discussion about authority with a REALTOR®. Who has the authority to sell if the sole titleholder is deceased?

If you've been paying attention, you know that it's the executor named in a legal Will. You should also know that the executor must obtain a grant of probate to transfer the title to a buyer.

This means that the listing REALTOR® and their brokerage will need:

1. A copy of the death certificate (to confirm the party is deceased)
2. A copy of the legal Will (or at least the section related to the executor's authority over real property)
3. Answers about the probate process (Has it started? Is there a hearing date? Any disruptive family members surfacing?)

This information demonstrates due diligence on behalf of the brokerage and offers assurance that closing on the property is a reasonable prospect.

Offer to Purchase Stage

Now, the circle widens. Not only is the estate hoping for a smooth closing, but so are the buyer, their REALTOR®, and both brokerages.

It's especially important at this stage to understand the probate status to prevent delays or liability. At a minimum - assuming the grant of probate hasn't yet been issued - there must be:

- A conversation with the executor and the estate's lawyer
- A seller's condition added to the contract that outlines the seller's ability to obtain a grant of probate and the expected timeframe

Right of Survivorship

This "right" stems from the legal structure of joint tenancy. If a property is jointly owned (e.g., by a husband and wife), and one joint tenant dies, the surviving joint tenant automatically owns the entire property and holds full authority.

Two caveats from experience:

1. If the ownership does not explicitly state "as joint tenants," then by default, it is "tenants in common," which does not grant survivorship rights.
2. In some situations - such as with adult dependants or surviving joint tenants who lack capacity - this right can become legally complicated. Don't assume it's always straightforward.

Final Notes

Alberta now uses an electronic probate system for uncontested cases, which has significantly accelerated the process - think two weeks instead of six months! However, this only applies in uncomplicated cases.

When the electronic process works and probate is granted, the executor can register the title in their own name and avoid the complications of listing and selling on behalf of a deceased person. As the new titleholder, the executor can act just like any other seller.

Lastly, the person signing listing agreements and purchase contracts must have authority. The deceased cannot, and neither can their estate. Once the brokerage verifies that the executor has legal authority under the Will, the executor can sign the documents using:

[Executor's Name], Executor of the Estate of Mary Smith

There's no need to list Mary Smith herself or make contracts out to "The Estate of Mary Smith." Doing so may create unnecessary headaches once the executor takes control of the title anyway.

I understand this isn't the most pleasant topic. In some cases, it may be traumatic. But it's a reality REALTORS® will face and must handle with professionalism, knowledge, and compassion. Avoiding these conversations isn't helpful. When approached with candour and kindness, these situations can be managed in a way that protects all parties involved.

A final thought: the old idiom says, "Where there's a will, there's a way."

**This information is produced for members of the Alberta Real Estate Association as best practice. The content may be time, location or situation-specific.*

What should I know about New Home Warranty?

Bryan Statt | May 12, 2025 3:06:41 PM | [Original article](#)

No matter what you buy these days, someone tries to sell you a warranty for it. I don't know why I need a warranty on a pencil from the office supply store, but they will ask if I want one anyway for an extra 25 cents that provides coverage for a year but excludes normal wear and tear. Okay, joking aside, some warranties offer peace of mind on big-ticket items that you expect to last for at least the honeymoon period. That is the expectation of the Alberta legislation that requires new construction homes to have a minimum level of coverage for a minimum period of time. The expectation is that the coverage ensures that issues that can arise in a home have some level of safety net for the homeowner, who would otherwise be left holding the bill. Let's take a few minutes to mine out some of the details of the coverage requirements and exemptions; I think you will be surprised about how much you didn't know about the subject!

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What properties are covered?

The *New Home Buyer Protection Act* requires all new homes built in Alberta to have a new home warranty policy, which will remain in effect for future owners until the policy expires. This warranty includes both condominium and non-condominium properties constructed by licensed builders and requires that the municipality issuing the appropriate permit has confirmed warranty coverage before issuing that permit. The government of Alberta has also established a searchable registry of licensed builders and a searchable registry for properties built since February 2014, as well as the appropriate coverage they carry. [Click HERE to access the registry.](#)

What is the minimum warranty coverage?

Contrary to common understanding, there are seven new home warranty providers authorized by the government of Alberta to offer new home warranty under the legislation. The government does not regulate warranty prices but enforces minimum standards, allowing providers to offer additional features or coverages above the minimum they like. The minimum coverage is arranged so that the bigger and more expensive the problem, the longer the coverage lasts for that category. Think 1-2-5-10.

There is a 1-year warranty on the materials and labour in the finishing and construction materials used, such as flooring, cabinets, trim, fixtures, etc., which usually have a lower cost to fix but are more likely to be known defects quickly.

There is a 2-year warranty on systems in the home, such as electrical and plumbing systems, ventilation and heating systems, air conditioning, or similar systems installed in the original build. Since these systems can have a bigger price tag and take more time to expose a defect, the 2 years cover those things.

The 5-year coverage is for the building envelope, and just like it sounds, this is the overall seal of the building to keep the outside on the outside. This would include things like roof sheathing, exterior walls, windows, and doors. In a similar fashion, items related to the building envelope increase in cost, complexity and amount of

time required to notice the defect. The building envelope coverage is special because the legislation specifically requires the warranty providers to offer an option to builders to buy an additional 2 years of building envelope coverage if they choose to.

Finally, the 10-year coverage is for the very crucial components of the foundation, the structural integrity of framing, and roof structures. This coverage is the longest because a failure in these areas is dangerous and can potentially make the property uninhabitable.

There is a coverage maximum defined by the legislation as \$130,000 for condominiums and \$265,000 for single-family homes, which may seem a little on the light side considering the cost of homes today, but remember this coverage is for the house itself, the land, contents, landscaping etc. would be unaffected by a catastrophic failure, or otherwise insured by the homeowner. If the owner wants to top-up the warranty maximums, they can buy additional coverage directly from the warranty provider.

What about Owner Builders?

We are a productive and industrious bunch here in the West, and many Albertans have chosen to build their own properties themselves. You may wonder what happens to home warranty requirements in that case. Owner-builders still need authorization to build from the registrar before the municipality can issue them a permit; however, they are not required to get a warranty if they intend to live on the property themselves. Obviously, all the same construction standards apply in this situation; however, in such cases, the owner builder is prohibited from selling the property for 10 years because they do not have a warranty on the property. In fairness, they could get one after the fact if they needed to sell before the 10-year mark, but it would likely require additional inspections and costs to get the warranty after the fact. It is an option for the owner-builder to buy a warranty at the time of construction as well if they choose, but it is important to note that the warranty for owner-built homes only covers a future owner and not the owner-builder themselves.

REALTOR® requirements

REALTORS® need to be clear that the legislation prohibits the sale or the offer to sell a new home without warranty coverage within the minimum 10-year warranty period. The REALTOR® should check the property address in the property registry (<https://residentialprotection.alberta.ca/public-registry/Property>) if the property is less than 10 years old to verify warranty coverage is in place. This is especially crucial when the seller mentions or alludes to the idea that they or a previous owner built the property themselves since an owner-built property does not require a warranty to be in place at the time of construction but is required to resell the property within 10 years. REALTORS® and brokerages can be subject to compliance orders, prosecution, and/or fines if they list homes under 10 years old without warranty coverage.

A hot tip on warranty coverage

Within the first few weeks of moving into a new home, the owner often has a bit of a to-do list of fixes for the builder, which is entirely normal. However, after that short period, the owner gets back to living and overlooks other issues that may otherwise require attention within the warranty period. Since the one-year warranty is the one the builder is most engaged in solving themselves, it may be a good idea to hire an independent licensed home inspector to come to the property at the 11-month mark and inspect the property for any potential defects that need to be addressed. This allows an independent professional to create a 3rd party

report for the builder, identifying precisely what items need attention before the 1-year warranty coverage lapses and eliminating the game of he-said, she-said.

*This information is produced for members of the Alberta Real Estate Association as best practice. The content may be time, location or situation-specific.

What is a holdover period?

Bryan Statt | Mar 11, 2025 10:30:00 AM | [Original article](#)

In the late 20th century, a quirky but useful term emerged out of the professional baseball industry called “inside baseball”. Basically, inside baseball refers to acronyms, specialized or technical language, or concepts that only professionals in the industry (or super fans) understand. The term inside baseball is now applicable to many specialized industries, and REALTORS® can be blind to their use of these specialized real estate terms without realizing many consumers can only guess what they mean. The holdover period is one of those “inside baseball” terms that gets batted about without explanation, so let me take a few minutes to unpack it.

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The usual course of the relationship

When a property owner has a piece of real property they want to sell, they contact a REALTOR® to help them sell it. Once they believe the Realtor® has the expertise and a plan to sell the property in the shortest period, for the most amount of money, with the least number of complications they hire them by signing an Exclusive Seller Representation Agreement (ESRA). In Alberta, every Realtor® uses the same provincial standard form to formalize this relationship and to negotiate the fee the seller agrees to pay the brokerage. The brokerage then, through a specific Realtor®, invests time, money, and experience into the process to cast the broadest possible net for the buyer that may be interested in the property, which usually results in a number of showings, offers, and ultimately a sale where the brokerage is able to recapture their investment through the payment of their fee by the seller at closing.

When time runs out

Although every interaction with a seller is built on the best intentions, the brokerage sometimes runs out of time to market the property, and the ESRA expires. Although the brokerage made their best efforts to market the property and find a suitable buyer, usually at their own cost in time and money, it doesn't always work out. Now imagine that the brokerage was able to introduce several buyers to the property during the course of its efforts to fulfill their representation to the seller, but only after the contract with the seller expired did the buyer end up writing a successful offer... enter the holdover clause.

The holdover clause

This clause in the ESRA, commonly referred to as a holdover clause, maintains, or “holds-over,” the brokerage claim on the fee owed by the seller if, within a specified period of time, a buyer who was introduced to the property during the course of the active ESRA writes an offer that the seller accepts. As mentioned, the brokerage likely invested a ton of resources into finding and introducing that buyer to the property, and because of their efforts, the seller and buyer can make a deal, accomplishing exactly what the original agreement was designed to accomplish. This holdover period is agreed to in the original ESRA and requires the seller to compensate the brokerage fee in such cases.

Exceptions to the holdover clause

Understanding that the holdover clause is only intended to protect the brokerage for their fees in cases where the buyer was demonstrably introduced to the property during the active ESRA, there are 3 general exceptions to the holdover clause worth noting. First, if the successful buyer was excluded in writing from the original ESRA, such as a family member or neighbour who expressed interest in the property before the ESRA started and the brokerage and seller agreed in the contract to exclude that individual at the outset. Second, because the holdover clause is never intended to hold a seller hostage for a period of time, if the seller signs a new ESRA with a licensed brokerage after the previous ESRA ends, then the holdover clause is also ended, and the seller is free to sell the property under the new ESRA to anyone, even someone introduced to the property during the previous ESRA, without fear of paying fees under the previous ESRA. Finally, an unconditional termination of the ESRA would also end the holdover clause rights of the brokerage under that ESRA. Fundamentally, the effectiveness of the holdover clause is the difference between the conditional and unconditional termination options of an ESRA. Conditional terminations protect the brokerage using the holdover clause for situations as I described above, but unconditional terminations end all except a handful of enduring rights of the parties in the original ESRA.

In my experience, the seller generally wants the brokerage to be paid for their efforts and isn't looking for some way to wiggle out of their original agreement. The holdover clause just codifies this understanding in the very specific circumstances where the brokerage has truly earned its fee in finding the buyer, but the agreement expired recently or was conditionally terminated. Although you still may not know the inside baseball term "Fielding Independent Pitching," hopefully, you understand the holdover clause a little better.

How are real estate contract assignments handled in Alberta?

Bryan Statt | Feb 18, 2025 2:13:57 PM | [Original article](#)

Contract assignments have likely been around since the first contract was created. It stands to reason that if I make a contract with you to buy 100 watermelons from your watermelon farm for \$200, but I decide I don't like watermelon (which I don't), I should be able to find someone who will take over my obligation to you to fulfill the watermelon contract, and even perhaps pay me more for the contract than it cost me. Now, you sell your watermelons, I make a little money, and the new buyer loves watermelons. Win-win-win right? With watermelons, maybe, but real estate is a little more complicated. Let's take a few minutes to consider some of the high points in real estate contract assignments.

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Clarifying Context

I regularly field questions from members about working with buyers to help them find another buyer to assign their contract to. Many want to know if it is legal, some want to know the "right way" to help a buyer assign a real estate contract, and some just want to argue about the concept, which I am always up for if you are bored. So, let me get some key questions answered right out of the gate so we can all start on level ground.

- *Yes, contract assignment is legal in Alberta.*
- *Yes, I know other provinces have forms for it; no, we don't in Alberta.*
- *Yes, I know out-of-province buyers do it all the time in their province and don't understand the issue – which is why I am writing this article.*

There is a bit of a fork in the road at this point. There is a version of the assignment of contract conversation that intends to help speculative purchasers who, for various reasons, have contracted to purchase property at a discounted rate and want to "market" their interest in the property to find potential buyers to assign to. This practice comes with some unique pitfalls and liabilities that I am not addressing in this article. The advice I intend here is for situations, for example, where the purchaser is in danger of not being able to close on the property for medical, financial, or other such reasons and is seeking help from a REALTOR® to find a buyer to assume their obligations in the contract and avoid loss of deposit funds. These assignments are often very transparent, with full disclosure of the first contract being assigned. One road is not necessarily more legitimate than the other, but there is a distinction between the liability and the level of disclosure the assignor will likely provide to the assignee about the first contract.

The Law

As I mentioned, contract assignments are legal for the parties involved. This is found in section 154 of the *Land Titles Act*, which states:

Any contract in writing for the sale and purchase of any land, mortgage or encumbrance is assignable notwithstanding anything to the contrary contained in it, and any assignment of any such contract

operates according to its terms to transfer to the assignee mentioned in it all the right, title and interest of the assignor both at law and in equity, subject to the conditions and stipulations contained in the assignment.

All real estate legislation is provincial, not national, so what other provinces do or do not allow makes no difference. In Alberta, the *Real Estate Act* defines “Real Estate” as Real Property or leasehold property, plus a specific carve-out for manufactured homes under certain circumstances. Although I’m not a lawyer, the plain reading of the definition without any textual gymnastics intends to include the “real” property ownership rights and specific rights afforded to leaseholds as supported by common law. Assignments are also a package of rights created by common law where a purchaser transfers their right to future ownership to another party. The Act goes on to define that a ‘sale’ *“in respect of real estate, includes an exchange, an option, a lease, or any other disposition of an interest in real estate.”* This clearly includes an assignment of an existing purchase contract. So, the assignment of a real estate purchase contract is a legally valid and enforceable agreement, and registration in the name of the assignee is mandated by the *Land Titles Act*.

Legal vs. Logistics

So, the question is not whether real estate purchase contracts can be assigned since the law is clear they can. When the assignment is to facilitate closing, such as when the buyer cannot close due to a job transfer or illness, full disclosure is normative, and no property marketing is required, so a lawyer can assist with a simple assignment agreement. In such cases, the brokerage may even secure a fee for introducing the assignor and assignee. Still, the real question then becomes whether a REALTOR® can get involved to help actively *market* the purchaser’s interest in the contract by representing the assignor. Since the definition of “sale” in the *Real Estate Act* does appear to allow the provision of representation services to a buyer looking to assign a contract to another buyer, the next question is about the logistics of that process. The first thing is to get permission from the broker to ensure the brokerage does not have office policies prohibiting this type of representation. Second, if the broker allows the representation, the agency disclosure, written service agreement, and FINTRAC requirements must be completed. However, the AREA Exclusive seller representation agreement, and even RECA’s version of the same, was designed for the sale of the real property, not the contractual interest in the property, so either the standard agreements will need to be altered under the supervision of legal counsel, or a custom representation agreement for this purpose should be sought from legal counsel. Similarly, the AREA standard purchase contract will also require some modifications suitable to the scenario of assigning a contract from one buyer to another. Legal counsel should also write assignment of contract documents to ensure enforceability in such cases. As an additional consideration, the liability is significantly reduced in assignment sales when there is full disclosure of the original contract as part of the assignment agreement.

Custom Marketing

Next up is how to advertise and market the sale. In Alberta, the Provincial Harmonized Rules require that all MLS® system listings must be contracted on the approved MLS® listing contract, which, as mentioned above, is not possible, so assignments cannot be marketed on the MLS® system for at least this reason. In addition, other issues also exist that would prohibit the marketing of assignments from being in alignment with board rules. For example, because the buyer is selling their interest in the purchase contract, they do not have the authority to permit access to the property within 24 hours of a request to be shown by a fellow member, as the rules require. Additionally, using property photos without access to the property to take them poses a problem,

and using existing photos may be an intellectual property violation. Finally, access to the property to fulfill the RMS requirements is also generally not possible. For these and other potential obstacles, assignment sales do not qualify for access to the MLS® system, requiring other custom marketing methods to find potential buyers to assign the contract to.

Hurdles to assignment

Despite assignments of contract being legal, the assignment can, and often do, have some hurdles baked into the original contract that the parties signed, although they can never prohibit assignment altogether. Although this is less common in resale properties, it is very common in new construction properties that use a builder contract. These restrictions range from time restrictions, to builder right of first refusal, to builder approval with a hefty assignment fee, or other variations and since there is no standard builder contract, the contract should be read every time before engaging the client who wants to attempt an assignment just in case there are such criteria that need to be considered. It is conceivable, if not common, that the buyer also didn't read the contract before signing it, especially if they are from another province and do not realize there may be terms relating to assignment in the contract. The seller cannot prohibit the assignment outright, but the plurality of creative variations that can exist in builder contracts go beyond the scope of this article. Suffice it to say... beware.

Super Important Note from REIX

At the time of this article, the Real Estate Insurance Exchange (REIX) has indicated that they do not insure assignments. So, if a claim is brought against a Licensee and/or their brokerage relating to an assignment they represent, no coverage may be extended. This may require the licensee and brokerage to furnish their own defense, at their own cost, if they have no alternate errors and omissions coverage for such situations.

In summary, a consumer's freedom to assign their rights in a purchase contract is enshrined in law but may come with potential terms in the original contract, which may make the assignment a less attractive option. However, representing a consumer in the marketing and potential assignment of the contract is markedly more complicated for REALTORS® and their brokerages and should not be attempted without advance discussion with the broker and legal counsel. But if you want to buy watermelons, maybe we can figure something out.

What are some closing day best practices?

Bryan Statt | Jan 17, 2025 4:50:10 AM | [Original article](#)

The closing day is the glorious day when the parties' carefully laid plans, efforts of the REALTORS[®], the brokerages, the lawyers, inspectors, appraisers, mortgage brokers and several other folks finally culminate in the payment of funds and the release of keys. The term closing day is typical, but I will consider other terms, such as possession day or completion day, interchangeable for the sake of this article. After all the excellent work to get to this point, it would be a shame to fumble at the one-yard line, so here are some key considerations when the big day finally happens, whatever you may choose to call it.

Completion day choice

1. The AREA purchase contract uses the term completion day, a negotiated date chosen and agreed upon by both the buyer and the seller. Although the parties can agree to any calendar day, problems arise when selecting certain days, and the experience can be improved by considering other options. During the negotiation, REALTORS[®] should take time to advise their respective parties on the completion date, in consideration of at least five criteria. If possible:
2. Don't choose a weekend or holiday – Choosing such forces the lawyers to figure out how to manage the closing process when no one is operating.
3. Avoid Mondays and Fridays – Lawyers, mortgage companies, insurance companies, and land titles are all bogged down at the beginning and end of the week. Choose a Tuesday, Wednesday, or Thursday; delays are much less likely.
4. Avoid the first and last week of the month. For the same reasons, closings are hectic at these times. Although it is nice and neat to close on the 31st or the 1st, it doesn't help with stress levels, and it usually isn't for any significant reason that these dates are chosen.
5. Choose a closing date with at least a 2-3 weeks' gap after the anticipated removal of conditions, especially for condos, new construction, or complex transactions. Otherwise, you can expect closing delays and likely additional costs to the client(s).
6. Don't choose the same date as the closing date on one of the parties' other transactions. For example, if the buyer sold their previous home, don't set the closing date on the same day as their previous home's, and have them wait with a moving truck and movers that are paid by the hour. They will remember that trauma for long years...

Interim financing options

If you are scratching your head about number 5 and how to avoid overlapping closing dates, Interim financing, also known as bridge financing, is the common solution. I am not a mortgage broker, but REALTORS[®] should know enough about the concept of Interim financing to know when to have their clients talk to their mortgage broker about this solution for closing day headaches. Since most buyers already have a home and need the equity from that home to buy the one they are moving into, this often causes the clients to think they need to line up their dates to prevent moving twice. Interim financing allows the buyer to close on the new home a few days or weeks ahead of the closing date on the previous home to enable them to move without significant time and money pressures. The cost for interim financing varies based on circumstances, but it can be as little

as a few hundred to a few thousand dollars. Generally, however, it is significantly less than moving twice, storing, and paying interim rent.

Closing day timing

The AREA purchase contracts all hold a noon time for completion day, when the buyer is expected to pay the purchase price, and the seller is to offer vacant possession of the property unless otherwise agreed in writing. This is intended as a contractual time for the lawyers to adjust costs, not a gold-gilded guarantee that the buyer can start moving in at 12 noon on the button. If everything goes well, prepare the buyer for the likely closing situation "sometime" in the afternoon; don't have all your friends waiting to move in boxes at 11:59, or there will be a disappointment. By the time the lawyer's office opens after lunch, processes the courier-delivered trust cheques, verifies the transaction documents, and notifies the seller's brokerage, it can take time for that information to flow to the buyer, collect the keys and meet at the property. Generally, it's okay to plan for the closing on the right day, but don't hold your breath about the timing.

Key release protocol

The big event on closing day is the passing of the keys, but this, too, has some logistical challenges. In most cases, physical keys must be in hand to provide access to the property. Since these keys were last in the possession and authority of the seller's brokerage, they need to be collected and physically transported to the property to provide access. Suppose the closing appears to be going according to plan. In that case, many sellers authorize their brokerage to release the keys to the buyer's brokerage "in trust" before the completion day to alleviate some of the logistical obstacles; this is not a requirement of the seller and can only be done at the seller's authorization under the strictest seriousness by the seller's and buyer's brokerages. The critical takeaway is that keys are only releasable once the buyer has paid the purchase price, the seller has received that money, and the seller's lawyer communicates that the keys have been released, usually to the seller's brokerage. At that point, the seller's brokerage will notify the seller's REALTOR[®], who will notify the Buyer's REALTOR[®], who will inform the buyer and coordinate a time to meet at the home or make other arrangements to provide the keys to the buyer. Although it is a bit like the telephone game from pre-school, this is the usual protocol and understanding it can help avoid aggravation.

Follow-up

Because all real estate is about relationships, one key best practice for the closing day is a follow-up after closing day. Whether the client was a buyer or a seller, checking back a few days or a week after the closing will provide valuable insight into the client's perspective on how things went. This will allow you to hear about issues you may be able to solve, positive testimonials you may be able to use, or, at the very least, an additional touchpoint to show you care more about the client than the transaction. Don't discount the crucial value of this follow-up opportunity for solidifying your relationship with a client who may be a referral champion for you in the future.

Closing day for REALTORS[®] should not be just a period at the end of a complex transaction sentence. It will be the last thing your clients remember about their experience, for good or for bad, so it should be organized, well thought out, and purposeful to ensure the closing day is an exclamation point for the client instead and something they will want to tell their friends about.

How can I advise a condo owner who has a dispute with their board?

Bryan Statt | Jan 17, 2025 4:49:07 AM | [Original article](#)

At its most basic, condominium ownership is a group of individual owners agreeing to work together to share common spaces, amenities, and costs. I have written other articles digging into this more, but suffice it to say that this definition helps frame our thoughts in this article, at least. Practically speaking, you can't have a 300-unit condo complex where everyone decides what is right for them since their actions may affect other unit owners around them, so like a mini-government, the owners elect a board to make the decisions that are best for the group as a whole. Where there are people you will find problems, so undoubtedly, there will be decisions a condominium owner disagrees with, and they may choose to contact their trusted REALTOR® for some guidance, so let's take a few minutes to think through that guidance.

E Pluribus Unum

If you know no other Latin, I suspect you know this phrase: "Out of the many, one." I lead with that because condominium ownership is designed so that the owners and shareholders of the condominium corporation agree to work together, live together, and support the whole, even if they didn't think about it that way when they purchased. The point of condominium bylaws, which every single condominium corporation has, is to establish the rules of engagement with which the many unit owners agree to operate as one. Because of this concept, the elected condominium board has to think first of the effect of decisions on the many, not just the one. Assuming the board is functioning correctly, they will use the bylaws as a guide but also have an eye on the community's long-term viability, health & safety considerations, and quiet enjoyment of the whole. Perhaps the first thing a REALTOR® can discuss with an upset unit owner is this obligation of the condo board and see if they can look past the end of their nose to see how the board is considering the decision in this light.

Let's get practical

Now that the hand-holding love circle consideration has been presented, let's think about the likelihood that the unit owner believes the board is not looking out for the best interests of the many but is simply not functioning correctly, choosing the easy path or unfairly targeting them. Most of the time, this is not the case, but these arguments are classically made when someone is frustrated and upset. So, the best first step to suggest to a unit owner is to attend meetings and get involved. If the unit owner believes they have better ideas or specific skills that could benefit the board in their decision-making, they need to step up and make that known. These condominium boards are typically volunteer boards and often just a coalition of the willing. They would undoubtedly appreciate new ideas, thoughtful conversation, and sober second thoughts from unit owners directly, but the owners must show up.

Grab the wheel

As I mentioned, these condominium boards are volunteers for the most part, and that means any unit owner who feels they have value to add could put their name forward to be a board member at any AGM. It is not an easy position, but it will provide an unmatched view across the vistas of condominium decision-making and

the complexities they never thought of before. Best of all, they have the opportunity to steer the condominium corporation in a positive direction by adding their experience and skills to the leadership mix.

The Nuclear Option

It is always possible that a condominium unit owner believes the board is not acting appropriately, can't or won't join the board to help make decisions, and wants to take their grievance to the next level. First, anything criminal must be reported to law enforcement immediately, but apart from that rare scenario, the unit owner has only one avenue to pursue: civil litigation. Let's think this through. When a unit owner owns a unit in condominium corporation, they are also a shareholder in that corporation. If they choose to sue the board, they will need to pay for their own legal costs, but the board will hire legal counsel to defend the claim using corporation funds. Those funds are the owner's/shareholders' funds, including the unit owner doing the suing. Essentially, they are personally suing a corporation which they are also a shareholder in themselves, and at least partially paying for the defence of the parties being sued. Face Palm. Sometimes, this is necessary on principle, but those situations are magically much rare once this reality is explained to the upset unit owner. Often, they find alternate methods of conflict resolution or getting involved in the board to help advance change from within.

Condominium Dispute Tribunal

Some of my readers, who are all brilliant people for choosing this blog, will put their hand up and say wait a minute, isn't there a condominium dispute resolution tribunal in Alberta? Sadly, at the time of writing this article, the answer to that question is a solid "not yet." Since the Condominium Amendment Act, the government of Alberta has created the potential to have a tribunal, but several years later, it has yet to enact that potential. Although they continue slow and measured engagement on the issue, there is currently no projected timeline for a tribunal creation. The tribunal would be an alternate path to civil litigation similar to the Residential Tenancy Dispute Resolution Service (RTDRS), which has been functioning for nearly 20 years in the gap between landlords and tenants. If the upset condominium owner wants to take a positive forward step in this regard, they could talk to their MLA or write the Minister of Service Alberta and express their support for such an option to help condominium owners in dispute with their board.

One final distinction should be made at this point to clarify something. A dispute or complaint about a condominium board is different from a concern with the licensed condominium manager, who may be intimately involved with the daily operations of the condominium workings. A complaint about a condominium manager should go to the condo board for consideration since they hired them. More severe situations around professional conduct, licensing, etc., should be directed to the licensing body and provincial regulator, the Real Estate Council of Alberta.

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How is information use handled in a seller representation agreement?

Bryan Statt | Jan 17, 2025 4:48:11 AM | [Original article](#)

Listing property in Alberta is a data-heavy activity. To adequately represent and market the property, the brokerage and REALTOR® need a lot of information, much of which comes from the seller. For this reason, the seller representation agreement covers a lot of ground in clarifying the collected information and the information the brokerage needs to use and distribute to accomplish the result the seller is seeking: the sale of the home. Let's pick it apart a little bit so we are all clear on the information obligations in the agreement.

Personal Information

Personal information is defined loosely by the legislation as information that could identify an individual. Yes, I know it is broad and purposely so because the legislature wanted to ensure clarity in the specific use case where the information is needed, otherwise the broad application applies by default. In the AREA Exclusive Seller Representation Agreement, the information collected is clarified by the term "Listing Information" and includes all information required for the listing of the property, including personal and confidential information of the seller. According to the agreement, Listing Information is the seller's name, the property address, images, videos, pricing information, existence of offers and even the final selling price and sale date once all conditions are removed.

Use, maintenance, disclosure and more.

When the seller agrees to representation by the brokerage, the seller needs to understand that seeking individual consent for every use of the information is not only impractical but would become exceedingly annoying for the seller and the brokerage. For this reason, the seller agrees that the defined Listing Information can be collected, maintained, used, and disclosed for purposes specific to the listing and marketing of the property. Because the brokerage is required to follow the Personal Information Protection Act (PIPA), the brokerage already has obligations under the legislation to get consent, collect only what is necessary, maintain only what is required for as long as it is reasonably necessary, and have a plan for the safe destruction of the information. Additionally, the brokerage must have a privacy policy that their REALTORS® must follow in handling this information.

Data Distribution

Regardless of the brokerage, it is safe to say that part of the marketing plan the brokerage employs will include using Listing Information in a system that makes the distribution easier to cast the most extensive possible net for a buyer. This would consist of things like mail marketing services, email marketing of the property, CRM systems, and so many other marketing services that different brokerages and REALTORS® use. These services will take some basic data of the Listing Information into a database system to manage the data for the purpose the brokerage and Realtor® need to market the property. Still, the brokerage may or may not control the database directly. The agreement itself considers these circumstances and provides the consent from the seller to use the information in this way as well as for things like market evaluations.

MLS® System considerations

The ultimate powerhouse of property marketing in Canada is the cooperative MLS® selling system, which I have written about in other articles. This system requires by its very nature the sharing of Listing Information with the MLS® System and all the cooperative partners connected to its vast infrastructure, such as other brokerages, appraisers, municipal governments, and 3rd party websites or service providers. The use of the Listing information in this way obviously benefits the seller in the marketing of the property itself but also has the added effect of benefitting the industry as a whole in the aggregation of statistics and market data to help better list, market, and sell, real estate for the benefit of buyers and sellers. This use of the Listing Information in this way is also explicitly covered in the agreement as well.

Final Thoughts

The overarching principle of privacy law is that once you have personal and confidential information, you have care and custody to handle that information in line with the legislation. As mentioned, that includes consent for use, disclosure, distribution, maintenance, retention and destruction, all with a bend towards handling as little information as necessary and destroying it securely as soon as it is no longer required under another statute. For most brokerages, this is likely ten years, but the key to having custody of personal information is that apart from the specific consent obtained, the information cannot be used for any other purpose unless additional informed consent is obtained. Additionally, the information a brokerage keeps or learns about a client can never be disclosed to another future client or used against the party who provided it in the future except by order of a court. It may be helpful to think of it as being a caretaker of the information rather than an owner of the information. Even though you know things, they are not your things, and you cannot use them without consent.

Data and information have become more valuable in today's digital world than almost anything else. Consider that the next time you agree to terms of use for a "free" software service such as email providers, social media, artificial intelligence, or word processor programs. Nothing is free; they will give you free access as long as you give them free information that they can use on their own. It should be comforting to clients to know that when they work with a REALTOR®, the specific uses of their information are outlined in plain language.

Are there requirements to list on the MLS® system?

Bryan Statt | Jan 17, 2025 4:47:16 AM | [Original article](#)

The MLS® system is a cooperative selling system used by REALTORS® across Canada. In Alberta, local boards and associations manage the local MLS® System and enforce MLS® System rules for membership. Local board MLS® Systems share their data with the national system operated by CREA known as REALTOR.ca, which consumers are very familiar with. As a system, it is more than simply a website, marketing engine, or searchable database of information, but it is certainly not less than those things. However, one thing that must be understood at the start is that the MLS® System is owned and operated by REALTORS® and is not a public access system, so there are requirements to access the system and its unparalleled benefits.

REALTOR® Required

The first and most obvious requirement is to use a Realtor® member to access this member-owned selling system. This does not mean consumers must hire representation or agency services from a Realtor® beyond those they require. However, there is no doorway to the MLS® system except through a Realtor®. In Alberta, all Realtors® are responsible for following a Provincial rule set which also requires them to use only approved MLS® Listing agreements, which may or may not include representation services.

Data Requirements

One of the great benefits of the MLS® System is the confidence that specific data fields are required and that those data points can be reasonably understood to be accurate. Although the MLS® system is never intended to warranty information to a prospective buyer or replace the buyer's requirement to conduct their own due diligence, the idea is that if the data field in the MLS® system is required, it must be completed before the listing is posted to the system. If it is to be completed, the REALTOR® must exercise reasonable care and skill to ensure the information entered is accurate. This requirement is mandatory regardless of whether or not the seller is receiving representation services from a Realtor® over a simple posting to the MLS® System without representation.

GST issue

Because GST on real estate is a tax issue and not something REALTORS® can advise on, the MLS® System needed a reliable way of standardizing the GST issues for buyers when comparing residential properties. For this reason, the Provincial Harmonized MLS® System Rules require that the price displayed include any applicable GST. Of course, there are some situations where it is uncertain whether or not the GST will apply, so in those situations, the Realtor® must include a statement in the public remarks explaining this to the buyers upfront.

Listing Duration

In order to provide sufficient time for the MLS® cooperative selling system to reach all those who need to see the listed property, there is a required minimum 60 day listing timeframe for all MLS® Listings. This does not mean that it will take 60 days to sell, but rather that at the signing of a new listing contract with a REALTOR®, the seller must commit to the Realtor® for a minimum of 60 days if they are interested in putting their listing on the MLS® System. Of course, anything more than 60 days is fine since most listing agreements for residential property range from 90 - 180 days, but the system will reject anything less than 60 days.

No Discrimination

As a cooperative selling system, the MLS® system is bound up in the cooperation of brokerages and REALTORS®, being able to access all listings to show their buyer clients. As the property owner, the seller always maintains the right, under common law in Alberta, to allow or deny access to their property as they see fit. However, once they agree to list their home with a Realtor® on the MLS® system, they also agree not to restrict access to cooperating Realtors® even if they have some disagreement or previous history with them. The seller can instruct their Realtor® in such situations to be present for the showings or insist on being present themselves (although that may not always be advisable); however, what they cannot do is refuse to allow Joe from ABC Realty Inc. to show the property to their clients. If that becomes a sticking point, the seller would need to make arrangements with their Realtor® for alternate options to market the home without the power of the MLS® system.

No Delays

Similar to the discrimination of a REALTOR® member from accessing the property when the property is listed on the MLS® system, the seller also has one additional restriction concerning showings of the property. Provincial MLS® Rules require that all properties actively listed on the system must be available to show within 24 hours of the request being made by a cooperating Realtor®. This promotes an equal opportunity environment for all cooperating brokerages and Realtors® to view the property without undue time delays, especially in a busy market or when a Realtor® is trying to schedule multiple property showings in a single tour. Life happens though, and the kids may be sick, the hot water tank springs a leak, or Great Aunt Margaret arrives for the weekend unannounced, and the seller simply cannot accommodate showings for a few days, so the option of a temporary withdrawal from the MLS® system is always an option too.

The numbers have been crunched, and the statistics are in; there is no better way to cast the most extensive net around a potential buyer pool than using a REALTOR® to list a property on the MLS® System. The system is as powerful as it is mainly because of the fair-play rules and requirements that all MLS® Listings and Realtors® must follow. Sellers don't have to use the MLS® system to market their property, but no one can deny its effectiveness or reach.

Are there privacy issues when showing homes?

Bryan Statt | Jan 17, 2025 4:46:01 AM | [Original article](#)

In recent years, I have noticed a strange phenomenon that you may or may not have picked up on. Back in ancient history (actually only in the late 1980s), there was no Internet, at least not for the ordinary person. The information you shared was limited to gossip over the neighbour's fence or what you discussed at the neighbourhood BBQ. I do not remember a whole lot of privacy law discussions back then, do you? Fast forward to today, and the average Canadian shares every waking moment of their life, family, random thoughts, cat videos, and meals in real time to the World Wide Web, but privacy is a big topic of discussion all of a sudden. Strange but true, and the reality of digital media does pose a risk that whatever you put out there can never be taken back. Since privacy issues are at the top of our minds, let's look at the privacy considerations involved when showing homes.

The Legislative Landscape

Two privacy legislations generally bind Alberta REALTORS® and their brokerages. The *Personal Information Protection Act* (PIPA) is the provincial legislation governing privacy in the private sector, and the *Personal Information Protection and Electronic Documents Act* (PIPEDA) is the Federal legislation for all of Canada. Since PIPA has been declared substantially similar to PIPEDA, PIPA is considered the law of the land in Alberta concerning the topics in this article. Generally, the legislation establishes that organizations have a legal obligation to only collect and distribute personal information under the consent of the party whose information it is, only collect what is necessary for the purpose, protect the information in their custody, and have policies around careful destruction of the information when it is no longer needed.

Personal Information

Here is the crux of the matter, I would say, since if Realtors® and brokerages have an obligation regarding personal information, then it stands to reason that personal information should be understood in its meaning. Unfortunately, it is not that clean since the statute defines personal information as "information about an identifiable individual," which leaves a hole big enough to drive a bus through, so courts and tribunals have attempted to tighten up a little using a "reasonable person" test. The reasonable person test essentially means what a reasonable person would think is appropriate in the given circumstance. Reading this article, I will assume you are a reasonable person, and you would likely consider the name, address, birth date, medical history, income and the like reasonably within the realm of personally identifiable information and to be captured under PIPA and protected. There will be minimal disagreement on the main things and the plain things.

Practical application of Privacy issues

So, how on earth is any of this related to a property showing? Like seriously, get to the point! Sorry, folks, but we needed those pretexts to establish the context. Two main interactions are in view here: the virtual showing/preview and the buyer who wants to take additional photos and video in the home. In the virtual showing

situation, a buyer's agent enters the house to either record images/video to send to a potential buyer who cannot be present or live stream the showing using a real-time video chat application. The second scenario is when the buyer wants to take additional photos or videos of their device to send to another party who is not present or even just for their own use to remember the home. Now you are wondering where the connection lies between these scenarios and privacy law, and the key to the answer is found in the definition of "personal information" I outlined above. If personal information is anything that is "about an identifiable individual," that could mean, for example, the family photos on the wall captured in an image or video, a specific identifiable piece of art or furniture, or even the accidental capture of a utility bill or prescription bottle left on the counter.

Liability consideration

Because there is no way to know the danger the identification of personal information could pose to the owner, agents and buyers should be extra careful not to take photos or videos, live streamed or stored on a device without disclosing it to the seller and getting their consent before doing so. An argument can be made that since the seller permitted the buyer and the agent to walk through their home, they also consented to them seeing potential personal information they have not reasonably removed or secured. However, that 'implied' consent argument would not likely extend to keeping(stored on the phone), or disclosing the information (emailing it mom and dad down east). PIPA covers organizations specifically; however, when a buyer is in the home, they are there under the care and control of the agent and brokerage, and the liability case could be made that the agent ought to have known the PIPA ramifications.

Bonus – drawers, cupboards, and cabinets

One of the realities of selling a home is that the buyer is often concerned with the storage space, especially in the kitchen and bathroom. This leads to the opening and closing of drawers, cupboards, and cabinets, which the listing agent should discuss with the seller before any showings occur. Suppose a buyer or showing agent accidentally comes across personal information in those places such as medical or insurance forms? In that case, they should be promptly closed away and certainly not photographed, which, as mentioned before, would not pass the "reasonable person test."

Since every situation is a cornucopia of oddities and variables, I hope to provoke some high-level consideration on the importance of thinking about privacy law in all aspects of the real estate business. As you can see, it shows up in the strangest places so understanding the basics can help you make informed decisions in the moment, or at least prompt the questions to a broker or lawyer. Best, and simplest option is to just ask permission of the seller which is rarely refused at the time of the request.

What are best practices regarding natural disasters and real estate?

Bryan Statt | Jan 17, 2025 4:44:53 AM | [Original article](#)

By their very nature natural disasters happen to and on the land. Tornadoes, earthquakes, hailstorms, flooding, and wildfires are all disasters that can strike a community leaving homes and lives disrupted.

There is no getting around the fact that when people are affected by natural disasters, so is their property. Let's take a look at some considerations to think about in areas prone to such problems.

Policy Pause

When the top ten (10) most expensive natural disasters in all Canadian history were charted, seven (7) out of ten (10) happened in Alberta. Surprisingly, the Edmonton tornado in 1987 didn't even make the list! I wouldn't say that Alberta is accident-prone, but we are a province of vast resources such as enormous tracts of tree-covered lands, glacial-fed rivers and topography that can produce wind turbulence and hailstorms. Albertans are made of tough stuff, and we stand strong together in these adverse conditions.

Unfortunately, the insurance industry is a risk-based business and in times of declared disasters such as active wildfires, most insurance companies will pause insurance writing in that area for some time. The size of the area and the amount of time varies based on the event and the company but suffice it to say that once a disaster is known, insurance companies will pause their underwriting. This temporary pause means new policies won't be written and existing policies won't be changed which causes a big problem for real estate transactions in the process because new mortgages will be conditional on obtaining insurance on the property.

Defaulting Buyer

During wildfire season for example, the buyer is in the most danger of defaulting on the transaction because of the insurance pause. If a wildfire is burning near a community, threatening to move closer to that community, the insurance companies will likely pause all underwriting in the area.

The most practical way to manage this issue as a REALTOR® representing the buyer is to add a condition to the purchase contract which allows the buyer an opportunity to obtain an insurance binder letter on the property before a certain date. This allows the buyer to know:

1. Whether they can be insured
2. If they can't be insured, be able to collapse the contract

It is important to know that in the absence of such a condition, the seller could hold the buyer in default even if it is impossible for them to close, losing their deposit and being opened to all remedies under the law for costs the seller incurs in the default.

Mutual Agreement

There is always the possibility of mutual agreement between the parties to delay closing or shift dates as well where the parties still want to contract and are willing to move dates as the wind shifts.

If the possibility of a problem is discussed early in the process, a term could be inserted that details the buyer and sellers understand and agree to be flexible. Due to the variability of the:

- Situation
- Disaster
- Client motivations

Any term to manage the closing date extension should be provided by legal counsel and added to the contract by way of amendment. Information should be additionally provided to the seller to not cancel the insurance on their property until the closing date actually happens and the purchase price paid, as the property could be in danger of damage. Once canceled it would be impossible to reinstate mid-emergency even if the closing date extension is agreed to by the parties.

Insurance claims

Let's consider an additional related scenario. Imagine the offer is accepted, the buyer does their due diligence, gets the conditions removed, and then the property is significantly damaged by a natural disaster. The seller and buyer have agreed to the contract and have the legal obligation to complete it. The seller still has property insurance however, the repairs are certain to overrun the closing date. The buyer needs to be made whole, and the seller's insurance needs to make that happen. The most important thing to do in such a situation is to engage both the insurance company and legal counsel immediately after the event. This will allow both the buyer and seller's lawyers to frame an agreement between the parties through the purchase contract that ensures the seller will engage their insurance company to start the work and pay required deductibles, and that the work is the same or better quality than what the buyer contracted for in the original agreement.

Time frames are established with sufficient holdbacks to keep the parties honest and engaged. Don't attempt to manage the complex moving parts of such a situation without legal counsel and as soon as reasonably possible after the precipitating event.

Flood plains

I would be negligent in my advice if I didn't bring flooding back to the forefront of your mind in a discussion about natural disasters. Alberta has several waterways and the river courses we have running through our major cities are glacial fed. That makes for great fresh water but also opens the possibility of seasonal flooding of the banks and floodplains. This is not new information to Albertans and the Alberta government has invested significant resources to map and survey the waterways to determine floodplains, and flood risk areas which can be reviewed at floods.alberta.ca.

Albertans need to understand that the Alberta Disaster Recovery Program (DRP) can only be accessed as insurance of last resort, and one must be able to demonstrate that the peril which damaged or destroyed the property was not reasonably insurable. Currently, the Alberta government generally considers overland flooding as one of those situations in many areas of the province; however, claims are limited in payment, and to only one compensated event ever for that address. Suppose a property does lie in a flood-prone area. In that case, it is a good idea to check the title for a potential registration of this nature or check with the provincial government to see if that one-time coverage has already been used and if the property is being considered for a transaction.

Once natural disasters happen, buyers and sellers must contact legal counsel for quality and timely advice for the specific situation. Apart from possibly crushing the wicked witch in the land of Oz, the reality is that nothing good comes from these events, and they can totally devastate communities. Follow government warnings, stay in touch with buyers and sellers, and know when to seek professional legal advice.

What are some common real estate misconceptions and how to address them?

Bryan Statt | Jan 17, 2025 4:43:54 AM | [Original article](#)

Anyone involved in the real estate industry for some time could likely rattle off a handful of common misconceptions that consumers have about real estate, so I thought it might be helpful to provide some practical guidance on addressing these misconceptions when they arise.

Looking for our Forever Home

Hope springs eternal, and nearly every home buyer genuinely believes the home they are buying is their “forever home.” The idea is that this is the last home they will ever buy, so it needs to be perfect in every way. The truth is that by the numbers, the most significant cross-section of homeowners in Canada move in line with life changes, resulting in a buyer becoming a seller usually in less than ten years on average. In my experience, this is generally around six years for the young to middle-agers and 10ish for the more mature crowd. The reason is simple: no house is perfect for all the changes your life will go through with finances, relationships, babies, teens, etc. The home the buyer should be looking for should be as perfect as they can get to match their current situation with an eye to moving into their next perfect home in 6-10 years. Life is constantly changing, and buyers should consider that their home needs will change along with it, so they need not get too bound up in finding the forever home but rather the right one for right now.

Home size is directly correlated with home price.

There has been this idea that you can quantify a home by its square feet as if you are pouring sugar into a measuring cup to see if you have enough to make a cake. This misconception was elevated with the introduction of the Residential Measurement Standard (RMS) in Alberta several years back. Can I say kindly that while a buyer is calculating squares vs price, they have missed the beauty of the forest because they cannot see past the trees? A home consists of more than just its measured size, and buyers know this intuitively when they ask for specific features in their search. They say:

“I want a three-bedroom bungalow in a cul-de-sac with an open concept, finished basement, granite counters. It must be fenced and landscaped and include a large deck, attached garage and storage shed in the yard. Oh, and we don't want to look outside of the Happy Hollow neighbourhood.”

Then, when they find it, they look at the price on the MLS® sheet, divide it by the size and say, “Oh, this one is a little on the pricey side!”. The simple calculation of price per square foot ignores all of the features they listed as important to them and makes it irrational to compare to the cost per square foot of other properties that don't have those features. The house is valued by its total package offering, not its size, plain and simple.

Always renovate to sell

This one always makes me chuckle because the vast machinery of the home renovation television show producers and networks entirely props it up. You have watched them take a modest house, bring in some celebrity personalities to put on a hard hat and break a few walls in a tank top, replace old stuff with new stuff,

and finally stage the property for sale. Then, at the end of the show, they overlay a list showing the original market value of the home, the cost to renovate, and the new list price of the house and shocker of shockers, the property renovation was totally worth it! This is barely reality TV and not at all reality. Appraisers have crunched the numbers and confirmed empirically that nearly all of the renovations you do for the sake of a sale would lose you money when comparing the cost to do the renovation and the amount of recapture over a comparable home in the same neighbourhood without the renovation. To be fair, three exceptions from my experience will usually earn you more than you pay for the work:

1. Professional painting of the home makes it smell and look fresh and clean
2. Correcting functional obsolescence, which is, for example, a 6-bedroom home in a modern family neighbourhood that has only one bathroom... it is worth it to build a second bathroom if possible, or you will have a hard time appealing to the buyer searching in that family neighbourhood.
3. Neglected maintenance issues such as tattered carpet, dripping hot water tank, etc., anything that would make the buyer think that the property is not well cared for. Old stuff is ok as long as it is well-maintained.

Every other renovation a homeowner does should be for their enjoyment while they own the home, not just before they sell it, since they will not get back what they put in, despite what they saw on TV.

You need to choose the best time to sell

“Spring is the best time to sell” is something well-meaning people say around the water cooler, and it continues to seem like good advice because the market usually ticks up in the spring. Birds sing, flowers bloom, and buyers and sellers start itching for a change. This is a misconception of the fundamental nature of supply and demand; let me explain. When demand (number of buyers) goes up, and the supply (number of listings in an area) stays the same, prices will rise. The opposite is also true; prices go down when demand goes down, and supply remains the same. Imagine a set of old-timey balance scales, with supply and demand on opposite sides; the market always seeks balance. What a seller really wants is for the price to rise at the exact time they put their property on the market, so by thinking that there is an uptick in buyers in the spring, their price will be higher then. The reality is that they are not the only ones thinking that way, and usually, spring and fall markets have buyer and seller rates increase at relatively the same rate, holding prices steady. You end up with more competition on the buyer and seller side of the equation. If a seller lists in the winter or summer, there will likely be fewer buyers and fewer listings to compete with, so it usually balances out. The reality is that the best to sell is always now.

For some reason, real estate misconceptions seem especially pervasive in casual conversation, and because of this, one should always discuss market conditions, or real estate ideas with a local REALTOR®. They can provide a check on age-old assumptions or sage advice from Uncle Larry by providing real-time data and advice.

What is the difference between deposits and down payments?

Bryan Statt | Jan 17, 2025 4:42:45 AM | [Original article](#)

Anyone who has ever purchased a home has interacted with these two terms, but strangely buyers report that they were not fully explained the difference between the terms during the process causing some unnecessary anxiety. When purchasing a home the numbers run larger than most people are used to in any other transaction, so it is important to know exactly what these terms mean. Let's try and remove the mystery.

Deposit money

Deposit money is the amount a buyer pledges to provide in the writing of an offer to purchase when expressing interest in buying a property. Dating back to ancient Greek and Roman times, deposits of goods, coins, or clothing, were used to secure the goodwill of a seller after the negotiations had taken place in a public setting. This ensured that the buyer had witnesses to what the agreement was, and the seller had the security that the buyer would follow through on their end of the bargain, or risk the loss of that deposit and the public shame that came with the inability to fulfill their word.

In old English, the term "earnest money" was used to indicate that the buyer was making a payment "in earnest" or under commitment to complete the rest of the transaction and ultimately pay the full amount. Fast forward to modern times and the deposit that a buyer indicates they are bringing to the transaction remains an important step in establishing goodwill between the parties and demonstrating that the buyer has unencumbered capital to place into the deal.

The current AREA purchase contracts include terms of trust established by the parties to ensure that the deposit money given by the buyer is held in a trust account and only disbursed under certain circumstances agreed to beforehand by both the buyer and seller. It is important to understand that modern contracts normally include conditions that the buyer uses to ensure that the property is what they think it is, and that they can secure the financing they need to complete the transaction, and those conditions protect the buyer's deposit from being forfeited to the seller when the buyer does not remove those conditions. However, once the buyer waives those conditions and agrees to proceed with the transaction, the deposit forms part of the agreed purchase price which will be paid to the seller at the completion.

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Down Payment Money

The key thing to recognize about down payment money is that it is generally not related to the negotiation phase, but the financing phase of the total picture. Where Deposit money is placed as a type of promise to complete the transaction, the down payment is related to the amount of total liquid capital the purchaser has, or is willing to use, to facilitate the financing of the total purchase price. The total down payment a buyer agrees to provide, plus the amount of new financing through a mortgage makes up the total purchase price.

For example, if the buyer interested in a \$200,000 home may decide to put up a 20% down payment and take 80% of the purchase price as a mortgage. That means in this example, they would need \$40,000 of available capital such as cash or cashable investments to provide to the lawyer at the closing and the mortgage lender will provide the remaining \$160,000 in exchange for registering a mortgage on the property. Here is where the deposit money comes into view. If the buyer in our example provided a deposit of \$10,000 in the purchase contract, this \$10,000 also forms part of the purchase price and is calculated as coming out of the total downpayment money not in addition to it, so they would need to bring only \$30,000 to the lawyer for closing since they paid \$10,000 into the transaction already.

Additional Thoughts

A regular question REALTORS® often get from a buyer is “How much deposit should I put in the offer?”. This question comes from the desire to put as little as possible into the transaction while still demonstrating their serious interest in the property. I have always found that a good rule of thumb is to place about 3-5% of the purchase price as a deposit but the truth is that it comes down to whatever the buyer is comfortable offering and seller agrees to accept. If the deposit is not in jeopardy before conditions are removed, and forms part of the downpayment anyway after the removal of the conditions, a larger deposit does demonstrate the strength of the buyer's commitment to the trade.

The only caveat I would offer is if the initial deposit is large, and some part of the buyer's conditions, despite their best efforts, fails to meet expectations and the buyer decides to move on and find another property, it can take a couple of weeks to get the deposit money back out of the trust account. If the buyer used all their available money on the deposit for that transaction it could slow down their ability to place a new deposit on a different property. In such cases, the AREA contracts anticipate the possibility of a smaller initial deposit and a larger additional deposit after condition removal to solve this possibility.

This treatise on the subject is really only touching the surface of the information available, not to mention the vast number of variables that present themselves in specific transactions. For this reason, every consumer needs the real-time advice of a REALTOR® to help them navigate the many options available to them in managing the deposit money in a purchase contract, and the advice of a licensed mortgage broker regarding the down payment.

What's so important about the terms of trust?

Bryan Statt | Jan 17, 2025 4:41:34 AM | [Original article](#)

One of our earliest childhood understandings of trust is almost certainly the trust fall. You turn your back on the person you are supposed to trust and fall backwards into their waiting arms. Unfortunately, you quickly discover that not everyone can be trusted using this method, especially older siblings. I mention this childhood game to highlight the concept of trust, where you place your interests into the hands of another, relying on them to protect those interests. Let's think this concept through concerning real estate trust deposits in Alberta.

Defining terms

In Alberta, the standard AREA purchase contracts all contain a section that anticipates the buyer's delivery of a deposit. As I have explained in other articles, this deposit is good faith, or earnest money, indicating the buyer is serious about the transaction and willing to put up a sum of money to demonstrate that. When they deliver this deposit money, they wouldn't feel secure to give it to the seller directly, so they give it to a trustee, normally the seller's brokerage, to hold under certain terms. Those terms the trustee must follow are known as the terms of trust and must be agreed to by both the buyer and seller at the signing of the transaction.

Real Estate Terms of Trust

So what requires using terms of trust, why not just a handshake and a smile like the good ol' (albeit fictional) days? In Section 18 of the Real Estate Act, the legislation requires that when a brokerage agrees to accept trust money, they must have a written service agreement that "*sets out the terms on which the money will be received, held and disbursed.*" That means that the trustee brokerage must have the signed purchase contract in which the terms of the trust are established before accepting trust deposit money. Once they have the contract and receive the trust money, they obligate themselves to follow the established terms of trust exclusively.

Trustees have small brains

That is a cringe-worthy statement, right? At least I have your attention now, and my point in making this statement is not to call into question a trustee's intellect or make fun of the physical size of their brain but to point out in a memorable way that the trustee can only make decisions based on the terms of the trust. Since the terms of trust are established by the purchase contract between the buyer and the seller, and the trustee is chosen and agreed to by both parties, the terms of trust form the "programming" that the trustee must follow mechanically. The trustee can never do anything outside of the established terms of trust without the express written agreement of both parties to some new arrangement. The trustee is never at liberty to make their own decisions regarding trust money, and on the flip side, the trustee is not required to make judgment calls either or guess what the beneficial parties' decision is since it is in writing and decided upfront.

Disputes happen

As we all know, not all transactions come together, and some will collapse during the conditional period or sometimes even crater after conditions are removed. In such situations, the rubber truly meets the road for

the trustee in following the terms of trust as mentioned previously. At this moment, a broker acting as the trustee must remove their broker hat, put on their trustee hat, and follow the terms of the trust without thought for the brokerage's own interests. In the AREA purchase contracts, the trustee has clear instructions under what circumstances the trustee will disburse the funds, either to the seller or the buyer. In the vast majority of disbursement situations that present themselves in practice, the terms of the trust have already been anticipated, and the trustee in those noted situations is instructed to disburse, without prior notice, the funds as indicated. These clearly stated disbursement situations defined in the terms of trust can be made without seeking the parties consent or approval since they have already given their explicit instruction in the written terms of trust. Moreover, they gave those instructions to the trustee prior to any dispute in anticipation that those specific circumstances could potentially happen. Any stakeholder in the transaction who needs clarification about this fact can simply read the plain language of the terms of trust and recognize that the beneficial parties anticipated these specific circumstances and gave prior instruction to the trustee on how to manage them.

Weird ones

I have been around long enough to know that there are unique circumstances that don't fall within the explicit instructions of the terms of trust. I would reassure folks that these unanticipated situations are extremely rare since the terms of trust in the standard contracts anticipate nearly all ordinary circumstances. I don't mean situations where a party is mad about a disbursement despite it being clear; I mean situations where it is genuinely unclear whose fault the contract failure falls to. In those situations, since the terms of trust establish that the trust is held for the benefit of both parties, then both parties need to come to a written agreement on what to do with the trust money. Usually, this requires legal advice for the parties, and in such rare situations, the trustee can just sit on the deposit until the parties agree or a court orders something else.

The trust deposit system in real estate is a well established practice going back to the dawn of civilization, and it serves several good functions to the trade. The terms of trust being specified upfront, in writing, and by agreement of both parties prior to any dispute stands as a responsible way for trust money to be managed securely by the trustee and establishes confidence for the parties that interests will be dealt with fairly. Unlike the childhood trust fall, which often resulted in tears on one side and laughter on the other, the terms of trust form a well-established safety net for trust deposits.

What should I know about the Condominium documents condition?

Bryan Statt | Jan 17, 2025 4:33:33 AM | [Original article](#)

Condominium properties, although still real property, involve a whole different level of requirements due to the corporate ownership aspect of being a unit owner within a condominium corporation. This corporate ownership is governed by the *Condominium Properties Act* and its Regulations which legislate the operation and behavior of the condominium board as well as the corporation itself for the benefit of all unit owners. One of the key interactions between buyer and seller relating to condominiums is the provision of the condominium documents, so let's consider the intention and use of the condominium documents condition found in the AREA Residential Resale Condominium Purchase Contract.

The condominium documents

In the standard AREA contract, there exists a list of condominium documents that are considered "included" for the purpose of the condition. This list of documents was not simply created out of thin air but rather is a list of the documents the Condominium Property Regulation prescribes in Sec. 20.52(1), which has been slightly modified to provide applicable time frames for the consideration of a typical buyer and other practical considerations of the transaction. This list, as the regulation intends, is the list of documents that condominium corporations must maintain, but the buyer and seller may additionally add other items that are important to the buyer. Oftentimes the condominium board will hire a licensed Condominium Manager to manage the daily operations of the condominium corporation, including the maintenance and distribution of the prescribed documents to owners and prospective purchasers upon request. The buyer, in buying a unit in a condominium corporation, must have all the available information to make an informed choice about the health of that corporation before becoming an owner.

Getting the documents

The standard AREA Exclusive Seller Representation Agreement with the Condominium Property Schedule attached requires that the seller provide the documents to the brokerage within 10 days of signing the agreement, and the list of documents is also included so the seller knows what documents should make up a complete package. As the individual most in touch with the corporation and its management, the seller is the most able to provide the complete package of updated documents immediately at the time of listing, and simply provide any updated documents they subsequently receive to the brokerage during the listing period so that at any time the brokerage will be able to provide a complete and updated package of documents to prospective buyers without delay or issue during the listing period. Although this is the best practice, unfortunately, many sellers opt to wait until they get an offer accepted on the property and then start thinking about the documents at that time. This increases the probability of rush fees for the provision of the documents, as well as the possibility that the seller cannot or will not get the documents in the time frame they agree to in the contract.

The condition with three dates

Most contract conditions have only one condition date which is the date by which the buyer must decide if they are satisfied with their due diligence and either waive or non-waive the condition. In the case of the Condominium Documents condition, however, there are actually 3 dates that need to be decided at the time of writing the offer. These three dates are critical to the protection of the buyer's ability to ensure, more importantly than the unit itself, that the corporation is one they are comfortable being an owner in by a thorough review of necessary current documents.

The first date that must be decided is the Condition Day, which is the date upon which the buyer must be fully satisfied with their review of the full document set, and then waive their condition to prevent the collapse of the transaction completely.

The second date is the Document Delivery Day stated as a deadline for the seller to provide the buyer, at the seller's cost, true copies of all the documents in the list that are currently available from the corporation. This second date must normally be earlier than the actual condition day to provide the buyer with ample time to review the complete documents package before having to make their decision about waiving or not waiving their condition. It is always advisable to recommend that a buyer get a professional condominium document review company to review their documents for them, and that can require a good 10-14 days once the documents are provided to get the review summary back.

Finally, the third date is a pre-determined contingency plan to manage a situation, although rare, that can arise with condominium documents. This date is a pre-determined condition day extension in the event that a seller cannot or will not provide the documents to the buyer on or before the Document Delivery Day. In such situations, using this date the buyer and seller have pre-agreed that if that happens the buyer may give notice in writing to the seller of their intentions to get the documents package or missing documents, themselves and the condition will be automatically extended to the date chosen here. Incidentally, that notice would go on the AREA General Notice form so it is in writing, and must be done between the Document Delivery Date (Date 2) and the Condition Day (Date 1) to be valid. Additionally, the seller agrees that they will reimburse the buyer for the reasonable costs associated with getting the missing documents themselves, and in case anyone questions whether or not the buyer has the authority to obtain the documents themselves as a non-owner, Sec. 44(1) of the *Condominium Properties Act* requires the corporation to provide the documents to a purchaser within 10 days of a written request, so this also should help inform the necessary date to use for this extended condition.

Let's say you are asked to invest in a beautiful, newly renovated, and busy pizza restaurant in a great neighborhood. On the surface, it seems like a great opportunity so you ask to review some documents to make sure your investment is well founded. This is similar to the thought process behind a condominium document condition, in that although the condominium unit may be beautiful and in a great location including all the amenities you have been looking for, it is prudent to remember that you are investing in a corporation, and to see all the documents to ensure your investment is well founded. If the pizza restaurant is not charging enough for their food, and they are in debt because of the renovation it may change your value calculation on that investment, and so it is also with the condominium corporation whose fees are too low to cover expenses, or has an insufficient reserve fund. This condominium document condition, when deployed properly ensures the buyer has every opportunity to verify that what they see, is actually what they will get!

Are there best practices around a REALTOR® doing a Personal Trade?

Bryan Statt | Jan 17, 2025 4:31:25 AM | [Original article](#)

For REALTORS®, buying and selling real estate is the order of the day, but that is always as a representative helping a seller sell or a buyer buy. Realtors® need homes too though for the same reasons other consumers do since it is a place to raise a family and provide financial and relational stability, and it's also one of the greatest investments a person can make over the long term. As a former Realtor® myself, I can attest to the fact that buying or selling your own home is different than helping a consumer trade in real estate, but there are also certain things the Realtor® in this position must understand to remain on the right side of the Real Estate Act. Let's consider some of those best practices and why they are important.

Living as a Licensee

When a REALTOR® decides to buy or sell their own personal property, there is an assumption, and rightly so, that like any other red-blooded human, they will bend towards their own good rather than the good of the opposing party in the trade. The Real Estate Act and its Rules determine how an individual who is licensed under the Act is to behave in all situations including those that involve personal trades. The simple fact is that once an individual is granted a license by the Real Estate Council of Alberta, they are obligated to maintain a legislated standard of practice in all situations. A Realtor® cannot simply choose to lay aside these standards of practice to do a personal trade as if it doesn't apply since it is their own personal real estate under consideration. There is no middle ground here, once licensed under the Act, a Realtor® must maintain proper behaviour and practice in all situations.

Disclosures

Since the REALTOR® is seen by the public and the courts as professionals who have expert knowledge in their field, the Real Estate Act rules in Sec. 62 specifically lays out mandatory disclosures that must be made to ensure the consumer is sufficiently clear on the situation they are getting into when a Realtor® is doing a personal trade. These rules make a differentiation between consumers who have their own Realtor®, and those who choose to be unrepresented altogether. Obviously, the reason for this difference is because when a consumer is represented by their own Realtor® they are protected by the requirements of that Realtor® to care for the client's best interest and use their experience and expertise to protect the client by providing independent information and advice. For this reason, the disclosure requirements of a Realtor® buying or selling a personal property in concert with a represented party on the other side is limited to the disclosure that they are a Realtor® and licensed to trade under the act, as well as the name of the brokerage they are registered to.

On the flip side, if the party opposite a REALTOR® who is buying or selling a personal property chooses to be unrepresented, they must be disclosed at a much higher level. The Realtor® in this scenario must disclose

1. What their interest, direct or indirect, is in the transaction
2. That they are a Realtor® licensed under the Act

3. What brokerage the Realtor® is registered to
4. Complete details of any subsequent negotiations to trade the property in the future, or the Realtors® interest in the property
5. Any information the Realtor® knows about that could affect the value of the real estate in a significant way

Practically Speaking

To help REALTORS® meet their obligations under the Act, AREA has produced a Realtor® disclosure form as a template for either the represented or unrepresented party scenarios. This document would be completed in full and provided to the party opposite at the time of an offer/counteroffer but does not form part of that offer or counteroffer. For brokers, it is crucial to know that this document needs to form part of the brokerage file, and all brokerages should have office policies around how personal trades are managed in the brokerage, including the requirements that a brokerage has regarding any employees of the brokerage wanting to buy a personal property that is represented by the brokerage, also covered by the Rules in Sec. 62(b).

One incredibly important note to make regarding representation is that a REALTOR® who is purchasing or selling their own property must never represent the party opposite as their agent. It is manifestly impossible to represent a consumer's best interests against your own, and no court in the land will ever be convinced of that in the event of a problem. The only viable options for a consumer finding themselves in such a situation is to hire their own Realtor® to represent them, or to be comfortable with the risks associated with representing themselves with some level of legal advice.

When we put all this regulatory stuff into shoe leather, the key to understanding is that a Realtor® has access to information and tools that the average consumer does not, which when entering a transaction with an unrepresented party does potentially provide an unfair advantage. For this reason, the Realtor® needs to be over-the-top transparent in their dealings with a consumer when the Realtors® personal interests are involved. The Realtor® should ensure they keep good notes, including dates and times of conversations and any disclosures they make to an unrepresented party, and immediately seek the advice of their broker or a lawyer if some wrinkle forms that the Realtor® did not expect.

Brokerage policies would determine whether a personal trade must be run through the brokerage or not, but as a best practice, I would advise all Realtors® to run their personal trades through the brokerage without exception. Although the brokerage may charge a small fee for handling the trade, the administration staff and the broker then can raise any concerns early in the process and prevent any possible blind spots the Realtor® may have in the trade, and help ensure all the proper paperwork and procedures are followed.

What rules do REALTORS® need to follow in Alberta?

Bryan Statt | Jan 17, 2025 4:30:26 AM | [Original article](#)

From the time my kids were little whiffles, I had to tell them that the game is only fun if we all play by the same rules. If everyone tries to play a game of soccer, Monopoly™, or even tag, all following their own set of rules, it would end up being chaotic and not very fun for anyone. The same principle applies to the real estate industry but with a higher ideal. The rules not only ensure an even playing field for all REALTORS® but also protection of the consumer as well. It would be great if there was only one set of rules to follow, but in the real estate world there are several, all with different intentions, but all important. Let's take a quick look at the various rules Realtors® in Alberta must follow in the course of daily business.

Real Estate Act

The *Real Estate Act* of Alberta is the legislation approved by the elected members of the legislative assembly in Alberta and overseen by the Ministry of Service Alberta. The Act is the highest level of guidance for the functioning of the real estate industry in Alberta and establishes the fundamental parts required to regulate the real estate industry such as the composition and functional boundaries of the Real Estate Council of Alberta and conduct proceedings. As it relates to the REALTOR®, the Act paints with a broad brush only requiring additional meat on those basic bones.

Real Estate Act Rules

Enter the Real Estate Act Rules. The rules are established and enforced by the Real Estate Council of Alberta (RECA), whose existence, composition, and operation are dictated by the *Real Estate Act* itself. By creating the rules, RECA can establish in much greater detail the practical and logistical outworking of the standards of practice for licensees in Alberta. The Real Estate Act Rules also form the basis of standards of practice by which all licensees are held to account. It is important to understand that consumer complaints received by RECA about a licensee will be compared against these Real Estate Act Rules to determine if there is a violation of the standards of practice they outline.

Provincially Harmonized Rules

Unlike other jurisdictions in Canada, all 10 real estate boards and associations in Alberta have agreed to operate under a common set of professional conduct and MLS® system rules that bind all REALTORS® in Alberta to a common standard. These rules give further specific requirements to the proper conduct and relationship of Realtors® in connection with their membership in the various boards and associations. As these provincial REALTOR® rules must still work within the Act and the Act Rules, The provincially harmonized rule set provides more practical application-based rules specific to the practice and interactions in and through real estate including the accepted use of the MLS® system. These rules are likely to be most applicable to the daily practice of Realtors®.

Office Policies and Procedures

Now the rubber meets the road. Since a licensee can only trade in real estate when registered with a real estate brokerage, it is a requirement of all licensees that they follow their brokerage's established policies and procedures. As a matter of establishing a licensed brokerage, a real estate broker must establish written policies and procedures applicable to the way they plan to operate their brokerage. This could include very practical things such as where to send paperwork, and office hours, up to the licensee's responsibilities under other legislation like Do Not Call legislation, FINTRAC requirements, or Anti-spam legislation. Because these policies and procedures are established at a brokerage level they must be followed by all registrants of the brokerage as long as they do not conflict with other rules or legislation.

Most of us are bent towards cutting our own path through this world, and even more so for the entrepreneurial spirit of REALTORS®, however, the different levels of rules and regulation are placed as fence posts and road signs to keep all real estate stakeholders safe from liability and out of trouble. The first step is to know what rules and regulations are applicable and then read them to understand their requirements clearly. If in doubt, talk to a real estate broker about specific situations.

Do security deposits on rental properties have to be held in an interest-bearing account for the benefit of the tenant?

Bryan Statt | Jan 17, 2025 4:29:16 AM | [Original article](#)

Yes, without question! The Residential Tenancies Act of Alberta states in Section 45 that “... a landlord shall pay annually to the tenant interest calculated at the prescribed rate on a security deposit consisting of money.”. According to the definitions in the Act, “prescribed” means that it will be prescribed in the regulations, and a quick search determines that there is indeed such a regulation in Alberta known as the *Security Deposit Interest Rate Regulation*.

At this point, you are saying whoa whoa whoa, is this new?

No, but what is new is the interest rate. In this regulation, we are told in section 2 that the prescribed rate “... is the rate that is 3 per cent below the rate of interest that is in effect on November 1 of the previous year for cashable one-year guaranteed investment certificates held or offered by Alberta Treasury Branches Financial.”. So although the interest rate when calculated this way has been “prescribed” as 0 per cent for the past 14 years due to historically low-interest rates during that time, as we all know the interest rates have not stayed low in Canada and this year that calculation through the regulation results in a “prescribed” interest rate as of January 1, 2024 to be 1.6 per cent annually!

Thankfully, there is a chart of these interest rate changes from Service Alberta and an interest rate calculator at the bottom of the page to help landlords calculate their obligations to their tenants based on the length of time the deposits have been held. Visit the link [here](#).

Since it has been 14 years of 0 per cent interest required, let’s re-think some best practices for managing this starting January 1, 2024.

Property managers should check the management agreement they have with the landlord to ensure that the landlord understands that The Residential Tenancies Act of Alberta states in Section 45 that “... a landlord shall pay annually to the tenant interest calculated at the prescribed rate on a security deposit consisting of money.”, and how that prescribed rate is determined. A quick search of the internet at the time of this writing shows that it is not hard to find a high-interest savings account currently paying over 5 per cent per annum. Of course, this fluctuates, but since the prescribed interest rate is described as a minimum annual interest, it wouldn’t be a bad idea to clarify an agreement between the management company and the landlord that any interest earned above the prescribed minimum interest rate of 1.6 per cent will be paid to the property management company annually. This should help to offset some of the additional administration costs associated with the new interest calculations for the tenants.

As for the lease agreement between the landlord and the tenant, this issue should be clearly stated again, but with an agreement between the parties as to whether or not the annual compounded interest is to be actually paid to the tenant each year (which is going to be a mighty small check to cut for most tenancies), or paid to the tenant at the end of the tenancy which is certainly the less administratively burdensome for the property manager.

Although I have been referencing the Residential Tenancies Act in this article, the prescribed interest rate regulation and table also apply equally to Manufactured (Mobile) homes on rented sites through Section 50 of the *Mobile Home Sites Tenancies Act*.

The seller has active cameras in the home, what do I need to know?

Bryan Statt | Jan 17, 2025 4:27:27 AM | [Original article](#)

Smile! You're on Candid Camera. For my Millennial and Gen Z readers, that is a familiar jingle from a wildly popular hidden camera television show that spanned over 40 years and has become enshrined in popular culture. The idea was intended to be fun and whimsical to be caught on camera in a situation that was bizarre or unusual and then to be told that it was all for the camera and not real. Everyone laughs and the scene changes. Although the show was funny, cameras were rare you were unlikely to be caught on camera unless it was on Candid Camera.

Today cameras are everywhere, in high-definition video and audio, and record directly to the cloud which makes them excellent for property security and other daily functions.

Let's consider some of the potential liabilities of cameras in real estate even up to the Criminal Code of Canada.

The scenario in view

The seller has a lovely home and valuable things that they seek to secure by way of strong locks, good insurance, and a video surveillance security system that monitors the inside and outside of the home with digital video cameras recording to the cloud. The security system includes an HD doorbell camera and all cameras in the system can be accessed in real-time anywhere in the world. Not science fiction right? I'm likely describing your home or the home of someone you know.

Anyways, the seller decides they have outgrown the property and need to sell so they call a REALTOR® to list the property on the MLS® system. While in the home the REALTOR® notices the cameras and asks if the system is active in order to provide some guidance, but what guidance?

Civil liability

If the sellers decide to keep the camera system active during showings and open houses does that provoke any civil liability for the seller, REALTOR®, or brokerage?

It's the seller's house and they can do what they want right? Privacy legislation would suggest that the buyer has no reasonable expectation of privacy while on the street in view of the doorbell camera, or entering another person's home, and generally privacy legislation does not apply to individuals but rather organizations or corporations. There is an exception though, and that is in areas like a bathroom where there is a reasonable expectation of privacy since bathrooms are sensitive areas in a home where sensitive things happen. In this context, case law shows there is a tort of "intrusion upon seclusion" which would suggest that such a sensitive type of invasion of privacy is actionable and a seller can be sued for something like viewing, recording, or distributing video or audio of another individual in a bathroom for example without their consent.

Additionally, if a REALTOR® or their brokerage knew about the violation and did not take action to ensure such a privacy breach was raised and stopped they could also possibly be held vicariously liable for the same.

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Criminal Code

Back to our previous scenario, let's assume there are no cameras in the bathroom, *phew*. However there is a possible criminal element that has not been considered. In Canada, we have a general 'one-party consent' system regarding the recording of a conversation. For example. If you and I have a conversation and I decide to record it and not tell you I am recording, I haven't broken any laws since I am a party to the conversation and consented to be recorded. Whether such a recording is admissible as evidence is a question for a lawyer and a different article, but for our purposes that is the way Canada sees things.

However, in situations where I am not a party to the conversation but I am recording the personal conversation of you and someone else without your consent the 'one-party consent' is out the window. The *Criminal Code of Canada, Section 184*, specifies that it is a criminal offense to record audio of third parties without their consent or knowledge. Meaning if those fancy cameras are recording audio, we all know they are then the recording of a conversation between two buyers, or a buyer and their agent in a showing for example without their knowledge or consent is a criminal act. Just having the recording in those circumstances is illegal, but especially concerning is if the seller intentionally uses the system to listen in on the buyer's private conversation to gain information to use against the buyer in a negotiation. This grows even bigger when that seller sends the recording to their agent to listen to, making them a distributor of the material that was illegally collected, which brings vicarious liability into frame for both the REALTOR® and the brokerage.

What to do

The bare minimum for the listing REALTOR® to do in protecting the seller, themselves, and their brokerage would be to canvass the issue with the seller at the time of listing and advise them of the dangers of recordings in the home especially of audio under the Criminal Code, or sensitive areas under the tort of intrusion into seclusion.

If the seller is determined to keep the system active, the REALTOR® should insist that multiple clear messages including on the MLS® listing, at the front door, and throughout the house clearly indicate to visitors that audio and video are being recorded/monitored in the home and not to enter if they do not consent to such recording. At a minimum, this demonstrates that the seller made best efforts to communicate the situation to the buyer and seek implied consent by creating and condition of entry.

This article is not intended to provide legal advice since I am not a lawyer, but it is intended to provide a heads-up warning to REALTORS®, brokerages, and by extension the sellers and buyers they represent. We can't avoid the Candid Camera these days, but we can clarify the expectations of what is and what is not acceptable in the way we use them as an industry.

What should I know about bare land condominiums?

Bryan Statt | Jan 17, 2025 4:26:09 AM | [Original article](#)

As the cost of housing generally has increased over the past decades condominiums have increasingly become more acceptable as an option to solve that challenge. A condominium however is a type of ownership, not a type of structure which is highlighted so starkly in the bare land condominium. Let's think through the things to consider about bare land condominiums so you are not caught unaware.

What is a bare land condominium?

One of the biggest misconceptions about condominiums is what exactly a condominium is. Many consumers believe a condominium is an apartment-style property in a complex that offers amenities for its owners. Although this may be accurate, it is not the whole story as a condominium can be almost anything from an apartment or townhouse to the lot under a single-family home or a 20-acre parcel of rural land. The reason for this is that a condominium is a type of corporate ownership of a project, rather than simply owning a piece of individual real property. So, when we reference a special category of condominium as 'bare land' it means it is still condominium ownership but not in the conventional way. A bare land condominium as the name describes, means only the bare land is condominiumized. There may be a house, deck, garage, and gazebo on the lot itself, but only the land underneath those improvements is part of the condominium corporation and under their responsibility for dues, expenses, etc.

How does this make any difference?

Well, a condominium corporation is required by the *Condominium Properties Act* to keep financials including expenses related to the assets of the corporation on behalf of all the owners. In a conventional condominium project, this would include things like doors, windows, roofs, HVAC systems, etc. as well as other smaller items like cleaning and maintaining a carpet in the hallways of an apartment condo building, or things like steps or sidewalks to townhouse style or half-duplex condos.

In the case of a bare land condominium, there aren't any of those things since only the land is included in the corporate condominium ownership. This means there may be a road, sidewalk, greenspace, or gate that needs maintenance under the bare land condominium responsibility but the improvements on the lots themselves are normally the sole responsibility of the owner individually. For this reason, one of the key giveaways of a bare land condominium is a monthly condo fee of a couple of hundred dollars versus a conventional condo fee of a much higher amount because a bare land condominium simply doesn't need to cover all the extra items under the responsibility of a conventional condo corporation.

Are there still the same document requirements?

The short answer is yes! A bare land condominium is still a condominium that is governed by the same Condominium Properties Act legislation, so all the same requirements apply. The regulations require a condominium corporation to maintain records such as bylaws, financials, minutes, reserve fund studies, etc. and that is no different for a bare land condominium, except that the content of those documents may be a bit different.

When a buyer is considering buying a bare land condominium property the same care should be taken to ensure they have all available documents to make an informed decision, as well as a condominium document review condition to ensure they have sufficient time to review them or have them reviewed by a condominium documents review professional.

Is there an easy way to identify a property as a bare land condominium?

There are two main ways to determine if a property is a bare land condominium, and thankfully they are already documents you should be obtaining anyway.

The first is a current copy of the land title on which you can check the legal description. If the land title shows a plan, block, and lot number for the legal description it is not a condominium. If it shows only a plan and unit number for the legal description, then it is a condominium with a registered survey plan.

The next step would be to obtain a copy of that survey plan, which is a drawing of the individual units included in the condominium. Often if it is a bare land condominium it will say so on the survey plan, but not always, so the sure way to determine if it is a bare land or conventional condominium is to look at the drawing itself. If the units are simple rectangular lots, then it is surely a bare land condominium since a conventional condo would require much more detail of the defined space in the complex registered as units, such as the outline of the building, floor levels, etc. When you see those plain rectangles only on the survey plan, that is a dead giveaway that you are dealing with a bare land condominium, and even though it may look like a normal home in a normal neighborhood, there will be associated fees and bylaws associated that the buyer needs to know about.

One other quirk

There is one additional quirk about bare land condominiums that shouldn't escape notice. In a conventional condominium, the unit space is defined by the survey plan including the improvements arranged on the land itself. Since the whole project for example, fits onto a single piece of real property all the improvements are outlined in the survey plan without any issues of encroachment etc. In a bare land condominium, only the lot itself is part of the condominium but the owner of that lot may build things on it that subsequently encroach or cause other issues to fellow unit holders.

For this reason, unlike conventional condominiums, bare land condominiums do require a Real Property Report with evidence of compliance or non-conformance with municipal bylaws as part of the standard AREA contracts. If however, the bare land condo remains only land and has no structures on it, then obviously it would be impossible for it to encroach on another property and would no longer require a real property report.

Bare land condominiums can take all different forms from parking stalls to large parcels of land, and everything in between so just know that looks can be deceiving. By pulling the land title early in the process, it could be determined early on what direction to go and avoid potentially enormous problems.

What are some wise principles for a great real estate business?

Bryan Statt | Jan 17, 2025 4:25:07 AM | [Original article](#)

In every industry there are tried and true principles that never stop being relevant. These principles can be referred to as basics, core, or just plain smart but in the fast-paced, tech-driven business that real estate has become I thought it may be a good idea to remind folks of the best way to re-orient your business for long-term success.

Follow-up

Follow-up is the diamond of sales, hands down. The simple truth is that only the tiniest fraction of the population will ever transact with you on your first interaction. If you scratch your head and wonder why those folks you met in an open house never called you, I don't know you, but I can still say confidently it is because you didn't follow up. Your role in the sales process is to keep your product or service top of mind for the prospect and that requires a gentle nudge through follow-up. This could be a text, email, phone call, or any other vehicle, but your one interaction or two interactions will likely not be enough to drive a prospect to make a decision without regular follow-up. You may be the best REALTOR® with advanced skills and abilities but the most important ability is *dependability*! At the end of every interaction ask if you can follow up with them on some piece of information and then actually follow up.

Communication hierarchy

The follow-up mindset should be fixed in your mind all the time, but if you want to take it level-expert you need to consider the method. If all your interactions are by social media direct messaging it can be a bit like getting stuck in the snow. You rock back and forth and apply power to the wheels, but you can expect the same result of spinning wheels and a deeper rut to climb out of. Until you get out and push yourself out you aren't going anywhere. Think of communications the same way. If talking to someone by social media or text messaging, ask for an email address to be able to send additional information or set them up on a search. Once at that level try calling and talking on the phone, where you ask for a face-to-face meeting perhaps at a coffee shop or your office. Relationships can survive at one level, but relationship development will never truly happen until you start moving up the hierarchy to the highest possible level of face-to-face interaction. Make your goal in every interaction to get to that level at a speed that matches their comfort level.

Best interests

"People don't care what you know until they know that you care". I didn't invent that principle, but it has remained true these many years. The average consumer has a highly tuned genuineness sniffer and can smell out your motivations pretty quickly. As a requirement of all REALTORS®, you must uphold your client's best interests at all times, even above your own, but how is that done practically? Let me provide two principles that can help orient your "best interest" meter.

First, you must always remember that your role is never to talk anyone into, or out of anything, but to bring your experience, research, and advice to bear upon the situation so the client can make the best decision possible for them with all available information. The moment you start "Selling" your opinion to the client to

convince them to do or not do something, you have strayed out of the realm of best interest and into the realm of coercion.

Second, you must always remain detached from the outcome of every situation. If you can keep your emotions in check and support the decisions of your client even when they don't line up with your personal goals, you find it will result in your clients building trust in your expertise and judgment knowing that their interests are most important to you leading to long-term trust and relationships. Both desperation and ambition have a smell that consumers can detect so to keep from emitting such an odor detach from the outcome and focus only on your client's needs and wants regardless of how it turns out, and you will find it turns out for the best more times than not.

Know your stuff

If I hire a plumber and find him under the sink watching online videos about fixing a leak, I will have little confidence in his abilities, and will certainly not lead to repeat or referral business. I expect that hiring any professional comes with the understanding that they know more about the subject than I do. In real estate, holding a license is only the start of learning the whole panoply of knowledge required to be successful. I find three key knowledge bases are crucial for REALTOR® and they should be actively pursued regularly.

First, know your product. For a REALTOR® that means getting in a lot of homes and sitting through a lot of open houses. A strong understanding of the differences, advantages, and disadvantages of different property types will help steer the marketing of listings, as well as the buyer who thinks they know what they want but clearly haven't considered a superior alternative to match their needs.

Second, know the market area. This one requires some active research and even boots on the ground to learn about the differences between neighborhoods, proximity to infrastructure or transportation, crime rates, new construction areas, and even keeping up on municipal government goings-on relating to housing, taxes, or land use bylaws. Finally, know your contracts. AREA produces not only the standard contracts for all REALTOR® in Alberta but also many resources to understand the standard terms and conditions in those contracts. These member-only tools must be explored to gain any benefit from them so a REALTOR® must take the time to know the contracts inside and out to be able to explain, alter, and negotiate the contract to protect the client.

Professional courtesy

Last but certainly not least is a mention of professional courtesy. The real estate industry in Alberta includes members from every corner of the province but it is amazing how so many times the same REALTORS® end up interacting with one another in win-win transactions. This is why to the REALTOR® it feels like a small industry and a little professionalism and professional courtesy can go a long way. Although every REALTOR® has a responsibility to promote and defend their client's interests only, it never has to be done aggressively or arrogantly. It always serves the client's interest to have cordial relationships with the REALTOR® opposite in any negotiation to keep the lines of communication open and productive.

These are some principles that continue to hold value for each subsequent generation of REALTORS® and their clients. Whether you plug AI, social media, or all other manner of electronic tools or marketing into your business ensure they are a layer on top of these principles and you will see continued long-term success. Don't take my word for it, check it with any long-term successful REALTOR® in your brokerage for verification.

What to Think About if Moving Brokerages?

Bryan Statt | Jan 17, 2025 4:24:14 AM | [Original article](#)

Brokerages are like snowflakes and fingerprints, no two are alike. From office size, demographics, compensation models, training, tools, culture, and every other possible variation, a brokerage is a stand-alone business that fills a need for its REALTORS® in a hand-and-glove kind of way. Like all good things in life, however, brokerages change over time and so do REALTORS®, which may provoke a decision to move brokerages. Let's consider some of the things to think about before taking the plunge.

Look Before you Leap

It is important to understand that a part of the brokerage business is to develop features and benefits for REALTORS® and then use whatever options available to promote those features and benefits to REALTORS® not currently at the brokerage. Like when you already have a car, even a great car, but that ad for the shiny new car tugs at your heartstrings creating a desire for improved features. Before deciding that you need to move brokerages, take inventory of the things the current brokerage offers that you may not be using, and the indirect value that you get by being part of the brokerage you are currently with knowing that change almost universally includes gain as well as loss.

Consider the Cost

Like all things in life, change comes with costs. Before deciding on making a move take some time to calculate those costs so you can be prepared and not find yourself in a bad position. Make a list of the direct costs such as:

- New business cards
- Rebranding websites
- Signs
- Bus benches
- Other marketing

Also be sure to check your contract with the brokerage to see if there are any fees associated with leaving the brokerage as well just so you know all the associated costs as part of the process.

Communication is Key

I really cannot emphasize this one enough. When leaving a brokerage, there is rarely a time in the year when there isn't some kind of representation agreement in play with the brokerage and a client the REALTOR® has been working with. This means that the brokerage needs to be involved in the logistics of ending or transferring the agreements, as well as managing the different stages of the transaction. The best way to manage the situation is to have a clear conversation with the broker as to the way the specific agreements will be handled, rather than trying to deal with things after a move when the REALTOR® loses authority to sign anything on the brokerage's behalf.

Brokerage Model Consideration

After doing all the homework, it was still decided to move brokerages. Now it is important to know how things will progress with existing business and agreements in place. Representation agreements in general will be decided based on the current brokerage model of either common-law or designated agency since the representation agreements handle things differently.

In the standard AREA representation agreements either seller or buyer indicate what happens when a REALTOR® ceases to be registered with their current brokerage. For designated agency brokerages, the contract states that in such a situation the contract ends immediately UNLESS the client requests to stay with the brokerage and be assigned a new designated agent. For common-law brokerages, the exact opposite is true in the same situation where the default is for the brokerage to reassign a new agent UNLESS the client requests and the brokerage agrees for the contract to be ended.

Transferring Agreements

Because of these differences in brokerage model operation and contracts, there is only one situation where listing contracts or buyer agreements can be amended to facilitate a change in brokerage and that is when a REALTOR® moves from a common-law brokerage to a common-law brokerage. In such cases, the client, REALTOR®, and both brokers will need to agree to the amendment of brokerage information in the agreement as well as for the brokerages to share the full file. Since this is messy and rare, the best practice is to assume existing listings and buyer agreements will need to be terminated by the broker, and re-written by the REALTOR® when they are properly re-registered with the new brokerage. REALTORS® cannot sign agreements on behalf of brokerages they are not registered to at the time of the signing!

Active Listings

Once the broker, REALTOR®, and client have sorted out the brokerage model issue and have agreed to move with the REALTOR®, an active listing with no current purchase contract can simply be terminated and re-listed under the new brokerage once the REALTOR® is registered to the new brokerage. An active listing that does have a current unconditional purchase contract will stay with the brokerage where the transaction is firmed and then paid out on closing as normal. The complexity comes in when a listing has a current offer that is pending and may require some transaction management on behalf of the brokerage after the Realtor® leaves. In such situations, the REALTOR® should discuss each specific transaction with their broker before deciding the best course of action on these on a case-by-case basis.

REALTORS®, like all people occasionally change locations, needs, and situations that require a move from one brokerage to another. Like moving homes, a REALTOR® who wants to move brokerages needs to be sufficiently motivated to see it through to the end, and to do that with eyes wide open. By researching and planning appropriately, as well as spending time coordinating with the broker, it can be done with minimal relationship damage and should always have the client's best interest in view.

Who can use AREA real estate forms?

Bryan Statt | Jan 17, 2025 4:23:15 AM | [Original article](#)

Words are important. Words convey the intentions of our thoughts, the force of our feelings and are the only way to truly communicate detailed information. Although my interpretive dance is a little rusty, I don't believe anyone wants to watch me communicate any of my practice advice in dance, painting, or even macaroni art without words or at least word equivalence (nod to my sign language friends). For this reason, the assembly of words in a real estate contract is incredibly important to all parties involved so let's think through the value and use of the forms produced by AREA.

The making of

The Alberta Real Estate Association is the organization responsible for the creation, maintenance, and revision of all the real estate forms that Alberta REALTORS® use every day. This includes both buyer and seller representation agreements, purchase contracts, amendments, addendums, schedules and more rounding out a catalogue of almost 140 forms!

This is not the work of a single staffer, but a combined effort of staff at the direction of a Forms and Practice Committee at AREA that discusses market changes, legislative requirements, and member rules that potentially affect the forms and resulting practice for Alberta members. Because of the variability of our members' practices, the committee is made up of members from different regions, specializing in different property types and disciplines, and both brokers and associates. In addition, two lawyers bring both transaction and litigation perspectives to any potential discussion as well. All of these professionals carefully weigh the variables of making changes to any forms, when necessary, but never capriciously.

The distribution of

The forms catalog doesn't do anyone any good if they can't find it, so AREA works actively with third party providers to distribute forms cohesively. In the complexities of a full real estate transaction, the REALTOR® needs to be able to find the necessary forms and rely on the fact that they are current to ensure the transactions they build for their clients are clear and legally enforceable. These third-party suppliers work hard to have forms that are fillable and offer various features to members for convenient use, but always within the confines of the licensing agreement with AREA to be certain they don't fall into the wrong hands.

The protection of

All this expense and effort poured into the AREA standard forms catalog must be protected from unauthorized use. The forms themselves are created for REALTOR® members only and exclusively, and as an organization controlled by the REALTOR® community themselves, the standard forms are specifically designed for transactions that anticipate a REALTOR® member involved in helping the public with the transaction. The protection of these assets of the association comes in the way of a registered copyright on all the forms in the catalog and any unauthorized use or reproduction of the forms is a violation of that copyright under the law. Because of the danger of a member of the public obtaining and using a document they have not been trained on and are not competent to use, AREA takes all reported violations seriously and pursues unauthorized use with legal force.

The use of

For all the reasons I have discussed above the REALTOR® is the only individual who is legally able to use the AREA standard forms in Alberta for the expressed purpose of helping consumers trade in real estate. This right to use does not extend to a right to display or distribute the forms in any way outside of that purpose including:

- Providing a copy for a friend to use
- Posting a form on their website for download
- Other public displays or access to the forms

This prohibition extends to other professionals as well such as lawyers, mortgage brokers, etc. who may see the forms in their daily practice but are not permitted to use or distribute them.

As I mentioned the words are important, and their masterful assembly into documents that help facilitate the trade of real estate in Alberta is not a light task. All REALTORS® and their clients need to understand that they have been built for a specific use and should never be used without the aid of a REALTOR® member to guide the conversation and bring their experience to bear upon the transaction.

AREA's Response to Multiple Real Estate Licenses in Alberta

Bryan Statt | Jan 17, 2025 4:22:16 AM | [Original article](#)

RECA's proposal that real estate practitioners hold up to six (6) real estate licenses to practice real estate in Alberta is currently in front of real estate licensees for review and comment. If passed Alberta would be the first jurisdiction in North America to issue licenses in this manner.

In fact, RECA is already an anomaly by dividing one license into four sectors. All other provinces have one license and no sectors to practice real estate.

More than 65 per cent of AREA's 13,000+ REALTOR® members hold authorizations across more than one sector. AREA members include the majority of licensees in residential, commercial and agribusiness real estate. Especially outside of the two largest cities, both consumers and licensees depend on multi-sector authorizations to meet consumer needs.

Our industry has seen too often where RECA has made a proposal and then pushed it through consultation straight to implementation, regardless of feedback, which is why licensees are not and cannot remain complacent when presented with a proposal this flawed.

Members who have submitted their feedback on this proposal have received responses from RECA, which we will respond to below.

RECA Defines: Purpose of Rules Review

RECA has said that its purpose in reviewing the Rules is to ensure:

1. They meet the mandate of protecting Alberta consumers,
2. They meet the modern needs of the real estate industry, and
3. RECA can reduce red tape where possible.

We absolutely agree with this purpose, but do not see how the proposal for multiple real estate licenses complies. There is no evidentiary support that Alberta consumers are unprotected currently, nor is their evidentiary support that Alberta's current regime – already awash in red tape compared to the rest of North America – has better protected consumers today.

Claiming this move is anything but red tape flies in the face of common sense and rational discourse.

RECA says: The Proposed Framework is Revenue Neutral

RECA says its "Board has committed to ensuring the changes in licensing will be revenue-neutral for RECA." It says the maximum licensing fee will be \$475, but it may be less for a single license.

Firstly, the language of this response is concerning because it suggests that the RECA Board has already made some decisions about changing the licensing regime and fees.

Secondly, the question of fairness comes to mind because anything less than a proportional division of fees places disproportionate cost burden on those with fewer licenses. Residential real estate, because of its sheer size, already subsidizes the regulation of the rest of the sectors.

Thirdly, the common refrain we have heard from members is a lack of trust that this commitment would be honoured, which is understandable. An organization that has accumulated more than \$30 million in cash in a few short years, built off the backs of licensees – predominantly REALTORS® – is not well positioned to argue that anything is revenue neutral.

And let's be clear, even if RECA was to implement what it considers a revenue neutral change, this does not mean the change is cost neutral for licensees.

RECA says: The Proposed Framework Will Reduce Red Tape

RECA saying that brokers who want to hold multiple licenses under this proposal could do so under the same brokerage and would not be required to open separate brokerages, trust accounts, et cetera.

But these were the same claims RECA initially made when introducing condo manager licenses. Yet today, brokers must maintain separate brokerages if they wish to be licensed in condo management – a situation that has in particular burdened smaller communities with either higher costs passed on to consumers, or few to no practitioners willing to take on duties of a licensed condo manager, in addition to their real estate brokerage.

Assuming, however, that RECA was to move ahead with this plan and keep its word on single brokerages and such, there are still many lingering questions and areas for unintended red tape. When considering red tape, RECA has not addressed the burden of maintaining licenses:

1. **Re-licensing education:** Right now, none of the sectors have turned attention to re-licensing education, but that will surely change soon. Are people holding multiple licenses going to have their yearly education double, triple, or quadruple?
2. **Licensing process:** Presumably, this change would require some sort of difference in the licensing process itself, or why make a change at all?
3. **Marketing materials:** A change in licensing structure means many licensees would need to tweak their marketing materials, including significant printed collateral, even more so if they need to belong to more than one brokerage.
4. **Multiple brokerages:** While we see a move like this being too cumbersome for many licensees to consider joining multiple brokerages, the costs and administrative burden of doing so could be significant, depending on the brokerage model.
5. **Legal complexities:** Licensee being accountable to more than one brokerage is all but guaranteed to have legal implications.

None of these changes the fact one license being replaced by five licenses is red tape and couldn't rationally be considered anything else.

RECA says: Rationale and Source of the Proposed Licensing Framework is Small Percentage of Commercial Licensees

Somehow ignoring that AREA's REALTOR® members comprise the majority of both commercial and agribusiness sector authorizations, RECA says that those sectors “inform RECA that allowing a catch-all license for real estate put consumers at risk.”

Firstly, this argument ignores that the existing sector division – unused elsewhere in North America – was put in for this reason, despite a lack of evidence that it was needed. Looking at the past five years of RECA's disciplinary decisions, the fear that someone offers incompetent service due to inactivity rather than incompetence is decidedly overblown. That it is happening to an extent that further intervention is needed is laughably false.

Instead, this anecdotal argument is anti-competitive and limited to a handful of brokerages who specialize in institutional and large-scale investment commercial real estate.

Very few of our REALTOR® members practice in institutional and large-scale investment commercial real estate, but those transactions are also business-to-business (B-to-B) transactions papered between lawyers and are rarely trades that falls under RECA's jurisdiction. In fact, AREA has repeatedly suggested that line between B-to-B and consumer-involved trades needs to be better defined, so that it is clear that RECA does not regulate B-to-B transactions.

Where AREA members practice commercial real estate is where the consumers are involved, such as mom-and-pop shops and small-scale personal residential investment. The brokerages arguing for a multi-license approach do not represent the majority of licensees, do not cover smaller communities, and are trying to use RECA to gain a competitive advantage.

RECA's own research should have disproven this argument before it reached a proposal stage, and RECA should also have consulted on the matter with the bodies representing the majority of those license holders.

RECA says: No Decisions Have Been Made

This is not a time for complacency. Past RECA consultations, including those conducted under the current RECA Board, have demonstrated that anything other than a large outcry will go unnoticed. If you are concerned about these changes, you must speak up and share why.

AREA and its 10 member Boards/Associations made joint submissions on these issues, put together through broad working group discussions and including representation from throughout the province. Yet within this very rules review, we have seen RECA pushing changes, for example on insurance, without re-entering discussions with its largest stakeholders.

CONCLUSION

We are concerned that RECA does not seem to have considered its own definition of commercial real estate, “real estate used or intended to be used to generate income and includes real estate used for retail, office, industrial, investment, institutional purposes and residential real estate comprising of more than four residential premises,” in putting forward its proposal. Forcing further division between the sectors to solve an imagined problem for a handful of institutional and large-scale investment brokers does not meet any of the three purposes RECA outlined as guiding this process.

We hope that RECA is sincere in its expressed desire to consult, and that it will apply common sense in its approach.

What are some tips for using AI when listing a property?

Bryan Statt | Jan 17, 2025 4:19:45 AM | [Original article](#)

AI is something on everyones lips right now, it's in the news, in print, and at every conference or seminar you attend.

Although AI properly stands for Artificial Intelligence, this is really a misnomer as one keynote speaker recently pointed out, AI should really be understood instead as *Augmented* intelligence. This is simply because AI has a key vulnerability in one crucial way, AI can only provide answers. The questions however come from the creativity, experience, and analysis of a human brain which is why AI is not a replacement for Artificial Intelligence, but rather an incredibly cool tool to augment *our* intelligence.

With that as our starting point, let's consider some basics in this area of AI and real estate.

How AI Can Help

Listing real property is a complex multi-point activity that changes dynamically in unexpected ways, at unexpected times. Because of this REALTORS® use multiple tools to accomplish the seamless process that sellers expect. I won't bore you with the normal ones, but AI presents some new opportunities for efficiency that many may not have considered.

The most popular current use among them of course is the ability to have AI help with a listing description for public remarks. By giving a detailed prompt to an AI tool, you are quickly provided with a listing description to match the prompts, so the prompt is important as the old saying goes, garbage in, garbage out. AI-based tools also include options to collate market research into demographics, economic factors, suggest features that may be valuable to buyers in a given neighborhood, walkability of a particular address and so much more.

Powerful Prompts

As mentioned, AI tools are only as effective in giving what you want, as you are in providing correct information for it to work with. Here is a good framework to get started:

Step 1: Tell the AI their perspective by giving a persona for it to imitate.

Example: "You are a real estate marketing expert", "You are a tour guide", "You are an emotional teenager" etc.

Step 2: Tell the AI your request in the form of a need.

Example: "I need you to tell me the top-rated restaurants in Happy Hollow, AB", "I need you to write a description of a home in Bakers Acres, AB that has 3 bedrooms, ...", or "I need you to tell me about the parks within walking distance of 123 Any street"

Step 3: Tell the AI the tone you are requesting the information be returned in.

Example: "I want the information in an uplifting and exciting tone", "I want the result in a professional but relaxed tone", "I want the information in a casual, country tone"

Step 4: Tell the AI the format you need the results in.

Example: “I need the results in a table format”, “I need the results to be no more than 1,020 characters including spaces”, “I need the results in point form”

Don't Be Dumb

I would expect it would go without saying, but for some reason the popularity of AI-based tools has mistakenly led folks to believe AI is infallible. This is false, and catastrophically so.

AI is only a tool generating outputs based on your inputs and it does make mistakes as a feature, not a bug. By providing a wide variance in its ability to answer your inputs contextually, AI is designed to provide outputs that it has calculated to match what you want. But you have to know that the tool has never been to the property, doesn't know your market, and can't capture the small details of how a property should be described so you should never use AI to write or edit a listing description, or provide data that you aren't prepared to review and correct yourself for accuracy and value. AI may describe a hoarder's house as enchanting, a one-bedroom condo as expansive, or mention nearby parks that don't actually exist. It makes mistakes, so your job is to carefully review and verify the accuracy of the information and the way it has presented the property so when a buyer actually shows up to the property, they see what they expected, and can rely on the information you have put out there.

Copyright

One final thought on the use of AI is a quick refresher on copyright law in Alberta concerning AI. When you begin using an AI-based tool they, like all technology providers, have you agree to an End User License Agreement (EULA). In that agreement copyright will be discussed, and from the main line tools I have seen you agree that any information you share with the tool can be used and re-used by the tool in perpetuity. On the input side, it is a bad idea to put confidential information into an AI tool since it can be used in ways you never expected. Additionally, whatever you give to the tool such as your own intellectual property or images you have taken can be used to generate future outputs for other users. On the output side of the equation, whatever AI provides you may or may not be copyrighted by the company that owns the tool, and your use of it may be restricted. Do your homework and read the EULA to know what your risks are.

When AI is placed in the proper mental bucket as a tool and not a replacement for common sense, the possibility of how it can help summarize, simplify, and suggest data outputs is truly impressive and exciting. Like a hammer is useful to build, it can also destroy, and so too is the possibility of the use of AI. Using it properly as an augmentation to your own intelligence is the right way to think of this new tool and how it should be used. Oh, and if you have seen any movie about robots, they always try and kill us in the end... You have been warned ??.

How do I manage first-time buyers' expectations?

Bryan Statt | Jan 17, 2025 4:17:40 AM | [Original article](#)

It has been said that “All you need is love,” but the real estate version of that would be “All you need is first-time homebuyers.” I say that not because every REALTOR® relishes the opportunity to work with first-time buyers, but because without them, the market would grind to a halt.

First-time buyers are the grease in the great real estate machine, and more than that, they so often remind us of the excitement and dream-level accomplishment that owning your own little postage stamp size of the earth really is. First-time buyers on the other hand, are a bundle of emotions and anxiety carried in a handbag of feigned confidence and they need steady guidance more than they know.

Let's take these few minutes to discuss the best way to help first-time homebuyers manage their expectations.

Consultation Is Key

Before undertaking a major renovation project, you consult a professional contractor. Before buying investments, you consult a financial expert. Before listing a home, a seller meets with a professional REALTOR®. So why on earth would a buyer who plans to commit themselves to a large purchase of real property not want to meet with a professional REALTOR® before they get started?

Every buyer should have a pre-showing consultation session with a REALTOR® they plan on working with. In this session, like a listing presentation, the REALTOR® can explain:

- Their brokerage's value proposition
- What services they offer buyers
- How the process will go
- What documents will be necessary
- A detailed discussion about the buyer's wants and needs

In this consultation, a REALTOR® can help a buyer determine if their vision matches reality in the area where they are purchasing, help avoid pitfalls and misconceptions, and provide helpful advice and recommendations, such as when to meet with an independent mortgage broker or lawyer. The best time to get the big stuff handled is before the buyer falls in love with a property and has false expectations of the process.

Dispelling the Myths

Contrary to popular belief, binge-watching reality real estate TV shows does not prepare you for the true reality of buying real estate. Moreover, rarely, any of those shows even take place within the province of Alberta let alone Canada. The truth of buying real property in Alberta is often much more work and much less glamour than a first-time buyer expects. In reality, some myths need to be dispelled at the beginning to ensure a positive experience with accurate expectations.

Myth	Reality
You will not likely see only three (3) properties and be asked to write an offer on one.	There is no magic number, and markets differ, but on average a buyer looks at as many as ten (10) homes before deciding to make an offer on one.
Not every offer has a successful conclusion.	In busy markets, buyers may write several offers before finally landing one successfully.
Digital photos are an accurate representation of the home.	Digital photos and tours should be used only to filter at a high level, often the digital photos are quite deceiving to the real property in person.
You save money by buying a fixer-upper.	In the long term you are almost always better to buy a property that matches your needs and moving up later than to by a 'potential' dream home and ending up with a money pit.
The perfect home is out there, you just have to keep looking.	There is no such home on planet earth. If a buyer finds a home that ticks 80-85% of the checkboxes jump on it.

These are only a few myths that need dispelling for a first-time homebuyer, but these types of conversations should be intentional, and a REALTOR® should never assume the buyer already knows these things. They have simply assumed most of what they know about buying real estate.

All Real Estate is Local

Although the media loves to talk about the Canadian real estate market, the Alberta real estate market, or even the Edmonton real estate market, the truth is that none of those markets are real. Oh, some metrics can be gleaned on those levels, and they can provide valuable trends, but all real estate is local right down to the property type and neighbourhood. Suppose a buyer hears on the news that the Canadian real estate market is a bubble or some similar amorphous headline about the Alberta market, for example. Does that mean that things are the same in Pincher Creek as in Edmonton or the same in High River as in Calgary? Of course not.

Even within major centers, adjacent neighbourhoods can be quite different, certainly across property types such as single-family or condominiums. The truth is that buyers need the local expertise and data for the specific areas where they are interested in purchasing, and that comes from a REALTOR® who is local to that area and has that on-the-ground experience. As a side note, in my experience, by the time it hits the major news networks, that news is old news and already several months behind the situation on the street.

All complaints and conflicts flow out of one core issue. Unmet expectations. One party expected this, and the other party delivered that. By taking the time to meet with potential buyer clients, especially first-time buyers, early and providing a clear path forward on the process and what success looks like, both REALTOR® and buyer will be on the same page. A buyer with clear expectations and a well-informed plan should never find themselves fence-sitting for long but making a good purchasing decision to benefit their future.

What should I know about PDF document security?

Bryan Statt | Jan 17, 2025 4:16:33 AM | [Original article](#)

Portable Document Format or PDF has become a worldwide standard for sending documents by email or otherwise providing documents to others electronically. Because the format is so familiar and easy to use there is a tendency to assume the security of the document is also high-level and unchangeable.

Let's take a quick peek at PDFs and things to think about when working with them in real estate.

History Lesson

It is considered ancient history in the consumer computing world, but the humble PDF was invented by Adobe in 1993, which for context predates the first iPhone by 14 years! Because there was no standardized format for the passing of digital information in document form, Adobe created the PDF format and made it free to use for everyone so that regardless of the format the document was created in, it could be converted to the standard PDF format and read on any device with free open-source software. PDFs today are the single most widely used electronic document format globally with some estimates placing PDF at 90 per cent of all electronic documents currently found on the web.

Common Does Not Mean Safe

As we have seen PDFs are the most common way to move information in electronic document form and real estate is no exception. Unfortunately, that common feel to use PDFs can cause us to let our guard down on the security elements of the document itself.

In general, it is possible to embed viruses in a PDF document which can infect the hardware that opens the file. Like all electronic files, you should be careful not to open files, even PDFs, from individuals or groups who you are not expecting a file from. If you do, be sure to open it in a trusted PDF reader such as Adobe Reader and be sure your anti-virus software is up to date as additional protection in case something slips through.

Real Estate Contracts

Pre-2000's most real estate contracts were completed on four-part carbonless paper copies. This meant that all four copies were mechanically identical unless tampered with in some nefarious, albeit low-tech way. The forms were pre-printed using AREA standard format and wording. Fast forward to today and the contracts remain in standard format and verbiage but are almost universally electronic. This certainly has its advantages, but the harsh reality is that electronic forms can be altered in undetectable ways using editing software. Should someone attempt to alter the wording of a contract in electronic format, they could match the font style, color, and format and it could be virtually impossible to detect the changes unless a party is very careful to compare every contract to the genuine AREA versions. For this reason, it is crucial that REALTORS® source their AREA forms directly from AREA or one of its licensed forms providers to ensure the version of the form they are using is unaltered rather than relying on a version sent to them by another party.

Electronic Signing

Most electronic signing platforms today use technology to lock PDFs from editing once the initials and signatures are applied. That means that changes to a document after locking are difficult with a standard PDF editor. Problem solved right? Not so fast. Although it is difficult to edit a locked PDF properly, many commonly available PDF editors will allow erasure and insertion of text by way of drawing tools overlaid on the document itself. Once the document is flattened and converted to a new PDF these changes can be very difficult to detect. The best way to guard against this is to accept electronic signing PDFs only from the platform that produced them and sent them to you by email or downloaded directly from their servers.

The purpose of this article is not at all to provide an exhaustive list of security or situational vulnerabilities to using PDF documents but rather to provide insight into the reality that electronic documents have security vulnerabilities at all. Knowing what is possible can provide an opportunity to watch for signs of a problem, rather than assuming PDFs and other electronic document formats are inherently secure because they are electronic.

The best defense is to know the document thoroughly and do a quick comparison to a genuine version of a standard form if any anomalies show up. AREA's standard forms are for the exclusive use of its members and are not permitted by copyright to be altered in any way. Members may, by use of strikeouts and additions, alter the forms on their face during a transaction, but such changes must be completed transparently and acknowledged by the parties' using initials.

Like all great tools, electronic documents such as PDFs make our lives easier and more efficient, but knowing the potential for misuse is the key to staying safe in a digital contract world.

Do names on contract have to match names on title exactly?

Bryan Statt | Jan 17, 2025 4:15:18 AM | [Original article](#)

- Besides life, the first gift we are ever given on this earth is our name. It is the one thing we carry our whole life, and with rare exceptions, it stays with us to the end of days. We use it to introduce ourselves, apply for jobs, complete government paperwork, and so much more. So, what is in a name when it comes to real estate contracts?

Stay tuned to think through some reasons why the names are so important.

Homeowners

In Alberta, the land titles system catalogs a lot of data on your property, including legal description, land size, registrations, and more, but only one piece of information that ties you to it. That piece of information you may have guessed is your name; without it, you simply have a property information statement, not a land title.

The name indicated on the land title is the legally registered owner, and that name is the only name that can be used to defend the claim to the property ownership. Although Calvin may be referred to as Cal, Patricia or Pat, only the legally given name should be registered on the title to tie the property to an individual.

For a REALTOR® who is listing the property for marketing and sale, you can use whatever name the seller likes in conversation, but not on the legal documents. Legal documents such as seller representation agreements, and purchase contracts must be verified to match the individual's government-issued ID and the land title for the property they are listing. Anything less than an exact match should be questioned, and further investigation or documentation should be requested since anything less than an exact match could call into question the legality of their ownership of that property. It almost only counts in hand-grenades and horseshoes.

Home Buyers

So what happens if Cal or Pat sell their home and want to buy another? Well, it is a classic chicken and egg scenario in that the property they buy will likely need financing and one day need to be sold. For this reason, the buyer's legal name, as verified by a government-issued photo ID, should be used on the purchase contract. When they apply for a mortgage, the lender will verify their legal names and will want the legal names on the contract to match to secure their investment since those will be the names registered on the land title. If they use their nickname for example, on the contract and it makes it through to land title registration, it will likely cause them an issue in the future when trying to mortgage or sell the property.

Maiden Names

In scenarios where a wife has changed her name after marriage or a husband has changed his name (it's the 21st century folks), the maiden or pre-marital name may still be on the title, but all the government ID shows the married name. It is extremely rare these days that a spouse will undergo

a legal name change through the court system, but rather take the marriage certificate to the Alberta Registries office and get a driver's license changed to the married name. This is not a true legal name change in the full sense of that term, but a registration of an A.K.A. or "Also Known As" alias. The original legal name in that instance is still registered to that individual as it were, but they now can use the new married name in their interactions in society. This means in such a scenario, if a REALTOR® went to list the property and the names didn't match on the title because one name is pre-marital, the REALTOR® simply needs to get a copy of the marriage certificate for the brokerage file as verification they are dealing with the same individual, and then continue to list the property in the name matching title. The married person can still sign with their married signature since they are still the same individual; there is no need to try signing with their pre-marital signature.

One of the most important roles of a REALTOR® in the listing and sale of real property is helping the parties create enforceable contracts. Properly using legal names and understanding why they are important will help everyone navigate through with the least number of complications. At least in the context of real estate, now you should know the answer to the question Shakespeare posed in the play Romeo and Juliet, "What's in a name?"

Resolution with Mr. David Lowe

Bryan Statt | Jan 17, 2025 4:14:24 AM | [Original article](#)

- October 17, 2023

Message from AREA Chair David P. Brown:

We are pleased to announce the consent dismissal of the lawsuit filed by Mr. Lowe against the AREA Board of Directors. The resolution did not involve a payment to either party. We appreciate Mr. Lowe's passion for the industry and his willingness to volunteer.

Mr. Lowe issued the following statement as part of the settlement.

"During my time on the Board, I at times pursued interests and concerns which were influenced in part by my appointment to the AREA Board by the REALTORS® Association of Edmonton ("RAE").

Following a publication in the Real Estate Magazine of an opinion article I submitted, I was called to attend a videoconference meeting of the Executive Committee of AREA, wherein my resignation was requested I recorded the videoconference without notifying the Executive Committee and provided a recording of this videoconference to my Broker and members of RAE's Executive, who were not authorized to receive the recording, and I subsequently tendered my resignation to the AREA Board of Directors.

I retract the negative statements I have made about AREA. I have full trust and confidence that AREA, its board, and staff are working hard in the members' best interest.

I gained much valuable insight into proper governance, and I thank my co-directors, administration, and staff during my tenure for indulging my numerous and repeated inquiries for information, and I apologize for the disrespect I showed my colleagues and AREA staff.

Finally, I want to express my appreciation for the experience and learning opportunities provided to me during my tenure as a Director from 2018 to 2019."

Mr. David Lowe

What to do with home systems that are in a rental agreement?

Bryan Statt | Jan 17, 2025 4:13:11 AM | [Original article](#)

When purchasing a home, the average buyer generally assumes that all the major systems in the home are included in the sale. For example, a home should include a furnace which is a prerequisite for life in Alberta, and the average person does not think of the possibility that the seller doesn't own the systems in the home.

Let's think through the emerging trend of system rental and see some best practices around it.

What Systems

Although this list is not exhaustive, I have come across systems such as: a hot water tank, water softener, water treatment/filtration, furnace, alarm system, and even major appliances that are rented and not owned.

The essentials of the idea for renting over owning are low or no upfront costs and small payments over a long period. If a homeowner is cash-strapped but needs a furnace, a rental contract may be attractive because of the lower cost even than financing the furnace itself. The downside of course is that these rental/maintenance contracts can have very long terms, and in some cases auto renew in perpetuity.

Sellers Problem?

Is it the seller's problem? Well, kind of. The seller is the one who entered into the agreement but in signing the contract with the provider usually includes the right to encumber the property where the systems are installed. This offers security for the rental company that if the homeowner doesn't fulfill their end of the agreement, the rental company does not need to try and reclaim the product but has security for the full value of the contract, default costs, and legal recovery fees secured against the equity of the property.

Sounds like the seller's problem then right? Well only until they decide to sell and may or may not have the presence of mind at the moment to recall their agreement several years ago and proceed with a purchase contract as normal.

The Tricky Bits

This is where things get a bit messy. Some of these contracts are registered against the title immediately upon signing, and some are not. As I mentioned before the contract normally gives the property as security but not all companies take the step of adding a caveat to the title until they need to defend their contract. Because of the length of these agreements, it is common for the seller to simply forget about this arrangement, and without a registration on the title is very difficult for buyers and their REALTORS® to know this situation exists in which the seller does not own the home systems they are selling with the property.

If the agreement is on the title, then the buyer and their REALTOR® will be aware and can manage the situation by creating closing clarity through the purchase contract. But if there is no warning on the title the situation becomes stickier in that the company may attempt to pursue the buyer for the agreement fulfillment once the former owners payments stop since the system is in the buyers home.

Protecting The Seller

The AREA Exclusive Seller Representation agreements include a seller's warranty that the seller has the legal right to sell the property including the attached and unattached goods. As part of the listing process, a REALTOR® should spend some time highlighting the seller's warranties to see if any of them jogs the seller's memory. These warranties are very important since they do carry forward into the purchase contract where the seller makes those same warranties in more specific terms to the buyer in the contract. Failure to abide by the warranties they make to a buyer could result in legal action or an issue with the closing of the contract so spending time in review with the seller to ensure they understand the warranties they are making to both the brokerage and the buyer is critical.

Protecting the Buyer

One of the key objectives of the REALTORS® relationship with a buyer is to anticipate potential issues in a trade and highlight those issues for a buyer.

The first due diligence for a buyer is always to pull the land title for a property when writing an offer on that property to verify the legal description, owners, and other information including registrations such as caveats, pending litigation, mortgage registrations, etc. If the property does have a rental agreement attached to one of the home's systems, it may get caught at this point and can be managed in the offer.

If the agreement is not registered on title, there is no way to know the systems may be rented so the purchase contract seller warranties would offer the only legal cover for those things not disclosed. The buyer may still have to deal with the hassle and legal wrangling of managing the issue after closing if it raises its head, but at least the REALTOR® will have done those things within their power.

Assumptions and Advice

Assuming anything is usually a bad idea but in this case, it can help a buyer save some headaches. From my experience, take it for what it is, if a property has an alarm system, water treatment system, or water softener system it is common to assume these items are rented or on a long-term financing contract. Because of the frequency of these specific ones, it is advisable to ask the seller or the seller's REALTOR® about the status of those items. Other things such as the furnace, hot water tank, and major appliances are less common to be rented but not impossible so the question could be asked, or during a showing or home inspection look for indications or stickers on the items that could indicate a rental arrangement.

There is no perfect way to guard against every eventuality but knowing that this is even a possibility is one step in the right direction of preventing legal actions, hard feelings, costs, and hassles. It is important to note that concerning all agreements, parties should seek legal advice when managing the rental agreement with a vendor, especially when seeking an early end to the agreement. Not all contracts are the same. Some contracts allow for a buyout, and some allow for an assignment to a buyer, but no buyout. I have even been told that some offer neither! When a rental agreement for a home system is discovered seek sound legal counsel on how to proceed.

What should I know about the National Do Not Call legislation?

Bryan Statt | Jan 17, 2025 4:12:16 AM | [Original article](#)

The National Do Not Call legislation is intended to prevent the solicitation of consumers by way of telephone when those consumers have specifically opted out of such phone calls. Heaven knows I have no intention of making this article an exhaustive explanation of this Federal legislation, but there are some high points that REALTORS® need to know about the practical aspects of this legislation to their business.

The List

Yes, there is a list because the National Do Not Call legislation is an opt-in program where individuals who do not want to receive commercial marketing calls need to register on the list.

To register a number, the process is simple and **online** at which point telemarketers must cease any calls within 30 days.

How do telemarketers know what numbers they can and cannot call you may wonder, of course by checking the list before each call. Follow the bouncing logic ball, and that means before the call is placed the CURRENT list must be checked because numbers can be added at any time. Suffice it to say that the Do Not Call List is the core of the program.

Telemarketers

Do you call people for commercial purposes? If you are a REALTOR® registered to a brokerage then the answer is yes of course. REALTORS® use the phone daily for their business which means they are considered telemarketers, but because a REALTOR® must be registered to a brokerage, it is actually the brokerage that must register as a telemarketer under the **regulations**.

Although the brokerage is the telemarketer according to the CRTC, the REALTOR® is normally the one making the phone calls so the brokerage must have a policy in the brokerage which informs their REALTORS® about the established protocols to follow before making a commercial phone call. Included in the policy must be the creation of an internal list of phone numbers that cannot be called in addition to the national list.

Business Relationships

There is an exemption relating to past business relationships that REALTORS® should be aware of as well. A business relationship under the rules is triggered in one of 3 ways:

1. A consumer buys or leases a property with the brokerage.
2. The consumer has a written contract with the brokerage for representation, or one has expired within the last 18 months.
3. The consumer made an inquiry of the brokerage (or REALTOR®) within the last six months. (Buyers consultation, listing presentation, property inquiry, etc.).

These triggers provide a period of time for customer service and follow-up, or additional business generation but consent for that communication can be revoked by the consumer at any time by asking not to be called anymore. For this reason, brokerages, and REALTORS® should be careful to provide value to the consumer in these subsequent interactions to ensure the lines of communication remain open.

Checking The List

The brokerage is required to:

- Register as a telemarketer
- Have a do not call policy for REALTORS®
- Create an internal do not call list
- Ensure all REALTORS® registered to the brokerage are familiar with the program and follow it.

Additionally, the brokerage needs to either subscribe to the National list and keep it current for REALTORS® to check as part of the program or provide a phone number query option through the brokerage on a per-number basis before the REALTOR® makes commercial phone calls that don't fall under the exemption.

The brokerage is permitted to charge a fee for the program operation to its members as well to help cover some of the high costs of compliance. Because of the liabilities to the brokerage, it is prudent for brokers who are hiring new REALTORS® to ensure that they have a copy of the brokerage policy and procedures on this program at the time of joining the brokerage as well as acknowledging they understand the program and agree to abide by it.

Dangers To Avoid

AREA has received several calls from brokerages who have received investigations and fines from the CRTC under the Do Not Call rules ranging into the tens of thousands of dollars. Many of these fines resulted from either poor/no compliance protocols and administration in the brokerage, or REALTORS® purchasing lead lists or "pre-qualified" leads from third party companies. Both are extremely dangerous.

In the first case, a brokerage must comply with the legislation and take steps to ensure the compliance of their REALTORS®. CREA has done an incredible job of preparing resources to this end for brokers through REALTORLink.

In the second case, the CRTC draws a line from the individual dialing numbers from even a foreign country as they compile a non-compliant list of leads, through the company compiling and marketing the lists to REALTORS®, through the REALTOR® buying the list, finally to the brokerage! This means that lead lists purchased and used by REALTORS® or brokerages must be certifiably generated at the primary level according to the National Do Not Call list or the brokerage can and will be held responsible. My advice is don't buy lead lists generated outside of your brokerage and its compliance policies. They are rarely as good as they claim and are never worth the long-range risk.

Although the National Do Not Call list can be seen as more government overburden on brokerages and REALTORS®, it is law and compliance can be achieved with a little time, elbow grease, and the use of tools that CREA has already developed to help member brokers. It only seems ridiculous until as a broker you receive that dreaded investigation letter from the CRTC and then it may be too late to avoid serious penalties and be forced to seek indemnification from your own REALTOR®.

Can a proposed subdivision be sold as lots?

Bryan Statt | Jan 17, 2025 4:11:23 AM | [Original article](#)

According to Tom Petty and the Heartbreakers, the wa-a-aiting is the hardest part. I know it's geeky but when I was thinking about this topic it's the first thing that popped into my head. It is fitting for the subdivision game because the process can be daunting, expensive, and take time when trying to subdivide a big parcel into smaller parcels. Because the end product likely takes the land to the highest and best use, REALTORS® often get hired to help with the marketing of the resulting parcels.

Let's take some time to think through the process and the pitfalls.

Obstacle Course

Subdivision of land is the ability to take a larger parcel of land and carve it up into two or more separate titles. Sounds simple but it is not. The *Municipal Government Act* provides certain powers to the municipality where the land is, be it urban, suburban, or rural, and makes the subdivision approval subject to the land use bylaws of the municipality. Because the municipality needs to consider the strategy, needs, and zoning use of the land development process for the benefit of all its residents, the process can be daunting.

Most subdivisions in Alberta will follow a similar path which includes:

- Application to the municipality
- Staff review
- Public circulation of application (sometimes with a public hearing)
- Council hearing (sometimes multiple readings)
- Appeal period
- Condition satisfaction period
- Final approval

Once the applicant has run the gauntlet through the municipality the final step is registration of the subdivision at the land titles office where they will cancel the original title and create the required new titles. It is important to note that any stage of the process can fail, and the subdivision is halted or refused.

MLS® System Considerations

One thing I didn't mention above was the costs of the process which are all on the developer and paid upfront without any guarantees of approval of the final subdivisions. For this reason, there are times when the developer/owner wants the REALTOR® to start marketing the proposed subdivision lots before the process is finished, and in some cases before it is started, just to prove the concept and values of the proposal and justify their continued efforts to subdivide. Unfortunately the MLS® system requires legal description as a required field, and the provincial harmonized MLS® system rules require all information posted to be accurate. When you connect those two things it is clear that without a legal description for the proposed parcel itself any posting of such a proposed lot is a violation of provincial rules and subject to MLS® enforcement.

The Land of Make-Believe

A proposed subdivision is not a subdivision. If the land being offered, in our case the proposed lot in a proposed subdivision, does not have a legal description it cannot be sold. In fact, the *Land Titles Act of Alberta*, Section 94(1) states:

94(1) No lots shall be sold under agreement for sale or otherwise according to any townsite or subdivision plan until a plan creating the lots has been registered.

It is clear that you cannot sell or represent someone who sells something that does not yet exist, and based on the process of subdivision, may never exist if it is never approved. Where a REALTOR[®] is involved in such a transaction they implicate themselves in this violation and for this reason, the Real Estate Insurance Exchange (REIX) has stated they will deny coverage to both the REALTOR[®] and their brokerage in such actions.

Consumer protections

Let's imagine the subdivision is approved by the municipality and they are just doing some administrative cleanup and land title registrations are behind...shocker. In such situations where the registration of the land title is all but a forgone conclusion and your broker agrees to permit the transaction through the brokerage, it is important to consider adding an additional seller's condition, subject to the seller obtaining a registered legal description of the lot on or before **[insert date]**. The additional protections are for the rare chance that some last-minute issue halts the subdivision process and prevents the seller from providing the lot as subdivided.

Additionally, on the buyer's side, the buyer could have a similar condition allowing for their review of the newly created land title on or before a certain date. This provides an escape hatch for the parties in case something in the very complex process goes wrong.

Subdivision is not uncommon and shouldn't be scary but the best time for a REALTOR[®] to get involved in the process is after the title has been created. This prevents all the issues discussed here and the complications of managing the liabilities associated with the problem. Any deviation related to a specific situation should be discussed with a real estate broker, lawyer, and local board for the proper timing and method to help the seller accomplish their goals. Anything else would be, to quote Tom Petty again, "Runnin' Down a Dream".

What should I know about Canada's Anti-Spam Legislation?

Bryan Statt | Jan 17, 2025 4:10:28 AM | [Original article](#)

So who is the king of the CASL, and who is the dirty rascal? Sorry, I couldn't resist a bit of fun around this significantly less fun topic. The Canadian Anti-Spam Legislation (CASL) is a law that regulates the sending of electronic messages for a commercial purpose.

Seeing as our world runs on electronic messages it is important to know how to stay on side with the law. Let's cover the high points here but don't think this article is the full suite of requirements, think of it as an appetizer and head to REALTORLink for the full meal deal.

Commercial Electronic Messages (CEM)

In the broadest sense of the phrase, CASL considers a CEM to be any type of electronic message for a commercial purpose. Of course, you assume email when you think of spam, but before you ask the question, yes text messages, social direct messages, app-based messages, chat messaging, and every other thing that just popped into your head is captured by the CEM definition if it contains a commercial message in text, video, image or combination. For example, anything a REALTOR® might send with a call to action, property information, open house invites, sales statistics, etc. are all included.

If you want to get creative and send a recorded voice message or fax, those are ok but consider everything else included. For my younger readers, don't bother Googling "Fax" to find out what it is because you won't need it for your business.

CEM Exemptions

Don't panic, you can send your spouse a text about an investment property, or send your mom a link to housing stats without the CASL police kicking down the door in a raid. CASL does allow for certain CEMs to be sent by exception which include those you have a personal or familial relationship with, if you are asking about a product or service, or even if you are responding to a complaint or inquiry from a consumer.

Additionally, if you are communicating with clients in a representation agreement between members of your brokerage, or between brokerages involved in a transaction for example those are fine as well but pretty much every other CEM would fall under the legislation.

Consent Confusion

Consent for CASL can be implied in certain situations but generally, senders are required to gain express consent. Implied consent for example would apply where you are a member of a:

- Club
- Charity
- Political organization
- Association, like a real estate board

Your communications with these entities are considered as having implied consent because of your continued association with them, and for up to three years after ending that relationship. The same would apply if the consumer gave you their email address, expecting you to email them something they specifically requested.

Additionally, if an individual was selling a bike and put up a poster on a community bulletin board that said to contact them by email if interested, that would also be implied consent for the bike inquiry but not to subscribe to your newsletter. All other CEMs would require the express consent of the party on the receiving end, which essentially means they are pointedly asked for their consent to receive communications for the specific defined reason and have responded yes. This can be obtained electronically, in writing, or verbally, but proof of consent should be maintained.

Other Stuff

Now you know what can and cannot be sent, to whom it can be sent, and what consents are required so let's wrap it with some final tidbits. Every CEM that is sent to a consumer must include:

- The name of the REALTOR®
- The brokerage name they are registered to
- Their mailing address
- Either a phone number, email address, or website address

As mentioned CEMs can take many forms so if the message is too short to provide all that information such as a private tweet or SMS message it is acceptable to use a link in the CEM that would connect the recipient to the required information to be clearly indicated. Additionally, after you have jumped through all of the hoops to get the message to the recipient, CASL mandates that the consent granted can be revoked by the recipient, so this requires an unsubscribe mechanism to be included in the message as well. Either a clear button or link to unsubscribe or something less techy like a line of clearly visible text such as "reply with the word 'unsubscribe' to this message if you no longer want this communication" which the sender would subsequently hasten to follow up on to end communications immediately.

I warned you at the beginning that this wasn't going to be edge-of-your-seat type stuff, but it is an exceedingly important area of compliance. CASL allows for fines of up to \$10M per violation of the legislation and permits any person to sue if they have been sent a CEM outside of the rules. That should be enough motivation to take the precautions necessary to ensure any commercial messages you send comply.

For my broker readers, I would strongly recommend that you ensure your office policies cover this topic as well as an introduction to the topic for your new members when they join the brokerage. Although the liability under CASL is generally considered to be attributed to the sender, you don't have to have done anything wrong for someone to claim that you are the dirty rascal and then have to defend the brokerage's due diligence.

What to think about when the builder doesn't control the title?

Bryan Statt | Jan 17, 2025 4:09:15 AM | [Original article](#)

There is something about “new” that makes us excited. Maybe the new car smell, the look of pristine new shoes, or for my fellow bibliophiles smelling the pages of that new book.

The new house may ride in a higher category than most simply because of the cost, but the shiny and new can overwhelm us to stop thinking clearly and that is where a REALTOR® needs to step in as the objective party helping the buyer cover their blind spots.

One of these blind spots is knowing the facts around who holds the title and what that means for closing so let's think through this common concern.

Setting The Stage

A beautiful new construction property sits in a cute new neighborhood in Anytown Alberta. The builder, Bildgud Homes is reputable and the build quality seems quite excellent so a buyer represented by a REALTOR® tours the property and wants to write an offer. The REALTOR® helps the buyer prepare the offer document and as part of that process pulls a current copy of the land title for the home only to discover that Bildgud Homes is not named on the title as the registered owner, but rather Changeland Developments is the owner.

Concerned, the buyer asks the REALTOR® if the builder even has the right to sell the home, and how they can guarantee they will even be able to close on the property.

Who is the seller on the contract and how can the buyer get certainty and ease their anxiety?

Legal Rights

It should be understood at the outset that this situation is very common and shouldn't cause anyone to run for the hills screaming with their hands in the air.

The way these neighborhood developments work is that the developer buys the land, subdivides it into lots, grades it and adds utilities, roads, fences, sidewalks, etc.

The builder subsequently makes an agreement with the developer that they will build homes on a certain number of lots in the neighborhood but rather than buying the lot and tying up valuable capital needed to build, the builder will build the home on the lot, get it under a firm contract with a buyer, and then pay the developer for the land at closing when the developer subsequently transfers the land to the buyers directly. There are times, although less common where the builder will register a caveat on the land to secure their interest in the lot, but it is an extra expense and hassle few builders will undertake since their agreement with the developer already secures their interest in the lot.

Simple Seller

In this common scenario, who is the seller to be named on the contract? Normally the answer is to use the entity named on the title, but as a rare exception, it would be the builder who is named on the contract as the seller.

Wow, I just heard the bells and whistles going off in your mind when you read that, but in the AREA purchase contracts, the seller makes a representation to the buyer that they have the legal right to sell the property which does offer some protection to the buyer. But is that enough to ensure the right seller is selling the property and that no issues will be raised at closing?

Additional protection

The best practice in these situations to provide additional assurance to the buyer as well as their brokerage, is through the use of a condition that allows the buyer an opportunity to seek confirmation that the developer will indeed transfer the title to the buyer.

A simple condition could be added to the Additional Buyer's Conditions section such as "Subject to the seller providing, and the buyer's satisfaction with, a letter of confirmation from [Changeland developments] that title will transfer to the buyer upon completion day of this contract on or before...".

This condition, or a similar one provided by the buyer's lawyer perhaps helps the buyer to be assured that the developer is on notice about the sale and that the builder does in fact have the legal right to sell the land with the home.

Although every builder and developer is different and their processes may also be different from one another, drawing a line between the buyer buying, the builder building, and the developer on the title for the land by use of a buyer's condition is prudent. As always, buyers should seek legal advice for their specific transaction requirements.

What should a REALTOR® consider about divorce sales?

Bryan Statt | Jan 17, 2025 3:35:07 AM | [Original article](#)

Real Estate is directly tied to life change in so many ways. The first home needs to be changed after marriage, couple's home needs to be changed after a baby, dog, and second baby. Baby-stage home gets outgrown by teens and young adults and so-on.

The tracks are often different than what you have laid out but the fact that our homes often change with our life is a constant general principle. These life events also include some hard things too, including the divorce of a couple and the sale of their marital home. REALTORS® are there for the happy moments and sometimes need to be a support through the hard times too with the same expert, professional advice to aid in the transition.

Let's talk candidly about the tricky elements of a divorce sale and things to think about.

Title talk

The land title system in Alberta offers two types of title ownership, joint tenancy, and tenancy in common.

Under joint tenancy, the sellers own the whole property jointly and must make decisions in lockstep to move the process forward, which is the most common ownership for married couples or seriously committed common-law couples.

Tenancy in common allows individual owners to own a portion of the whole property by division of shares, which makes this the most common for buddies, siblings, roommates, or other scenarios where an individual wants to be able to sell their share of ownership without having to sell the property itself.

Divorce sales as I am using the term here would be two persons in joint tenancy who need to dispose of the property at the end of the relationship.

Remember who your client is

This is serious because in a situation where REALTORS® represent both sellers as they are drifting apart, the REALTOR® needs to remember that the sellers may have different views, and both need to be consulted equally on all matters of the trade. That is not easy, ever. The further they drift, the harder it is to keep them pointed at the same goal. In especially messy situations it may be advantageous to talk to the broker about getting two REALTORS® in the brokerage to manage the needs of the individual parties and work together for the good of both.

Additionally, there are other situations where a clear understanding of the client situation is crucial. For example, if a common-law couple is breaking up and only one is on the title, the REALTOR® only has one client, not two. *The Matrimonial Property Act* will work out the disposal proceeds according to the law after the sale, but during the transaction, the REALTOR® only has one client to manage and any information sharing requires their consent. Where the couple is married and only one name is on the title there are *Dower Act* implications which I have written about on their own in other articles.

Emphasize expediency!

“Everything is amicable” and “We are agreed that this is for the best” are a few of the phrases that I have heard across the kitchen table when discussing a divorce sale. I never doubted in those moments that the couple earnestly believed those statements when they said them, but circumstances are dynamic and fluid regarding matters of the heart. I learned over the years that my role in such situations was to help the couple operate at a very expedient and efficient level to dispose of the home as quickly as reasonably as possible while the temperature remained low.

As one might expect, sometimes a revelation is sprung on the situation, such as a new significant other of one of the parties, which throws the whole process into chaos. Like trying to catch a bouncing football, tensions flare, passions are inflamed, and emotions cloud all reason and logic. As I mentioned, expediency is best through the process ideally before such a surprise is sprung.

Objectivity is the key

The most valuable service a professional REALTOR® can offer in such situations is pure unvarnished objectivity.

The breaking of the relationship will send the individuals on an emotional roller coaster that is unpredictable in its path. The REALTOR® must never ride the crazy train with one or both parties but remain absolutely objective! No taking sides, no sympathizing, no favoritism regardless of circumstance, since the REALTOR® needs to be the voice of reason and objectivity to help the clients see things clearly and be able to trust that the REALTOR® has their best interests at heart without a bias for the situation. That continued trust in the professionalism and advice of a REALTOR® may even lead to a future property purchase when the dust settles because things were handled the right way.

Non-Disclosure

A final note which should be obvious but has been so misunderstood over the years. Unless express written consent has been granted by the sellers, disclosure of the motivation for the sale is prohibited. Period. That includes divorce sales, which in most cases of disclosure would have the likely negative effect of lower offers from buyers who know the situation and want to capitalize on it. Price it well, have a full-blast marketing plan and get it done without ever disclosing the motivation of the seller in a divorce sale or otherwise without their timely and informed consent.

No one revels in such a situation, but divorce is an unfortunate side effect of our cultural moment. The simple fact that in most cases a family home needs to be sold to settle the matrimonial dispute is a problem that requires a solution that should not be taken lightly.

Perhaps a little acronym will help. When a relationship is D.O.N.E. remember to be Direct, Objective, Non-disclosing, and Expedient and that should help you navigate some of the bumps.

Why should I have more than one license designation?

Bryan Statt | Jan 17, 2025 3:34:01 AM | [Original article](#)

Alberta is a big and diverse place with everything from mountains to flood plains, urban neighborhoods to farmland. The size of Alberta geographically and the diversity the various markets represent have made specialization a necessity for real estate professionals and the regulator requires training in various specialties to be competent in helping the public in those areas.

Let's take a moment to consider the lay of the land as it were and why licensing designations are valuable.

Framework

Considering the regulatory framework in Alberta first, the Real Estate Council of Alberta (RECA) has established three licensing categories, and within those categories license types. The three categories are:

1. Real Estate
2. Mortgage
3. Condominium Management

Within each category, there are license types such as associate, broker, and brokerage. The specific real estate category is further broken down into sectors or designations that provide specific licensing authority for certain property types and activities. The four sectors or designations for real estate in Alberta are:

1. Residential (the largest of the four)
2. Commercial
3. Rural
4. Property Management

Brokers must be authorized in all four sectors but real estate associates may choose the designations they choose to hold and subsequently practice in.

The Value Proposition

The simple value proposition to consumers regarding a plurality of licensing designations is the knowledge that the REALTOR® they are working with has the requisite skills and knowledge specific to their field of interest.

Imagining a world without designations for a moment, the REALTOR® may be highly competent in residential trades but never actually done a commercial transaction before and the consumer would have no way of knowing if they have a base level of knowledge in the sector to competently help.

For the REALTOR® the value of the designation system really comes in being able to focus attention in a certain sector to build a client base and then expand into other sectors as the need and desire arises, thereby expanding the knowledge and service offerings progressively.

The Crossover Conflict

The crossover conflict exists when a REALTOR® has a prospective client who is interested in purchasing a property that may or may not be within their licensing authority to help.

Let's think about the most common crossover, residential vs. rural where a property is just outside of an urban municipality with a house on it. I have written other articles on this issue to provide help for brokers and associates in deciding if the property in question falls under the associate's licensing designation of residential because it causes dispute, hard feelings, and confusion. This issue exists across multiple designations and the best option for avoiding it altogether is for the associate to simply get the additional licensing designation negating the requirement for a "judgment call" by the broker and any resulting potential liability.

In Alberta, associates should understand that it is only a matter of time before a crossover situation happens to them and they may be forced to refer the client away to another REALTOR®.

Education Expediency

As mentioned above, an associates best option to avoid these types of issues is to seek the education and designations that result before the situation happens. This option is the best not only for the eventual crossover issues but also to expand the knowledge base and potential client base of a REALTORS® business.

Being able to speak confidently about commercial and rural disciplines with a consumer will provide them with greater confidence as a result and likely result in more referrals. For those in the brokerage who fail to seek the additional designations on their license, they may end up needing the refer clients to those REALTORS® who have sought the additional designations as well.

AREA is a recognized provider of all sector designations for licensing including **pre-licensing education** for those interested in getting licensed initially. My recommendation is for members to make it part of the long game to continue their designation expansion until they have all designations. This focus on **continuing education** through licensing will aid in the professionalism and knowledge of the industry we all want to promote. It also helps that AREA education offerings are also the most competitive of all other recognized providers!

Lifelong learning is a concept that ensures you never stop getting better in your field or expanding your knowledge base into new fields.

In the real estate industry, there is no real downside for REALTORS® to be pursuing new licensing designations throughout their career. After gaining licensing in residential, rural, commercial, property management, and even broker designations there are no boundaries to where or how you will shape your business.

What does professionalism look like in real estate?

Bryan Statt | Jan 17, 2025 3:33:02 AM | [Original article](#)

The real estate industry is considered a professional industry with specific regulatory legislation and self-regulation through:

- The Real Estate Council of Alberta
- Professional associations and boards
- National Code of Ethics

REALTORS® are held to a very high standard of professionalism, but determining what that looks like at street level is in question here. Let's take a few minutes to think through some of these issues together.

Professional Competent Service

This pillar of professionalism is specific to the interactions with the consumer. The REALTOR® must maintain their professional manner in all interactions with the public whether working with the individual as a client or not. It is also an expectation of the code that every REALTOR® is competent in the services they undertake to provide to consumers. This means that where a REALTOR® may not feel confident or competent in a specific property type, transaction, or even geographic region, they should recognize the same and help the consumer to find competent representation.

Absolute Honesty and Integrity in all Business Dealings

The first duty of every REALTOR® is honesty regardless of the situation or relationship, without exception. Paired with that is integrity which means being trustworthy, responsible, incorruptible, and of high moral character. Both of these characteristics must be demonstrated in absolute and full measure in all dealings with all individuals, members of the public as well as fellow REALTORS®.

A REALTOR® must never lie, act deceitfully, or be willfully blind to corruption but should be above reproach in all their business dealings. This means that every time anyone interacts with a REALTOR® their expectation is to be treated fairly and to rely on the REALTORS® answers as true and reliable.

Utmost Civility

A REALTOR® has stressful and high-stakes interactions daily and these pressure points are a very real and present part of the role. Regardless of this reality, a REALTOR® must maintain civility in all interactions without excuse. This applies to working with the public as well as fellow REALTORS® where tensions can flare over negotiations, marketing choices, business models, or even social media posts of all things.

In all these things there is never an excuse for a REALTOR® to be less than entirely civil with anyone. Bullying, crude language, obscene gestures, or aggression have no place in any texts, emails, calls, or personal interactions of a REALTOR® for any reason.

Cooperation with and Fairness to All

The real estate industry may best be described by the phrase “competitive cooperation”. The key thought embedded in that phrase is the idea that these two things are not mutually exclusive.

REALTORS® are competitive with each other but at the same time cooperative with each other. For any transaction to come to completion, the REALTORS® for the parties will need to cooperate on several different levels. That cooperation is limited in scope to the best interest of the clients and within the fiduciary duties of their clients for each respective REALTOR® but the principle of cooperation while being competitive in the marketplace is alive and well in every real estate transaction.

Personal Accountability

As a matter of a REALTORS® membership in the Canadian Real Estate Association, they pledge to observe both the spirit and the letter of the REALTOR® Code. This means that both personally and professionally, in real estate activities or interactions with any consumer or REALTOR®, the code will be the standard that they will hold themselves accountable to and submit themselves for judgment by. There is an expectation in the self-regulation of practice standards throughout the industry and violations of those common standards will be met with the applicable force of administrative justice.

Since 1959 all REALTORS® in Alberta have pledged to meet this standard of practice and it continues to guide the REALTOR® community in a spirit of cooperation and congeniality. Like any family, the family members of that family have disagreements and disputes sometimes, but ultimately all understand that working relationships are key to the protection of the consumer and the integrity of the industry.

Can you take photos and videos in someone else's listing?

Bryan Statt | Jan 17, 2025 3:31:59 AM | [Original article](#)

Flash Cubes. Now there is a sacrifice from the altar of progress and rightly so I suppose. Now the flash for our high-res camera is built-in to the smartphone in our pocket, which also doubles as a flashlight to find the toonie you dropped between the driver seat and the console. In days gone by photography was inconvenient and expensive to develop the film but now, those barriers are removed and conservative estimates state that globally we take five billion pictures a day of everything from food to feet.

Because of this pocket technology, we have the desire to take pictures of everything, and in real estate, there may be some things off limits. Let's think through some of those things.

Exclusive Seller Representation Agreement

In Alberta when a REALTOR[®] takes a listing they use the AREA Exclusive Seller Representation Agreement which clearly outlines what types of information the brokerage will collect, use, and maintain for the marketing of the property and support of listing databases like the MLS[®] system, and this information is named "Listing Information".

This listing information consent obtained by the brokerage through the agreement permits the brokerage to take photos and videos for the express purpose of marketing the property and also prohibits any use that is not consented to. For example, if a brokerage has a listing that is so over-the-top gorgeous that they wanted to use the listing photos in a local magazine to advertise brokerage services, that use is not consented to in the Exclusive Seller Representation Agreement and would need separate consent of the seller.

Personal Information

One aspect of this process which is undoubtedly not considered generally is personal information as defined by Alberta Privacy legislation. At its most basic, personal information is defined as any information which can be used to identify an individual.

In the real estate context, that could be family photos, pictures of the kids on the fridge, or even a diploma on an office wall. By taking listing photos in the home, REALTORS[®] should make efforts to avoid capturing such personal information in the photos, however, the concept of deemed consent assumes that since the seller's brokerage was given consent to take the photos through the listing agreement, and the seller chose to leave family photos on the wall so that consent is deemed to be given. Shift now to a buyer's representative or even a buyer inside that listing who decides to take photos or videos of the space and capture personal information, this collection of personal information would not be deemed consent but a violation of privacy legislation.

Consent consideration

In taking photos or videos in another brokerage's listing, a REALTOR[®] or their client does not have any consent implicitly to take such photos or videos unless they can be absolutely certain that no personal information that can identify the seller is captured. That is a high bar to meet with surety so the best advice is

for Realtors[®] to refrain from taking videos or general photos inside a listing that they do not represent and advising their clients of the same.

Taking a picture of a couch the buyer likes or a certain style of handrail wouldn't be an issue generally but care should be taken to avoid capturing anything identifiable. The best plan is to seek the seller's consent if special circumstances such as remote viewing, or recording a video for overseas buyers are required. This consent should be specific, timely, and narrow in the consented use of the video and of course, obtained in writing before the recording takes place.

Disclosure and Distribution

The listing agreement does discuss the collection and use of the information for the purpose of which it was collected, namely to market the property on the MLS[®] system. However, no other consent is provided to other industry members. If a REALTOR[®] takes a video inside a seller's home doing a promotional ad for their services for example and then publishes it on a social media platform, there is an inherent risk that the Realtor[®] not only is potentially collecting and using personal information but also disclosing and distributing it without consent. There is a privacy legislation issue here, as well as a potential for civil action on behalf of the seller against the member and the brokerage. This should only be done with transparent, timely, and informed seller consent or not at all.

The reality of modern digital media is that once a photo or video is taken, it is almost simultaneously saved to a cloud service or device that really never deletes it. As a general rule digital information is created but rarely destroyed so the point of creation is the best time to think about your obligations and liabilities.

Be thoughtful about photos you take and ask yourself if any identifying information is being captured, and when in doubt seek written consent.

What is the use of the Conveyancing section in the Purchase Contract?

Bryan Statt | Jan 17, 2025 3:30:57 AM | [Original article](#)

The AREA real estate purchase contracts all end with a section titled, “Conveyancing information”. Although the section itself is not part of the legal contract terms and imposes no obligations upon the parties, it is still an important section for the process to flow smoothly.

Let's think through the reason why this section exists and what to do with it.

Context

The term “conveyancing” is actually a legal reference to the transferring of a registered land title from one party or entity to another. In the practice of real estate, this term has grown legs and walked into a broader definition to mean all the “stuff” the brokerage and legal staff need to do in order to get to the point where the lawyers can transfer the registered title and complete the transaction. This “stuff” includes:

- Generating and filing records
- Trust ledger entries
- Creating and sending letters for various parties
- Ensuring the files are complete and legible, and much more

All this background work is done by an army of magical creatures sometimes referred to as conveyancers, but in the modern vernacular, administrative support staff.

Purchase contract

In the AREA real estate purchase contracts, each contract has a section titled conveyancing information at the very end of the document itself. This section sits below the contract line in that nothing here actually affects, or is affected by the contractual obligations of the parties, but rather helps to inform the process steps of seeing the contract to completion. Here the information requested relates to the buyer and seller's information, as well as their respective lawyer's contact information to help conveyancing staff complete the information they need for the transaction file.

Client information

Because the client names are already at the top of the document, this section seeks additional information such as address, phone, and fax of the client. It is understandable that in many situations members are hesitant to insert the client's information in this section to prevent the buyer and seller from being contacted by either the member opposite or the clients themselves.

It should be noted that the Provincially Harmonized Rules in Alberta, as well as the REALTOR[®] Code of Conduct both prohibit any REALTOR[®] member from using the information in a contract to contact the party opposite without going through the client's representative. Is it possible the buyer could call the seller, or vice versa, sure but they have limited reasons for doing that anyways.

Lawyer Information

This portion is of significant value to the document for a couple of reasons.

1. When completed it shows the party is serious about the transaction and prepared with legal counsel to proceed to close.
2. It allows the brokerage conveyancing staff to complete the file and send all documents promptly once the conditions are removed without chasing the REALTOR[®] or client for the information.

Additionally, the lawyers conveyancing staff rejoice in getting the file at the earliest possible time to begin searches, funding requests, etc. that they need to do to avoid a late closing on the transaction. For the lawyer's information section to be completed in full for both buyer and seller helps the transaction to move much smoother and provides a clear disclosure of the legal representatives of the parties.

Lawyers Cooperate

Few have ever really thought about the closing process once the negotiations and contract signing are completed however, once the contract conditions are removed, the lawyer's offices take over.

The brokerage who is indicated as handling the conveyancing in the contract will send over all relevant documentation and then the lawyer's offices and staff will coordinate the complex issues of closing the transaction between both lawyers. A lot of back-and-forth communications happen during the time between the removal of conditions and the buyer getting keys and the sooner this process can begin the better. For this reason, the conveyancing section being fully complete at the time of removal of conditions is wonderful!

Having been around for a while I know that this section is often neglected in the purchase contract and left up to the conveyancing staff to try and figure it out. It is a manifest disservice to the parties when the information required to move the transaction to close smoothly is not included in the document itself which is why this section exists in the first place. The AREA Forms and Practice Committee didn't put it there for kicks, it is there for good reason and should be used where possible.

Oh, and don't forget to thank those wizards of transaction magic also known as conveyancing staff for the work they do to keep the real estate train chugging down the tracks.

What is the use of the rejection section in the Purchase Contract?

Bryan Statt | Jan 17, 2025 3:29:24 AM | [Original article](#)

Rejection is the boogeyman lurking in the shadows of every new potential opportunity and a fear ingrained in all humanity. I know it's a little dramatic but truly everyone hates to be rejected so why does the AREA purchase contract have a rejection section?

Let's consider the reason for it and how to properly use it.

Contract process

In the typical real estate transaction, the buyer works with their REALTOR® to write an offer on a property listed on the MLS® system. Although the document they write the offer on is titled "Purchase Contract" at the point of writing the offer and during the negotiations it is only an offer, and not legally binding upon the parties. It is in this stage that the rejection section is involved.

Using the rejection section

The rejection section of the contract is designed as a way of creating certainty in the negotiation process around the intentions of the parties. Imagine a volleyball game. The game continues while the ball is being hit back and forth over the net and never touching the ground. Whereas in real estate, the buyer makes an offer, the seller counters and so on and so forth. Then imagine the players on one side of the court decided not to return the ball, but instead caught it and told the other team they were done playing the game. That would be like the use of the rejection section.

Essentially, during the negotiation phase, one of the parties can choose to simply sign back a rejection of the offer, and the game is ended.

Alternatives

The alternatives to using the rejection section, although more common, leave much to be desired. Using my volleyball analogy once again, the players on one side could just stop playing and walk away, or they could just whisper in their coach's ear that they don't want to play anymore and have them relay the message to the other team. This would be similar to the two main alternatives:

1. Simply don't respond to the offer or counteroffer and walk away
2. Tell the agent they won't be making a counteroffer

These methods are not wrong, however they lack candor and transparency. It is far superior to tell the party opposite directly and in writing that the negotiations have ended and the offer or counteroffer is no longer acceptable.

Benefits

One of the main benefits of using the rejection section is solidifying in writing the fact that the party making the rejection has both seen, and summarily rejected the offer being made. This is a true benefit because it prevents allegations that the party never saw the offer and provides the party making the offer no doubt that

they are clear of any obligations they offered and are free to pursue other opportunities without hesitation. Additionally, in cases of unconditional offers where the party opposite could sign the document and effect a firm transaction, the signed rejection closes that liability loophole. Where a simple phone call to inform that the offer was rejected seems easy, it leaves the offering party uneasy about moving on to other opportunities.

The moral of the story is to close the loop and be transparent to the parties. If a client rejects an offer, have them indicate that in writing on the document they have rejected. This aids in professional interaction, as well as in client-to-client interactions - where that clear signal coming from the opposite party lands like a lead balloon and sometimes prompts the offering party to re-enter the negotiation at a more serious level.

You may not change the outcome of the negotiations if the parties cannot come to a mutual agreement, but you may just take some of the barbs out of the process by adding additional transparency to the fixed end of negotiations.

What should a REALTOR® think about regarding buyer's remorse?

Bryan Statt | Jan 17, 2025 3:28:20 AM | [Original article](#)

Although I doubt there has ever been an official study on the topic, I feel confident in stating that one of the biggest transaction killers in the real estate industry is buyer's remorse. It is an objection based entirely on fear and anxiety and never wears its own face but rather bears the disguise of weak excuses and feelings.

Let's think through remorse management in the real estate industry.

False Evidence Appearing Real

This is not a "Bryan original" but this definition of FEAR is fitting for this context. Buyer's remorse is an irrational fear of the buyer that they are making a bad decision in buying the property. I say it is irrational because the buyer has:

- Gone through all the rigors of seeking that property out of many both online and in person
- Discussed the value
- Negotiated the price and terms all in full view of the goal of buying that property

At the end of that process feeling fear in proceeding is irrational when no evidence that the decision is wrong presents itself.

Preparation is the key

Irrational fears do appear real and cause people to do crazy things. How many people see a bee and run screaming with their hands in the air? Or as a client once told me, "If I see a mouse in this house our only option is to burn it down and start over!". Seems a touch irrational in response I'd say.

Real estate is a big purchase and normally tied to a long-term financial mortgage commitment so there will always be some anxiety for every buyer, experienced or otherwise. The best practice is to have a buyer's remorse conversation with the buyer(s) at the time of writing the offer when they are excited about their decision. Don't wait until the remorse sets in and then try and manage it or your motivations come into question and trust begins to erode spoiling the future of the relationship.

The conversation

My personal version of the preparatory conversation went something like this:

"Mr and Mrs. Buyer, I am glad that we have been able to find you the perfect place for you and I can tell you are excited about the prospect of owning this home but there is one danger I need to warn you about. At this moment you may feel that this conversation is a silly one, but I have been doing this work long enough to know that buyer's remorse lurks in the shadow of every home purchase waiting to destroy the excitement and anticipation you feel right now. It doesn't happen to everyone the same but by way of warning, there is a possibility that once we get this purchase contract agreed to and signed, you will lay awake at night and imagine every worst-case scenario that could happen to you. Hit by a bus and can't move in, lose your job, and can't pay your bills, a meteorite falls from the sky in your new back yard and the government locks down

the property and forces you to live in a tent under a bridge while they evaluate the situation. It is normal to feel this way, it is the way your brain comes to terms with a big life decision and rarely lasts longer than 3 days.

As long as you recognize this is a possibility and that it will pass normally within 3 days, you can bear it and then start mentally placing furniture in the home as your excitement returns. You are making a good decision based on the research we have done, the homes we have viewed, and the financing you have been pre-qualified for. If this happens to you and it lasts more than 3 days, call me directly and we can talk through your concerns, but in my experience just knowing this feeling is normal will help you recognize it and manage your emotional response.”

Every Client, every time

Some of you reading this may use this for first-time buyers, or particularly nervous buyers, but in my experience, there is no way to predict when or whom buyer's remorse will hit and how hard. For this reason, I made it part of my process with all buyers regardless of experience, age, gender, financial status, or level of knowledge. And many times, I have had the most unlikely clients tell me at the home inspection that they were glad we had that chat about buyer's remorse because it hit them hard and their spouse was able to remind them about the conversation. Some may laugh it off or be macho about the suggestion that they may be afraid of a purchase but in the quiet of the night, they will appreciate the fact that they were prepped ahead of time.

Are there times when a buyer's fears may be real and circumstances specific to them may shift requiring a conversation with the REALTOR[®] but that is generally the anomaly by the time the buyer has run through the whole process of seeking, finding, and negotiating on a property.

Don't get caught by buyer's remorse when it can be self-managed by the client if they are prepared for it. As a final warning, the buyer who does succumb to buyer's remorse and ends up walking away from a property they should have purchased will be the most impossible client to help to find another property that was the same as the one that got away. An ounce of prevention in this area is certainly worth a pound of the cure!

Are REALTORS® a target for scams?

Bryan Statt | Jan 17, 2025 3:27:30 AM | [Original article](#)

The easy answer of course is yes, because anyone who can fog a mirror and lives in society is a target for scams. No one is immune to bad people attempting to do bad things through, with, or to them and that is simply a reality in our connected global village. The conman no longer has to ride into town and ingratiate themselves into people's lives to pull off the con. Modern technology invites mass deception into our communication-driven lives and we need to be aware of it.

Let's look at some of the most commonly reported scams currently floating out there targeting REALTORS® and how to protect against them.

Qualified Leads

The single most common scam perpetrated against REALTORS® is the "Qualified leads" scam. I am not saying there are no valid providers of leads out there, but that is part of the rub because the value of a truly qualified list of leads to a Realtor® building a client base is tempting. The reason why a qualified list of leads raises to scam level is because what is advertised as a list of qualified buyers or investors for example assumes that all names on the list are ready to do business now or in the near term, but few consider the source of the data.

Most commonly these lead lists are compiled from:

- Data breaches
- Data skimming
- Actual phone calls
- Email solicitation

In the case of data breaches and skimming, the data may be a result of criminal activity, and for those collected by solicitation of phone or email, Canadian Anti-spam Legislation (CASL) and the National Do Not Call List (NDNCL) are applicable and not followed. This makes nearly all of these "qualified leads" lists like a leg-hold bear trap that should be avoided.

If a Realtor® believes a lead list service to be legitimate, significant due diligence will be required to determine that all the information was gathered by legal means and within CASL and NDNCL legislation which will almost certainly outweigh the value of the list being purchased.

Phishing game

When a fisherman, which I am not, goes out on a boat to catch a fish they put a big fat juicy delicious something on a very sharp barbed hook and toss it into the water. A big part of the skill of fishing is twofold as I understand it, knowing where to drop the baited hook, and knowing how to make it dance to attract the fish's attention. Once the fish sees that delicious bait and take a bite, they get the hook too, ultimately resulting in becoming dinner for the fisherman. That is the concept behind "phishing" in the scammy sense.

REALTORS® are busy managing dozens and even hundreds of complex actionable emails daily and what phishing scam counts on is that you don't look that closely. An email that looks just like an email you are expecting for example pops into the inbox with an action required such as clicking a button to resolve some issue. Clicking the link takes you to a website that appears exactly like the one you normally see from the government, brokerage, bank, or whatever trusted website they are impersonating and tells you to log in for security purposes. The site is designed to have you enter all your username and password combinations and record them for use in hundreds of other applications, usually starting with your email.

The best advice is:

1. Try not to click any links in emails unless you are expecting the email and it is a trusted source.
2. Verify that the email is from a legitimate source, if the email address looks weird call the company instead to verify.

If you believe you may have been part of such a scam, take the day off and use it to change all the passwords you can think of to passwords you have never used before. Don't end up as a phish dinner.

Too good to be true

This one is silly, but they are getting much more sophisticated. In the past, it has been a situation like a prince from a foreign land who needs to move their money out of the country before a military coup. Now, it's more about an email from a burger franchise company looking for commercial property in your city, or a buyer moving from Toronto for work and needs to buy a property quickly. These are the generic innocuous tales they spin now via email that sound mundane enough to be true.

The best advice is:

1. A true buyer will never ask you for any money or information outside of the normal cadence of purchasing, so if they do it is likely the start of a complex scam.
2. Use the protections already in place, identification for FINTRAC, representation agreements, and a plan to help the client using the normal protocols.
3. If they try and deviate from the normal process, it is a possible red flag and you should check with your broker for a sober second look.

Broker favour

I couldn't pass this one by because it is so prolific that by sheer numbers some folks must be falling for it. As a REALTOR® the public has access to the information needed to learn about you, your broker, and brokerage through the internet as well as your contact information. In most cases of broker favour, by sending an automated text messages to everyone in the brokerage they hope to catch someone off guard.

The text is something like "Hey Pat, it's [broker] I'm at a conference but really need a favor, are you available to help?". If responded, what follows is usually a request for something redeemable like online gift card with an explanation as to why they can't grab it themselves. Your broker doesn't need gift cards. Call your broker and tell them about the message so they can warn others.

All of these scams prey on some part of the entrepreneurial psyche and although they seem ridiculous to many, they continue which means they work. The truly diabolical element to this is it is not generally an individual trying to take from you to feed their family. According to law enforcement, its more commonly vast

networks of organized crime using common technologies such as phone, text, and email to target millions of people a day, so that when only a tiny fraction of people are scammed the dollar value is enormous. In 2021 reported fraud in Canada alone resulted in victims losing almost \$400M to fraudsters, with much of that becoming revenue for funding criminal acts of all disgusting and terrifying types around the world.

Don't click things you don't know, don't use the same password for everything, and if it is too good to be true it probably is.

What documents should be obtained before writing an offer on a condo?

Bryan Statt | Jan 17, 2025 3:26:06 AM | [Original article](#)

Condominium is not a property style but an ownership style. Condominium properties can be:

- Apartments
- Townhomes
- Detached dwellings
- Commercial or industrial properties
- Raw land

Regardless of property style, if it is a condominium then there is a common ownership that is governed by the *Condominium Properties Act*.

When a REALTOR® works with a buyer who is interested in buying a condominium property of any style, certain documents should be gathered and reviewed before writing the offer which will inform the process and clarity in the transaction.

Condominium Documents

This is what you thought I was going to suggest right? Wrong. Although condominium documents are crucial to every condominium transaction, a full package of condo documents does not need to be reviewed before writing an offer.

It's rare to be granted access to the full package ahead of writing an offer unless the seller already received a package from the condo board and has given the seller's brokerage authority to provide them ahead of an offer. If you can get them ahead of time great, but don't hold your breath. Also, a REALTOR® shouldn't be reviewing the docs package anyways but recommending a professional condominium document review company to help when the time comes.

Unit Land Title

A current copy of the land title is one document that should be obtained before writing any transaction, not only for condominiums. The land title will tell you:

- The proper legal description
- Who the owners are if dower could apply
- The unit factors of the unit

Additionally, there could be valuable information in the registrations such as mortgage registration, caveats, liens, pending litigation, and more. The information you glean from a title will help inform your strategy and negotiations before the offer is written but can cause frustration and mistrust if you wait to pull the title until after a deal is agreed to.

In situations where a unit being sold includes titled parking or storage units, those titles should be pulled as well to ensure the legal descriptions are right and the owners are on the title.

Condominium Additional Plan Sheet

The condominium additional plan sheet (CAD sheet), populates in the search when ordering a condominium unit title in the land titles system. The CAD sheet shows:

- The most recent registered slate of directors of the condominium corporation
- The registered bylaws of the corporation
- The date when the most recent version of the bylaws was registered

This document should be pulled to see if the condo corporation is current on updating their directors, and the last time the bylaws were changed and registered.

Registered Bylaws

The other key to pulling the condominium additional plan sheet is that it is where you can pull the registered copy of the bylaws. In the legislation, the registered copy of the bylaws is the enforceable copy of the bylaws once they are registered.

When a buyer is considering buying into the ownership of this corporation, they need to know if there are restrictions to their ownership that will not match up with their lifestyle. By pulling the registered copy of the bylaws before the offer is written, the buyer and their REALTOR[®] can look at the noted restrictions in the bylaws and decide if it works for them or if there is an issue. These restrictions usually fall into categories of age, pets, or use of the premises which are all potential land mines for the buyer in the purchase.

It is important to know that Realtors[®] are not qualified to review or interpret condominium bylaws, or any of the condominium documents for that matter, but restrictions in the bylaws should be identified and raised to the buyer's attention since they affect the use and enjoyment of the property. In circumstances where there are no bylaws registered, the enforceable bylaws are those template bylaws included in the legislation.

Condominium Survey Plan

The condominium survey plan is the drawing that shows the physical layout of the condominium units and common property as prepared by a professional surveyor. This document can also be obtained through the land titles system by searching the plan number under survey plans.

By having this drawing of the unit ahead of the writing of an offer, you can verify the surveyed dimensions of the unit in question, its position in the complex, and compare it to others in the condominium complex providing valuable insights for a buyer.

Additionally, many times the parking of a condominium complex is shown in the same plan number which can help determine the parking type, storage lockers, and location of a stall officially. The parking plan may be separate altogether but much less common. By having the survey plan in a situation of owned or leased parking stalls you could use it as a map and physically walk to the stall the seller claims is included in the sale and verify its location for the buyer. There have been surprises!

These guidelines are best practices in working with buyers of condominiums and the best possible way to ensure they have all the information going into a negotiation. Yes, it does cost money to obtain these documents, and yes there is a possibility the negotiation fails after you have spent the money. However, the

immense value this level of professionalism provides the buyer will ensure fewer conflicts in the negotiations and transaction process, but also loyalty and referrals for future buyers.

Are there blanks in the purchase contract that can stay blank?

Bryan Statt | Jan 17, 2025 3:25:08 AM | [Original article](#)

Blanks are a necessary evil when producing standard forms. Blanks are a prompt for pieces of information that are used in customizing the document to the client's specific needs.

In the case of Alberta real estate forms, the forms are used across the province by members of all ten real estate boards. AREA standard forms are designed and copyrighted for the exclusive use of REALTORS® only and require the experience of those Realtors® to complete them properly.

Although every blank was placed into the contract for a purpose, let's look at some of the spots on the purchase contract that regularly represents confusion and perhaps should stay blank under certain circumstances.

Legal Description – Other

In the AREA Residential Purchase Contract, the legal description line has a plan block and lot spaces, but there is an additional blank labeled other. This blank space is simply a space for any additional information you would like to include related to the formal identification with the land itself. You could include the following:

- The LINC number in this space if you felt additional clarity was required
- A land use zoning code if it is significant to the transaction.

Apart from these custom options, it is fine for this blank to remain blank without affecting the contract.

Additional Deposits

Many contracts only have one deposit payment from the buyer as earnest money for the trade. This is often because of the cost or inconvenience of additional deposit production and delivery.

In contracts where there is no additional deposit, the additional deposit clause can be left as it is since the contract anticipates the enforcement of deposit clauses as homogenous regardless of whether they are given in one or two lumps. It should be noted that the seller void option relating to deposits does relate to both deposits where two (2) deposits are anticipated.

Dower

In Alberta, the *Dower Act* protects the non-owner spouse from the disposal of property without their consent. Dower rights are triggered when:

- The land title has one name on the title;
- **AND** that person on title is married;
- **AND** that person or their spouse ever resided on the property during the marriage.

In Alberta, dower rights do not apply in most transactions, so the purchase contract is written in the default mode where the seller makes a warranty that dower does not apply.

In situations where the buyer's REALTOR® has determined that dower does not apply to the transaction. For example, by obtaining a copy of the current title and finding two (2) or more names on the title, then the remainder of the dower section does not apply and the date for the seller to provide dower consent documentation can be left blank since it is not applicable. In all other situations a date should be inserted in an offer to protect the buyer in the case dower may apply.

Standard Conditions

In the Alberta residential purchase contract AREA has chosen to include three (3) of the most common conditions as fillable template clauses, namely financing, inspection, and the sale of a buyer's home. If one or several of these template clauses do not apply, they can be simply left blank without harm to the contract.

An additional option where the buyer decides to forego the template conditions, which demonstrates transparency of the contract and that the conversation was had with the buyer about the option for applying these conditions, would be to strike the blank template clauses out, write "DECLINED" in block letters, and have the buyer initial beside it before sending the offer to the seller. This helps the seller recognize the strength of the buyer's resolve to purchase in that they clearly declined the use of the standard template conditions.

Seller Authorization

In situations where one of the parties to the transaction is not authorizing a brokerage to represent them in the transaction, they can name an authorized party with whom the other party or the other party's representative is authorized to communicate with for sending and receiving documents. This individual could be a lawyer or other advisor they choose but this situation is not overly common. For this reason, the alternate authorization clause should be left blank where both parties have brokerage representation.

Witness signatures

In Alberta, witness signatures are not a requirement of a legally binding contract. Although they do lend legal weight to the validity of the signature if it needed to be defended in court, they are considered a best practice, the advent and now popular use of electronic signing platforms have changed the game.

Under the law, a witness is someone who personally sees the party sign the document. If you did not witness this event personally you should never sign as a witness, and the witness lines should be left blank. The electronic signing platform will stand in as a pseudo-witness, but no one should ever sign as a witness when they did not personally witness the signing by the party.

The AREA provincial standard forms have undergone significant legal scrutiny both in practice and defense, proving them to be reliable when properly used. Every blank is there for a reason, and it is important to know what that reason is and how to complete it properly with the advice and expertise of an experience REALTOR®. If in doubt talk to a broker. They can clarify the proper use of the documents and when leaving a section empty is preferable.

The AREA Advantage for Aspiring REALTORS®: AREA's Fundamentals of Real Estate Course

Bryan Statt | Jan 17, 2025 3:23:14 AM | [Original article](#)

Are you thinking that the fast-paced, entrepreneurial career of real estate is for you? Take the Fundamentals of Real Estate Course offered by the Alberta Real Estate Association (AREA) to get started.

As the provincial association representing all REALTORS® in Alberta, we have the privilege of actively engaging in various facets of the property sector. We advocate for real estate-friendly government and regulatory policies, foster professional excellence, forge community connections, and provide tools that save members time and money, including mobile, fuel, and healthcare and insurance plans. We have decades of licensing and continuing education experience, including a newly-developed comprehensive fundamentals course where you can develop the essential knowledge and skills to you need to thrive as a REALTOR®.

What is the AREA advantage?

Access Tomorrow's Support Today

AREA supports REALTORS® from licensing through retirement – our learners get early access to that support. We don't say goodbye after you pass the licensing exam. We are invested in the long-term success of the industry and our members. This dedication begins with licensing education.

Practical Application

AREA's licensing education isn't simply an exam prep tool. Our courses take a practical approach, equipping you with the necessary skills to confidently launch your real estate career.

Expertise and Experience

Our training is built upon 75+ years of collective real estate experience and expertise and insights from practicing REALTORS® with 500 years of cumulative experience. Our learners are meant to gain a holistic comprehension of the industry's foundational principles as understood by leading REALTORS®.

Contracts, Contracts, Contracts

The forms utilized in over 90 percent of residential transactions in Alberta are taught exclusively in AREA's program. Why? Because AREA owns the forms on behalf of its members. AREA maintains the legal integrity and consistency of the professional forms, allowing REALTORS® to do their job with confidence.

Build your Network

AREA learners are invited to regular online and in-person events, hosted by practicing REALTOR® brokers. These events provide a valuable platform for connecting with experts in the field, fostering meaningful relationships, and gaining insights from experienced professionals and peers.

Wealth of Resources

AREA supplements the course material; our resources include years worth of podcasts, webinars, blogs, and unlimited opportunities to take our practice exams.

AREA learners can also access AREA's Provincial Practice Advisor, who offers AREA members guidance on provincial and federal regulations related to real estate, AREA standard forms, provincially harmonized and MLS[®] rules, brokerage operation and management, as well as general best practice advice.

Flexibility

We acknowledge that individuals have unique situations, and life is busy. With AREA courses, there are no fixed deadlines for completion. You have the freedom to progress through the courses at your preferred pace, either online or downloaded.

Embarking on a career in real estate can be an exciting and rewarding endeavour. AREA's program opens doors to the future.

Why wait? Enroll in the AREA Fundamentals of Real Estate Course.

What should be understood about parking when buying a condominium?

Bryan Statt | Jan 17, 2025 3:21:22 AM | [Original article](#)

Unlike many places in the world, Alberta has land and a lot of it. I would suggest that by default, over the past century, it has been the practice of builders and developers to build out instead of up.

Known as “urban sprawl,” this outward development has created a culture of car-dependent living. Although that seems to have changed slightly in recent years, we are far from ditching our vehicles altogether. For single-family home dwellers, it is an assumption that there will be somewhere to park that car if only on the street, but for condominium owners, it is a bit more complicated.

Let's take some time to consider the things you should know about parking and condos.

Various Options

In the world of apartment style or similar condominiums, you have several options available for your parking situation, and understanding them will be beneficial to buyers in their decision process. The three main types of parking options in condominium complexes in Alberta are owned, leased, and assigned. It should also be noted that ‘no parking’ is also possible in some condominium complexes, and it should never be assumed that parking arrangements will be possible. When in doubt, check it out!

Owned Parking

This parking option is the most stable because, as the stall owner (s), they cannot be moved or re-assigned. When parking stalls are owned, the seller will have a separate title for the stall and a separate tax bill, and the condominium survey plan registered at land titles will show the stalls on the parking plan outlined in solid lines. As an owned parking stall, it will have a plan and unit number, just like the living space in the condominium complex. Still, that number does not necessarily correspond to the parking stall number indicated on the physical space. The best practice for owned parking stalls is to follow these four steps:

1. Pull the land title for the stall itself using the tax information provided by the seller
2. Verify the owner's name matches the title for that stall
3. Pull the condominium survey plan from land titles using the parking plan number from the title
4. Go with the client to the physical parking space and confirm the stall location by using the survey plan as a map to the unit number of the parking stall from the title

It is not impossible to find out that the stall the seller has been using is not the stall they own, and taking the extra step to confirm the right stall is being sold is important. It is also possible in some condominium corporations for the seller to sell their living space unit and not the parking stall, so careful attention must be paid to the purchase contract to ensure the parking is included in the contract as an additional legal description if the buyer expects to buy the stall as well.

Assigned Parking

Assigned parking means the condominium corporation owns the entire parking space in one big indivisible chunk. On the survey plan, this will appear as a large white space with no lines at all, even though the physical parking lot or garage will have lines and stall numbers. In such situations, the condominium corporation will create its own stall map and assign stalls for individual unit owners. How they manage this is outlined in the corporation's bylaws or additional rules/regulations they establish as a condominium board. Close to the door, or far away, above ground, covered, or underground are all options that could be important to a buyer but with assigned parking, the buyer will not generally get to choose, but the board will assign a stall to them.

Assigned stalls may be reassigned to different owners based on seniority on each sale of a condo unit, so the stall the owner currently is assigned may differ from the one the buyer gets when they move in. If this is a deal breaker for the buyer, it can be made a condition of the contract that the buyer will seek and obtain written confirmation from the board that they will be assigned a particular stall. Then if they can't secure the stall, they can decide not to waive the condition. Without such confirmation, the buyer should understand that the stall assignments are at the discretion of the board, the bylaws, and their rules.

Leased Parking

As a middle ground between assigned and owned parking, leased parking stalls will normally be delineated on the survey plan as dashed lines instead of solid ones, but only sometimes. Leased parking is where the board enters into a lease agreement with the living unit owner to secure a certain stall for a fixed time. The lease's cost, length, and ability to renew, cancel, or sell the lease may all be important to the buyer. Although rare, leased parking can sneak up on a buyer when assumptions about the parking situation are made and not confirmed.

Best Practices

When working with buyers or sellers in the condominium space, the best practice is to actively confirm the information about the unit and the parking without relying on assumptions. This can be done quite easily by ordering a land title, survey plan, Additional plan sheet, and bylaws from the land titles system for each interaction you have with a condominium property. These documents and a quick physical confirmation of the stall used against the survey plan can save many complications.

Although reviewing restrictions in the bylaws is important, a REALTOR® is not qualified to review condominium documents for any client, so clients should be directed to a Condominium Document review company.

The condominium is not a property style but a form of property ownership, and the many complexities of transacting in condominiums, like parking variations, should be navigated with the help of a REALTOR® who is familiar with condominiums. Professionals like document reviewers, lawyers, and inspectors can take the fear out of the process and ensure that what the buyer thought they were buying is indeed what they ended up with.

What happens when a buyer client violates their agreement?

Bryan Statt | Jan 17, 2025 3:20:24 AM | [Original article](#)

Just like tall fences make good neighbours, clear contracts make good relationships, and AREA's representation agreements make clear, and in plain language, the parties expectations. When clearly explained and reviewed by the parties to the agreement, there is some ambiguity about the parties' responsibilities in a representation agreement. Let's think through the process of a buyer violating their agreement.

The Agreement

The simple fact about an *Exclusive Buyer Representation Agreement* is that, in plain terms, the brokerage agrees to provide representation services, and in exchange, the buyer agrees those services are worth a certain fee payable to the brokerage. The agreement permits the brokerage to seek their fee from the seller's brokerage or the seller in a transaction instead of the buyer paying directly, which happens in most cases for properties marketed on the MLS[®] system. However, the most common issue is when a buyer uses another brokerage to purchase a property despite having already signed an *Exclusive Buyer Representation Agreement* with a brokerage for the same type of property covered by the agreement. This does not negate the buyer's obligation to the brokerage. In fact, the buyer agrees in advance that any property they purchase during the agreement that falls under the search criteria established in the agreement will prompt payment to the brokerage even if they don't buy through the brokerage in the agreement.

The Most Common Cause

Although there are times when the buyer simply disregards the agreement they made for unknown reasons, I would suggest the most common cause is a need for more understanding. When using an exclusive agreement, the brokerage must take the extra time to walk through it with the buyer to ensure they understand what they agree to and how the agreement will function in various situations, including a breach. It is not best practice to include the *Exclusive Buyer Representation Agreement* in a multi-page package of documents to be e-signed by the client. With any relationship agreement, the best time to avoid conflicts is before the conflicts happen, and the best way to do that is to clearly explain the relationship agreement section-by-section with the client and, when possible, in person. That said, the agreements are written in plain language and can be understood by the client in a plain reading of the text and, once signed, are binding upon the client.

What is the Brokerage Recourse?

In situations where a buyer does purchase a property that the agreement would cover but through another method outside of the brokerage, the fee is owed, and the agreement, if appropriately completed, is legally binding and defensible. Unfortunately, the only method of collecting the fee is directly from the buyer and, if necessary, through civil litigation alone. There is no recourse for compensation through the other brokerage, who did end up representing the client in the purchase since the agreement is with the buyer rather than the other brokerage. Under provincial Harmonized Rules, all REALTORS[®] must ask a buyer if they have signed an agreement with another brokerage, and if so, inform them that the buyer could be required to pay a fee

under that agreement as well as theirs. If the REALTOR[®] failed to ask this question and inform the buyer of the risk, this could be a professional standards complaint, but there is no path to compensation by that method. Civil litigation is expensive, time-consuming, and publicly messy against a buyer, so making the best attempts to ensure the buyer knows and understands their obligations to the brokerage from the offset is still the best way to avoid conflicts.

Retainers. Really?

Yes! The standard AREA *Exclusive Buyer Representation Agreement* includes the ability to take and hold a retainer fee against the fee ultimately paid for services provided to the buyer. Although unconventional in traditional real estate transactions, this concept is not unfamiliar to most consumers. Mandatory for most law firms today for the provision of legal services, retainer fees for real estate brokerages are a method of ensuring that the client understands their financial obligation to the brokerage and participates in the process by providing security to the brokerage that they will abide by the agreement they are making.

I have personally known REALTORS[®] in my career who successfully integrated retainers into their buyer consultation process and had very little resistance from their buyer clients about it. Still, the benefits of an increased understanding of professionalism and the security of the buyer's loyalty provided a base for a wonderful and successful transaction. Retainers are an option that has been summarily dismissed by many REALTORS[®] and may be worth a fresh look as markets shift. By way of mention, the retainer fee must be payable to the brokerage and never the REALTOR[®], and not deposited in trust since there are no terms of trust established in the agreement for retainer fees.

Non-Exclusive Agreements

A final mention about non-exclusive buyer representation agreements: everything discussed in this article does not apply to my REALTOR[®] friends using Non-exclusive buyer agreements because they are non-exclusive. The non-exclusive agreement requires the brokerage to offer full fiduciary duties and services to the buyer. However, the buyer is free to use any other brokerage or method to purchase without any requirement to compensate the brokerage or offer any loyalty to the brokerage. Sometimes, a non-exclusive agreement is viable, but it is wholly one-sided and should be the exception and not the rule as a best practice.

The best way for a consumer to find the perfect property is to hire a REALTOR[®] to do all the work of searching, filtering, showing, and advising. The best way to ensure a strong, smooth relationship is to clarify the expectations of the buyer and the REALTOR[®] before the work begins by using and explaining the right agreement for the relationship.

Alberta Wildfires and Real Estate

Bryan Statt | Jan 17, 2025 3:19:31 AM | [Original article](#)

The 2023 wildfire season has started, and many communities are under evacuation orders or threat of evacuation. Since the Government of Alberta has declared a provincial state of emergency, we wanted to provide some guidance to Alberta brokers on the issues that affected regions need to think through.

New Home insurance policies on current transactions

Many insurance companies have temporarily stopped writing new home insurance policies in affected areas. As you all know, nearly every mortgage approval from a lender is conditional, and one of those conditions is always the binding of a home insurance policy on the property. If the buyer has removed conditions and cannot obtain insurance to satisfy their mortgage approval requirements, they will be found in default and unable to close. The current wildfire situation does not alter the contractual elements of the purchase contract. These situations should be discussed by the clients with their respective legal counsel, but below are some considerations:

For buyers in a firm transaction on a property within a threatened area:

- The buyer and seller may, but are not obligated to, extend the completion day until the threat passes
- Shop around. Insurers have different limitations/ restrictions for properties in threatened areas
- Ask your broker or agent what options may be available to secure insurance for the home
- Ask if you can add the new home onto your existing policy instead of trying to secure a new insurance policy with a different provider.

For buyers entering a transaction on property in a threatened area

- Ensure the buyer has an additional buyer's condition, such as:
 - *"Subject to the buyer obtaining and being satisfied with confirmation of a new insurance policy on the property on or before xxxxxxxx"*
- Suggest the parties have a term in the contract such as:
 - *"The buyer and seller agree that they will not withhold consent to extend the completion date of the contract by amendment to allow reasonable time for the parties, lenders, brokerages, and lawyers to close the transaction should the wildfire threat change."*

An additional suggestion that should be made to sellers of property within threatened areas is to maintain their existing home insurance without a set cancellation date to line up with closing. If the property closes successfully, then insurance can be cancelled but setting up the cancellation beforehand could cause the seller problems if the threat changes, the transaction cannot close on time, and insurance coverage lapses.

The Insurance Bureau of Canada has produced a valuable document as well as a contact info page found at this link (<http://www.ibc.ca/ab/disaster/wildfires/>).

As mentioned, AREA advises that all members direct their clients facing these situations to seek legal advice on their particular situation, especially in cases where physical property damage from wildfires becomes a reality during a real estate transaction.

AREA will continue to monitor the situation and offer best practice advice where needed through our Provincial Practice Advisor, Bryan Statt.

On behalf of AREA and staff, our hearts go out to the members, clients, and all Albertans affected by these devastating fires.

What should pet owners think about when buying or selling a property?

Bryan Statt | Jan 17, 2025 3:18:33 AM | [Original article](#)

There can be no doubt that pets are a significant part of our lives today. A recent study by the National Association of REALTORS® showed that 70% of households have a pet, but only 40% have a child under 18. Moreover, 20% of all buyers said they factored their pets into their real estate buying decision! As a former REALTOR® myself who has chased my fair share of escape-artist cats down the street in slip-on loafers, I think it is important to highlight some pet tips for buyers and sellers.

Sellers With Pets

The most important thing to consider when selling your home is how potential buyers perceive it. The ideal presentation of a home is clean, decluttered, and free of distractions, so a buyer can slip into the land of make-believe and start to imagine themselves in the space and begin placing furniture in their mind. Although your pet is wonderful and well-behaved, some buyers are terrified of animals, and some pets act differently when their owners are not around. For this reason, the ultimate course of action is to remove the pet from the home for showings or at least kennel them when showings are possible.

Additionally, be aware that nose blindness is real, and the smells you are used to don't register to you anymore simply, so remember the smell of clean trumps the smell of pets every time. Take extra steps to ensure you have washed, wiped and deodorized all pet areas to remove that objection by the buyer.

Finally, pet accessories can also get run down or ugly, such as beds, scratch poles, or stuffed toys that have seen too many tugging matches. Remember, the idea is to help the buyer mentally move in, and all these things can distract from that goal when you simply don't know who will ultimately buy the home.

Buyers With Pets

People love their pets, and, in many cases, they are considered as close as the human family. For this reason, there are considerations for buyers looking for a home for themselves and their pets. There are the obvious ones, such as access to a yard, proper fencing, and proximity to walking trails of off-leash parks, but are there other considerations? Yes, each municipality can set its guidelines on licensing pets, noise bylaws, and limits on the number of pets in the home, so you should check with the municipality to ensure they align with your plans.

Additionally, suppose you are considering a condominium property. In that case, the condominium corporation can also set its bylaws on the number, type, and even size of the pets permitted in the unit as well as noise controls and penalties. Most condominium corporations will require buyers to seek written approval from the board for their specific pets, and that approval is both conditional and revokable by the board if violated. Since condominiums are common ownership, the corporation can enforce their pet bylaws within the law. Some cases have even required owners to sell their units by court order in extreme circumstances! If pets are a big part of your property decision, be sure you have considered municipal regulations and condominium bylaws when applicable before making your decision.

REALTOR® Thoughts

When marketing and selling real estate, REALTORS® have the big job of caring for their clients and promoting the client's best interest above their own. Sometimes that means telling your clients the hard truth when no one else will, such as "There is a strong pet smell," or "Your pet does not fit into the condo bylaws for this building," hoping they don't shoot the messenger.

Additionally, the REALTOR® has provincial rules and requirements to consider, such as warning fellow REALTORS® about a pet in the home before scheduling a showing or being honest about the existence of pets in the home when another REALTOR® asks for the sake of allergies or other considerations. Like any other fact or condition material to the real estate trade, REALTORS® should ask, and clients provide candid answers about pet considerations in the real estate purchase or sale to ensure a smooth transaction.

A quick tip from an old REALTOR®, when showing a home, take the time to ring the bell, knock on the door, and when ready to open the door for your clients, just crack it open an inch for a few seconds to see if a furry face or wet nose is there to greet you unexpectedly before proceeding. Some surprises are fun, and others are not.

Are there timeframes for real estate signs?

Bryan Statt | Jan 17, 2025 3:17:21 AM | [Original article](#)

There is a best-before date on everything these days. The other day I saw a package of vacuum-sealed pink salt in the store, which stated on the package that it was made after thousands of years of percolating in the Himalayan mountains, but it had a best-before date that was nearly passed, so it was on clearance. I may never figure out the logic used for such things as salt, but I think it is safe to say there is a best-before date on real estate signage in many cases that should be adhered to. Let's consider some of those circumstances and what that should look like.

Lawn Sign

Let's start at the beginning. When a seller signs a representation agreement with a brokerage, their REALTOR[®] typically puts a "For Sale" sign on the property's lawn to notify the world that the property is available. Since you can't just go around placing signs on people's lawns without authorization, that authorization comes through the seller's written consent through the agreement. If there is no signed agreement in force, then there is no right to place a sign on the property or market it in any way since the seller has not authorized the activity. This requirement for authorization stands on the seller's consent, so when the agreement ends, either by termination, expiry, sale of the property or by the seller's request, the sign must be removed immediately.

Time-Sensitive Statements

It is common for a REALTOR[®] who is marketing a property to try to keep the buying public informed of changes to the property status by a mention on the signage itself. By placing a rider, sticker, or some other placard on the sign for such situations as "Just Listed," "Price Reduced," "New Listing," etc., there is a time-sensitive condition being communicated to the public. Hopefully, this will activate the buyers to do something based on this timely information. Because this information is only relevant for a reasonable period, the real estate boards and associations rule that these time-sensitive mentions on the signage cannot stay up indefinitely but must be removed within ten business days of the listing date or change being highlighted. It doesn't serve any good to the industry if the neighbours driving by the sign see it with a "New Listing" sticker for six months, so the signage must remain accurate.

Open House Signage

Open house signage, and other directional signage, is a category that requires a special mention. Every municipality has the right to create signage bylaws regarding such signage, and some of the requirements are extremely strict. At the very least, there is typically a time restriction for how long they can be up before the open house, restrictions on size, and restrictions on where they can be placed. It is highly recommended that you check with your local municipality before placing any open house signage or other directional signage. However, if you love paying fines and buying new signage regularly, ignore the warning and expect a notice from your local peace officer.

Buyer Brokerage Signs

Based on the scenario, brokerage, and region, sometimes a buyer's brokerage wants to place a sign on the property to indicate that they were the agency responsible for bringing a buyer to complete a successful

transaction. Although unconventional, this does happen in various ways, and all those ways have caveats. As mentioned at the start of this article, only the seller can authorize the sign's placement before closing, which must be in writing. In many municipalities, only one sign is permitted on a property at a time, so that needs to be considered. Any interference with an existing sign of the seller's brokerage by another member is strictly prohibited. After closing, however, the buyer, as the new property owner, could provide written consent to the buyer's brokerage to place a sign on the property. Still, the brokerage should discuss timelines with the new owner when they get written consent. As with time-sensitive signage, a "Congratulations to my awesome buyers" sign has a limited shelf life before the buyer is sick of mowing the grass around it and the neighbours are sick of looking at it.

Signage is great tangible marketing for the neighbourhood, seller, and brokerage, but remembering that professionalism is often tied to maintaining current relevant messaging will serve everyone best. In the category of fresh fish left out too long and hockey gear unwashed too long, signage with the wrong messaging or past its best-before date also starts to stink. Keep it fresh and timely, and everyone will be happy!

How do age restrictions affect condominiums in Alberta?

Bryan Statt | Jan 17, 2025 3:16:29 AM | [Original article](#)

Ageism is prejudice or discrimination against individuals or groups based on age. As should be plain to most of us, despite our best efforts, we have no control over our age, so discriminating against someone based on their age is unacceptable. Well, that is not the whole story regarding condominiums in Alberta, so let's unpack the key thoughts regarding age restrictions in condominiums and what changes are still ahead.

Human Rights Legislation

The *Alberta Human Rights Act* defines a set of protected grounds against discrimination and prejudice in Alberta. All the usual suspects include race, religion, gender, ancestry, etc., but age is right in there with the rest. Unlike the others, though, age discrimination comes with exceptions. Exceptions of human rights? You wouldn't expect an 8-year-old to be protected by legislation for purchasing alcohol or tobacco products or other things that would be detrimental to their growth and development, so the Act defines age as 18 years or older. This means those under 18 are still protected from all other discrimination on protected grounds except age, so we can freely discriminate against minors from joining the military or voting. Additionally, the Act allows benefits for both minors and seniors, such as discount bus fare or specially priced menu options, which would be a form of discrimination if not for the exception. But that isn't the only exception to age protections under the Act.

Age Restricted Condominiums

For years the age-restricted condo market was governed simply by the residents making the bylaws. In my career, I have seen 18+, 40+, 50+, and 60+ age-restricted condos, and I am sure many reading this article have seen other variations over the years. In theory, this could be seen as a form of discrimination, but the residents knew the deal before they purchased or signed an agreement to lease. Life happens, though, as we all know, and cases where a 20-something couple, for example, buys a condo in an 18+ building but learns a few years later that the stork is delivering a bundle of joy, find themselves between a rock and a hard place. So several years ago, the Alberta government did two specific things: first, they defined what a senior means, specifically a person 55 years or older, and second, they determined that the only acceptable age restriction is for the senior group.

Seniors-Only Housing

With the legislative change effective January 1, 2018, if a condominium corporation wishes to restrict ownership in the complex by age, their only choice is to use an age restriction that is 55 or higher, and everyone else is prohibited from claiming age discrimination since this is a legislated exception. If a unit is designed or reserved for more than one occupant, at least one must be 55 or older to occupy the unit. Additionally, the regulations make clear that the exception is not designed to cause undue restriction in cases where an older (over 55) occupant dies, and a younger (under 55) spouse or co-habitant is left residing in the unit; this younger individual can stay. Also, live-in caregivers under 55 are permitted, or in situations where an unexpected life event requires an over-55 occupant to care for a minor or an interdependent adult. This age restriction is permitted in tenancy situations where rental accommodations are described as "seniors-only" housing.

Existing Age-Restricted Condominiums

When the legislative changes took effect on January 1, 2018, there were plenty of 18+ condominiums and other variations, as mentioned above. So are all those people under an eviction order like the sword of Damocles? Of course not, but the government did provide a 15-year transition period for existing restricted condominium corporations to be complete as of January 1, 2033. During the transition period, the condominiums would need to either remove the age restriction altogether or move it up to 55+ or some higher age if they so chose, regardless if the units are owned or rented. When the condominium corporation decides to make the restriction 55+ during the transition period, existing residents may stay even if they do not meet the restriction.

Purchase Considerations

There are a few things to note when considering the purchase of an age-restricted condominium. First and most importantly, a 55+ age restriction limits your resale buyer pool to individuals 55 or older. Because of this narrowed ability to market the property, selling an age-restricted condominium unit can take longer than its all-ages condominium unit competitor, and depending on the seller's motivation to sell an age-restricted unit could cause it to fetch a lower price than unrestricted units. This is not a universal truth, and some age-restricted units in specific locations are in very high demand, so advice from a REALTOR® in the area is a must. Secondly, the lending environment differs slightly for 55+ units because CMHC does not typically insure 55+ condominiums. The other two high-ratio insurers will consider age-restricted units on a case-by-case basis. For this reason, if you are purchasing a 55+ condominium unit, you should seek advice from a licensed mortgage broker early to know your options.

As with any property purchase, the buyer is interested in the property and the lifestyle it will provide. This is only true in age-restricted condominiums, which promote mature adults living in a community with others in the same life stage and provide many services, amenities, and activities they love to enjoy together.

What disclosure or consent is required when sending or receiving a referral fee?

Bryan Statt | Jan 17, 2025 3:15:41 AM | [Original article](#)

In real estate, referral fees are a natural and necessary part of the landscape. It is essential to clearly understand the disclosure requirements for consumers when this happens.

Although REALTORS® have vast and varied experience, no one is an expert in everything. Responsible professionals must recognize their limitations and refer consumers to a more knowledgeable professional in that specific field. This process is met with a referral fee paid to the referring brokerage from the brokerage receiving the referred client if they can facilitate a successful result.

Let's take a look at that process.

Who can receive a referral fee?

As with all commissions or fees earned in the trade of real estate, only the brokerage can receive a referral fee. In Alberta, only brokerages can trade in real estate, and the REALTOR® is registered to the brokerage as their representative.

Although the REALTOR® is undoubtedly the one who is seeking the right professional to refer their consumer to, the referral can only be sent by the brokerage and paid to the brokerage and never to the REALTOR® directly. Any direct payment to the REALTOR® in this regard would be considered secret profit and possible conduct deserving of sanction to accept it.

Due diligence requirements

REALTORS® are professional licensees in Alberta and members of the Canadian Real Estate Association, which requires professionalism and expertise that the courts have come to recognize.

It is incumbent on a professional REALTOR® to use reasonable due diligence when referring a consumer to a professional in a different field or geographical location. At a minimum, this means that whomever the professional is, the REALTOR® must take reasonable steps to ensure that the individual they are referring the consumer to is qualified to act in the capacity to which they are being referred. For example, a quick search of the real estate licensee database in the province where a client is being referred will ensure that the individual accepting the referral is licensed to trade. Additionally, experience working with this individual in the past may help inform about their qualifications in working in a certain discipline or property type the consumer is looking for help in.

A good resource is to speak with the broker of an office where you are looking for a qualified REALTOR® in a specific discipline since the broker knows their REALTORS® the best.

Brokerage referring a client to another brokerage and expecting a fee.

So, you have found the perfect professional to help the consumer; what is the next step?

As the privacy of personal information is a top priority, a REALTOR® needs to seek the consent of the individual they are referring to send their private information to a third party for the referral. This step requires a discussion with the consumer to ensure they:

1. Understand that the other party may pay a referral fee to the referring brokerage
2. Understand what information was sent to the other party.

Although there is no requirement to disclose the amount or method of calculating the referral fee, it could be disclosed upfront to avoid potential confusion down the road.

Brokerage receiving a client from another brokerage and paying a referral fee.

When a brokerage receives a client by way of referral, and a successful result for the client triggers the payment of a referral fee, what is required of the brokerage before sending the payment to the brokerage who sent the referred client to them?

The legislation is relatively silent on this, except that the brokerage must "take reasonable steps to ensure the person is authorized to carry out the activities for which the referral is made." Apart from that the brokerage sending the payment is essentially paying the other brokerage out of the fee they earned from the transaction so there are no additional restrictions or requirements for disclosure or consent.

The only point of warning for the brokerage I would give is never pay the REALTOR® directly. Only the brokerage can earn a fee, and the brokerage will pay the REALTOR® under their agreement. Paying a REALTOR® directly instead of the brokerage could land the brokerage sending the payment and the REALTOR® receiving the payment in hot water with the regulator.

Referring other non-real estate professionals with or without a fee

Not all referrals are made to other real estate brokerages. Consumers frequently seek the help of their trusted REALTOR® to help them find a qualified home inspector, condo document reviewer, appraiser, electrician, plumber, or any of the other hundreds of professional disciplines interacting with real property. In such situations, the same basic principles above apply with a few notable exceptions.

If the referral fee is not the result of a trade in real estate, it could be paid directly to the REALTOR®, such as a gift card from a home inspector, but the possibility of the referral, as well as what information being shared must be disclosed to the consumer in writing and in advance of the referral being made, not after it is paid. Additionally, a REALTOR® should never provide less than three to five possible options for qualified referral partners for each specific referral to ensure the consumer can make their own choice while still gaining a professional recommendation from their REALTOR®.

It is important to note that mortgage brokers licensed under the act can be provided as a single referral partner since they will work with multiple lenders to find the best mortgage for the client. This differs from mono-line or bank-employed mortgage specialists who only provide products for a single lender.

Finally, the REALTOR® must make reasonable efforts to be confident that the individual or company they are referring a consumer to is licensed or otherwise qualified to provide the services they are being referred for.

The best interests of your client are always the highest concern, but it is essential to understand the proper way to be transparent and compliant with the legislation when a referral fee can be earned. In tandem with the

best interests of your client and transparency, the receipt of a referral fee is a win-win-win situation for the referring brokerage, the client, and the party receiving a new client.

What are the insurance considerations for a REALTOR®?

Bryan Statt | Jan 17, 2025 3:14:48 AM | [Original article](#)

Insurance is like a hospital gown, you are covered, but not as much as you think you are. With this thought in mind, and apologies for the visuals I may have provoked! I want to take a few minutes to help REALTORS® understand what types of coverage I believe are worth looking into. Full disclosure, I am not an insurance broker, and I am not providing insurance advice, I am just pointing out gaps in your business that you may not realize are there, like in the case of the hospital gown.

REIX Errors and Omissions Insurance

In Alberta, every REALTOR® since 1991 subscribes by law to the Real Estate Insurance Exchange, a self-insurance provider for all Alberta and Saskatchewan real estate licensees. As a non-profit organization, premiums cover operations and claims defence rather than shareholder profits, making REIX one of the best investments the REALTOR® ever makes in insurance coverage for their business.

As an errors and omissions policy, REIX protects subscribers from losses that result from errors, omissions, or negligent acts while performing real estate acts related to a trade, up to a maximum of \$1,000,000. These protections consider the reputational damage associated with settling a claim, so where a subscriber is innocent of wrongdoing, REIX will fight to clear their reputation rather than simply settle the claim. However, the important note regarding the policy is that you are covered when conducting a real estate trade only, and many things related to the job are not specific to a trade.

Additional E&O and Business Brokerage

Since every REALTOR® has REIX errors and omissions coverage up to \$1,000,000, many REALTORS® believe they are sufficiently covered for all real estate activities, however some REALTORS® work in high-value disciplines such as rural, commercial, or industrial properties where trades can run into the tens or hundreds of millions. In such situations, the \$1,000,000 REIX policy may not cover the liabilities created in such high-value/high-risk trades.

Additionally, some activities in these areas, such as selling a business without property or consultation services, would not fall within the “trade in real estate” requirement of the REIX policy coverage. For such situations, REALTORS® and, by extension, their brokers and brokerages should seek an insurance broker to recommend coverages for these gaps which will bind for real estate services provided without a trade or where additional E&O coverage is necessary. Toole Peet offers real estate industry-designed policies that can help with this, but other insurance providers may also be sought through an insurance broker for your specific needs.

Comprehensive General Liability Insurance

A REALTOR® is an individual. However, they are also a business. REALTORS® provide services to the consumer through the brokerage, collect payment for those services, and have expenses. This means that as a REALTOR®, wherever you are is your workplace, and there is a liability in all that you do. For example, if

you are holding an open house and someone slips on the front steps and hurts themselves, you may be liable for that injury as happening under your supervision. What if you put up a directional sign to a new listing on a windy day, and it blows out into traffic and causes an accident? These are only two examples of countless unseen liabilities in the daily actions of a REALTOR[®]. Still, you can get coverage for such things through a Comprehensive General Liability (CGL) policy. Some boards include general CGL coverage in their board fees (sometimes called commercial liability). Some brokerages also offer a policy to their associates, but if you are unsure of your coverage, talk to your broker because your business liabilities are not part of your REIX coverage. It would be best if you certainly were covered as soon as possible.

Other Considerations

I want to offer three additional things to consider when covering your insurance needs as a REALTOR[®]:

1. Life insurance is necessary if you have someone besides yourself who relies on your income, as most of us do. A simple term life policy can provide low premiums for a fixed number of years and the peace of mind necessary for those who may be left behind.
2. A critical illness policy, although a bit pricey sometimes, can provide financial aid for a severe medical issue that does not result in loss of life.
3. Short-term and long-term disability policies are a stop-gap for situations that may prevent you from working, like a serious injury or car accident.

Nobody loves paying for protection against something that could happen when nothing happens, but boy, howdy, is it ever a relief to know you are covered when something does happen!

Insurance serves one singular purpose: to take potential liability off your shoulders and transfer it to someone else's shoulders for a small monthly or annual fee. It's a piece of mind payment that helps you avoid cracking and scrambling your nest egg if things go wrong. But trust me on the hospital gown!

What should I know about manufactured homes?

Bryan Statt | Jan 17, 2025 3:13:58 AM | [Original article](#)

Oh, the confusion. The terms “manufactured,” “modular,” “mobile,” “pre-fab,” and “trailer home” are examples of words that seem to have become concerningly intertwined in the minds of consumers. In this article, I want to discuss manufactured homes specifically and the essential things for REALTORS® to know about them. First, it is crucial to untangle the confusion of these terms. Let’s start there and move on to manufactured home information with more specificity.

Term Talk

Let’s start at the highest level. Pre-fabricated (pre-fab) homes include all homes built off-site in a controlled manufacturing facility transported to the site in a complete or mostly complete state. This would NOT include panelized construction where a high-production home builder brings “panels,” such as pre-framed walls and truss systems, on-site to hasten the building process to the lock-up stage.

The next level would be modular homes built off-site in large “modules” almost completely wired, plumbed in the manufacturing facility, and joined on-site. These are placed on permanent foundations by an on-site crane and connected to on-site services like gas, water, electricity, and sewer like any other home. “Manufactured homes,” on the other hand, is the new term for what used to be called a mobile home or, further back, a “trailer” home.

A manufactured home is built entirely in a factory, including a full frame and undercarriage, to move it if required. The shift from the term mobile home to manufactured home is not just marketing but a change in manufacturing standards of these homes from the late 70s, where the construction focused less on the portability of the home and more on the building standard itself, making them more “homes that could be moved” rather than “mobile units designed for living” if that makes sense.

Construction Standards

A traditional site-built home is created in the same place it will stay permanently and requires various inspections and permit approvals throughout the process by the municipality. Manufactured homes are built in a controlled factory setting which means they are a fully complete unit when they leave, including electrical wiring, plumbing, HVAC, etc., in the walls when they arrive on site. This process means, like any other manufactured product for Canadian use, it requires a CSA-approved standard of assembly and construction. Because they are dwellings, they must also meet national building codes. To verify these standards are met, every manufactured home that leaves the factory is given a CSA label qualifying it for use in Canada to meet or exceed the standards required. This “do not remove” label is almost universally placed on or inside the door of the electrical panel in the unit but is also sometimes placed inside a kitchen cabinet.

Serial Number

As a manufactured product, it makes sense that the manufactured home would have a unique identifier specific to the unit itself. The serial number of every unit is assigned in the factory and typically included on the CSA registration number label. Still, it can be on its own plate or sticker, along with other information

attached to the electrical panel or inside a kitchen cupboard. Because the serial number is extra important to identify the individual unit, there is typically one or more spots on the frame or undercarriage of the home that will be stamped with the serial number or have a serial nameplate attached by rivets. Some manufacturers take the extra step of attaching a small number plate on the home's exterior and near the soffits on the front or back.

Manufacturer Details

Because a manufactured home is manufactured by a single entity and not generally subcontracted to various other companies, it is important to know the manufacturer's details. These details are typically found on a data sticker or plate in the kitchen cabinets with the manufacturer's name, model number, date of manufacture, and other applicable information.

Transaction Considerations

When representing a buyer or seller in a manufactured home transaction, all of the above information must be recorded on the applicable manufactured home schedule for the listing and purchase contract. Missing info or the inability to find information on the manufactured home can seriously hinder the ability of the seller to sell the unit if a lender doesn't provide funds due to a lack of valid information.

Additionally, the lender will seek security against the potential moving of the unit itself and requires the seller to disclose if or how the home is secured or attached to the ground, such as on blocks, concrete footings, screw piles, etc.

Finally, a big one in a transaction is to secure a spot for the unit to reside. This means that a manufactured home sitting on leased land in a manufactured home park should not be assumed to have a lease that will be assigned to the new buyer automatically at the same price since this is rarely the case. The buyer should have a condition in the contract allowing them to verify the assignment of the lease with the park and the terms of the lease cost once transferred. Most parks increase rents on each lease transfer; the buyer must know this.

Mortgage Money

Technically speaking, a mortgage is only available for real property, which a manufactured home is not. As a portable chattel, the security for the lender is not by land title but through the personal property registry and personal covenants with the buyer. For this reason, only a handful of lenders will lend money on manufactured homes and only under specific criteria. This should be discussed in detail with the buyer at the beginning of the relationship so they can do their research.

Manufactured homes have served a segment of the real estate marketplace well since the end of World War II and continue to be a product offered to the consumer as a niche market real estate option.

Love or hate the concept, manufactured homes are out there, and consumers have questions, so when a REALTOR[®] is helping a consumer transact in these homes, these are some of the important things to know.

Is Dower applicable for commercial and rural properties?

Bryan Statt | Jan 17, 2025 3:12:18 AM | [Original article](#)

The year is 1917, and the Canadian Armed Forces deployed the most significant force outside Canada ever at the battle of Vimy Ridge. In the same year, the NHL formed in Montreal, and the first-ever Pulitzer Prize was awarded in New York City. In Alberta, the Dower Act was signed into law to protect a non-owner spouse from being dispossessed of the family home without consent. Although altered slightly in 1948, the Dower Act has remained the same in principle for over 100 years. Familiar with residential REALTORS[®], the Dower Act also applies to some commercial and rural properties.

The Homestead

The Dower Act always refers to homestead property. It clarifies what “homestead” means since it is uncommon in modern vernacular. The homestead is broadly defined as the parcel of land with an occupied dwelling house as the owner’s residence but includes the concept of either spouse residing past or present in the dwelling. Any property in Alberta where a legally married person is the only owner registered on title and either the title holder or their spouse has ever lived in a dwelling on the property. Although traditionally, this has not been considered a commercial property issue or applicable to a rural property, changes in consumer patterns in the real estate industry have shifted this into a realm of possibility.

Commercial Properties and Dower

Dower rights on homestead property don’t feel like they would fit into a commercial context since no one lives in a warehouse or office tower, and it wouldn’t be considered a homestead, right? Well, true, but the introduction and popularity of mixed-use commercial properties have moved the line. These are the properties in hip urban neighbourhoods where a main floor level has a cute little retail shop while the upper level of the commercial condo has a dwelling unit. The idea is that an individual running the store can live above it and have the world’s shortest commute! However, what could be overlooked in these situations by commercial REALTORS[®] is that that dwelling unit could be considered a homestead under the Dower Act and may require dower rights to be addressed. For this reason, AREA has added a dower section to the commercial listing and purchase contracts to remind commercial REALTORS[®] of this potential issue.

Rural Properties and Dower

Because the Dower Act refers to a “dwelling house” on the property, non-owner dower rights would generally not apply to raw land. However, the act was written in a time of dominant agrarian culture where many families were farm families. At least the home quarter was intended to be protected, so the act refers to the homestead applying to “not more than one” quarter section of land.” Additionally, modern rural properties can be fabulous parcels of all sizes with stunning homes and even some commercial activities like bee-keeping or small herd cattle production that would fall under the Dower Act as homestead properties. If the parcel has a dwelling, one name on the title, and that owner is married, then Dower likely applies.

I am not a lawyer, and this article should not be considered legal advice on Dower. Still, the issues surrounding Dower rights are material to the trade of real property and, when applicable, can mess up

everyone's day if not dealt with upfront. Without limiting your thought process to property type, if there is a dwelling, one name on the title, and that person is married, then Dower rights probably apply. At the very least, a real estate broker or lawyer should be consulted on proceeding correctly.

Is it good practice to use and/or nominee in a purchase contract?

Bryan Statt | Jan 17, 2025 3:11:03 AM | [Original article](#)

Many reasons and variables surround the idea that a party to a contract would choose to nominate or assign their interest in a residential real estate purchase contract to another person. The concept is familiar, but in real estate, there are some crucial things to consider before deploying this term in a contract. Let's take a few moments to think this issue through.

Assignment in Alberta

In Alberta, all contracts are assignable. Assignment in a real estate context is where a buyer with a contract to purchase a property from a seller elects to assign their rights to another consumer. Typically this involves an exchange of funds between the first and second buyer but excludes the seller from any additional proceeds. In Alberta, this is generally legal as long as the seller has disclosed the assignment has taken place, but the seller's consent is not required.

And/or Nominee

Although the option for assignment exists for nearly every buyer in every transaction in Alberta, when the buyer contemplates the potential of an assignment, they will often add "And/or Nominee" to the contract after their name or on a second buyer line. Although it is transparent that the buyer is considering this option, it introduces instability to the contract. What I mean by this is that as a matter of "competent service" required by the Real Estate Act Rules, licensees under the act should ensure their seller client knows who they are dealing with as much as is within their control during the trade.

Possible uses

The use of And/or Nominee should generally be considered not best practice and should not be a standard of regular practice even when it seems harmless. For example, if one spouse finds the perfect house just when the other spouse is mid-air on a flight to Shanghai, it may seem right to have one spouse tie up the property by contract and insert an "And/or Nominee" to be able to add the other spouse after. This would be a valid possible use. However, the better and more transparent method would be to add the term "The buyer and seller agree that the seller will not refuse the addition of the buyer's spouse to the contract by way of an amendment at the buyer's sole discretion." If I were the seller's REALTOR[®] and received an offer including an "And/or Nominee," I would clarify with the buyer their intent, inform the seller, and then suggest this correction to the contract. This ensures clarity between the parties and the certainty of the parties transacting to the best of my ability in the trade. Should the buyer subsequently decide to assign the contract, they maintain that right, but I have done all I can as the seller's representative. Suppose buyers were insistent about using the And/or Nominee in the contract. In that case, the seller should be consulted and a term inserted to ensure the buyer agrees to name the nominee or remove "And/or nominee" before removing conditions. It's not a perfect solution, but it shows your intent to attempt transparency with the parties transacting together.

Wrong uses

The use of And/or Nominee in a purchase contract should never be used to knowingly disguise the identity of the true purchaser when if known to the seller would provoke animosity or introduce conflict. In family situations where an ex-spouse intentionally misleads the seller by using a friendly buyer to secure the contract with And/or Nominee only to sub in the hostile ex-spouse once the transaction is secured is one example of misleading use. By way of professional conduct, a licensee must never knowingly participate in a misleading activity and always try to avoid such conflicts.

Seller Advice

As mentioned, there are potentially beneficial uses of the And/or Nominee option, although it is not best practice, and other options provide better transparency and mitigation of liability. More commonly, however, where a clear explanation of the requirement to use such a clause on behalf of the buyer is lacking, it should be understood by the seller that there is a potential that the buyer may attempt to assign the contract for more money before the closing. Such a situation should prompt licensees to reevaluate the property's value to ensure the seller gets a fair price before proceeding. Additionally, some schemes have been reported using And/or Nominee where the buyer seeks to tie up the property, neglects to deliver a deposit, and tries to sell their interest before they need to close on it. If unsuccessful, they simply refuse to close and no deposit is held as security against the default. Such possibilities should be discussed with sellers, especially with the combination of "And/or nominee" and a failure to deliver the deposit on time, where they may choose to exercise the void option in the purchase contract.

Buyer Advice

In every seller's market to wash over Alberta, we see an enormous uptick in speculative buyers. This is because when Alberta swings in price, it usually swings high and fast. Because of this, buyers from parts unknown believe that they can secure contracts on several new construction properties while providing only deposits. They include And/or Nominee, thinking this will protect them in being able to assign the agreement from the builder to a new buyer at a higher price and walk away with a tidy profit. Although this has worked in the past, most builder contracts include terms now requiring approval for assignment with a significant assignment fee attached or prohibiting assignment altogether, forcing the buyer to close or default and lose their deposits. Many buyers have felt the sting of not receiving proper guidance from a REALTOR® or lawyer knowledgeable in new construction contracts.

Although legal, you can see how the little And/or nominee addition to a contract can bring clarity and issues. The main point is if the buyer is contemplating assigning the contract before the closing, have them seek legal counsel about the best way to do it rather than adding and/or nominee. REALTORS® should try as much as possible to ensure the parties know who they are transacting with while in their care and find ways to make the true nature of the arrangement clear and transparent rather than unnecessarily ambiguous

What must I do when the property lacks permits?

Bryan Statt | Jan 17, 2025 3:10:09 AM | [Original article](#)

Asking permission is rarely the preferred posture of any red-blooded human being. However, we spend much time in our lives doing exactly that. The permitting process at any municipality is precisely that, asking permission from the government to build, renovate or use something in a specific way, and as verification of that permission being granted a permit is given after bylaws, safety and building codes, or regulations are consulted. Let's look at some sticky issues surrounding permits that can affect real estate.

Get Permits

It may seem obvious, but the easiest way to resolve a lack of permits issue with a seller is for the seller to seek the permits after the fact. Full disclosure, not all municipalities will allow retroactive permit applications for all permit types, but it is worth a try. For example, if the seller built a deck at the back of the house with the help of a bunch of buddies incentivized by a 6-pack and pizza, they likely never applied for a permit from the city first. When they go to sell the home, the standard purchase contract has the seller making a warranty that they don't know of a lack of permits for development on the property, plus when an RPR is sent for compliance at the city, they will flag it as non-compliant for lack of a permit. Depending on the permit, the municipality may allow the property owner to apply for a retroactive permit. However, there is always an additional cost to doing things in the wrong order, so the process is normally more expensive in this direction. Getting this done pre-listing will show diligence on the seller's part and provide the buyer peace of mind.

Disclose

Timing may be an issue with getting the permits, or perhaps the municipality does not offer retroactive permits, but the property still needs to be sold. The only option is to disclose. One of the REALTORS® responsibilities is to help the client to comply with their warranties. As mentioned, the seller will be making warranties by default that there is no lack of permits for development on the property, so the seller and the REALTOR® have a problem if the lack of permits goes unmentioned. Where the seller cannot or will not get permits for development already completed on the property, that statement should be made in additional terms in both the listing agreement as well as any resulting purchase contracts, superseding the seller's warranties in this regard and allowing both the seller's brokerage to be prepared for questions, and the potential buyer to conduct their due diligence concerning the development that is missing the permits.

Title Insurance

One of the insurance products available to purchasers in the real estate market is title insurance. Although title insurance is traditionally used to cover defects on the title unknown to the purchaser at the time of purchasing the policy, a typical homeowner's policy also may cover title fraud, registration forgery, encroachments, and for our purposes here, lack of permits for development where the municipality ultimately requires removal of remediation. The title insurance option is good for the buyer to discuss with their lawyer and review the policy. Still, it does not relieve the seller of their responsibility to disclose. Now someone will email me and say that title insurance only covers unknown issues to the buyer and won't work. However, that

is not the whole story. Most title insurance policies will cover known and unknown common defects like those actively disclosed in a purchase contract on a case-by-case basis, so it should be considered.

The unspoken best practice here would be for the property owner to get proper permits before the work starts. Even though the permitting process can be demanding, it still beats the extra costs associated with retroactive permitting, title insurance, or even reduced sale prices when the owner decides to sell. At least for this issue, it is always best to ask permission than to beg forgiveness.

When is transaction brokerage appropriate?

Bryan Statt | Jan 17, 2025 3:09:07 AM | [Original article](#)

In the real estate industry, agency relationships are the glue that holds it together. In agency, a REALTOR® has a legal responsibility to offer a client fiduciary duties in the relationship. By this framework, they can provide advice, discretion, and judgment flowing from a career's worth of experience on behalf of a client who may only buy or sell a few homes in their entire life. So where does transaction brokerage fit into this framework? Let's take a few moments to consider the appropriate and, by contrast, inappropriate uses of the transaction brokerage option.

Conflict of Interest

Transaction brokerage is a method of managing a conflict of interest. Conflicts arise when the situation changes in a way where the REALTOR® cannot offer fiduciary duties because the interests of their client conflict with their own or those of another client they represent. For example, if a REALTOR® has a listing that one of their clients is interested in making an offer on, the REALTOR® is in conflict since they cannot represent the seller's best interests and the buyer's client at the same time.

Since the seller will expect the highest price and the buyer the lowest price, the REALTOR® can't resolve the conflict with two sole agency relationships. For this and other reasons, the REALTOR® needs to manage the conflict of interest by not representing one of the clients, either by one client being willing to represent themselves or by referring one of the clients to someone else for sole agency representation. The alternate option is transaction brokerage, where the parties agree to lay aside full sole agency temporarily. Instead, the REALTOR® represents neither the transaction nor the client exclusively, effectively "brokering" the transaction.

Facts Over Forms

One critical thing to consider when considering transaction brokerage is that the arrangement is not reduced to a document to solve the problem. Still, the document follows the nature of the relationship and ensures the parties understand it. For example, if the REALTOR® has been working with the seller for ten years and helped them buy and sell five properties, the relationship would be considered extensive.

Suppose a random buyer called on one of that seller's clients' listed properties. Is it appropriate to think that even-handed and unbiased transaction handling between the longtime seller and the unknown buyer is possible? Here it must be understood that simply creating a document that says it will be handled as such does not necessarily make it so in reality. The REALTOR® must be confident they can treat the parties fairly, or they could attract complaints or legal liability upon themselves and their brokerage.

Too Close For Comfort

Level up. What about if your dear mother wants to sell her home and move into something smaller? As a REALTOR®, you can list the property for sale with the proper disclosures of the relationship, but when a buyer walks into the open house and wants to write an offer on it, is transaction brokerage a viable option to manage the conflict? Can you represent mom and Mr. X in an even-handed and unbiased manner? Would you be able to convince a judge of the same?

All these questions are rhetorical. Of course, you cannot and should not. Level up again. What about a home owned by a REALTOR[®] personally, and a buyer calls from the lawn sign wanting to make an offer? By now, we should all recognize that it is way too close for comfort to offer transaction brokerage to manage that conflict. For these and similar situations, Customer status or referral to another REALTOR[®] are the only ways to manage that conflict.

The appropriate use of transaction brokerage is when the REALTOR[®] believes they can treat both parties evenly and fairly. Like twins, you can't treat one differently from the other, and all information is passed freely between the parties except for the price and motivation of the parties. Additionally, the parties need to clearly understand the relationship change and consent to it before moving forward.

This shift to representing the transaction means the REALTOR[®] will promote neither party's interests but the interests of the transaction, which is to find common ground between the parties while maintaining transparency for all. Because situations vary so much, discussing the situation with your broker is always a good idea to determine if transaction brokerage is appropriate. As a rule of thumb, if you need to ask the question, it is likely for a good reason.

What are the top real estate related changes in legislation for 2023?

Bryan Statt | Jan 17, 2025 3:07:58 AM | [Original article](#)

Coming out of an unprecedented time in our nation's history where economics, governments, and policies were all run through the COVID grinder, the 2023 year has become the sausage made from those grindings.

So far this year, we have seen the introduction of several legislations and regulations to address the impact of the pandemic on the real estate industry. While I am not a political, economic, legal or accounting expert, here are the top four fundamental real estate changes in legislation you may want to keep on your radar.

Foreign Buyer Ban

I don't know that something similar has happened in my lifetime. Still, it is true that as of January 1, 2023, the Canadian government officially banned Non-Canadians from buying residential property for the next two years. The regulations clarifying points of the ban were released in December of 2022, making some helpful distinctions. This legislation affectionately termed the "Foreign Buyer Ban," defines a non-Canadian as anyone who is not a Canadian citizen, permanent resident, or registered Indian under the Indian Act. Additionally, it is clear that any property type with a residential dwelling unit, including commercial, rural, recreational, and even vacant residential lots, falls under the ban, except for multi-family properties of four or more units. The one ray of sunshine here is that only when the property falls within a census agglomeration or census metropolitan area is it prohibited to purchase, meaning some of the smaller centers in Alberta may see a slight bump in sales to foreign buyers. It is essential to note that the legislation includes penalties for non-compliance against non-citizens and any person or entity who knowingly assists a non-Canadian in violating or attempting to violate the prohibition.

Anti-Flipping Rule

2023 also saw a change to tax law that sets a timeframe for owning property personally before it is considered under the personal residence exemption for capital gains taxes. The new rules require the calculation of taxes on residential property bought and sold within 12 months as business income. Any gain realized on selling a property flip or others caught in the 12-month net will require full taxes on 50% of the profit. Although some exceptions for specific family events were announced, brokerages and associates who know the property they are listing was purchased in the last 12 months need to inform their clients of this potential taxation. When this is the case, the REALTOR® or brokerage must advise their client to seek professional tax and accounting advice if it is a concern.

GST on assignments of new construction

GST rules also closed in on the assignment of new construction homes to ensure the final selling price at transfer is taxed. Although details here will require the professional advice of an accountant or tax lawyer, it effectively provides that when a new construction contract is assigned to another party, the set price is used to calculate GST, not the original price agreed to by the first buyer. For example, suppose the buyer contracts a new home with a builder at \$500,000 and places a \$50,000 deposit on the property as construction nears completion. In that case, the buyer sees the market booming and assigns the contract to another buyer for

\$600,000 plus the deposit amount. Hence, the new buyer pays the first buyer \$100,000 for the increase in value and \$50,000 to cover their deposit outlay totalling \$150,000. GST would be taxable on \$600,000 and not \$500,000. Since the GST on the \$500,000 would've already been anticipated on the first transaction, the first buyer would be on the hook for GST on the \$100,000 portion of the increase, but the CRA further clarifies that GST would not apply to the reimbursement of the deposit of \$50,000. This is only a high-level example, and REALTORS® who operate in this space are directed to professional tax or accounting professionals. Additional information can be found at the below link from the GOC website.

Link:<https://www.canada.ca/en/revenue-agency/services/forms-publications/publications/gi-120/assignment-a-purchase-sale-agreement-a-new-house-condominium-unit.html>

Underused Housing Tax

The Underused Housing Tax is a tax that came into effect in January 2022 and will apply to 2022 tax filings. The tax is a 1% tax on the ownership of vacant or “underused” residential property in Canada, which is generally intended to target only non-resident non-Canadians but has some provision for Canadians as well under certain circumstances. The tax is not intended to apply to newly constructed homes, seasonal homes, or otherwise inhabitable homes and other additional exceptions based on situation and occupancy, making it one of the more complicated rules to navigate. The rule provides that if you are required to report and are an affected owner under the rule, the tax is calculated by remitting 1% of the home's assessed tax value every year that the property meets the underuse criteria. This one is like catching a greased pig at a small town fair, so you need professional advice, but penalties for affected owners non-filing start at \$5,000! More information is available on the GOC website at the link below.

Link:<https://www.canada.ca/en/services/taxes/excise-taxes-duties-and-levies/underused-housing-tax.html>

First Home Savings Account

Enough about the downer topics; here is a positive one! One new product I wanted to mention that blows the doors off anything else the government has done since the launch of TFSAs is the newly announced First Home Savings Account (FHSA). The FHSA allows a first-time home buyer to save a maximum of \$8,000 per year to a one-time maximum of \$40,000 of contribution room to purchase a new home. This is only exciting once you understand three. First, the money deposited in an FHSA is provided with a tax receipt like an RRSP, making it pre-tax money invested. Second, an FHSA is an investment vehicle that can be invested as the contributor sees fit to earn the greatest return on the invested capital. And third, when the money is withdrawn to purchase a first home, including all its earned income over the years, it is tax-free like a TFSA. That means tax-free money in and tax-free money out! As a happy bonus, you can also transfer existing RRSP money to an FHSA. These details make the FHSA an exciting opportunity for first-time buyers to save for a home without the extra tax burden on that savings. If you know anyone who may benefit, check out more details using the link below.

Link:<https://www.canada.ca/en/department-finance/news/2022/08/design-of-the-tax-free-first-home-savings-account.html>

What must I know about the Foreign Buyer Ban?

Bryan Statt | Jan 17, 2025 3:07:00 AM | [Original article](#)

By now, you have heard of the new federal legislation called *The Prohibition on the Purchase of Residential Property by Non-Canadians Act*, known as the Foreign Buyer Ban. This legislation was approved in June 2022, received regulations in December 2022, and became enforceable in law as of January 1, 2023. Because this law affects some consumers' ability to purchase property, there are implications for any REALTOR® helping buyers as long as this prohibition lasts (currently to the end of 2026). This article will highlight some key points to understand the legislation and regulations, so REALTORS® know enough to direct consumers to a lawyer.

Who is NOT affected?

It is probably best to start with the largest group of the population that most REALTORS® will be dealing with in purchasing residential property, namely NOT Non-Canadians. I have placed that term in the negative because the legislation consistently uses the term Non-Canadian to refer to those for whom the legislation does apply. Hence, the group considered NOT Non-Canadians are those to whom the legislation does not apply. These include Canadian citizens, registered permanent residents, or Indians under the Indian Act. If a buyer falls into one of these categories, the act does not apply to them.

What is prohibited by the legislation for everyone else?

As mentioned, the remaining group is everybody else, and the legislation does apply. There is hope, though, because the Foreign Buyer Ban only prohibits purchasing residential property within a Census Agglomeration (CA) or a Census Metropolitan Area (CMA). For this reason, a Non-Canadian is not banned from buying residential property outside of the specified areas. With no small effort, I have located some of the best available maps for Alberta North (<https://bit.ly/3YdPwyP>) and Alberta South (<http://bit.ly/3Xbigaq>) so members can quickly identify CA's and CMA's in their region of Alberta. These maps show CA's and CMA's either shaded or outlined in grey and containing an 800 series number. These areas are prohibited for Non-Canadians to purchase residential property in, but by implication, everywhere outside the grey areas is permitted for foreign buyers.

What is a residential property according to this legislation?

The legislation and regulations make clear that a residential property is any property containing a dwelling unit anywhere with a CA or CMA. This means any residential, rural, recreational, rural residential, or even commercial mixed-use property within a CA or CMA that has a dwelling unit is prohibited. This, of course, prompts the question of what constitutes a dwelling unit under the act. Specific to this act, a dwelling unit is extensive, bearing the definition of any residential unit that contains private kitchen facilities, a private bath, and a private living area. All property styles are included, including condominium properties, but the ban does clarify an exception for multi-family properties with four or more units (i.e. Four-plex or bigger).

What about residential lots?

I'm glad you asked! Originally the regulations made a special note to include vacant land or lots that are zoned residential or commercial mixed-use, even where that lot contains an uninhabitable dwelling and is sold for lot value. However in a subsequent amendment on March 27, 2023 the minister relaxed the prohibition on vacant lots or uninhabitable dwellings so they no longer apply in the ban including land used for development.

Are there any exceptions for specific people groups?

The short answer is yes, but the regulations narrow the exceptions by a list of required conditions designed to ensure those excepted in this legislation have been participating in the Canadian community actively and legally for years before the start of the legislation. For example, a non-Canadian who holds a valid work permit that has at least 183 days remaining as at the date of purchase is exempt from the ban if they only buy/own one property. Not too bad, but an international student who has temporary resident status may have an exception if they have filed tax returns for the last five years, they were physically present for a minimum of 244 days of each of those five years, their purchase does not exceed \$500,000, and they have not purchased more than one property. As you can see, the exceptions are only simple to meet if the buyer has already been in Canada and participated in the community of Canadians for some years before the legislation. There are other potential exceptions for those with refugee status, some persons excepted by the minister as fleeing conflict, and even diplomatic exceptions. Still, all exceptions should be sought only with proper legal counsel before proceeding.

Does the legislation allow corporations to purchase?

If a corporation is incorporated under the laws of Canada or Alberta, then the answer is maybe. A Canadian Corporation *controlled* by a Non-Canadian or a Non-Canadian corporation or other entity, even though it is a corporation in Canada, becomes a Non-Canadian. The regulations define what control concerning a corporation or entity means by stating that any Non-Canadian who controls 10% or more of the equity or voting rights makes the whole corporation or entity a Non-Canadian.

What are the consequences of violation?

Any Non-Canadian who contravenes the act or any person who aids, abets, counsels, or induces a Non-Canadian to contravene the act is subject to a summary fine of \$10,000. But that is not all. Suppose the Non-Canadian is successful in purchasing a prohibited property. In that case, the minister can order the property sold by the courts and all costs paid by the Non-Canadian for the sale. Suppose there are any remaining proceeds from the sale after all expenses are covered. In that case, the remaining proceeds will be paid directly to the Government of Canada, so the Non-Canadian will not profit in any way by their contravention of the act.

How can REALTORS® best verify the status of a buyer?

This is the critical question of the whole article! Brokerages must ensure the best practices of their REALTORS® representing buyers by adding guidelines and policies to their Brokerage policy manuals. Every brokerage can set its own policies for accomplishing the task. Still, at a minimum, this should include the requirement to ask buyers if they are Canadian Citizens or permanent residents and seek verification of the same by way of identification. If they are not, then a conversation with their broker needs to happen, and the broker should advise the client to seek counsel from a lawyer before proceeding.

As a final reminder regarding this legislation, according to the government, *the prohibition on the Purchase of Residential Property by Non-Canadians Act* was designed with a built-in expiry date of 2 years, although the GOC has extended that now for another 2 years. That means this is not intended to permanently prohibit foreign buyers

from buying in Canada, but only to the end of 2026. Canadians would still love for foreigners to come to Canada and experience the true north strong and free for themselves, but for now, they may need to rent.

Is there a difference between an exclusive listing and a pocket listing?

Bryan Statt | Jan 17, 2025 3:05:52 AM | [Original article](#)

The real estate industry has always been interested in offering consumer services that meet the needs and wants of the buyer while providing extensive value through experience, knowledge, and protection. The use of exclusive listings, more accurately referred to as office-exclusive listings, is an answer to a desire of the marketplace to have the option to keep seller information private, control the flow of consumers' access to the property, or other valid reasons. Something to consider, though, is a misunderstanding between exclusive and pocket listings has led to confusion in the industry and among consumers. Let's look at the differences between these two terms.

Words Matter

Anyone who tells you words don't matter will need words to tell you they don't matter, so these people are not to be trusted. We explain concepts with words, write contracts with terms, and read news and blogs, expecting the words used to communicate an idea based on the words used efficiently. For this reason, let's clarify what I mean by the terms used in this article.

Exclusive Listing

An exclusive listing, or more accurately "office-exclusive" listing, is a listing a REALTOR® uses to establish a seller representation agreement between the seller and their brokerage only, which will not be marketed on the MLS® system to other brokerages. This means that the seller's listing is not necessarily cooperative with other brokerages, associates, or clients. Still, the agreement may contemplate a cooperating fee for another brokerage that brings a buyer client to a successful transaction. This should not be confused with the current AREA standard form for listing a property on the MLS® system called the Exclusive Seller Representation Agreement, which communicates to the seller that they cannot record with many brokerages, not that the listing is exclusively marketed within the one brokerage alone.

Pocket Listing

Pocket listings are illegal in Alberta. The only class of license that can legally represent a consumer in the trade of real estate is the brokerage class of license. Yes, the REALTOR® has a right to trade in real estate; however, that license is only valid when registered to a real estate brokerage, and the REALTOR® operates on behalf of the brokerage in the brokerage's relationship with the consumer. For this reason, the brokerage is always listed at the top of representation agreements and never the REALTOR® themselves. A pocket listing means a listing the REALTOR® has "in their pocket," separate from the brokerage. Since the Real Estate Act Rules include marketing and advertising as a trade in real estate, even placing a sign or an online ad without the brokerage's knowledge is illegal on the part of the licensee.

Services and representation offered to consumers must be with the knowledge and consent of the brokerage with which the REALTOR® is in association. Handshake-style or "in the back pocket" agreements are illegal.

Advising on the Choice

As mentioned above, in Alberta, pocket listings are not an option open to REALTORS[®] or their clients, but both office-exclusive listings and MLS[®] system listings are options for consumers, so it is essential to recognize the difference. An MLS[®] system listing is openly available for all members in the province to view information, arrange showings of the property, and include in client searches when available. Additionally, MLS[®] system listings are published on the national REALTOR.ca site, which gets millions of unique visitors every month, ensuring a wide net cast for buyers worldwide. Although there is no denying the tremendous reach and value of the MLS[®] system, there are times when the seller may choose a narrower marketing approach. Health concerns, security issues, and desires for a private marketing path in the case of high-profile individuals are only a few reasons a seller may choose this option, in which case the listing will not gain MLS[®] system exposure but instead rely on the direct marketing efforts of the REALTOR[®] and their brokerage alone.

Options are great, but the key to ensuring competent representation of a seller in the sale of their property is a transparent explanation of the services offered and areas of difference. The key to bear in mind in any considerations regarding the client is that the brokerage must be aware of the relationship, have all required paperwork in their file, and ensure the activities carried out are always in the registered name of the brokerage.

Are there best practices regarding unconditional offers?

Bryan Statt | Jan 17, 2025 3:04:08 AM | [Original article](#)

There are few things common to the real estate experience that are more exciting than writing or receiving an unconditional offer. The anticipation of having the immediate gratification of a firm sale upon signing is sublime. Although uncommon, the unconditional offer comes with some tricky bits to consider, so let's look at some of those briefly.

Buyer Beware

The principle of *Caveat Emptor* means “let the buyer beware” and refers to the legal principle of a buyer's requirement to conduct their own due diligence when purchasing a property. It is incumbent upon the buyer to know what they need to do to satisfy themselves that the property they are purchasing is what they expect and they are able to purchase and use the property in the way they intend.

However, when the buyer is represented by a REALTOR[®], there is a certain vicarious liability passed to the REALTOR[®] in ensuring the buyer fully understands the options they have in conducting the necessary due diligence. If the buyer is made aware of the options and risks of their decisions, the buyer may still proceed as they wish.

Condition Clarity

Let's assume the buyer wants to write an unconditional offer on a property, and the REALTOR[®] has suggested to them they have the option of using financing and property inspection conditions to verify they are satisfied with the property condition as well as their ability to secure new financing on the property.

After some discussion the buyer informs the REALTOR[®] they will be buying the property using savings, and they are pretty handy so they can handle anything a property inspection would've discovered, but they feel an unconditional offer will help them get the best price on the property. If the buyer is insistent on this strategy, the simplest and most transparent way to promote the buyer's intentions and protect the brokerage is to simply run a big showy line through the property inspection and financing conditions, write “DECLINED” in block letters beside both and have the buyer initial them on the offer. This technique simultaneously signals to the seller that the buyer is serious about their unconditional offer, and also shows that the option was discussed by the buyer with their REALTOR[®] and declined.

Deposit Disinformation

There is a common misconception among consumers that if a deposit is not produced, the contract is not binding on them. This is false. The deposit is not a consideration for the contract, but good faith money demonstrating the buyer is willing to place money on deposit to secure their intention to close the transaction once unconditional.

The purchase price is the consideration for the contract which means that if a consumer believes they can write an unconditional contract and then choose not to deliver the deposit as a way of getting out of fulfilling the contract, they are totally and woefully wrong.

The contract is legal and the obligations on the parties are binding for an unconditional offer once it is signed and communicated back, granting to the seller all remedies under the law including specific performance. It should be noted that the lack of delivering a deposit provides a void option to the seller, but it is only an option and not an obligation, so the seller could pursue the buyer to enforce the contract instead of invoking the void option in such cases.

Open For Acceptance Until

The “open for acceptance until” clause has a special function in the case of an unconditional offer. It is well understood that when an unconditional offer is presented, all the seller needs to do is sign it and send it back and it is sold. When this happens it is great, but what if a seller sits on it for a couple of days thinking about whether or not to accept it, and in the meantime, the frustrated buyer moves on to other opportunities? If the offer didn’t include an “open for acceptance until” date then the offer could simply be signed a week later and the buyer would be obligated to buy! In this scenario, legal wrangling would almost certainly begin roping in all parties and brokerages, but all that could be avoided by adding a date into that little section where the offer simply is no longer open for acceptance so the buyer can move on with peace of mind.

Seller Satisfaction

When the seller receives an unconditional offer, their REALTOR® has an important role to help the seller understand an unconditional offer may not mean the buyer is purchasing without the aid of financing, or other situations the buyer has not disclosed to the seller, only that the contract is not conditional upon those things. This could potentially leave the seller in a vulnerable situation if, for example, the buyer who thought financing wouldn’t be a problem and insisted on no financing condition learns at the 11th hour it is a big problem and cannot close. For this reason, the seller’s REALTOR® should help them understand how a larger deposit can help ensure the buyer’s compliance with the closing, or in the scenario I mentioned, provide the seller with some monetary compensation for losses incurred in regaining the title, or in the worst case scenario finding themselves in default on a purchase that was contingent on the sale of their property. As a rule of thumb, buyers who write unconditional offers should be prepared to provide a significant deposit to offset these risks to the seller.

Although unconditional offers can be a great opportunity for the seller, and provide the buyer with a strong negotiating position, keeping these simple principles and pitfalls in mind will help ensure the parties know what they are agreeing to and help prevent disputes.

What is the difference between POA, EPOA, and Probate?

Bryan Statt | Jan 17, 2025 3:03:11 AM | [Original article](#)

When an individual owns a piece of real estate in Alberta, they own a bundle of real property rights known as fee simple ownership. As the highest form of ownership possible in Canada, the owner has rights over enjoyment, use, income, and sale, all of which make real estate one of the most valuable assets in our lives. There are circumstances however that require an assigning of the authority given to an owner, to a third party for various reasons and using different methods, so let's consider the basics of these options one by one.

Power of Attorney (POA)

The root meaning of the word attorney is simply an individual granted legal authority to manage legal or business matters on another's behalf, therefore a Power of Attorney (POA) is a document specifying what powers are given to the attorney. The attorney can be any individual the person assigns the specific powers to and can be for any specified time or limitation indicated in the document since there is no standard POA.

For real estate, the power of attorney must specifically include the authority to make decisions, manage, and dispose of real estate for the party given the authority to be permitted to deal with such assets. The POA is only valid however as long as the individual granting the power of attorney has the mental capacity and physical ability to instruct the attorney. For example, where a person who has the ability to manage her own affairs is on vacation overseas and wishes to grant a relative the authority to sell her property during her absence. Or where a military spouse on deployment grants her spouse a POA to sign documents on the military spouse's behalf to complete the sale of their home.

There are many scenarios where a POA could be used but the key to remember is the POA must explicitly state the activities they have the authority to conduct, and the person who granted the POA must have the continuing mental capacity and physical ability to instruct the attorney throughout the time where the attorney is dealing with the assets. The POA is null and void during any period where the person that granted the POA is mentally incapable.

Enduring Power of Attorney

The Enduring Power of Attorney bears all the same characteristics of a power of attorney however it is "enduring" because it "endures" notwithstanding the mental incapacity of the person who granted the EPOA. For example, if an adult child of an elderly person is managing their dad's finances by way of a POA, and their dad suffers a debilitating stroke, the POA *automatically* becomes legally invalid, and the adult child no longer has the legal authority to manage their father's financial affairs. If the adult child is managing their dad's finances by way of an 'Enduring' Power of Attorney, the adult child's authority would continue notwithstanding the dad's incapacity.

Obviously, a person lacking capacity cannot sign an EPOA so this document must be created and signed before the incapacity of the individual and given a trigger as to when it has legal effect. This trigger is when two doctors declare in writing that the individual lacks the mental capacity to make reasonable judgments regarding financial decisions (although the trigger can be whatever the person granting the EPOA wishes).

The important thing is to understand that a POA becomes invalid when the person granting the authority loses capacity; therefore, any representation agreements would also be invalid on the owner's incapacity unless they are signed by an attorney appointed under a legally valid, triggered EPOA, and such EPOA is provided to the brokerage.

Legal Will and Probate

So, what happens if an individual has a valid POA and EPOA but the individual who granted the authority, the principal, passes away? You may have guessed it, but the POA and EPOA are immediately invalid, and neither survives the death of the principal. At this stage, the only legal way to represent the "will" of the person who owned the property before death, is by way of a legally valid will. The legally valid will dictates the next steps for the disposal of assets and who has the legal authority to undertake those tasks. The named executor of a legally valid will has the legal authority to deal with the deceased's assets under the authority of the **original** will (not a copy).

However, in Alberta, a grant of probate from the Alberta courts must be obtained before the Land Titles Office will allow the Executor of a will to transfer title to real estate interests. Where the deceased died without having a legally valid will – no one (not even the deceased's spouse or only child) has the legal authority to take any steps whatsoever in relation to the deceased's estate – including signing a representation agreement - until a grant of administration is obtained from the courts. Issuance of a grant of probate or grant of administration takes months in a perfect situation and can take years in a dispute situation. For this reason, consultation with a lawyer is a must to determine when and how the property can be sold based on the situation at hand.

Although these situations are not overly common, and the examples given only scratch the surface of the complexity of the topic, every REALTOR® will come across all three sooner or later and need to have a basic grasp of what situations the POA, EPOA, and legal will have authority in and when they don't. When in doubt, speak directly with your broker, or a lawyer for clarity.

What is the value of an open for acceptance date?

Bryan Statt | Jan 17, 2025 3:02:23 AM | [Original article](#)

As a strange twist of contract logistics, the little “offer open for acceptance until” clause in the AREA standard purchase contracts has befuddled many people. Either leaving it blank, using it as a forced decision tool or ignoring the lapsing of the date altogether are a few of the ways I have seen this term abused over my career. Let’s take a few minutes to think about the reason this clause exists and how it is intended to be used.

Signal not a Mandate

Signs are a great and simple invention. When I am looking to visit a store in a shopping plaza at minus 40 degrees, I like to look from my car at the store and see the open sign before making the slippery and cold penguin shuffle to the door. The sign signals to me that the store is open, and I can shop, and in a similar way the “open for acceptance until” clause signals to the other party that the party offering or counter offering is open for negotiation.

What the open sign on the store does not mean is that if I enter, I must buy something before they turn off the open sign. I may buy, but I also may not, and if they choose to close the store before I buy, they have the right to do so, and I will have to come back another time.

This basic principle works the same way for the open for acceptance clause, no matter how tight the “open” time is for the offer or counteroffer, the other party is not obligated to make a deal in that time frame, it simply acts as a signal to the other party that time is important and the party offering intends to walk away from the negotiations at that time or they may choose to edit the date on a subsequent offer and keep negotiating. Using the clause is not intended to pressure a party into a contract and such tactics rarely result in a fun transaction.

Just a Worksheet

At the point of offer and counteroffer, the parties have not contracted together yet. That means the document you are negotiating on is just a worksheet until an agreement is made. Keeping this principle in mind, all conditions, dates, prices, and terms are all in a state of flux and are of no binding effect on the parties including in the use of the offer open for acceptance term. If an offer is made with a time open for acceptance time frame, a counteroffer may and should be made with an edit to that open for acceptance date and time to signal to the other party the continued willingness to talk things through. If an agreement is made between the parties even after the lapse of the open for acceptance date and time, the clause can simply be struck out or edited and initialled before legal obligations begin as detailed in the contract, this way the term does not affect the final version of the contract.

Unconditional Offers

This is where the offer open for acceptance clause really shines. If a buyer client is writing an unconditional offer on a property, the seller simply needs to sign it for it to be legally binding upon the buyer along with all the consequences that come along with the sale. Imagine a situation where an unconditional offer is written and sent to the seller, but the seller sits on it for a few days without a response, so the buyer gets upset and

buys a different property instead. If there is no natural end date for the validity of the offer itself, that seller could simply decide to sign it and send it back to the buyer and the contract would be in force and defensible. The addition of the date and time that an unconditional offer will be open for acceptance is crucial in protecting the buyer's interests in such cases, as well as the brokerage from the certain litigation that will follow if this were to happen.

Oops we missed it

In the heat of the negotiation, it is possible for the parties to miss adjusting the open for acceptance date on each subsequent counteroffer and ultimately the parties to sign a contract after the open for acceptance date and time has lapsed. This can create a legal challenge if one of the parties subsequently decides they want out of the contract and can point to this clause to say the contract was not valid. The best way to correct this error (and as quickly as possible) is to have the parties sign an amendment deleting that term from the purchase contract. Once the contract is signed it cannot be simply struck out but an amendment to the contract signed by both parties must be signed and added to the file to show the understanding and intent of the parties to transact together.

Due to the dynamic nature of real estate negotiations and the offer-counteroffer logistics, there are several variations of situations that can arise from the misuse of this standard clause in the contract. The key takeaway points are to use the clause with reasonable time frames for your party's interests, consider and edit the date on each subsequent volley of negotiations, and take one last look before the final pen or pixel, as it were, touches the document.

When is a property management license required?

Bryan Statt | Jan 16, 2025 10:12:32 AM | [Original article](#)

Mark Twain once said, “Buy land because they are not making it anymore”. The principle of real estate as a valuable investment has stood the test of time in all cultures around the world. When you own a primary residence you can increase equity through both appreciative growth, as well as mortgage pay down. Those who choose to invest in real estate ownership beyond their primary residence however have the potential to gain additional cash flow through that investment as well. The simple fact is however, that when you live in a property you own, you care for it and maintain it yourself, but when you rent a property you own, it requires management of tenants and situations, either by yourself or someone else. Let’s consider when a licensed property manager is required and when you can handle it yourself.

Legislation

The *Real Estate Act of Alberta* states that property management activities are a trade requiring a license under the act. For this reason, the Real Estate Council of Alberta licenses a specific real estate designation for property managers in Alberta. Anyone who collects rents, damage deposits, arranges leases, advertises for tenants, etc. on behalf of the owner of the real estate itself requires a license to do so in Alberta. Additionally, anyone carrying out these activities without a license can be prosecuted under the legislation for trading in property management without a license, with fines up to \$25,000 per violation.

Self-Managed

REALTORS® love real estate and many invest in real estate making them landlords too. In situations where the owner has the ability and desire to manage their own real estate property, the legislation does allow for this. The owner may collect rents, hold deposits, etc. on their own property, as well as seek trades and experts to help in the various activities requiring attention concerning the property. This is the same for any individual regardless of whether they are licensed REALTORS® or not, however, a REALTOR® is expected to provide a higher standard of care to consumers as a licensee under the act. This means a REALTOR®, as a landlord must maintain the professionalism and integrity their license requires even where their license is not engaged in the activity. Put another way, a REALTOR® is a professional and must always maintain that level of professionalism.

Substantial Interest

Real estate is expensive and often brings together friends or family to pool their resources to purchase the property, sharing in both the profits and the expenses. Depending on the arrangement, different owners may own different percentages of the property. To be permitted to manage a property without a license, an owner must demonstrate a substantial interest, and the *Real Estate Act of Alberta* defines substantial interest as no ownership interest less than 25%. This means if you own less than 25% of the property you cannot manage that property without the requirement of a property management license under the act. If you own more than 25% then you are considered a substantial owner and can self-manage the property.

Corporate Ownership

When a property is owned by a corporation in Alberta, the shareholders of that corporation are beneficial owners who have an interest in the property but the corporation itself is the owner. A corporation can employ an individual to manage the property who is not a licensed property manager under the act where they are acting on behalf of that corporation as its representative in an employee-employer relationship. If the individual operates as an independent contractor for the corporation, this would be considered third party and require a license under the act.

Property management is a complex and difficult profession touching many legislations including the *Real Estate Act and Rules*, the *Residential Tenancies Act*, and others. The requirement for property managers to be licensed under the act ensures the proper handling of the landlord and tenant relationship, management of funds, and maintenance of the property value for future years. Where an owner has determined they are not able or willing to manage the property themselves, the only option in Alberta is a licensed property manager.

What should a seller consider about insurance coverage?

Bryan Statt | Jan 16, 2025 10:11:40 AM | [Original article](#)

The adage, “Better safe, than sorry” should perhaps be the motto for the insurance industry. Although there are likely not going to be any ticker-tape parades celebrating insurance any time soon, anyone who has experienced a need to access insurance for anything recognizes the value of having the safety net it provides against significant loss. To be clear, I am not an insurance agent and won't try and sell any policies in this article so instead let's think about the places where sellers must be looking to insurance for safety in selling their home.

Significant Loss or Damage

While a homeowner is living in a property they will generally have homeowners insurance to cover against many perils that could happen in this crazy world and affect their use and enjoyment of the property. Such perils as floods, tornadoes, hail damage, ice dams, sewer backup, and any number of other things that you hope will never happen to you may be covered by a homeowners policy to protect against huge costs to remediate damage or loss. Essentially the role of insurance is to take the liability for a major and unforeseen cost off of the policyholder and move it to the larger financial backing of an insurance company for a more reasonable monthly or annual cost. In the standard AREA purchase contract, the seller agrees to be fully responsible for the risk of loss or damage to the property until the purchase price is paid. This means if they move out of the property a week before closing and cancel their homeowners' insurance in anticipation of the sale, they are absorbing all the potential risk of loss or damage on that property themselves. If the property were to catch fire in that timeframe and burn down, the seller would be responsible to make the buyer whole by rebuilding the home at their own cost. For this reason, the seller, in the AREA *Exclusive Seller Representation Agreement*, warrants that they will maintain insurance on the property and its contents against loss or damage, even if the property is vacant.

Contents Coverage

During the listing and marketing process, there are typically many people through the property relating to the transaction. The REALTOR® may conduct open houses on the property where curious parties and nosy neighbors want to have a peek, but the very nature of an open house is to invite unknown parties to see the property. REALTORS® make their best efforts to control traffic and supervise but there is always a risk of something going missing or being damaged by one of these visitors. Additionally, buyers come through properties by appointment with their REALTOR® which is much more controlled, but occasionally children come with the parents and scatter once inside the door. During the transaction itself, there are also possibly tradespeople, inspectors, appraisers, etc. who enter the home, always under supervision but no system is perfect. Although many of these situations may have specific protection through the insurance of the professionals entering the property, the specific coverage of the homeowner for their contents or damages protects them directly.

Landlord's Luck

Tenanted properties are properties that require special insurance considerations. The contents of the property, except for appliances, are not the property of the landlord but rather the tenant. Tenants should maintain their own tenant insurance which would provide coverage to the tenant if anything should happen in or to the property during the listing period of the property. Additionally, the landlord should ensure the insurance company is aware the property is tenanted, and if the tenants leave at any point during the process, to update the insurance company about that development as well to be certain no gaps exist in the coverage they require.

Damaged but not destroyed

In many parts of the province, severe thunderstorms are a reality that often carries high winds and can include extreme hail. In 2020, some neighborhoods in Calgary experienced a hailstorm resulting in \$1.3 Billion in damage in only a matter of minutes. This is only one example of perils that can damage a property unexpectedly, but not to the point of destruction or replacement. If an event like this happens during a real estate transaction, there is a provision made in the standard AREA purchase contract to manage the situation by placing insurance proceeds in trust allowing the transaction to continue and securing the insurance remediation for the buyer required to make the property whole. Such a scenario should immediately prompt legal advice for both the seller and the buyer to determine the best way to keep things moving while the insurance company does what it was contracted to do, cover the liability.

Although insurance isn't the most exciting topic, it should be discussed at every listing consultation with a seller to ensure the seller understands their obligations and the risks associated with the property, and its marketing. As a former broker myself, I can attest that more than one phone call from a seller over the years started with "you will never believe what happened". Things happen, and usually at the worst possible time, but when they do sellers can benefit greatly from the professional advice of REALTORS[®], insurance brokers, lawyers, and other professionals when navigating insurance requirements, but bearing in mind that liability exists, and either the seller bears it, or they pass it to the insurance company.

What is best practice regarding possession day?

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The culmination of all the activities required to bring the parties to possession day, also known as completion day or closing day, is one of those great moments of accomplishment that never gets old. This should be the best of all days related to the transaction for both the seller and the buyer, as well as their REALTORS® because it is the one event to which the entire contract points. This too, like so many other parts of the listing and selling process, requires REALTOR® preparation and action to ensure a seamless closing for the parties. Let's consider the best practices to make this the happy day it should be.

Buyer's Perspective

For the buyer, this is the day they have been anticipating. What started as wide-eyed wonder during the home search, moved to a compromise in negotiation, then a reality check in the conditional phase, but they removed their conditions and have been mentally placing furniture ever since. As a matter of principle, the best time to handle an objection is before the objection happens, which in this case means preparing the buyer for the closing process itself. Spending a few minutes explaining a few key things can go a long way to prevent stress or hard feelings on possession day.

First, be sure to explain to the buyer that the contract requires the seller to provide the property to them in substantially the same condition it was when they made the contract. This means the seller has no obligation to improve the property or especially clean it apart from what was agreed to in the contract itself.

Secondly, the property when it was viewed had soft music playing, lovely furnishings, the smell of fresh baking in the air, and the apple tree was heavy with beautiful ripe fruit. On closing day, the furniture will be gone, the walls bare, and the apple tree bare of fruit and possibly leaves as the season changes. Do a quick reality check with the buyer to ensure they understand it won't look exactly as it did when they fell in love with it, which will help them prepare mentally.

Finally, the completion of the contract is said to happen legally at noon on the completion day, but in reality, that does not always line up perfectly. It is always best to prepare the buyers for the possibility of a late closing due to unforeseen issues, and not to have the moving crew, trades people, and cleaning company waiting outside at 11:59.

Seller's Perspective

For the seller, this day has also been anticipated for a while but follows a different path. The seller often convinces themselves over a period of years that their home is the best and most valuable of all of its competition in the neighborhood until they speak with a REALTOR® who shows them the reality of the current market. Once convinced about the objective market data, they list their home and have a handful of buyers through it before an offer is received, to which offer price typically takes their breath away. After much negotiation, the seller accepts an offer and sits on pins and needles hoping the buyer removes their conditions, sometimes for weeks of pacing and sleepless nights. Once conditions are removed it's all hands-

on deck to pack, hire movers, cancel services, change address, meet with the lawyer, etc., and with frazzled hair and frayed nerves, possession day finally arrives.

Here again, the seller needs to have clarity on what is expected and what they can expect. First, the seller should definitely not book the movers for the morning of possession day, but rather be totally moved out and cleaned up before the day itself.

Second, despite the contract stating the purchase price will be paid by noon on possession day, that doesn't mean the lawyer will have a briefcase of cash waiting at the front desk for them. Many times it can take a day or so to finalize some of the closing processes even after the purchase price is paid. Finally, even though the condition of the property expects to be substantially in the same condition as the date the contract was accepted, a final tidy and clean is a lovely gift to give a buyer who is coming to live there.

Additionally, a handwritten note from the seller left on the counter for the buyer about things like the mailbox location, when the furnace filter was changed, or the box for the replacement fridge filter, etc. is one small thing to the seller, that is a big thing to the buyer.

REALTORS[®] PERSPECTIVE

Both the buyer's and seller's REALTORS[®] have been working tirelessly through the emotional ups and downs of the parties. When the transaction goes smoothly, it's rarely because it happened by chance, but rather because of the constant management of expectations and situations behind the scene, so that to the client the process was wonderful. When possession day comes, the seller's REALTOR[®] will usually be the first to know about the closing and has the unique privilege of informing a relieved seller, and an excited buyer's agent that the keys are released. For the buyer's REALTOR[®] this means meeting the happy buyers at the home for a quick photo and handing them the keys to their new home. The successful closing of a transaction is a team effort on both sides and one of the small things that can be done is a sincere thank you to the REALTOR[®] opposite for their professional work in the transaction.

The closing of the transaction for residential property is nearly always charged with emotion, and the effective management of that emotion is one of the many jobs of a REALTOR[®] for their clients and colleagues. But a successful closing should always prompt the reminder of the happy clients that REALTORS[®] operate referral-based businesses, and if they were pleased to share with their network of friends.

Can a REALTOR® sell a business?

Bryan Statt | Jan 16, 2025 10:09:21 AM | [Original article](#)

Alberta has long been the economic engine of the country and as a born and bred Albertan, I can honestly say that the heartbeat of entrepreneurship is alive and well in this beautifully industrious province. With the sheer volume of economic activity in the major sectors of Alberta's economy, there naturally spins off a huge can-do spirit in the people to start, operate, and expand small businesses for the benefit of families and neighbors. With an estimated one small business for every 20 Albertans over the age of 18, it stands to reason that these businesses change hands through a sale and that some of them need the services of a REALTOR® to help. Let's consider what can and can't be done in this arena.

Licensed to Sell

In Alberta, the real estate regulator licenses real estate professionals in five different disciplines, residential, commercial, rural, property management, and condominium management. Without a sociology degree, most folks can figure out which license designation would be necessary to help individuals buy or sell a business with a real estate component, obviously, it's commercial. This means that a REALTOR® licensed in Alberta without a commercial designation cannot help in the purchase and sale of businesses where there is a real property component.

Real Estate Component

If there is no real property component to the sale or purchase, such as in the case of a food truck, or website-based business, the Real Estate Act and its rules do not apply, and such things are not considered trades requiring a license. This is important to understand since where the act does not apply, a real estate professional who wanted to help could help as could any adult person licensed or unlicensed. The difference for REALTORS® is that if they do help in such situations, they are still required to meet the standards of practice expected of them as real estate professionals and they invite liability to themselves as the courts would likely hold them to a higher level of care as professionals.

Insurance Considerations

The Real Estate Insurance Exchange does currently bind insurance for trades of businesses with property or some real estate component such as leasehold. The coverage however would likely only be extended to the real estate portion of the trade and not the goodwill, assets, or shares, so REALTORS® who trade in these types of properties need to ensure they have additional coverage from a 3rd party insurer for the business brokerage portion of the transaction. Where the transaction does not include a real estate component, or the transaction ends up being a share sale instead of an asset sale, REIX will not bind coverage for such trades.

Additional Considerations

Where a business is being sold through a share sale only, even if the business owns real property, no license is required to trade in these cases, so no insurance is available through REIX, and the Real Estate Act does not apply. It should be noted that some large share sales may even require a securities license to be able to represent the transaction, so legal advice should be sought in the case of share sales to ensure that the transaction does not require an additional license.

MLS[®] System Access

The MLS[®] system in Alberta is operated through the cooperation of 10 local real estate boards and these boards all agree on provincially harmonized rules for REALTOR[®] members. The provincially harmonized rules define a listing as “a record of a property for lease or sale by a Brokerage Member” which means any listing that does not have a real estate component is not permitted on the MLS[®] system. This does not mean the member cannot list it exclusively to their brokerage with broker permission, but it cannot be listed in the MLS[®] system.

What is an “As-Is, Where-Is” term and how should it be used?

Bryan Statt | Jan 16, 2025 10:08:11 AM | [Original article](#)

If you are selling an old washing machine, a car you pulled out of the back forty, or the old brick cellphone you had when you still had hair, you could use an “As-is, Where-is” term to ensure the buyer knows you aren’t providing any warranties on the item. This works well in the realm of personal property, but what about the realm of real property? Well, let’s consider the appropriate time and use of an “As-is, Where-is” term for real property.

When to use

There are times it is entirely appropriate to use an “As-is, Where-is” term for real estate. The most common of these situations would be where the person who has the legal authority to sell the property has never lived there and does not know the property specifically. For example, a bank-owned property would be a situation where the bank has no knowledge of the property because they never lived there and simply could not warrant the condition of the property to a buyer. Similarly, with a court-ordered sale, the judge isn’t going to inspect the property, or in a probate situation, the executor may have never even visited the property either. In such situations, it is not only possible but right to use such a term to signal to the buyer that they should seek additional due diligence conditions to satisfy themselves about the property, or alternately assume the additional risk with proceeding.

When not to use

Since there exist appropriate times to use “As-is, Where-is”, there must also be times when it would be inappropriate. This term can never be used to shield the seller from a known material latent defect. For example, if the seller knows that the basement floods every spring and feels that making a statement about the property being sold as-is to the buyer will protect them from liability the next time the basement floods, they need to think again. The disclosure of known material latent defects is a requirement of the law, and you cannot contract around a legal requirement.

How to use

In the standard AREA real estate purchase contract, the property is typically sold with the land and buildings, attached goods, and select unattached goods such as appliances. As part of the agreement, the seller warrants that on the completion day the attached and included unattached goods will be in normal working order. So, when using an “As-is, Where-is” term in the standard contract, it should be worded something like “The buyer understands that the property including land, buildings, attached and unattached goods included are sold in “As-is, Where-is” condition with no warranties expressed or implied by the seller.”. This type of a term makes clear to the buyer that even the goods, such as appliances are also sold under the same condition as the land and buildings, and they should do their due diligence in regards to these items as well.

Surgical Specificity

One additional use of this type of term is in a specific circumstance where both buyer and seller are aware of an issue, have dealt with it, and are willing to proceed but the seller wants to ensure the understanding is

codified in writing. For example, during the inspection, the buyer learns the dishwasher needs replacing but also realizes they forgot to include the storage shed in the contract. The buyer may in this scenario notify the seller that the dishwasher has an issue that requires repair, but they will take care of it themselves if the seller includes the storage shed in the contract. The seller could then instruct their REALTOR[®] to draft an amendment adding the storage shed to the chattels section, as well as a term that states “the buyer understands that the dishwasher is sold in “As-is, Where-is” condition with no warranties expressed or implied”. This allows both parties to get what they want and clarifies the agreement between them so there is no future confusion, as well as ensuring that the rest of the agreement is left unchanged.

Other Considerations

Unfortunately, the “As-is, Where-is” term is not simply a matter between buyer and seller, since you must always remember the golden rule, “He who has the gold makes the rules”. That’s right, if the property anticipates some level of financing, the lender may get nervous with the term, and require an additional level of their own due diligence, possibly in the form of an additional inspection or an appraisal. Similarly, if the insurance company that plans to insure the property learns of this term in the contract, they may also ask for additional information related to the property. One final consideration that could be serious for REALTORS[®] representing buyers of such properties, is that once the buyer agrees to such a term, many if not all of the protections offered to the buyer through the standard form contract relating to the property and chattels are effectively waived and they would have little recourse if a major issue arose.

As with any legal term, the “As-is, Where-is” term is a tool in the toolbox for buyers and sellers to use in the purchase and sale of real property for specific scenarios. Like any tool, its use, benefits, and risks should be fully explained before it is attempted in use to ensure the parties who are agreeing to it understand the implications of their decision.

What are the best practices surrounding multiple offers?

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What a wild ride it can be for seller, buyer, and their representatives when a listed property goes into multiple offers. The excitement, anxiety, emotion, and anticipation of the process can be overwhelming especially in regions where multiple offers are less common, however, it does not have to be that way if you keep some core principles in mind. Let's think through some of those high-level principles to help you through your next multiple offer situation.

Discussion

It may seem like a strange place to start but let's go back to the listing of the property. The material element of any transaction is the property, and the legal title holder is the one in control of the property so it stands to reason that at the time of listing a property for sale, there should be a conversation about multiple offers. At the listing stage, it is only theoretical of course, but it helps to discuss such a high-stress situation with the seller before they find themselves in that situation and on the horns of a decision. Discuss with the seller the expected processes surrounding multiple offers, specifically their feelings on the disclosure of multiple offers to other brokerages, along with the advantages and risks associated with the various options.

Timely and Informed

A good chunk of the heavy lifting is done if you have had the discussion regarding multiple offers at the time of listing but that is not sufficient for you to plow ahead in a real multiple offer situation based on the seller's instruction at the listing stage. That was in the land of make-believe before the situation existed but now faced with the situation you need to discuss it again to ensure their feelings or understandings have not changed. This is known as having a timely and informed discussion with the seller and you can take instructions from that conversation on how you proceed.

Honesty Rules

Under no circumstances, in any situation is a REALTOR® permitted to lie. A client is not able to instruct you to lie, and you can never lie to protect a client's interest, or your own for that matter. Honesty is the first and preeminent duty in every situation for a REALTOR® and can never be worked around. If a client instructs you to lie, you should inform them you are not able to follow that instruction, and should they persist, you must end the relationship. For example, if a seller has decided they do not want to disclose a multiple offer situation and has instructed you not to disclose it, but a fellow REALTOR® asks if there are any other offers, you are not permitted to answer "no", but you could answer "the seller has instructed me not to disclose any information regarding other offers". This is honest and complies with the seller's instructions.

In a multiple offer situation, the seller may be tempted to counter offer more than one offer at a time to move the process along more quickly, however, this is bad practice. Every time an offer is countered, it is a rejection of the original offer and the creation of a new offer that could be accepted by the party opposite. For this reason, countering more than one offer at a time puts the seller in a position to possibly sell their house twice

and create a legal dispute that never needs to happen. Discuss all offers with the seller on their individual merits and then choose one to counter or accept at a time. Slow and steady wins the race.

Conflict Confusion

Conflicts of interest can happen in multiple offer situations and require special attention. For example, provincially harmonized rules require the broker, or someone delegated by the broker, to receive and present all offers when the listing agent has a buyer interested in writing an offer on the property as well in a multiple offer situation. This is the best practice to ensure decorum and a level of ethical transparency in the process, but should the seller provide written instruction that they want the listing agent to present all offers then it is possible to do so. A word of warning though, a seller's instruction in this matter is not a free pass, the seller should be fully informed about what they are instructing to ensure that the instruction isn't for the benefit of the listing agent's interests over the seller's best interests which are obligatory as their fiduciary.

MLS[®] System Considerations

The MLS[®] system is the single greatest tool available for real estate in Alberta, and this system functions as a cooperative of member brokerages across Alberta. Many sellers choose to list with REALTOR[®] members because of the proven power of the MLS[®] system in putting their property in front of the maximum number of buyers through cooperative member relationships so it stands to reason that the average seller would understand the importance of working together with other REALTORS[®] to affect a transaction. For this reason, the provincially harmonized rules start from the default position that unless instructed by a seller in writing, the default process should be to disclose the existence of multiple offer situations to cooperative MLS[®] system members to help promote healthy competition over the property. It also pre-supposes that to seek such written instruction, the REALTOR[®] has had a fulsome and timely discussion about the subject at the time the situation arises.

Understanding that this article doesn't address every possible situation and how to handle it, I hope it helps to clarify some of the big parts of the process and how to manage the multiple offer situation with a seller client. Discussion, information, transparency, and honesty are the four main ingredients to make the multiple offer cake taste good to clients and REALTORS[®] alike, and when in doubt talk to your broker!

Under what circumstances does an agreement end?

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All good things come to an end they say, and the same can be said of agreements made between a brokerage, through their REALTOR[®], and a client. The clarity of how this can happen is crucial to the clear understanding of the parties. It is a simple fact agreements start and end within a season of representation, and in real estate, the ways this can happen must be detailed in the agreement itself. Let's take a quick look at the various ways agreements can end.

Successful Sale or Purchase

Single-handedly the most common way an agreement would end would be the successful sale or purchase of the property anticipated by either the seller or buyer representation agreements. This means the brokerage has satisfied its responsibilities to the client and the client has accomplished their goal through the agreement. Once the transaction is complete, the obligations of the brokerage and the client end with each other, but in the case of the representing REALTOR[®], they are always glad for referrals from happy clients!

Mutual Agreement

As it goes with relationships sometimes, they don't always work. This could be a personality conflict between the REALTOR[®] and the client where both parties mutually agree the relationship just isn't working, or something has changed in the client's ability to buy or sell. In such situations, the brokerage and the client can simply agree in writing to mutually end their relationship, but perhaps still be friends. Sometimes this results in the client choosing a new brokerage that is a better fit for them, and the brokerage understands that is for the best.

Brokerage Issues

Real estate brokerage in Alberta is a business, and as with any business, there is always a possibility of failure. In situations where the real estate brokerage business fails financially, by way of receivership, bankruptcy, or insolvency then the parties agree they would no longer be financially viable to maintain the representation capacity required in the agreement so it would dissolve immediately. Additionally, if a brokerage has its license suspended or canceled by the regulator, the brokerage would no longer have the legal ability to trade in real estate, and the agreement would dissolve immediately.

Bad Behaviour

As a contract formed in common law, the buyer or seller representation agreement requires certain responsibilities of both the brokerage and the client. These responsibilities detailed in the agreement themselves form part of the agreement, so where one or more are substantially breached by either the brokerage or the client a provision is included to dissolve the agreement. This requires written notice from the damaged party to the breaching party of what specific portion of the agreement has been substantially breached and that the damaged party is giving notice that the agreement is ended immediately. As one may assume, this can be cause for legal action and should only be pursued under the advice of legal counsel to help determine if the breach is substantial.

Board Backlash

When a REALTOR® on behalf of their brokerage engages either a buyer or seller to provide services to help them buy or sell property, there is an expectation that a significant amount of the value the brokerage brings to the relationship is their connection to the real estate cooperative, board or association including the use of the MLS® system to search or list a property for sale. In situations where a brokerage ceases to be a member of the real estate board by discipline, or choice but remains a licensed brokerage under the act, it can be inferred that a portion of the value a client was contracting for is no longer available to them. If the client determines this is the case for them, they may at their own discretion give notice to the brokerage they are ending the agreement due to the change of their membership status with the board, and the agreement is ended immediately.

It should be noted that if for any of these reasons the agreement is ended between the brokerage and the clients, the rights of the parties will remain in effect and legal advice should be sought to determine the next steps for the client. Brokerages and their REALTORS® go above and beyond every day in service, expertise, and professionalism to live up to the expectations of the agreement, but good contracts make good relationships and by establishing these rules of play at the onset of the agreement, ensures stability and accountability in the relationship.

What is the difference between clients and customers?

Bryan Statt | Jan 16, 2025 10:05:14 AM | [Original article](#)

The terms client and customer are largely interchangeable in our daily lives. Client sounds fancy and customer is somewhat more pedestrian. In a boutique shop, a clerk may say “our clients demand the best quality” while in another shop you may be told, “I’m just finishing up with a customer and will be right with you”. This interchangeability has bred confusion among consumers about what these terms are intended to mean and the implications that follow in a real estate context. Let’s take a few minutes to work out some key thoughts on this issue.

Words Matter

One thing that has been lost in our video-crazed society is that words matter. What words you choose to communicate to another person have a real effect on their perception, understanding, and gravity of the idea communicated. Anyone who tells you words simply don’t matter will need words to tell you that and should pause for the irony. In real estate, the words chosen when relating to a consumer as either customer or client have weight and even legal import. Make a habit of using the correct term to keep your role clear. The term client is only reserved for those consumers who have entered into a service agreement, generally a written service agreement for the provision of real estate services. This service agreement will include some level of obligation upon the brokerage and its associates often with a full package of legal fiduciary duties owed to that consumer for a period of time. The term customer on the other hand is used for everyone else who has not engaged the services of a brokerage but only contacted them for some real estate purpose or information generally.

Know Your Role

There is a huge benefit in recognizing the role of a REALTOR® in any consumer interactions regarding real estate. Where you have a client seller for example and the buyer contacts you about the seller’s property, a pause to check your role is helpful to remember your fiduciary duties are owed only to your client and not to the customer who has placed the call. Your obligation is to guard the client relationship with zeal and professionalism promoting your client’s best interest first and exclusively. To the customer you must be honest, and act with professionalism and integrity, ensuring that any information you provide to the customer is accurate... that’s it. In fact, so stark is the difference between client and customer the regulator insists that if at any point in such a conversation that the consumer unwittingly begins to discuss information that could be considered personal or confidential, you must stop them and explain agency relationships to them using the Consumer Relationships Guide produced by the regulator.

Who Would Choose Customer Status

If client relationships are superior in their provision of services and protection of the consumer in a real estate transaction, why would anyone choose customer status? A valid question but there are times when it can make sense. Where a seller has chosen to exercise their right to sell their property themselves without the help of a brokerage, but a REALTOR® has a buyer client for that property, the seller must disclose the nature of their choice and how the REALTOR® will be zealously promoting only the interests of their buyer client in

the transaction. This should be done by reviewing the Consumer Relationships Guide with them, and the use of a written Customer Status Acknowledgement form which the seller signs to ensure they understand the role of the brokerage positioned against them. Additionally, in a situation where a property is listed with a brokerage and a buyer believes they have the experience and knowledge to negotiate and manage the transaction themselves without the help of a REALTOR®, they too would need to be disclosed the risks, the role of the brokerage, and acknowledge they understand by the same method mentioned above.

Additional Considerations

Customer status should generally be thought of as the rare exception in the options of real estate relationships for two key reasons. First, it is unusual for a consumer to choose customer status, being fully informed of their choice to divest themselves of the protections afforded them through a client relationship, and their position of disadvantage when up against a party who does have the representation of a REALTOR®. Convenience is never a good motive to suggest such a thing to a consumer, but instead, a fulsome transparent understanding of their choice is required. Second, the customer status option is a REALTOR® trap. REALTORS® are nice people and want to help, it's what we do, however where someone is in a customer relationship, the customer must know you cannot give advice or judgment at all since advising a customer could negate your customer status with them and create an implied agency relationship. For example, if the customer asks, "should I ask for the freezer in the basement" you should answer "I can't answer that, do you want to ask for the freezer in the basement?". Keeping the relationship as a customer relationship takes work against the natural intuition of the REALTOR® and should be managed carefully.

Specialty brokerage models notwithstanding, customer status should be thought of as a tool available in the toolbox, but one of those weird specialty tools you use rarely unless you are doing a special project. When discussing agency relationships, the key job is to ensure the consumer is fully informed so they can make the choice that best matches their understanding of what they expect. Most conflicts arise because a consumer's understanding of the relationship does not match the paperwork they signed resulting in unmet expectations and frustration. Once the relationship forms as either a client or a customer, work hard to ensure you abide by the obligations and prohibitions required of the different relationships.

What should I know about UFFI insulation in homes?

Bryan Statt | Jan 16, 2025 10:04:10 AM | [Original article](#)

The Honorable Peter Lougheed is the Premier of Alberta, The Montreal Canadiens win their 18th Stanley Cup, and construction begins on the CN Tower. For the trivia buffs out there, the year is 1973 and in October of the year, the Organization of Arab Petroleum Exporting Countries (OPEC) begins an oil embargo against the USA and all its allies including Canada, because of their support of Israel in the Yom Kippur war of 1973. Although Alberta had oil to sell, the industry was primarily owned by American companies, so Alberta sold oil to the USA at a fixed price, and Canada bought it back at a rising global price. This prompted the Trudeau government to institute three notable policies, first, it set a fixed price that consumers could be charged for oil, second, it built a plant to develop synthetic oil known as Syncrude in partnership with Alberta and Ontario, third, it created Petro-Canada as a nationally controlled oil company, all leading to the eventual creation of the National Energy Program.

History

I will drop the political narrative there to keep Alberta heads from exploding over how those policies ended up, but more in line with this article, Canadians were extremely afraid of an energy shortage through the winter months should such an embargo happen again. Added to that, the increasing energy costs was a big problem, so the government instituted a grant for increasing the energy efficiency of a home, and Urea Formaldehyde Foam Insulation (UFFI) was included in the approved list of upgrades in 1977.

Invented in the 1950s and gaining wide use in Europe starting in the 1960s, UFFI was an easy retrofit material because it could be applied to existing wall spaces with only a small injection hole. The foam would expand in the cavity and cure (harden) solid filling the entire space even around electrical wires, receptacles, etc. eliminating drafts. By adding UFFI to the grant program, Canadians were incentivized to install this insulation and over 100,000 homes jumped on the opportunity. Unfortunately, by 1978, stories started circulating about adverse health effects that could be caused by UFFI installation, and by 1980 – at breakneck speed in government policy terms – a full national ban was instituted on its use. In fact, as a knee-jerk reaction to public angst, the government of Canada started a removal and remediation assistance program in 1981 which ran through 1986, the cost of the subsidy running around half a billion dollars in the 80s!

The Problem

Ironically, the problem was largely a public relations problem for the federal government. What I mean is that to date, no court has awarded damages to any consumer because of UFFI installation anywhere to my knowledge. The original claim that prompted panic was that after installation of UFFI, the off-gassing of the foam as it cured was releasing formaldehyde into the home at toxic levels. Although it was proven that the off-gassing produced elevated formaldehyde levels, it only lasted a few days before the air would test at less than one part per million. As a result of increased testing, it was found that since many other building materials used, and still use urea-formaldehyde resins such as wood adhesives in the manufacture of pressure-treated wood products, medium density fiberboard, hardwood plywood, as well as textile treatments like drapes and curtains, the continuing formaldehyde levels in UFFI homes were comparable to levels in non-UFFI homes.

Regardless, the stigma endured and even a case that made it to the US Court of Appeals in 1983 was unable to present evidence of significant health effects due to UFFI off-gassing and overturned the US ban on UFFI use in the US where UFFI is still installed today. As a side note, UFFI was never banned in Europe and continues to be legal and used for specific applications.

The Solution

As of the writing of this article, UFFI is largely a dead issue in Alberta, despite it remaining on the tongues and minds of many boomers and Gen Xers. In 1993 CMHC stopped requiring a UFFI declaration for housing purchases. As it turns out the unspoken issue of UFFI was that it turned out to be a lousy insulation product in the long term since it was found to shrink as much as an inch and is also susceptible to breakdown in the presence of water or elevated humidity supporting mold growth and decreased insulative capacity. If you find that your home contains UFFI during a renovation, for example, the solution is to plan to have it removed and replaced with a superior product. Modern spray foam insulation is primarily polyurethane based making for an excellent long-term insulator that also provides a vapor barrier against moisture. Traditional methods of fiberglass batting, stone batting, blown fiberglass or cellulose insulation are all good options based on the application.

How to tell if you have UFFI in the home

If the home is built after 1980 it is highly unlikely that UFFI was used anywhere in the home at all since its use was banned in Canada that year, and ever since. Homes built before 1980, especially older homes that could've benefited greatly from increased insulation could have some UFFI which may be indicated by a dark yellow foam found in the basement by looking up into the joist spaces near the exterior walls which may have oozed out the of the exterior wall space during installation. Additionally, any plugs or switches on the exterior walls of the home may have some foam inside the receptacles in the wall. UFFI was installed almost exclusively from the exterior, so a licensed home inspector may notice injection points in the exterior masonry for example, but you may need a trained eye to see them.

Great things came out of the 1970s as my generation can attest to, however, UFFI was not one of them. In my practice, the most common place I used to run up against the issue was when a parent or grandparent was trying to advise a young person or couple about what to look for when they were buying their first home in an older neighborhood. They mean well, but arming folks with the facts apart from the media and public relations hype of the time can help, coupled with the recommendation that they hire a licensed home inspector to help them navigate the home's condition and issues.

Where do deposits go and how are they used?

Bryan Statt | Jan 16, 2025 10:02:58 AM | [Original article](#)

Deposits for purchase, or “earnest money” is an old, old concept. In ancient Greek society, the word “Arrabon” was used for a sum of money or valuable goods held as security against the completion of the larger and final transaction. In modern Greek, the word Arrabona refers to an engagement ring! More interesting perhaps, the concept of earnest money may even go back further, several thousand years before ancient Greek where middle eastern peoples, who only typically had one pair of sandals, would give one of their sandals as a guarantee of the final transaction as they got together the necessary money or goods to complete the transaction. The idea was that they couldn’t walk comfortably until they completed the deal they made. History lesson aside, this should help us in thinking through the modern-day use of the real estate deposit.

Not Consideration

A common misconception of many folks regarding the real estate deposit is that it is the consideration of the contract. Consideration is one of the requirements of a legal contract under the law which basically means “In consideration of a bundle of goods provided by party A, party B will give value in exchange”. Without legal consideration, a contract is not enforceable, which has many diverse consequences when the deposit is believed to be the consideration. To be clear, in real estate contracts the consideration is the money or other value paid to the seller by the buyer in exchange for the transfer of the title for that property. Many who mistakenly believe the deposit to be the consideration of the contract, also mistakenly believe that the failure of the buyer to deliver that deposit money after signing a contract has not ratified that contract and are free to walk away. FALSE! Once the contract is signed and communicated between the parties they have legal obligations to each other, either to fulfill their conditions or in the case of unconditional offers to close on the property whether or not the deposit is ever received.

Trust and Trustees

The modern real estate transaction is complex and dynamic unlike days of the past, and one of the ways the contract maintains fairness regarding the deposit money is to use a trustee agreed upon by the parties, who is obligated by law to follow the terms of trust outlined in the agreement itself. In most transactions conducted through a REALTOR®, it is common that one of the real estate brokerages is named as the trustee of the deposit money, and the broker of that brokerage is the effective trustee who must follow the terms of trust exactly as agreed by the parties in the contract. This means that the trustee must set aside all personal interests, and interests of their client in managing the deposit money mechanically using the terms of trust in the strictest sense. To do otherwise would place the broker and the brokerage in violation of Alberta law and liable for damages suffered by any party who was harmed by their negligence in fulfilling the terms of trust exactly as agreed.

Refunded to the Buyer

In a typical transaction, a buyer gives deposit money to the trustee at an early stage of the signed agreement. Although not required by law to make a transaction binding, the seller will normally not accept an agreement that doesn’t anticipate some level of deposit as security that the buyer will complete the transaction. To instruct the trustee, the buyer and seller agree in the standard AREA purchase contract that the deposit will be refunded to the buyer, without prior notice, if one of four specific scenarios happen during the transaction.

First, if the buyer has conditions in the agreement and they choose not to waive or satisfy those conditions, the deposit is refunded to the buyer. This stands as a protection for the buyer's money where the seller has agreed to conditions for the sole benefit of the buyer. Second, if the seller is not able to produce confirmation that a non-owner spouse is willing to allow the trade, the buyer has a way out by voiding the contract after the date specified in the Dower section. If the buyer does exercise this option because they do not feel confident the seller is able to complete it, the deposit goes back to the buyer. Third, in situations where the buyer fails to pay an additional deposit anticipated in the contract and the seller chooses to exercise their void option, all previous deposits are paid to the buyer because the seller ended the contract at their will. Fourth and finally, if the seller fails to perform the contract the deposits are to be restored to the buyer because the seller did not fulfill their end of the agreement. These four scenarios are plain and clear moments that the trustee need not hesitate to refund the deposit money to the buyer.

Paid to the Seller

The deposit money paid by the buyer will form part of the purchase price and ultimately be paid to the seller in the successful completion of the contract, however, the AREA standard purchase contract only anticipates one scenario where the seller keeps the deposits apart from a separate completion of the agreement. If the buyer, who signs the agreement and subsequently waives or satisfies all of their conditions, is unable or unwilling to complete the contract the deposit money is paid to the seller. This is only the first of many remedies available to the seller in such a situation, but the knowledge of this clause should prompt the seller to seek significant deposits, and the buyer to understand the gravity of the situation where they do not complete the contract once it is unconditional. It is not uncommon for the seller to use the forfeited deposit money to retain legal counsel and pursue the buyer in default for additional damages and costs allowed for in the contract.

In recent years I have noticed a decrease in the value of deposits to the great detriment of the industry in general, but the gravity of respect for the contract made specifically. A clear understanding of the terms of trust and the process for managing deposit money should give confidence to REALTORS® and clients alike in supplying the deposit for purchase.

What should I know about knob and tube wiring in homes?

Bryan Statt | Jan 16, 2025 2:32:42 AM | [Original article](#)

Maybe I am simple, but the wonder of electricity has never been lost on me. I am fascinated by the amazing things we have been able to do with the movement of electrons through a wire from one end to the other. I know it's not likely anything most folks think about but take a second to consider how magical it must have been the first time a home could be lit up at night by turning a switch if you had never seen such a thing before. The earliest form of harnessing electricity and making it do what you want was using a system called knob and tube. There are several homes in both urban and rural contexts that still have this installed and it bears a basic understanding of the issues. Although I am not an electrician, let's consider knob and tube as it relates to facts and practice.

History

The early days of electricity were primarily expositions and scientific displays, where large crowds gathered to see instant lights spring to life simultaneously to gasps and applause. It didn't take long for governments to realize they would need a network of wires, today this network of wires is referred to as an electrical grid to service businesses and homes. The earliest of these installations were called knob and tube where porcelain "knobs" carried a single wire along wooden joists, and "tubes" carried the wire through the joist where necessary. Because two wires are required to make a circuit, the knobs and tubes would generally run parallel separated by four to six inches so they could not touch.

Due to this being the system used by early electrical pioneers, it was the standard in building wiring from the early 1900s when homes first started getting electrical wiring, until the late 1940s! The expert who harnessed and installed this new, mysterious, and at the time scary system was called an electrical technician, shortened to the term electrician, used today to refer to those qualified and licensed to install and maintain electrical systems.

The Problem

Actually, the strange part about the knob and tube system is not that it is dangerous in itself and is even today included in the Canadian Electrical code as acceptable when left alone, but obviously not for new installations. The issue that has arisen for knob and tube is partially because of its longevity, as the wires themselves were coated with a rubber and tar insulation with a braided cloth jacket that gets brittle as it ages. Once brittle, any movement of the wire will cause the insulation to crack and flake off leaving bare wires exposed and open to a possible short or electrical shock when accessible.

To compound the issue, a home built over 100 years ago is unlikely to remain without any upgrades which means as new electrical circuits are added, the original knob and tube can be disturbed causing the insulated casing to flake off. Also, with upgraded insulation in the walls or ceiling, often times knob and tube wires can be covered and hidden. Any accidental touching of knob and tube wiring can be an electrifying experience and because of the likelihood of handyman alterations over 100 years, most homeowner insurance policies will not cover homes that have knob and tube wiring anymore unless a plan is made for immediate replacement.

The Solution

Modern wiring solutions function in the same way as knob and tube, except the wires are brought close together and encased in permanently flexible plastic insulation, including also a third ground wire since about 1966. Circuits must be adequately sized to ensure the wires don't overheat before tripping a breaker, and by binding the wires in a single cable they have superior strength against breaking and stretching. For this reason, the only true solution is to run new wires and circuits to replace old knob and tube circuits.

Fortunately, original knob and tube circuits can usually be abandoned at the source and do not need to be removed, simply staying in the wall or joist space while a new wire is pulled. Unfortunately, however, this will usually also require a new breaker panel, plugs, switches, and fixtures, plus more times than not the exterior service from the municipality is undersized for modern needs and should also be upgraded at the same time.

How to tell if you have knob and tube wiring

Well, this is a tricky situation. Most often a home inspector will see old knob and tube circuits in the joists of an unfinished basement or in the attic space which are a clear sign that there is likely knob and tube in the walls. Additionally, a giveaway could be old plugs with only two prongs and no third ground hole since the knob and tube system doesn't use ground wires, although two prong plugs endured into the 1960s. As a final thought, if the property is built between 1900 and 1950, it is a good idea to bring in an electrician to give you advice on the system as part of your buyer's conditions.

If you made it through the whole article, you should have a feel for the pitfalls of knob and tube wiring but know enough to identify it if you see it and know to contact a licensed electrician.

As mentioned, most insurance policies for homeowners will not cover for knob and tube wiring so it is a problem that once identified needs to be brought to a licensed electrician for advice on remediation. To be fair, it was used for over 50 years in application, so a few extra weeks getting quotes and arranging remediation shouldn't cause any panic or overreaction on anyone's part.

What is rural and what is rural residential?

Bryan Statt | Jan 16, 2025 2:31:43 AM | [Original article](#)

Country life is romantic to many Albertans. Elevated in country music, paintings of endless wheat fields and rolling hills, or photographs of turn-of-the-century barns, many Albertans live in rural settings, and many others wish they could. So when it comes time to buy or sell this dream in the form of a lovely residential homestead, who is able to represent a buyer or seller?

In Alberta, the regulator licenses individuals in four different real estate disciplines: residential, rural, commercial, and property management, and while many REALTORS® have all four designations, it is very common to have only one or two of these designations. Under consideration, this is where “Rural Residential” fits into the picture between residential and rural, so let’s jump in and see if there are some principles to follow.

Broker decision stands

It should be clear at the outset that the only individual in the brokerage who has the authority to determine what license designation a REALTOR® needs for a specific property is the broker. There are a few considerations that can help in the brokers decision-making process.

Income

Land-generated income is the first pass question. If the property, no matter how big or small, or in whatever zoning classification, is producing an income, it should be handled only by a licensee holding a rural license designation, or in some cases even a commercial designation. This income could be a grazing lease, hay lease, cell towers, oil, and gas, etc. but regardless of what it is, a residential designation is not equipped to handle such circumstances.

Competency

All REALTORS®, as members of the Canadian Real Estate Association, and licensees under the act must provide competent service, and that is not what is in view here. The broker will use the competency metric based on past experience, level of expertise in the area, etc. to make a determination on whether even in a situation where a REALTOR® may have the proper designation, they are competent to fulfill that duty effectively. For example, a newly licensed rural associate may be paired with a more experienced associate on a complex working farm transaction. Additionally, a REALTOR® who holds only a rural designation is not qualified to handle strictly residential properties either which should be kept in mind. If the broker believes the associate is competent to advise on the type of property they will proceed to consider other factors.

Likely Use

It is primarily the use of the property that the consumer is concerned with and expects help representing. For example, in a seller representation situation, if the property is currently only used as a residential dwelling, but does have the possibility of haying or grazing 80 acres, the likely use of a potential buyer is rural and the seller’s rep will likely need to field rural questions which would require a rural license. In a buyer representation situation for example, if the property being considered is 80 acres of trees with only five-acre

yard site, but the buyer indicated they would intend to clear the land for cattle, the buyer would need advice about rural issues, which would require a rural license.

Current Use

An additional consideration is current use. For example, in a seller representation situation where a 20-acre property mostly treed with a five acre yard site is to be listed. It could be determined that the current use is the same as its most likely use. Similarly, in a buyer representation example, a buyer client may be moving out of the city and finds the perfect place on 40 acres all treed with a little home tucked away in the back. Their only intention is to live there and not farm so their intention matches the current use.

Land Use Zoning

Land use zoning is commonly considered the primary indicator of which license designation is required, Zoning can help in determining possible likely and allowable uses, and maybe even current use, but oftentimes agricultural (AG) zoning remains on properties that are clearly only residential simply because the municipality hasn't changed it.

Property Size

In some cases size can be telling. For example, no one buying two sections of farmland (1,280 acres) is buying it only to live in the little house on the prairie. There is obviously going to be a desire to use the land to generate an income and that would be a rural licensing requirement.

It is worth understanding that some lenders may classify properties differently than the brokerage does, but that shouldn't affect the ability of the associate to manage the transaction, only the way the buyer gets their financing done.

Although I have laid out some of the most common questions in the rubric that could be used by a broker to help determine if one of their associates has the correct licensing designation to help with a certain property, there could be others. Alberta is varied in all regions and markets and each broker will need to use their own grid to work out the issue for their brokerage. Associates who want to avoid this issue altogether would do well to take both the rural designation and the residential designation courses and then there is no issue. Save a broker, take the education!

What should I know about Poly-B piping in homes?

Bryan Statt | Jan 16, 2025 2:30:32 AM | [Original article](#)

Polybutylene is a plastic resin that was manufactured into water supply piping for use in new construction. Commonly referred to as Poly-B, these water supply lines in homes carry a stigma that seems to be far-reaching despite their relatively short usage time frame. In my former practice, I had clients who ranged from “who cares?” to “are there any life jackets available for the showing just in case?” and although I am not a plumber, I will try to give a clear explanation of the facts so you can help your clients to know when to seek professional advice from a plumber.

History

Poly-B was developed and approved for use in the USA as early as 1975, at a time when copper prices were very high. The standard at the time for home plumbing systems was copper lines with copper joints, which all had to be soldered. This copper piping system not only used a lot of expensive copper but was time-consuming in soldering, measuring, and cutting. Because of copper's rigid structure, it requires many joints and elbows to go around corners. All these factors led to the development of a great idea, namely plastic piping, which was cheap to manufacture, light weight to transport, had some additional flexibility, and required no soldering at all! This caught on right away and became an instant hit, making its way to Canada as well for wide distribution and use in residential and commercial applications as early as 1978 but with wide appeal during the years 1985-1997. In 1998, the Polybutylene resin stopped being manufactured, at least partially because of complaints that some early and potentially improper installations were failing, and ultimately, the Canadian plumbing code removed Poly-B as a viable material for use in 2005.

The Problem

According to the Government of Alberta, unconfirmed estimates have/had 148,000 homes in Alberta with Poly-B water pipe installations, however, Alberta installations were primarily done with brass or copper insert fittings and soft copper crimping rings. Most of the installations that had fast failures, prompting class action lawsuits, used plastic fittings and crimps. Several factors have been found to lead to the relatively fast failure of this piping, plastic fittings and crimps are one, but the more serious ones are high chlorine water supply, prolonged UV exposure, and prolonged exposure to the high heat of the water or the surrounding environment. By these and other factors, the pipe can get brittle over time, and is accelerated by the factors I mentioned. Once the pipe is sufficiently brittle, it only takes a small movement in the line through sudden pressure change, being bumped, or even through temperature changes, and the line can split or crack, resulting in potentially major water damage.

The Solution

The fact is that Poly-B pipe most often does not change colour or appearance as it deteriorates, so, like other plumbing systems, there is no early warning if there is going to be a problem. To be fair, all plumbing systems have a life span, and even copper is rated for only 50 years, but with installations lasting double that without problems. Poly-B installations seem to have a somewhat predictable lifespan, commonly lasting 20-30 years with proper installation and not having any of the accelerating factors mentioned. Full disclosure, my own

home was built in '94 and still has some Poly-B, although none of the aggravating factors. It stands to reason that if the factors accelerating failure are present, that failure, by the odds, would have likely happened some years ago; however, the only long-term solution is to replace the piping with a modern system like PEX. This can usually be done with minimal damage and often at a cost much lower than imagined when using a qualified plumber (get several quotes), especially one specializing in Poly-B replacement.

How to tell if you have Poly-B piping

The easiest way to check is to find an exposed pipe, most commonly in the utility room, and look at it. Poly-B has a characteristically light to medium grey color but was also made in black, blue, red, and silver. The permanent writing on the piping itself will usually have a code that starts with "PB", the most common seems to be "PB2110". It is not uncommon for consumers to see PEX piping, which is the current standard, and think that because it is plastic it must be Poly-B, but Poly-B will normally have copper elbows and connectors and joints to make corners, but PEX most often does not require such connectors since it can bend, and PEX is normally a white translucent color, or opaque blue or red. As a rule, if the house is built between 1980 and 1998, and you see grey plastic pipes in the utility room, it is likely Poly-B and you should inform your clients so they can plan for a plumber to cost out a replacement.

Insurance Issues

Recently, the insurance industry has started taking a harder line on Poly-B piping in homes, asking the question about this in their surveys and occasionally refusing to insure or charging a higher premium for coverage. Since we are nearing the upper limit of the economic life of the late 90s installations, it appears the insurance industry is making a concerted effort to clean the remaining Poly-B installations off their actuarial tables, and insurance companies are altering coverage to match this push. Some insurance companies will give you time to replace the piping if you install flood detection or automated valves to shut off the supply in the case of a breach, but you will need to discuss this with your insurer.

Poly-B is one of those excitement deflators for REALTORS®. You find your client a great mid-90s home that checks all the boxes and shows beautifully, but when you make it to the utility room during a showing, that grey color pipe sucks all the wind out of your sails. In that situation, the best thing you can do is make your clients aware, provide some basic information that you know, and suggest a condition in the offer that allows them to get professional advice and a few quotes for replacement before they are committed to the home. If everything else in the home works, Poly-B should not be a deal-breaker or source of unnecessary fear, just one more point of negotiation.

What are best practices around electronic signing?

Bryan Statt | Jan 16, 2025 2:27:58 AM | [Original article](#)

The world has changed. This is a statement that holds true perpetually in real estate, but especially concerning the technology used in the practice of real estate today. Electronic lock boxes, advanced MLS[®] systems, big data analytics, and even the advent of NFTs in some jurisdictions, are all examples of how the old systems have been outmoded for the sake of security, efficiency, and convenience. To be clear, the skills required to be a REALTOR[®] remain primarily relational, even though all these technologies have made the process different; sometimes for better and sometimes for worse. Like any tool, technology can be used in the right and wrong way, one of the tricky tech tools to navigate is electronic signing. Let's consider some of the best practices around electronic signing to ensure the tool is being used to its highest and best use.

The Right Tool for the Right Job

Real estate is a heavily regulated and legally weighty industry. When contracting between parties many different legislations are brought to bear on the contracts at various times and with various gravity. When choosing an electronic signing platform, essentially a REALTOR[®] is looking for a tool that will replace the legal weight of an ink signature and this should be done carefully. Any signing platform used should restrict the ability to alter the document after the signing of the parties, provide a validation or authentication certificate for the signing activities, and provide a true flattened copy to all parties after signing. With the availability of multiple applications today, these should be the basic criteria you look for before deciding on the best application to use.

Legal Enforceability

To date I haven't heard of a precedent-setting case regarding electronic signatures in Alberta, however, Alberta does have an *Electronic Transactions Act* which legislates this activity. In the AREA contracts, the parties additionally agree between them that a digitized signature will have the same function as an ink signature. This agreement between the parties allows that if an electronic signature, as defined by the *Electronic Transactions Act*, is used then it will function in the same legal way as if the person signed it in person.

Relationship Considerations

As a matter of best practice, core relationship agreements should be treated with a higher level of service. These would be the buyer representation or seller representation agreements establishing legal rights and responsibilities between parties as well as a creation of an offer to purchase. These types of agreements must be reviewed carefully with consumers to ensure they understand their rights and obligations before signing to ensure a REALTOR[®] obligation of competent service is promoted. In practice, this should look like a comprehensive review of each section of the agreement to clarify and allow for questions, either in person, or using a one-on-one interactive technology such as FaceTime, Zoom, Skype, or similar applications the client is comfortable with. Only after such a comprehensive meeting should the documents be signed either in-person or electronically, never leaving the review of such important legal documents to the consumer to view by themselves, on a smartphone before clicking submit.

Witness Signatures

In Alberta, the validity of the contract is not tied to the necessity of witnesses to the signing. AREA contracts allow for witness signatures; however, this is designed for in-person signing where the REALTOR® or someone else physically present, and watching the signatory sign, can acknowledge that they witnessed that event. When electronic signing is used, there is no way to verify who was in the room when the signing happened so there should generally not be witness signatures. As a matter of law, if the person didn't physically see the consumer sign, they are not a witness and should not sign as one, electronically or otherwise.

Check and Double-Check

One of the complex issues surrounding electronic signing is the placing of initial blocks, signature blocks, and signing dates which is a function of the REALTOR® setting up the signing. Once the document has been prepared with the necessary information and all the signing and initial blocks placed, take one final pass through the document slowly to ensure that all the information is there, as well as all the necessary initials and signatures. If one gets missed there is no one else to blame, and it could become a serious issue in a hot market.

Electronic signing is an incredibly powerful tool for the time deficient REALTOR® who is already pressed on all sides to bring increased value to their clients. By using electronic signing to quickly gather necessary signatures for all parties scattered around different locations a REALTOR® can solidify agreements the parties have made. When used correctly and not to compromise or bypass the proper advising and teaching role of the REALTOR®, electronic signing is a valuable tool. Every tool is useful for the right job, but when a good tool is used in the wrong way it can be a disaster.

What should I know about aluminum wiring in homes?

Bryan Statt | Jan 16, 2025 2:26:53 AM | [Original article](#)

The harnessing and distribution of electricity has improved our lives in ways that cannot be understated. In our homes today, you are inconvenienced if one of the eight outlets in your bedroom is six inches further than your smartphone cord can reach from your bed. We take for granted this marvel that delivers almost unending power on demand to every corner of our homes and lives, but a discovery of aluminum wiring in a home causes people to gasp and faint in horror. While I am not an electrician, I will explain the issue from a real estate practice perspective for easy digestion.

History

Copper is widely known as one of the best electrical conductors readily available to the marketplace and has been used in wiring applications since the discovery of electricity. During the 60s, the demand for copper as well as its price was skyrocketing, making the use of copper wiring cost prohibitive. There was an alternative already approved for use in wiring applications, and that was aluminum, a much cheaper alternative with ample supply at the time. Although aluminum is not as conductive as copper, this could be compensated for by using larger gauge wire to move the same current safely and that is what was done. Between the early 60s and the late 70s, aluminum became widely used as wiring material for homes throughout North America.

The Problem

Aluminum had some differences in installation which were not always followed strictly by the installers. Aluminum required more care to prevent nicking or breaking of the wire itself or the sheathing, and special plugs and switches were designed to use aluminum wire. Especially in the early and late years of use, when the industry was transitioning into and out of aluminum wire use, the specialized plugs and switches weren't readily available, or more expensive and anti-oxidization compounds were not widely used.

So, what is the deal with these extra requirements that copper didn't need? Aluminum is not as good of a conductor and the resistance in the alloy produces more heat than copper naturally, which is why the larger gauge wire was used to compensate. When copper oxidizes its oxidation is also a good conductor of electricity, but unfortunately when aluminum oxidizes, its oxidation is not a good conductor leading to increased resistance and more heat. To add to the problem, aluminum oxidizes not only in the air but mainly in contact with other metals so as basements were developed in the 80s and 90s and wired with copper, those junction connections between aluminum upstairs and copper downstairs also caused this oxidation heat issue. If that wasn't enough, aluminum also expands and contracts at a different rate than copper and brass, so when twisted with copper in a junction box, or screwed down on a brass terminal for a plug or switch, the expansion and contraction of the aluminum with its heat resistance issues cause the aluminum to work its way out of these connections over time. This condition is called "Cold Flow" and will eventually cause arcing as the electricity tries to jump from the loosened wire to the connection with can cause heat, sparking and fire to surrounding flammable building materials.

The Solution

Well, now you know the problem so the solution must be to rewire the whole house, right? Not at all, aluminum wire in the walls and ceiling is not the issue as I explained. The issue is primarily in the connection to other metals such as incorrect receptacles or joined to copper connections, so the simple solution is to correct those connections. The most common form of this remedy is a practice called “pig-tailing” which should be done by a licensed electrician. Basically, all the plugs and switches in the home are removed from the wall and a short piece of copper wire is connected between the aluminum service in the wall and the plug or switch itself. The connection between the aluminum and copper wire is made using a specialized wire nut and an anti-oxidizing compound. Then the new copper-rated receptacles can be placed back in the wall and are safe. A licensed electrician will also determine if junction boxes contain copper and aluminum connections which also require correct wire nuts and anti-oxidation compound.

How to tell if you have aluminum wires

Well, vintage should be your first hint. If the home is built between 1960 and 1980, or close to that, you should take a quick peek at the electrical panel. The wires coming out of the electrical panel will typically have printing on them every 12 inches and if they are aluminum will often have the abbreviation AL or ALUM or some variation of that. If you can't tell that way, an electrician or licensed inspector can determine for you by opening the panel or checking certain receptacles.

Insurance

At the time of writing this article, I have yet to hear of an insurance company that requires a house to be rewired from aluminum to copper. The main reason is that there is nothing wrong with aluminum wiring when installed properly and using the correct receptacles. In fact, the current electrical codes still recognize both copper and aluminum wiring as acceptable, although aluminum wire in household gauge is not manufactured anymore because of the stigma attached to it. It is normal however for an insurance company to require pig-tailing to be done within a certain number of days of the possession of a property to protect against the possibility of poor installation or bad connections.

Aluminum wiring has been largely unmarketable since the 70s and therefore not profitable for manufacturers to make it, or its specialized receptacles. The existence of aluminum wiring in a home is not a poison kiss, but an opportunity for a REALTOR® to educate their buyers and sellers about the facts surrounding this, and to know enough about the subject to determine when a licensed electrician should be consulted. If the fix has not already been employed, it is relatively cost-effective, quick, and hardly inconvenient so there is no reason to wait on getting it done.

What remedies are available when a party defaults on a purchase contract?

Bryan Statt | Jan 16, 2025 2:25:51 AM | [Original article](#)

Every buyer and every seller enters the transaction process intending to buy or sell. I have to believe there aren't folks out there who get their kicks negotiating and signing purchase contracts knowing they will breach the contract and it will be great fun. To sell a home an individual must be sufficiently motivated to go through the pains of preparing the home, cleaning, and vacating for showings every time someone wants to see it and losing chunks of their weekends to open houses. Buyers need to bear all for the scrutiny of the mortgage lender, devote their evenings and weekends to searching homes online and in person, and paying a chunk of their hard-earned money as a deposit into trust. Both parties devote a sizable part of their lives in a short time frame to this process, so few enter it lightly, and fewer still look to breach the contract once they've come to that point, although it does happen. Let's consider what the purchase contract states about the remedies available to the parties when a breach happens.

Non-performance

In every real estate purchase contract, there are both rights and responsibilities baked in for each of the parties to that contract. Additionally, the parties make covenants with each other to act reasonably and in good faith in the performing of their responsibilities to the other party all the while pointing to the ultimate culmination of everyone's efforts, the completion of the contract. Any change in circumstances or motivation on behalf of the parties that causes them to fail to complete the contract, or change their mind and refuse to do so, is considered non-performance, and must have consequences equal to the residual pain caused to the opposite party. The confines of the consequences agreed upon are referred to in the purchase contract as remedies.

Can open, worms everywhere

When the situation arises where one party fails or refuses to complete the contract, the standard AREA purchase contract contains a term agreed to by both parties at the forming of the agreement which makes clear what remedies are available in general. This term states that "all remedies" are available to the harmed party. In the context of this agreement, the meaning of the word "all" means all legal recourse, and some examples are provided including claims for deposit money, damages, reasonable costs including legal fees, and disbursements. If your mental cash register is ringing, it should because these are only examples and not an exhaustive list, which would open the door for all damages suffered by the harmed party for relying on the breaching party through the contract formed in good faith.

Buyer Default

The AREA standard purchase contract goes on to specify some specific items expected in a buyer default that would require the seller to be made whole. Depending on the point of the default, the lawyer may have already triggered the transfer of title which would need to be reversed to regain the title, enforce any liens against the property, or even regain possession of the property in the case of tenancy at will or other arrangements anticipated in the agreement. These are only examples of allowable cost claims but do not limit the seller's ability to pursue other remedies either. Additionally, the deposit section of the agreement states

that in the event of a buyer default the deposit is disbursed to the seller without prior notice, a portion of which deposit may be owed to the seller's brokerage through the listing agreement, but the balance of which will almost certainly be used to retain legal counsel to file claims for remedies related to the buyer default.

Seller Default

The seller is the holder of the property and bears several specific responsibilities because they agreed to transfer the property they hold now to another individual in exchange for money or other value. This means if the seller defaults the property remains theirs and it is the property that is the subject of the contract itself. For this reason, the seller and buyer make a joint statement in the purchase contract that they both acknowledge that the property is unique. This is crucial as a statement in the case of a seller's default since the argument that the buyer can just go buy something else breaks down when both parties agree to the uniqueness of the subject of the contract. Because of this confirmation of the uniqueness of the property, the contract subsequently and explicitly states that the remedy of specific performance is made available to the buyer if the seller defaults. This means that the buyer, in addition to all other remedies available to them, can petition the court to force performance on this property specifically should they decide to pursue it.

Too many times, the buyer or seller in a transaction has a fuzzy understanding of the remedies available if one party or another default on the contract. Although no one ever hopes for default, it is good to understand the pre-agreed terms in the contract that detail the process of what options are available in such cases. As a mutual agreement, both buyer and seller rely on each other to see the contract to successful completion, so when one party changes course there are often real tangible harms perpetrated upon the other that need to be rectified. Legal advice in such situations is always advised, but REALTORS® can help their clients understand the contract obligations, and their gravity before it ever comes to a breach.

What should I know about asbestos in homes?

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Fire has been a major problem for homeowners, and governments alike in our brief history as a country. Unlike our current system of fire departments, broad network of fire hydrants, and advanced techniques for fighting urban fires, the old volunteer bucket brigade was rarely able to save a home or even an entire neighborhood once a fire began.

Imagine a nearly inflammable mineral that could be mined in abundance and would be versatile enough to be used in all kinds of applications! Enter asbestos, the miracle mineral that promised exactly that. Let's look at this "miracle mineral" and see how we came to a full ban of its use in Canada.

History

Discovered around 2400 BC, asbestos was hailed as a miracle material for fire resistance and strength. It was used in everything from ancient cooking pots, to sails on warships to prevent them from being burned by the enemy. Although the health issues associated with mining asbestos have been known since the first century AD, its use in application didn't seem to concern most people outside of the mines.

In the 1920s with the increasing popularity of electricity in the home, and the associated fear of fire, asbestos entered housing construction in a big way. From insulation to flooring, to siding, and plaster, all using asbestos believed it would prevent widespread fire, and it was effective in most applications. The use of asbestos in building materials continued into the 1980s although its status as a known airborne carcinogen began its decline in use starting in the 1970s culminating in a series of restrictions on the use of asbestos in building products between 1979 and 1990. It wasn't until 2018 that asbestos was finally banned from all use in Canada.

The Problem

Asbestos has so many wonderful properties that it is no wonder it was used in almost everything for so many years. Almost every home built in Canada between the 1920s and the 1990s is sure to have some asbestos somewhere in the construction or systems of the home. According to Health Canada asbestos is only a problem when airborne and inhaled, leading to asbestosis which is scarring in the lower part of the lungs. With long-term or extensive exposure to airborne asbestos fiber, a rare form of lung cancer known as mesothelioma can develop.

The Solution

Left alone and undisturbed, Health Canada indicates there is no significant risk to human health if materials containing asbestos are in your home, so there is no reason to run for the exit covering your face, but in Canada, we like home improvement.

The single best thing you can do to avoid any health risks if you plan on doing any renovations is to take small samples of materials you plan on disturbing, such as drywall, insulation, plaster, linoleum, or duct work, and send the samples for testing. A lab will be able to determine if asbestos is present and in what quantity. If asbestos does exist, asbestos abatement professionals can be brought in to remediate the materials containing the asbestos, and then renovation work can continue.

Common Examples of Asbestos Use

The most common places in a home a REALTOR® could inform their client may contain asbestos would be in cement, drywall, plaster, fiber-cement sidings, non-ceramic floor tiles, and ceiling tiles. These are all traditionally stable uses of asbestos blended into materials that keep fibers from becoming airborne. Drilling, sanding, demolition, or moving these materials around can free the fibers into the air.

Vermiculite

An additional mineral mined out of the earth that should have honorable mention for its bad press is vermiculite. Once heated to 1000 degrees Celsius, vermiculite “pops” creating a light airy material that is fire resistant, chemical resistant, and a nearly self-leveling insulator which makes it great for attic and wall insulation.

Although used since the 1940s, its use exploded when the government of Canada approved vermiculite insulation in 1976 for the Canadian Home Insulation Program (CHIP) in an effort to ease pain during the energy crisis that lasted until the mid-1980s.

Vermiculite continued to be used into the 1990s but blown cellulose and fiberglass insulation alternatives started taking preference. Unfortunately, a single mine in Montana provided almost 70% of vermiculite production under the brand Zonolite® until its closing in 1990. Zonolite® was mined in close proximity to an asbestos seam in the same mine and was found to contain asbestos in its final distributed product. Because of this and coupled with the adverse health effects of airborne asbestos in general, all vermiculite was assumed to contain asbestos, and fears remain today.

A quick laboratory test can confirm the presence of asbestos in vermiculite; however, Health Canada indicates that left undisturbed vermiculite insulation is not a significant health risk. If work is to be done in the attic, or the owner wants to upgrade the insulation, it should be tested, and if necessary, removed by professionals.

Asbestos is no joke. To say it is dangerous in airborne form is accurate and contact with airborne forms should not be risked under any circumstances. Fortunately, the multiplicity of uses of asbestos in home construction do not typically lend themselves to easy release into the air and can be safe until the homeowner is ready to invest in a renovation.

Knowing enough about asbestos to respect it, and test for it when necessary is one more area that REALTORS® can make clients aware and direct them to expert advice.

When do legal obligations begin for a purchase contract?

Bryan Statt | Jan 16, 2025 2:23:23 AM | [Original article](#)

The devil is in the details they say, and this is certainly true for real estate purchase contracts, especially around issues of time. REALTORS® must always concern themselves with the dates and times of different events in the purchase contract because time is of the essence! But in the back and forth of contract negotiation, when does the offer or counteroffer become a legal contract that is binding upon the parties? Let's take a few moments to solidify this important concept in the minds of everyone involved.

Opening Offer

When a buyer finds the perfect property and with excitement in their eyes tells their REALTOR® they want to write an offer, they rarely understand the process entirely. They usually rely upon the REALTOR® to protect them from the unseen legal hurdles of the offer to purchase itself. REALTORS® walk the buyer through the key elements of the offer, help them understand the terms and conditions, and then have them initial all pages and sign the document itself. This is now officially a written offer to purchase which will be presented to the seller for their consideration.

Classic Counteroffer

Although it happens where the seller accepts the offer as written, it is the exception and not the rule. The normal situation is for the seller to see a term, condition, date, or price as unacceptable and instruct their REALTOR® to make the change or changes necessary to satisfy their needs and wants in selling the property. The moment the seller changes anything on the contract at all, they have rejected the offer to purchase and created an offer to sell. Typically called a counteroffer, it is important to understand that the original offer to purchase no longer exists nor can it be accepted once the offer to sell has been created. The seller will then add their initials to the portions they changed, as well as to the bottom of each page. Once they are satisfied with their offer to sell, they sign on the acceptance line as the seller, because they (the seller) are putting the buyer on notice that these are the terms and conditions they find acceptable and agree to sell the property by.

Contract Confusion

Once the offer to sell has been presented to the buyer, negotiations can volley back and forth in a similar fashion, subsequently rejecting the offer to purchase or offer to sell, and creating a new offer in succession, until ultimately the parties agree to the final version of price and terms they find mutually acceptable. In our scenario, let's assume the buyer thought the seller's offer was the bee's knees and decided to accept it. They (the buyer) would simply initial any changes the seller had made, verifying their understanding and acceptance of their changes. Since they already initialed all the pages and signed at the original offer to purchase stage then this is a contract, right? Wrong! The crucial final step is to communicate the acceptance to the seller by sending the true copy of the accepted contract to the seller. Similarly, the seller has the right to revoke their offer to sell right up until the point they know the contract is accepted and signed. The AREA standard purchase contract has a specific section called "Legal Obligations Begin" which states that the accepted contract must be delivered in person, or sent by email or fax, and as a best practice, a follow-up phone call to confirm receipt can save many complications.

Summary Steps

So, let's summarize the 4-step formula which is required for every transaction to cause an offer to become a legally binding contract.

- Step 1
The initial offer is written, initialed, and signed.
- Step 2
Any changes to the contract throughout the negotiation process must be initialed by all parties.
- Step 3
Signatures of all parties must be on the final document acknowledging their acceptance of the entire agreement.
- Step 4
The final and true copy of the agreement made between the parties is communicated back to all the parties.

Only at this point do legal obligations begin for the parties as outlined in the agreement itself. This beginning of legal obligations brings into full force all terms, conditions, and legal remedies for both parties, and the courts would hold the parties responsible from that moment for their good faith performance of their respective duties in the contract.

REALTORS® and clients must understand that once legal obligations begin, the contract cannot be altered except by amendment, and cannot be ended except by the expressed modes allowed for in the agreement itself. Clarifying the exact moment the parties have engaged in a contract is important to understand the requirements of the parties, and the gravity associated with the commitments they have made to each other. Devil or no devil, this detail must be respected.

How do federal mortgage rate adjustments impact real estate?

Bryan Statt | Jan 16, 2025 2:22:14 AM | [Original article](#)

A lot. I suppose you are looking for more of an answer than that, so I will endeavor to provide some practical advice on how REALTORS® should think about rate announcements which happen eight times a year.

Although I am not, nor have ever been a licensed mortgage broker I have been a REALTOR® and think some clarification from that perspective may be helpful...however, if you are looking for mortgage advice you are in the wrong place!

Overnight Overview

In Canada, we have a federal bank known as the Bank of Canada which is a corporation of the crown. You and I don't have a bank card for the Bank of Canada since it is not a retail bank, but rather a bank for the banks in a way. During the day, financial institutions move money between themselves for their customers in countless transactions, and at the end of each day, they need to balance their books. Due to the sheer quantity of transactions, this requires them to borrow the shortfall at interest overnight from the other banks or borrow money from the Bank of Canada overnight. This interest rate is referred to as the overnight rate, or policy interest rate and this overnight rate becomes the benchmark for banks when determining their own markup on that rate for loans and interest on deposits.

Mortgage Markup

Now that we have a basic understanding of the overnight rate which is regularly referred to in the media after each rate policy announcement, it should be clear that the rate announced is not available to the borrower at a retail level. For example, if the Bank of Canada's overnight rate is 2.5%, your local bank marks this rate up to a level acceptable to their business model and customers and that rate is called the prime rate. A derivative of the prime rate is a common benchmark the bank uses in the offering of variable rate mortgages, where they take the prime rate and either add or subtract a percentage from the prime rate based on the quality of the borrower or current lending environment such as Prime minus 0.5% or Prime plus 0.25%. The variable rate then floats with the prime rate, meaning that the rate offered to the borrower at the start of the mortgage term will move by the same percentage the prime rate moves.

Fixed Rate Frustration

Sometimes when the bank of Canada lowers the overnight rate, fixed-rate mortgage customers are frustrated because the fixed mortgage rates don't drop also. This is seen as just banks trying to keep more profits for themselves, and although banks are not allergic to higher profits, there is a more concrete reason for the fixed rates to change in different cadence to the prime rate. In short, the fixed-rate mortgages are tied to government bond yields and not to the overnight rate directly. Without getting too complicated, imagine the bank has money to invest (I know it is hard to imagine), and they need to choose between investing in a government bond, or a mortgage for Mr. and Mrs. Joe Q. Public. The government bond is guaranteed to provide a fixed, albeit low, rate of return for the term of the bond, however, lending on a mortgage bears more risk and expense but the potential of a higher rate of return. So essentially what happens is the bank makes a calculation to determine what that additional risk is worth in percentage and adds that to the current return

rate on bonds of the same term to make it more worthwhile to invest in the mortgage. Because of this calculation, when the bond yields change, the calculation changes, and subsequently the fixed mortgage rate for that term changes too. The overnight rate does affect the Canadian economy generally of course, which indirectly affects bond yields over time but there is no real direct correlation in near-term lending.

What Real Estate Clients Need To Know

There are a couple of wise takeaways from the understanding of mortgage rate changes. First, the mortgage rates will change. I know, it is earth-shattering truth, but sometimes this is the best advice to provide a consumer to get them to meet a licensed mortgage broker and lock a rate in when planning to purchase a home. Sometimes rates rise and sometimes they fall, but clients need professional mortgage advice to know the best path forward for them. Second, don't believe everything you hear. When you hear on the news that the Bank of Canada is expected to raise rates, or that fixed mortgage rates are on the rise, that may be true, but it may not affect your situation specifically, or at least not in the panicked way it is often portrayed. Take a breath and call a REALTOR® or a licensed mortgage broker.

Finally, for those out there with an existing mortgage on your home, remember that in general, the interest rate on your mortgage is some of the lowest cost borrowing you can do. Here is a triple-benefit you get as a bonus to help with your news-cycle anxiety:

1. You get to live in your investment and enjoy it.
2. Every mortgage payment you make adds to the equity position in your home, kind of like paying rent to yourself.
3. Over time the value of your investment grows in the form of appreciative growth, so just by living there, the value is increasing.

For those who are not yet homeowners, ignore the fear, call a REALTOR®, and buy a home!

What is off-limits in the search for new clients?

Bryan Statt | Jan 16, 2025 2:21:11 AM | [Original article](#)

From the dawn of time, the requirement for humans to leave the cave, hunt, and return victorious has been paramount to the survival of the species. Clearly, a few things have changed, but when it comes to real estate sales the process remains conceptually the same perhaps adding farming to the metaphor, as well as new methods and technology. REALTORS® are compensated when they successfully help a client buy, sell, or in some cases lease property, but the whole process must start with a client. Although many REALTORS® have a high percentage of repeat and referral clients, the search for new clients is a continuous activity. The methods of new client farming can be very creative but there are fences along that road and we need to consider a few of those here.

Service Agreements Shield

A service agreement is a written agreement between a client and a brokerage that establishes rights and obligations between the parties. This is a contract formed in common law and acts as a shield to the solicitation of others for the sake of the same service set. For example, provincially harmonized rules prohibit the solicitation of any party who is currently in a service agreement with another brokerage. This means that in many cases the REALTOR® needs to ask the question of the consumer to ensure they are not in an existing relationship.

Direct Contact Prohibition

Once a REALTOR® knows or ought to know that an individual is in a service agreement with another member, any direct contact or communication is considered an improper solicitation. Unless instructed otherwise by the brokerage a REALTOR® must never attempt to contact or communicate with another member's client except through the member themselves or it could be seen as interference with a contract. The only exception to this prohibition is in circumstances where the client initiates the communication, and this too must be handled carefully, tactfully, and professionally under the REALTORS® Code of Conduct.

Breaking a Contract

It should be noted that it is a violation of common law to counsel anyone on how to break a contract of any type. If a client is unhappy with their current arrangement with another REALTOR® and reaches out to find out if you can represent them instead, the answer can only be that you cannot as long as they have contractual obligations to the other member. You may direct them to the broker of the brokerage by whom they are represented, or to seek legal advice, but you cannot go any further down the path of advice than that.

MLS® System Information

The MLS® system is a cooperative listing service for member brokerages to share listing information for the purpose of purchase and sale. The MLS® system is not intended to provide information to members to be used to target active or previous clients of any member to offer services to. The provincially harmonized rules prohibit this activity and take violations very seriously to protect the integrity of the cooperative system for all members. This means that if a listing expired on the MLS® system, that information can not be used by a member to target the owner of the property to list again but this time with them. Similarly, if a member also

runs a lawn maintenance business, they cannot run a list of vacant properties to target for lawn mowing services. Any misuse of the MLS[®] system data may result in the loss of the privilege to access the MLS[®] system altogether!

Targeted Advertising

Any number of advertising platforms exist today to market services to the public. These include social media, internet ads, television, billboards, bus benches, newspapers, etc. All of these media options are broad and un-targeted ways of getting the message out that a REALTOR[®] has professional services to offer. The problem comes when the more targeted, hand-to-hand combat style methods of door-knockers, flyers, or addressed mail are used to more specifically target a neighborhood, street, or property. In themselves, they are acceptable and should always use a disclaimer that they are not meant to solicit anyone already in a service agreement. However, if they are used where the member knows or ought to have known the property is already in a service agreement with another brokerage this is a violation of the provincial rules as well.

With a REALTOR[®] community of over 11,000 entrepreneurs, the value of the services they offer is well proven and worthy of advertising, however, the fence posts of good conduct and professionalism remain in place for the protection of the consumer, the industry, and the membership.

What happens if a term added contradicts a pre-printed term in a contract?

Bryan Statt | Jan 16, 2025 2:19:12 AM | [Original article](#)

As a little fella, I played community league softball for Beverly Heights in Edmonton. We were terrible, and that is being kind for the sake of all my fellow players. The league had a rule that if one team was leading by seven runs, they would call the game to not cause additional humiliation to the losing team!

At one point our lack of ability caused my dad to no longer take the lawn chairs out of the trunk when he dropped us off at a game because he knew we wouldn't be long! There is a happy ending to the story though because no other coach wanted our team, a neighborhood mom took over and that year we won the city championship, even missing the provincial title by a couple of runs! I tell the story because despite how bad our team was, we knew to try and avoid strikeouts. This is important in baseball and most of the time in contracts too. Let's consider the best way to manage term additions or contradictions in real estate contracts.

The Seller and Buyer Agree

The overarching principle in a contract is ensuring the intent of the parties is clear and enforceable upon each other. The role of a REALTOR® in using the standard AREA real estate forms and contracts is to help ensure that a balance is struck in fairness between the buyer and seller and that all the key points of a transaction are covered in full and legally enforceable terms. It does happen though where the buyer and seller agree to something that is legal but is in contradiction with a pre-printed term of the standard AREA purchase contract at which point a decision must be made...to strikeout or not to strikeout? That is the question.

Strikeout Struggle

Most of the anxiety surrounding strikeouts is that if it doesn't get struck out, it remains part of the agreement and causes problems for the contract. Be of good courage, there is a clause in the AREA standard purchase contract, namely 3.1(j) that says the buyer and seller agree that *any contract changes that are agreed to in writing will supersede the pre-printed clause*. This clause essentially ensures that a clause written into the contract takes precedent over a contradictory pre-printed clause since the assumption is that the parties have made a special agreement in this one area and their intention is purely expressed in the added custom clause. On the flip side of the coin, when a clause is struck out, there is a possibility that another section of the contract may refer to it, but since it no longer exists could cause other issues.

Clear Intent and Reference

REALTORS® are masters of negotiating transactions for clients and can construct terms that accurately reflect the parties wishes. When this clarity is achieved and both parties agree, but there is a contradiction with another term it is best to mention the pre-printed clause as part of the intent for clarity's sake. For example, if a buyer and seller agree to title insurance instead of a Real Property Report with compliance as the AREA

standard purchase contract requires, and the seller agrees to pay for a title insurance policy for the buyer, an adequate term stack in the additional terms section would be something like:

1. The buyer acknowledges that the seller will not provide a Real Property Report with compliance required in section 10.2 and related sections and the buyer further agrees to accept title insurance in lieu.
2. The seller agrees to compensate the buyer through disbursements at closing for a title insurance policy covering the buyer and the lender.

This is only an example and legal advice should be sought for your specific situation; however, the example refers to the affected contradictory section without the necessity of a strikeout. Not all strikeouts are equally as bad but without knowing every other section which could be affected by the strikeout in the carefully crafted AREA standard forms, there is the possibility for some frustration to be introduced.

For the Love of Those Who Convey

As a universal best practice, if you are making changes to a contract, you must always have all parties initial the changes for them to be legally enforceable. If you are adding terms to the additional terms section either typed or written, please ensure there are initials on that section as well. In the stack of files, a brokerage, and additionally a law firm handles in a day, the people conveying those documents can miss the terms by human error. If there is an initial on the terms section as well, when additional terms are used, this alerts conveyancers to stop and review the term that the parties have agreed to. It's a simple final step but can save a lot of headaches. Conveyancers rejoice!

As a final thought, anytime the AREA standard forms are altered to align with the intent of the parties it needs to be done thoughtfully. The standard forms have been carefully constructed to be legally enforceable and it's always a good idea to seek advice from a broker or lawyer to ensure best practice. As a wise man once said, "before you remove a fence always pause for a moment to consider why it was put there in the first place."

What are best practices around member-to-member communication?

Bryan Statt | Jan 16, 2025 2:18:13 AM | [Original article](#)

REALTORS® are a group of real estate professionals who are active members of the Canadian Real Estate Association and agree to a REALTOR® Code of Conduct by being a member. This code of conduct affirms that consumers can expect a high level of professionalism and integrity from each member, and the REALTOR® community delivers on that commitment every day across Canada. In the pressure and pace of the real estate market, however, it can be easy to forget that fellow members deserve the same professional courtesy in communication so let's consider some reminders about the best practices around member-to-member communication.

The Golden Rule

It may seem cliché, but it stands as a valuable reminder that the golden rule is not only for elementary schools. “Do unto others as you would have done unto you” is a valuable yet simple principle of good human practice in life and business alike. Despite the common interpretation of the golden rule as being a present imperative to only do things correctly in the moment. There are times when you may blow it and say or do something you realize after was not professional. The golden rule applies to apologies and reconciliations too. I know when I feel like I have been treated roughly, but when it follows with a humble acknowledgment and apology it always amazes me at how quickly my inner angst dissipates.

Don't Assume Intention or Motivation

For some reason, we all feel like we can read minds in tense or diverse situations. How quickly we tend towards the declaration “I know why they did that” or “they said that because” or the like. The reality is that none of us can know the intentions or motivations of another individual and in my experience, once the facts of the other side are known it is rarely as egregious or malicious as we imagined it to be. Give the other member the benefit of the doubt that they are operating in a professional matter based on the circumstances that you perhaps can't see, and open dialogue to determine if you can find out more information about their view of a situation. I have met members from across the province in every region and board and have yet to meet anyone who doesn't have the desire to do the best they can for their clients and the industry. So, sometimes a simple conversation can help straighten out an issue.

Method Matters

Humans are highly relational and communicative creatures and for this reason, we function best when communication is comprehensive. Many of our amazing technologies today allow for an increased quantity of communication but a decreased quality. In a face-to-face conversation, you get the facial expression, body language, voice inflection, and a high volume of words spoken which allows for a quick connection at a deeper level. In a phone call, you get at least voice inflection and a high volume of words, but as we move to email, you get the word volume but no voice inflection, and worse yet text messaging where even the word volume is limited. As you can see there are logical reasons why communications breakdown when the ability to communicate information to another is simply not possible. Always seek a higher level of communication, especially where controversies, like storms are developing on the horizon.

Bullies are Bad for Business

The old saying that “when you fling mud at someone everyone gets dirty” is true in this regard. Although no one is likely kicking sand in your face at the beach, or stealing your lunch money anymore, bullying can come in sneakier forms today. Bullying is an ongoing and deliberate misuse of power in relationships through repeated verbal, physical, and/or social behavior that intends to cause physical, social, and/or psychological harm, and this does manifest itself in business when tensions flare. Unfortunately, in a business context, it not only destroys member-to-member relations but also makes the industry look petty, devaluing the professionalism of the industry in the eyes of the consumer. If you are going to be something, be kind and professional.

In a fast-paced industry such as real estate, tensions and stresses are very real and sometimes passions can rise. In those moments a pause to remember that all members want to do right by their clients, and members working well with fellow members in those difficult moments can help reinforce the professional reputation of the industry. Keep open and active communication with fellow members and transactions will always go smoother making the clients the ultimate winners.

What to consider about Real Property Reports?

Bryan Statt | Jan 16, 2025 2:17:16 AM | [Original article](#)

Under all is the land. There is something about that beautiful and simple statement made in the preamble of the REALTOR® code of conduct that helps remind us of the simplicity of scope in our industry. Let's take a few moments to think through real property reports and their value to the land.

What is a Real Property Report?

A Real Property Report or "RPR" as it's commonly referred to is quite literally a report on the real property. It is prepared by a land surveyor to adhere to strict standards of practice (substantially changed around 1996) to detail the exact boundaries of the lot or parcel of land. The surveyor uses existing survey markers or "pins" set by the government when the land was originally surveyed or subdivided to draw a very precise diagram of the piece of property and all its improvements such as houses, garages, decks, fences, etc. Due to the detailed nature of the report, the RPR is crucial for a person to clearly understand the boundaries of a property and the overall picture of the property as it is in space and time.

Current vs Existing

There is only one type of RPR created in Alberta by land surveyors, however, they break into two categories based on their contents. What I mean by that is there are RPRs that are current, and RPRs that are existing. These two distinctions are extremely important because they speak to whether or not the property, as it is today, matches what the RPR shows EXACTLY. If the current state of land and improvements match exactly with the RPR itself, then the RPR is current to the reality of the property and is called **acurrent RPR**. If there is any change between the RPR and the property itself, yes, ANY change at all, no matter how small, then the RPR is no longer current but is now referred to as existing and is called an **anexisting RPR**.

Compliance vs Non-Conformance

Again, terminology is crucial here. Once the RPR is produced by the surveyor, then as part of the real estate transaction, it must be taken to the local municipality responsible for the area where the property is, for verification that the land and improvements in their current form, as represented by the current RPR comply with municipal bylaws and regulations. If everything is compliant, the municipality will either stamp the RPR with a compliance stamp, provide a compliance letter, or both, certifying it is compliant. In some cases, the municipality will grant compliance but note that something, like an old, detached garage, for example, is "non-conforming". Don't freak out, because this just means that at the time it was built the garage complied, but since that time the bylaws have changed, and it no longer conforms to today's standards.

A non-conforming element on an RPR is still acceptable with the understanding that the property owner can keep the garage, repair it, and maintain it, but never rebuild it in the same spot. The other status the municipality can assign is the dreaded "non-compliance". This means something on the RPR does not comply with municipal bylaws but should or must. This is normally something like encroachments, easements, lack of permits, etc. In this case, the issue must be resolved, updated by the surveyor, and resubmitted for compliance again to achieve the coveted compliance certificate or stamp.

Working with Sellers

The standard AREA seller representation agreements speak to the seller providing the brokerage a current RPR with compliance or non-conformance within ten days of signing. Seeing as most RPRs with compliance will take longer than ten days to produce this would mean the sellers should already have the document for presentation at the time of signing. We all understand this is not the case most of the time, so this is the perfect time to address getting an RPR and compliance immediately. Ideally, if the seller can have the RPR produced before receiving an offer it will allow addressing any issue discovered or add an additional level of comfort to the transaction for the buyer. Do not wait until you get an offer to start the process as this can delay closing and cost the seller thousands more in rush fees or other complications.

Working with Buyers

The standard AREA residential purchase contract warrants that the seller already has a current RPR with compliance or will have one by closing. Want to avoid conflicts or complications at closing? Ask the seller's REALTOR® to see a copy. If it exists you can review it with your buyer, if it doesn't you may have just reminded the seller to get going on it. Either way, the buyer needs to know what they are buying and that it complies with municipal bylaws, and the compliant RPR is the only adequate vehicle for that.

Condominiums

Luckily condominiums don't require an RPR correct? WRONG. That was for the shock value of course... the reality is that conventional condominiums do not require a real property report with compliance because they are common ownership of a single parcel that sits on the land itself. However, bare land condominiums with improvements DO REQUIRE an RPR with compliance because the land itself is the condominium unit. So, it is material to the transaction for the buyer to know the status of the land and improvements inside of their condominium lot.

Title Insurance

Well, this article is all about real property reports, but regardless of how you feel about it, title insurance is a current and growing reality in the Alberta real estate landscape. Is title insurance a replacement for an RPR with compliance? No, it is not. There is no other answer because title insurance simply moves the requirement of a compliant RPR down the road for a future owner. Looking at a title insurance policy does not tell you if your fences represent the property boundary, or if the pole shed in the back forty is yours or your neighbors, only an RPR can tell you that, and sooner or later someone needs to get one to see clearly what the property truly is. Although title insurance is the dominant reality in some small communities where there is no surveyor, and an RPR is sometimes ten times the cost of title insurance, it is still recognized that when certainty of boundaries is required, the RPR must be contracted for. Additionally, title insurance may provide some cover in the event an RPR will not be produced before closing or at all, such as a judicial sale, and may also cover other aspects of the property which are valuable to the buyer, so buyer clients should consult their lawyer about what the policy does and does not cover.

In the final analysis, whenever possible the best thing you can do for your buyer or seller client is to ensure a current RPR is produced early and reviewed for issues. A real property report is proof for the land, and under all is the land.

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What is the difference between an addendum and an amendment?

Bryan Statt | Jan 16, 2025 2:16:18 AM | [Original article](#)

This question has stood the test of time for many years and continues to be a source of confusion for many real estate professionals. The simple fact that both options exist is a clear indicator they serve different functions and lead to a hunger for clarity between them. Let's take a few moments to peel back the differences and ensure the right form is used in the right way.

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Addendum

There is a hint in the name when it begins with 'ADD'. The addendum is intended to add something to a contract. There we are, moving on... not so fast! There is a bit more to the story on addendums because an addendum is intended to add something to a contract that does not alter the terms or intentions of the contract. This means that the ideal intended use of an addendum is to add something to a contract before the contract is finalized between the parties. In practice, this would look like adding a list of farm implements included in a transaction that there is simply no room for in the original agreement. An addendum can also handle complex situations such as agreements between buyer and seller that require significant explanation or clarification not scalable to fit in the core paperwork. When this is done before the agreement is formed, and noted in the 'other documents' section, it forms part of the agreement rather than attempting to alter the agreement after the fact.

Amendment

Similarly, the word itself gives a hint when it begins with 'AMEND'. To amend something is to fix or alter it. So, if the terms, conditions, chattels, dates, names, or really anything in a contract needs to be changed after it has been signed, you would use an amendment to do that. Once a contract has been signed, all changes initialled and communicated to the parties, it is as if the contract is made with stone and chisel and cannot be altered on its face. Only an amendment can make changes at that point and that is generally by inserting something that wasn't there before, deleting something that was agreed to but will no longer be part of the agreement, or both inserting and deleting using the same amendment. To be clear, an amendment does not comment on or suggest new information but actually changes the agreement in full. For example, if amending the condition date on a contract, the amendment would not be properly completed if it said: "the condition day for financing is changed to May 12". Instead, the amendment should delete the old condition in its entirety, and insert the new condition with a new date.

Adding to a contract after it is signed and communicated

So, the seller and buyer have come to an agreement that all the itemized garden tools in the shed will stay with the property after the buyer saw them during the inspection and wanted them. Because we are adding to the contract is it an addendum? No, as mentioned earlier, an addendum is best used before the contract is formed so in this case an amendment would be used to add the itemized list of garden tools to the unattached goods section of the contract by writing the items into the insert section of the amendment and then having both parties sign in agreement. If the seller was an award-winning gardener and had more tools than could fit

on an amendment form, the best way to manage this would be to write the extended list on an addendum form (or a separate multi-page document that you title as an addendum or schedule) and then create an amendment that inserts that document in the 'other documents' section of the contract. In this scenario, both buyer and seller would sign 2 documents, the addendum which forms the list of garden tools agreed to, and the amendment which inserts it as part of the contract in question.

By carefully thinking through the use of these two separate and commonly used documents, you will ensure clarity in the contract itself and the enforceability of the agreement made by the parties. It is said that high fences make good neighbours, but in real estate, good contracts make happy clients.

What is the AREA provincial MLS® Data Co-op?

Bryan Statt | Jan 16, 2025 2:15:23 AM | [Original article](#)

Members of the Alberta Real Estate Association have access to many tools, resources, and programs that help keep them on the cutting edge of the real estate industry. One of the most valuable tools AREA offers its REALTOR® members is called the provincial Data Co-op which allows REALTORS® to search all available property data across the province. Let's think through some of the benefits of the system.

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All about the data

In Alberta, all REALTORS® are AREA members and this service provided to them as part of their membership combines the data from all 10 real estate boards into one tool. Although the Data Co-op has been available for several years, the legacy system, which has recently been retired, is now replaced by a new modern system with a great user interface. Using the tool, a REALTOR® can search for properties province-wide and see data on historical sales, showing remarks and more for any property currently or previously listed on any local board MLS® system in the province.

The best information, the best advice

It has been well said that knowledge is power and in the real estate industry that certainly holds true. Perhaps a long-time client is just starting to consider a second home in Hinton or has been told their job is moving to Grande Prairie, the provincial Data Co-op would allow the REALTOR® they are comfortable with to seek out preliminary information on those areas to help at the beginning of those decisions. If their trusted REALTOR® is not familiar with the area they plan to purchase in, the network of almost 12,000 REALTORS® across Alberta ensures they can help find a local REALTOR® to help.

The value of a trusted REALTOR® and their professional help cannot be overstated, and the newly upgraded provincial Data Co-op system just adds a powerful new tool to the toolbox. As a supplement to the vast knowledge of REALTORS® for their local real estate markets the Data Co-op provides REALTORS® with the information they need to help clients in areas they know and connect them with colleagues in areas they don't know as well, making the big winner the client themselves. When life changes happen, keep calm, and call a REALTOR®.

What is considered attached or unattached goods?

Bryan Statt | Jan 16, 2025 2:14:18 AM | [Original article](#)

With rare exceptions to the purchase of pristine raw land without services, all other real estate transactions have some kind of improvements. Improvements in real estate mean anything added to the land such as buildings, fences, or even that leaning gazebo that was clearly not assembled according to the instructions. So, the question becomes what is included in the purchase, and what is excluded from the purchase, often referred to as inclusions and exclusions, and more specifically what types of things should be added to the attached or unattached goods sections in a purchase contract? Let's consider the question and the best practices around this issue.

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Everything attached is included, except...

The overarching thought behind attached goods is that if it is attached to the land or buildings then it is included in the purchase. This seems natural in most cases, such that a purchaser would not assume the seller would be taking the staircase in the middle of the house or popping the fireplace out of its brick enclosure in the great room. Because of this common understanding, AREA's standard purchase contract states that the property includes "the *attached goods except for...*" which presupposes there is a common understanding of the main attached things but allows for specificity where there could be a dispute or clarity is required.

Dancing in the Grey

So, what is considered attached and what is not? How about an antique mirror in the bathroom that hangs like a picture on a hook? Flat-panel wall-mounted TVs, drapes, grandma's heirloom chandelier, expensive smart devices like thermostats and doorbells, or the large storage shed out back sitting on a concrete pad? These are only a few examples of things that keep REALTORS® awake at night so let's lay out 4 clarifying principles to help guide these decisions.

The damage principle

The principle here is whether or not the removal of the item would create damage, not whether it can be repaired, but if the damage is created. For example, that antique mirror can be removed, and the picture hook left with no significant damage. The tv can be removed from the bracket with no damage, but the bracket would create some significant damage in removal. The shed sitting on the concrete pad and not bolted down could be removed without damage. But what about the heirloom chandelier?

The value principle

This principle anticipates whether or not the purchaser is likely to attribute significant value to the item in question. This is subjective obviously but stick with me on the thought for a moment. If the heirloom chandelier is removed, it causes no damage and would need to be replaced with a different fixture since the purchaser would be expecting a fixture there and not just an open electrical box. But where the purchaser is likely to see value in an item as part of the purchase, the seller is best advised to remove the item before the

listing where the buyer has the opportunity to fall in love with it and cause a problem. Alternately such an item could be listed in the attached goods excluded from the sale. This principle also applies to smart home devices. The buyer may see the smart doorbell and thermostat as a benefit to the purchase, and when they show up on the closing day and a dumb doorbell and thermostat are in their place, they will hit the roof. This leads us to the next principle.

Transparency principle

Nearly all disputes or complaints I have heard over the years result from unmet expectations. Sometimes this is innocent but every time it causes hard feelings and dissatisfaction. If a seller knows they are taking certain items that the buyer may assume to stay, they are best to be transparent about that upfront. If a buyer knows they love something about the property but aren't certain it is included, it is best not to assume but write it into the transaction. Early and honest transparency, combined with the right clarifying questions asked by the REALTOR[®] at the time of listing will solve nearly all issues in this regard.

Permeance principle

This principle takes into account the idea that something permanently connected to the mechanical systems of the home becomes part of the home. Again, never assume anything. However, things such as a hot tub or central air conditioning unit hard wired directly into the electrical panel of the home are likely considered part of the home itself. Similarly, a garage heater permanently connected to gas service is likely to be considered a part of the home. Alternately something like a plug-in infrared sauna, or quick connect gas barbeque wouldn't be considered part of the home. Regardless these things should be clarified and never assumed, but this should provide some guidance on how to advise sellers.

Unattached goods included

This is the 'leave nothing to chance' section of the contract. Obviously, the clearly unattached items such as appliances and window coverings would be added here if the buyer wants them included, but also anything else that could be a grey area or that the buyer wants to ensure the seller includes. That shelving in the garage, the bird bath in the garden, the can opener hanging from the cupboard, or even the disco ball in the family room, if the buyer sees it and wants it, don't assume they stay because they are attached, write them into the agreement and have the discussion.

The variability of the transactions in real estate makes this topic inexhaustible for examples but I hope this treatise helps clarify some of the things to be thinking about. Leave nothing to chance and ask many questions to ensure the expectations of the clients are adequately expressed in the purchase contract, this will save the parties and the REALTORS[®] much grief, time, and money.

How important is timing in the real estate contract?

Bryan Statt | Jan 16, 2025 2:13:12 AM | [Original article](#)

Real estate contracts are documents that form concerning the element of time. You may have heard the saying “Time is of the essence” when it comes to contracts and that is very true for real estate contracts. The dimension of time or timing is infused into the contract such that without certainty of dates and times the contract can be frustrating and unenforceable. Let’s talk through some of the most crucial aspects of this principle.

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Building blocks

The most basic aspect of any real estate contract or the building block upon which all else rests is the acceptance of the contract by all parties. In the standard AREA purchase contract, there is a term that indicates that *This offer/counteroffer will be open for written acceptance until [such and such date and time]*. This term is filled in at the time of the initial offer and should be edited with each subsequent counteroffer since it indicates how long the party making the offer is willing to participate in the process without a firm acceptance. The offering or counter-offering party using this term is basically telling the other party they are moving on, and negotiations are ended if they cannot make an agreement by the stated time and date. If no agreement is reached the offer is no longer valid. For this reason, when this date and time passes the offer cannot be accepted as a contract without an amendment to this term and agreement by both parties, or better yet a new offer being written entirely to clarify the beginning of a new negotiation.

Communication is the key

If the contract is signed and initialed before this date and time, for which the offer is open for acceptance, then we have a valid contract correct? NOT SO FAST! For real estate contracts, it is not enough for the parties to sign and initial only, but legal obligations only begin after the contract has been signed, initialed by all parties, AND COMMUNICATED to the parties. This means that to ensure that your buyer is pending on that home they have always dreamed about, they need to accept the offer by signing the agreement, initialing all changes, and communicating the complete contract back to the seller. At that point, the parties have a contract and not a moment before. To tie it back to the offer acceptance, all of that must happen before the date and time window given for the offer to be accepted.

What can go wrong?

Jean and Pat are newlyweds who have just agreed with the sellers of their new dream home. The REALTOR® is sending them the final agreement to sign electronically while they are going to celebrate with a weekend of skiing in Banff. No one skis with a laptop so they will simply sign the agreement in the evening when they get back to the hotel. Unfortunately, when they open their email, they are disappointed to learn the seller accepted another offer while waiting for them to sign and communicate their acceptance. The only way for Jean and Pat to be certain they had something to celebrate was to sign, initial and communicate that acceptance back to the seller as quickly as possible.

Universally important

These are not the only dates and times with consequences. Deposit dates that are not met in time may result in a seller voiding the contract. Condition dates that are not met on time automatically end the contract. Applicable dower consent which is not sent on time may result in the buyer voiding the contract. Because, as the old saying goes, time marches on, these hard and fast markers in the contract must be feared and respected to ensure all parties meet the expectations they have set for each other. It cannot be stated seriously enough that whatever dates and times are added to the contract are as firm and unbending as time itself so all dates and times should be added thoughtfully and generously enough to allow the parties to complete the work needed to be completed.

In hurried markets with multiple offers, the temptation is to favor speed over careful attention to the details, and too many times this causes frayed relationships and unenforceable contracts. Time is of the essence in a real estate contract and to use another old saying "Time waits for no man." So be sure to take a little extra time to consider how important time is in your next contract.

What can be called real estate?

Bryan Statt | Jan 16, 2025 2:12:17 AM | [Original article](#)

The term 'real estate' is so common in our society that even a grade school child could offer some loose definition of what it is, however, as with all professions there are specialized distinctions that need to be made as to what real estate is, to determine what legislation, regulation, and forms may apply in the real estate industry. The term real estate is generally synonymous with the proper legal term real property which creates a distinction between 'real' property and 'personal' property. Real property is the land, and anything growing on, attached to, or erected on it, as Black's Law dictionary puts it, where personal property are things like cars, boats, and computers. To clarify this oft-used term, let's consider things that are and are not considered real property.

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Real Estate Act of Alberta

Under the *Real Estate Act*, the Real Estate Council of Alberta has the authority to license brokerages, and through them, individuals are registered to legally trade in real estate. The concept of 'trading' under the act includes representing consumers in the purchase and sale of real estate, as well as the marketing and advertising of that real estate and their own services. Which prompts the question, what does the act define as real estate? Interestingly enough, the act defines real estate as either real property, leasehold property, or a mobile home on land intended to be used for a residential purpose. Here the concept of real property rises again with 2 additional concepts of leasehold or the specifics of a mobile home on land. It is these specific archetypes that the act governs as real estate, and the trade therein.

Land Title or Lease

A good rule of thumb to determine what qualifies as real estate is determining if there is a current land title that delineates the parcel or lot itself. Every property which can be owned in Alberta will have a registered land title on file with the Alberta government land titles office. This title will show the specifics of the land, the current legal owners, and any registrations affecting the land. Additionally, a leasehold interest in land may be formed by a contract between the landlord (owner) and a tenant, which may or may not be registered on the title but nonetheless is considered an interest in the real property. The case of mobile homes on leased land in a mobile home park, for example, would qualify as real estate under the act.

What doesn't meet that bar?

If there is no land title or lease agreement for land anticipated, then it is not considered real estate for the purpose of the *Real Estate Act*. This means that there are conceivably some things that may fall outside of a REALTORS® license to trade. For example, a mobile home where there is no lease for the land, a business sale only without a lease agreement for the space where that business operates, or even things like houseboats or food trucks. They all need to be run through the 'real estate definition' grid to determine if they are considered real estate and fall under the act.

Things that make you go hmmm

Some situations can certainly be more confusing and less clear, where it seems like it would be real estate until you think more deeply about it. For example, pre-sale condominium projects require a certain percentage

of confirmed sale commitments before a project can be financed. Because of this, the sale of those pre-construction condos doesn't have an individual land title for the unit being sold pre-construction and would likely not be considered a trade in real estate falling under the consumer protections of the real estate act, or possibly the Real Estate Insurance Exchange. Similarly, if a parcel of land is being subdivided, but that subdivision is not yet approved or final, the sale of those 'potential' individual lots that will eventually result from the subdivision is not a trade in real estate because you can't sell something that doesn't yet exist; think of it as the 'real' in real property.

Can a REALTOR® still help with trades outside of the definition of real estate in the act?

Yes, there is still the opportunity for a REALTOR® to offer services in situations that fall outside of the definition of 'real estate' or 'trade' under the legislation if their brokerage permits such activity, however, there are some considerations to consider. First, the activity must not require any other specific license, or fall under specific legislation regulating that activity. Second, there cannot be any specialized knowledge required to be competent in helping with the activity. And finally, the clients should be clearly informed that the activity may not provide them protections under the *Real Estate Act* or the Real Estate Insurance Exchange.

REALTORS® are specialists in marketing and selling real estate, negotiating on behalf of clients, and helping form agreements that are enforceable. These core skills make hiring a REALTOR® an asset anytime one needs to transact in real estate, and in some of the more complex situations that can arise, a REALTOR® is able to help disclose and navigate liabilities that are not immediately apparent to consumers and advise when it's best to seek independent legal advice.

What inspections can be done during a home inspection?

Bryan Statt | Jan 16, 2025 2:11:08 AM | [Original article](#)

After a prolonged home search and several negotiations, your first-time buyer clients have just signed an agreement to purchase their first home on the condition of a satisfactory home inspection. After talking to their parents, they are convinced they need to get a sewer, electrical, and foundation inspection in addition to their home inspection! Your first-time buyers tell you they will be booking these extra inspections at the same time as the home inspection. Let us think through the aspects of this all-too-common scenario and how to manage it.

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Transparency Trumps

One of the key reasons we use written contracts is to ensure that the will of the parties involved is captured entirely. In the AREA standard purchase contract, the standard inspection condition says the contract is *subject to the buyer's satisfaction with a property inspection, conducted by a licensed home inspector*. When the buyer and seller agree to this condition, there is a clear intention between the parties that a property inspection will take place and the sole inspection will be conducted by a licensed home inspector. In Alberta, home inspectors are licensed by Service Alberta which defines a home inspection as *"an opinion as to the condition of a dwelling based primarily on a non-invasive examination of readily accessible features and components of the dwelling."* The clear understanding of the use of the standard condition is that a licensed home inspector will do this specific kind of inspection.

Care and Control

As part of the agreement between the buyer and seller, the seller agrees to provide reasonable access to the property for the home inspection. This does not mean you can have a trades person open house for the 3 hours that the home inspector is conducting his inspection without the permission of the seller for such access. When a REALTOR® provides access to a property, that property becomes their place of business and they have all the responsibility of care and control of the property, only permitted to allow such access as has been granted by the seller. The REALTOR® takes reasonable supervision of the property to ensure that nothing is damaged, stolen, or destroyed before they re-secure the property. All liability rests with the REALTOR® when the home is in their control. Granting unauthorized access to anyone is not permitted.

Proper Process

So, in the scenario outlined, what is the right process to follow? The buyer wants these inspections, and they need access to the property to get them done, so the only way to facilitate this is to seek the seller's permission for the additional access. If the additional inspections can be done in the same time frame as the property inspection, and the buyer is paying for them, the seller will commonly not object to allowing them in as long as they do not need to damage anything for the sake of the inspection. This authorization should be given in writing, but the key is to ensure the authorization is obtained before the inspections themselves. It should be noted however that the contract still only stands conditional on the buyer's satisfaction with the

home inspection, so although the other inspections were permitted to happen, they are not a valid cause to collapse the contract whatever they may find.

Best Practice

Although the scenario for this article was about inspections requested after the contract is signed, it is a best practice to ensure that buyers know the inspections that they could commonly get during the negotiation process. When the buyer determines that such additional inspections are required, they can simply be added as additional buyers' conditions, and the seller is thereby acknowledging the inspections themselves and that the contract is conditional upon their satisfactory outcome.

The elephant in the article of course is the practice of allowing every possible inspection the buyer could ever want during the 3–4 hour period that the home inspection is taking place. This is not anticipated in the contract, not best practice, and could be seen as purposely evasive or deceptive by the seller who may very likely be sitting up the street in their car during the inspection. By clarifying the expectations of the parties in the agreement or at the earliest possible time thereafter, the buyer and seller will both be satisfied that they were well informed by their professional representatives.

What should I know about real estate deposits?

Bryan Statt | Jan 16, 2025 2:10:10 AM | [Original article](#)

Real estate transactions have been happening for almost as long as there has been land. Although the transactions have changed over the years, the basic principles of the trade have remained constant. One of those constants is the real estate deposit, and sometimes the deposit element of the contract can be confusing. Let's take a moment to think clearly about this element of the deal.

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What is a real estate deposit for?

When a seller wants to sell a property and a buyer indicates their interest in purchasing the property by writing an offer, the buyer will include a deposit in the transaction terms. This deposit money is designed to signal to the seller that there is a seriousness to the offer that warrants putting up a sum of money for the seller's security, showing the buyer intends to complete the transaction as they said. In Old English, this money is called *earnest money* because it signals the goodwill of the purchaser towards the seller in their sincere intention to operate in good faith to complete the transaction.

Contract Confusion

In Canada, there are five essential elements that must be present to form an enforceable contract in real estate. These are offer and acceptance, consideration, capacity, consent, and legality. Without doing a deep dive into the meaning of each element, consideration is the one that is often confused in the deposit discussion. Consideration means that for a contract to be enforceable, the seller exchanges something (real estate) for the buyer's consideration (money). In the real estate contract, the deposit or *earnest money* is NOT that consideration but rather the purchase price is the consideration. Because of this, there is no legal mandate for a deposit. However, it provides a level of security for the seller in getting the buyer to complete the contract. You may be hard-pressed to find a seller unwilling to entertain offers without a deposit.

How much is enough?

A common question is how much deposit is normal on a real estate contract? The simple answer is that there is no simple answer. The deposit money is a term of the contract agreed upon between the buyer and the seller. The more deposit money put forward, the more security the seller gains once conditions have been removed. The deposit money forms part of the purchase price and is calculated as part of the total price offered and not in addition to it. A REALTOR® can help a buyer navigate the specifics of a transaction to determine how to use the deposit sum as a part of the overall offer strategy.

When is the deposit in jeopardy?

This is a common question of the buyer when making an offer. They want to put their best offer forward but are fearful that the seller may keep their money if they don't continue with the contract. Using the standard AREA purchase contract, there is no mechanism for the seller to keep the deposit of a buyer whose contract has conditions (i.e. financing or inspection) and does not remove those conditions. The deposit money is held under trust conditions by a legal trustee. The standard AREA purchase contract is explicit that the deposit is paid back to the buyer if they end the contract and have not removed their conditions. Alternately, if the buyer decides to remove their conditions and proceed with the contract but subsequently changes their mind, that

deposit money is forfeited to the seller, along with other remedies for damages if the buyer does not complete their obligations.

Refunding a deposit to the buyer

The trustee is obligated to follow the rules of trust established in the purchase contract, which should guide the buyer and seller on how the trustee will act in various scenarios. There are key items that should be highlighted. First, the trustee must determine whether the deposit is valid and clear the bank before refunding any deposit money. The refund could take as much as a couple of weeks to be processed. Second, if mom and dad provided the deposit for a child to buy a condo, for example, but that transaction does not go through, the AREA purchase contract indicates the deposit must be refunded to the buyer. That deposit must then be refunded to the named buyer in the transaction and not to mom and dad unless the parties agree to amend the contract.

Deposit vs down payment

In the quick pace of a real estate transaction, sometimes the terms can be confusing for a first-time homebuyer. There is a difference between a deposit and a down payment. Where the buyer is obtaining financing to purchase a property, the lender will inform them of the amount of down payment money they need to qualify for the loan, compared to the amount the lender will finance for them. This is usually represented in a percentage of the total purchase price (i.e. 5% down payment) and is the amount of actual liquid capital the buyer needs to complete the mortgage agreement. The deposit on the contract is also liquid capital provided to the trustee, so whatever amount of deposit indicated in the transaction will be counted by the lender as part of the down payment required and not in addition to it.

Although deposits are only one small part of the real estate transaction process, it is one of the key things that buyers, sellers, and REALTORS® need to understand to ensure expectations are kept in check. Because the rules of trust are established by the contract, and a trustee is named as well, understanding the contract and clarifying disputes with the trustee are the best way to keep communication lines open on this topic.

What are the benchmarks of professional conduct?

Bryan Statt | Jan 16, 2025 2:03:12 AM | [Original article](#)

Real estate is a relationship business, not a transaction business. Recognizing that REALTORS® do help consumers in real estate transactions, the point is to emphasize that REALTORS® don't participate in the trade itself, but rather trade in the relationship they build through expertise, knowledge, and skill. This relationship element not only extends not only to consumers, but also to fellow REALTORS®, Associations and boards, and other professionals such as mortgage brokers, lawyers, and inspectors. The relationship is key to a successful REALTORS® and the professional conduct of that REALTORS® is key to the relationship. Let's think through some benchmark elements of professional conduct that make REALTORS® stand out.

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Mutual Respect

The real estate market can create a hectic working environment for REALTORS®. From chasing down the best property for a buyer client to managing tough negotiations for a seller, the transaction process is fraught with high emotion and often higher stakes. For this reason, remembering the duty of mutual respect is paramount to navigating the various tempers and personalities that make a successful transaction. Stopping to recognize that people generally don't act with malicious intent, but rather are simply approaching a situation with a different perspective or goal can help to foster this mutual respect. A negative approach never leads to a positive outcome but only degrades the relationship in exponential measure. So even where there is a personality conflict or what is being said doesn't line up with how you see it, you can still offer them the same respect you'd expect to foster continued dialogue.

Duty to Resolve Issues

We've all been there, where you want to throw up your hands and shut down communication because the path forward seems too difficult. This may be REALTORS® to REALTORS®, broker to broker, or interactions with clients or customers, but the top priority should always be the principle of pushing forward to resolve issues. The second law of thermodynamics says that all things left alone will tend to chaos and disorder, and this is evident in our daily lives. Start a garden with good soil and excellent seed, and leave it alone until the fall without any tending and you will reap a bountiful harvest of weeds and pests. Because of this tendency to entropy, you cannot simply walk away from difficult issues, but professional conduct mandates that you continue to push through seeking earnestly for a resolution.

Advice Constraints

REALTORS® are specialists in real estate marketing, negotiation, and transaction, but famously generalists in many other aspects related to real estate. This general knowledge about the process, financing, construction, or taxation is typically experience-based and never to be dispensed as professional advice to be relied upon. One of the key aspects of professional conduct in real estate is the ability to speak to many different issues and topics regarding real estate in raising awareness for the client, but recognizing that real estate advice is the only topic that can be discussed authoritatively. All other information or advice required by the client should be directed to experts in that discipline, and that distinction demonstrates the true professional conduct of a REALTORS® in protecting their client's best interest.

In the fast-paced, dynamic world of real estate, there can be no doubt that the REALTORS® role is crucial to ensuring the successful forward progress of transactions for consumers. Although the situation in a single deal can move quickly and unexpectedly, keeping these principles at the center of a REALTORS® professional conduct help maintain the focus on the best interests of the clients and the achievement of their goals.

What to consider about homes with separate suites?

Bryan Statt | Jan 16, 2025 2:02:14 AM | [Original article](#)

It's sweet to have a suite. Not only as a seller for whom the benefits of rental income need not be mentioned, but also for REALTORS® who have listings with secondary occupancy units, most commonly called "suites." Properties that contain these extra dwellings often achieve a higher sale price and are differentiated from their neighbouring competitors. It's not all roses, however, there are some things to consider about marketing and selling these properties, so let's talk about those tricky bits.

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Secondary Occupancy

Not all suites are suites. This means that if they have not received the necessary approvals from the local municipality as meeting zoning, legislative, building code, and safety requirements, they cannot be legally called a suite. In most municipalities in Alberta, there is a process for bringing a secondary dwelling in a home up to the standard of receiving a secondary occupancy permit from that municipality, making it a legal suite, provable by producing that approved secondary occupancy permit. To a consumer, the word suite assumes all those things have been allowed and approved and therefore any cute term designed to wink at the issue, such as nanny suite, in-law suite, mortgage helper, or the like are generally assumed by the public to be legitimate legal suites. If there is no secondary occupancy permit, they should not be called a suite unless it carries the label 'illegal.'

What if there is no secondary occupancy permit?

No permit means it's not legal. A REALTOR® holding a real estate license must always ensure that consumers know at the earliest possible moment that what they see in the property as a suite is illegal for use as a rental suite, so as a best practice in transparency, the use of the term 'illegal suite' should be in the public remarks of the listing. Since the seller still wants the public to know about the features of the home, and there may be buyers who find those features valuable to their life or situation, the best way to advertise these properties is by a transparent explanation of what they are in reality. For example, a statement such as "the illegal suite in the basement is fully finished and features a separate entrance, second kitchen, and second laundry room," informs the public of the qualities of the home while disclosing upfront that the use is not a legal secondary dwelling. Additionally, there should never be a mention of the 'potential' income of such a dwelling, since the potential would be based on the illegal occupancy of a second family without a permit, and therefore the promotion of that illegal activity.

What if there is a secondary occupancy permit?

Hurray, this is a time to celebrate! This means the property can be advertised as a legally permitted suite, can be insured as such, and maybe most importantly, would allow the income or potential income from the suite to be recognized by a mortgage lender as contributing to the servicing of the debt. This would mean that a larger pool of buyers could potentially qualify for the home at a higher value than its competitors. Not to mention the benefits for the purchaser to have the ability to significantly offset some of their housing costs by having a tenant in the secondary dwelling. These properties generally sell for significantly higher prices and with a shorter market time once they have the legal secondary occupancy permit.

Protecting buyer and seller

The realities of selling property that has not achieved the high bar of legal secondary occupancy bring us to the protection aspect. With varying family living arrangements, multi-generational homes, and communal family relationships, some purchasers would benefit greatly from the features of non-permitted secondary dwellings but have no intention to rent them out. In such situations, it is very important to ensure everyone touching the transaction understands the status of such property. I would recommend adding a term to the contract such as "The seller and buyer acknowledge the current basement development in no way constitutes a legal secondary suite," and having the parties initial. This ensures everyone, including the lawyers and lenders, understands what the parties have understood about this issue and there can be no short memories down the road.

One of the chief concerns about selling homes that have the makings of a secondary dwelling but do not have a legal secondary occupancy permit is public safety. There have been horrible situations where tenants and even children have perished in the basements of homes that did not have legal permits for a secondary suite and did not have the proper egress to escape during a fire. This is only one of several concerns where the proper legal bar has not been met in achieving secondary occupancy permits, which makes this issue a high priority to get right, and be transparent for all parties to understand.

How could I add a buyer to a purchase contract?

Bryan Statt | Jan 16, 2025 2:01:18 AM | [Original article](#)

The sweetest newlyweds have been looking at homes, and although the mortgage lender has told them their absolute maximum qualifying amount, their dream home has just come on the market. Too good to be true, they write an offer a touch higher than they were approved for, and successfully secure a contract conditional on the approval of financing. The mean old lender informs them they can't qualify and need a co-signer. Thankfully Dad is willing to be that co-signer to make the dream happen. Apart from being a dad and hoping my kids don't read this and get any ideas, let's take a few moments to think through the requirements of making such a scenario happen.

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New buyer, new relationship

The original clients have a buyer's representation agreement in place already, so the nature and obligations of their relationship are already established. By adding a new buyer into the situation, the brokerage needs to clarify the relationship and obligations with that new buyer. The brokerage in this situation must prepare, and review a buyer's representation agreement with the new buyer and have them sign it, understanding they now have the full representation and protection of working with a licensed brokerage on this transaction. If they are uncomfortable with a broad agreement, a REALTOR® can specify in that agreement that it is only effective for this one property.

Other paperwork

It should go without saying, but I will say it anyway. When a buyer starts a relationship with a brokerage, even if they are late to the party, they must be disclosed about agency relationships. This is done by way of the Consumer Relationships Guide before the representation agreement. They must also be identified for FINTRAC as they are now going to be a buyer as well. Additionally, the brokerage trade record sheet will need to be updated accordingly.

Purchase contract addition

In this scenario, the purchase contract is already formed between the seller and the buyer. This is the most likely stage when an additional buyer is tagged in. Because the contract is formed and finalized, it cannot be changed by simply writing in the new buyer and getting the parties to initiate the change. The proper way to change the contract is to draft a contract amendment, making the change and following the flow of progression from top to bottom. For the example given, the sellers and the newlywed buyer's names are on the top of the amendment. Then the change of adding the buyer to the contract is in the body of the amendment, and the sellers, newlyweds, and the new buyer all sign the bottom of the amendment.

Content matters

Having established the process by which this can be accomplished, you may wonder, "what goes in the body of the amendment to add a buyer?" I'm glad you asked because this is extremely important. Recognizing the new purchaser could be signing this amendment having never seen the contract they are agreeing to, you must ensure three items make it onto the amendment. First, the buyer has had a chance to review the agreement and any related documents, ensuring they have done so with the consent of the current buyers.

Second, they have the opportunity to seek independent legal advice should they so choose. And finally, they agree, in light of the first two items, that they, the new buyer, agree to be bound by all responsibilities, terms, and obligations of the contract.

By following the proper course of action when adding a buyer to the purchase contract, as well as the proper content, protects all parties involved from some liabilities in this area. The seller needs confidence that the buyer is properly attached to the deal, and the lender needs confidence that they can secure financing based on the new purchaser without issue. This will help our newlyweds get the dream home they want using the financing they need and help keep all parties happy while the transaction proceeds to close.

In what situation would you use a seller's condition?

Bryan Statt | Jan 16, 2025 2:00:19 AM | [Original article](#)

A seller's condition works in the same way as a buyer's condition, such as financing or a property inspection, except that it is for the sole protection of the seller instead of the buyer. A seller's condition can be used for several reasons where a seller needs to accomplish something before being legally locked into the agreement. For the sake of clarity, I have constructed a fictional scenario where the seller's condition can, and should, be used where the seller is selling their primary residence and is concerned that they may not be able to find another property suitable to their criteria. The use of a seller's condition is suited to this situation because it protects the seller from the potential of being forced to sell their home if they don't find another one that works for them.

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Let's run through the scenario.

The market in Anytown, Alberta, is considered a busy seller's market, where homes sell fast and for top dollar, and new listings are slow to come on the market. This has led to a low inventory situation and an emerging seller's market.

A seller calls you to list their family home in Happy Hollow because they need to find a new home in the desirable neighbourhood of Mortgage Acres, closer to their new job. At the time of the listing, the seller indicates that they have been searching online for homes on Mortgage Acres, but homes in that neighbourhood are going into multiple offers and selling fast. Mrs. Seller states that they don't want to be homeless or have to rent something and move twice, especially with the new baby on the way. The REALTOR® belays their fears with optimism that something will come up for them, and if not, they can negotiate some time into the deal to give them additional opportunities to search. The sellers sign the listing, and the property goes on the market.

Within a few days, they have three offers and feel anxiety about accepting one of the excellent offers. Although they have their eye on a property they like, they believe they are going to be in the same multiple offer situation in Mortgage Acres. They ask you, their professional REALTOR®, if they sign a legally binding offer, could they back out if they couldn't secure the other property at a price they could afford? You rightly explain that once they sign the offer, they are obligated to sell the property once the buyer removes their conditions, however, they could add the seller's condition to allow them the comfort of accepting one of the great offers on the Happy Hollow property, while still giving them the ability to write an offer on the Mortgage Acres property. This way, if they didn't get the Mortgage Acres home, they could collapse the Happy Hollow deal and not be homeless or rent and move twice. The sellers thank you for suggesting this option and add the seller's condition to the contract that says "*Subject to the seller being able to secure an acceptable purchase contract on a new home of their choosing on or before 5 PM on July 5, 2021.*" The buyer's REALTOR® is not super pleased with the condition, but the buyers want the home and agree to the change, and they all lived happily ever after.

I hope this fictional scenario helps detail one of the many uses of a seller's condition and how there are common scenarios that can help the seller accomplish their goals while still moving forward productively using an additional seller's condition. Although the seller's condition is rare, it is highly effective when the seller needs time to verify or accomplish something and can often lead to a smoother transaction and less potential for liability when the seller feels under pressure.

What is the difference between a term and a condition in a purchase contract?

Bryan Statt | Jan 16, 2025 1:59:11 AM | [Original article](#)

REALTORS® spend a lot of time living in a contract world. Even though AREA produces and maintains a huge catalogue of provincially standard forms for the exclusive use of members, the simple fact is that no two homes, clients, and subsequent contracts are alike. Every contract is unique to the property, situation and clients, ensuring there is never a dull moment in the real estate industry. The two most common tools used to frame the real estate purchase contract in ways that suits the parties, and their agreement with each other, are “terms” and “conditions,” and it is critical to understand the differences between them. In a hot market, it can be tempting to try and use a highly restrictive term where a condition should be, in an attempt to make a “condition free” offer. This can have devastating results for the contract and potential legal consequences as well, so let’s walk through the differences and applications of each.

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The contract is its terms

In a broad sense, every aspect of a contract can be considered a term since it is formed by the will and agreement of the parties. Contracts are loaded with terms from start to finish, filling every line with crucial details of instructions, behaviours, and consequences the parties mutually agree to. The AREA standard purchase contract, for example, is constructed in a way that balances both the buyer and seller’s interests using terms that clarify the roles and obligations of both parties.

Additional terms

In addition to general contract terms, REALTORS® will often craft custom terms to add more detail to the agreement between the parties, even seeking legal advice in many cases. Once agreed to, these additional terms are framed to be immediately binding and enforceable upon the parties with the same force and effect as all the other terms of the contract. Terms create fixed, static, non-variable agreements between the parties such as acknowledgments that the parties will complete a certain task, pay costs for certain things, or even alter other parts of the contract terms. Terms are not unilateral and can only be altered by mutual amendment between the parties.

Conditions clarity

A condition is a different animal altogether and differs from terms in two distinct ways. First, a condition is generally unilateral, giving one party an opportunity for due diligence which is not afforded to the other. For example, a buyer may have a financing condition that allows them to bind the seller to a set price and terms while they seek a lender to finance the deal. If a lender isn’t willing to finance the deal, the buyer has the unilateral right to end the entire contract if they wish. The second distinction is that the condition must be removed from the contract before the contract can be executed. Unlike a term, a condition is waiting for additional action to make the contract unconditional, or the contract collapses. During this period, the seller cannot do anything but wait. In the above example, I used a buyer’s condition, however, both buyers and sellers may have unilateral conditions in the contract. A strict note of caution: despite the condition being unilateral, any party granted conditions must act reasonably and in good faith to fulfill their conditions or risk litigation for breaching their obligation. Conditions are not to be used as “outs” in the contract in cases of

buyer or seller remorse. Once the conditions are agreed to, the party with the conditions is agreeing to do what they can to make it happen.

Square peg, round hole

Terms and conditions are not the same and should never be confused. If a client needs to accomplish some level of due diligence before proceeding, this should be noted in the contract as a condition and provide a clear understanding of the resulting expectations and timeframes. On the other hand, if the desire is to bind the parties immediately and permanently, then a term should be used to detail the agreement between the parties. Since terms and conditions function in very different ways, the expert use of them to provide the right protection for clients is a very important aspect of a REALTORS[®] requirement of reasonable care and skill.

The average real estate contract generally uses both terms and conditions because they are different tools for different purposes. When understood and used correctly, the client's interests are protected, space is given for additional due diligence, and clarity of expectation and purpose is achieved between the parties. This makes for the best of transactions and prevents unnecessary litigation or frustration for everyone.

What are some misconceptions about conditional offers?

Bryan Statt | Jan 16, 2025 1:58:01 AM | [Original article](#)

Conditional offers, also referred to as conditional sales or pending sales, are beautiful creations. They represent the culmination of the REALTOR® efforts in successfully listing and marketing a property so that it attracts an offer suitable to the seller's needs. The conditional part refers to the fact that the offer has one or more conditions that the buyer or seller needs to satisfy themselves with before proceedings, such as financing or property inspection. Let's consider some common pitfalls related to conditional sales and how best to think about them.

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Pen, Paper, Pending

Of course, there are digital signing options now, but the principle is the same: a property is only pending when the purchase contract is signed and initialed by all parties to the contract. It seems very basic on the surface, but there are points to consider. The phrase *verbally pending* assumes that because the parties have agreed to the terms and price that the property is now pending or at least 'as good as' pending. This is FALSE. The statute of frauds legislation holds that only written agreements are enforceable in Canada, which means verbally pending is not worth the paper it's *not* written on. For both sellers and buyers, if you want an enforceable contract, it must be completely signed and initialed.

Act reasonably and in good faith

The standard AREA purchase contract contains the legally binding term that both the buyer and the seller agree they will *act reasonably and in good faith to satisfy their conditions, including making reasonable efforts to fulfill them*. This statement forms part of the legal agreement and therefore is binding upon the parties. Following the bouncing ball of logic, this means a buyer, for example, who requires a condition (ie. financing or property inspection), must exercise best efforts to accomplish those conditions. If they intend to use those conditions as an 'out' in case they change their minds and never truly make efforts to complete their conditions, they could face legal liability should the seller pursue them for remedies under the contract.

Time is of the essence

The legal principle "time is of the essence" means that times and dates will be strictly followed and enforced. This also is a legal term of the agreement between the parties in the standard AREA purchase contract that the buyer and seller agree to be bound to. Where this seems to hit home the hardest is in the lapsing of condition days/times, when for whatever reason, the buyer is late providing written removal of conditions to the seller on or before the date & time specified. If that removal of conditions notice is not signed and communicated before the time specified, the contract dies immediately without recourse. There is no mechanism to revive a dead contract, and a new one must be written if the parties are to continue their agreement to transact. To be clear, there is no additional form, consent agreement, or the like which will revive a dead contract to the point that it will be equally defensible as the originally formed contract so the agreement must be re-made. Moral of the story... Don't choose dates you can't achieve, and don't wait until the last minute to remove conditions.

Delinquent Deposits

Many times, we hear the common misconception that if the deposit isn't received then it's not a pending contract. This is FALSE. As I have discussed in previous articles, the deposit money is earnest money and not material to the transaction itself, so the lack of a deposit does not automatically release the buyer from their legal obligations under the contract. In the standard AREA purchase contract, the seller is given the option to void the contract where a deposit is not delivered in the manner specified in the contract, but that option is not obligatory, and the seller may choose to hold the buyer to their obligations legally even without a deposit in trust.

Many times, these misconceptions are propagated by erroneous online sources, watching TV shows about real estate in other countries, or hearsay at the water cooler, but when buyers and sellers alike have questions about real estate agreements, the best source of information is a REALTOR®. A REALTOR® has the experience and resource network to get answers to the hard questions and help dispel errors in thinking before they become consequential.

Selling a property in the country, what contracts do I use?

Bryan Statt | Jan 16, 2025 1:57:08 AM | [Original article](#)

You may be very well accustomed to the documents required when transacting on property in town, and of course, as a professional REALTOR[®], you seek out all properties that could match your client's needs. Then it happens on some idle Tuesday that a new listing just out-of-town pops on the market, and you know your buyers will love it! Let's talk about some of the things to consider when helping buyers purchase an out-of-town property.

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Can you help buyers of all out-of-town properties?

This is a great question because, in Alberta, we operate under a designated licensing system. That means if you only have a residential license designation, you may not be legally able to help your buyers on some properties. However, do not despair. In general, if the property is used only for a residential purpose, then a residential designation may be just what the doctor ordered. To be certain you can work on this property for your client, check with your broker. For completeness in this resource, we will assume you have both a residential and rural license designation.

Should you help buyers of out-of-town properties?

As a parent or grandparent likely told you at some point, *"just because you can, doesn't mean you should."* This age-old sentiment applies well in this context because as I am writing this article, I am thinking about properties *within* your geographic area of expertise. However, as the MLS[®] system gets more unified province-wide, you can more easily represent a client in a jurisdiction you are not familiar with. This is a mistake and fraught with all manner of dangers, so refer to an expert REALTOR[®] in that area and don't risk your reputation or business, opening yourself up to potentially getting sued for representing a buyer in a location you have no expertise.

Country Residential Purchase Contract

As a rule, if the property currently has a habitable dwelling on the land, regardless of the size of the property or the related zoning, I recommend using this contract. The main reason is that it anticipates that a dwelling is on the property and handles those variables as part of the agreement and related schedule. In addition, schedules have been created to handle additional variables in the use of the land. The reason why this contract says the GST is included in the purchase price is that it most often looks like a small residential-only resale acreage in which the GST is generally not applicable. However, as you know, this is often problematic for the seller of a larger homestead, but it does not limit the parties from making an alternate arrangement in that case while still handling the dwelling pieces well.

Agricultural Purchase Contract

This contract is best used for plots of land (not subdivided lots usually) where no habitable dwelling exists. In general, the purchase and sale of these properties always have some income element (hay lease, cropping, grazing, etc.), resulting in a GST implication, so the contract assumes this by not including GST in the purchase price. Again, however, GST is a separate and negotiable item that needs to be handled between the parties regardless of the contract used, and this contract does not exclude the possibility of the seller

including the GST in the purchase price if the parties agree to that. The agricultural contract allows for more specificity regarding the use of the land and its relative benefits to the buyer, such as income and leases etc., providing better context around the fact that this property is not used for a primarily residential purpose.

Municipal Zoning— In general, zoning can help inform the use and restrictions to that use applied to a property, but it does not necessarily need to dictate the contracts used to transact on the property. As a rule of thumb, the contract needs to more closely align with the property's use and unique characteristics than the zoning code itself. The zoning should inform the conversation between the representative and the client regarding their specific needs and if those needs are satisfied within the context of the municipal zoning for that property.

GST Note— Most often, GST seems to be the key issue when an associate was deciding on the correct form, specifically they felt they were being clever trying to sneak the GST into the price for their buyer clients, or demanding the AG contract when representing a seller to 'force' the buyer to pay GST. In reality, this is dangerous because it focuses on only one aspect of the larger transaction as well as introduces bad blood into the negotiations early on. It is always best to get that discussion right out on the table upfront to effectively 'rip off the bandage' and ensure all parties know their respective obligations concerning the GST, but should not determine the form used. GST has many aspects surrounding its connection to the contract and should be considered as one element of the agreement but only that, one element of many. Where the GST is a concern for your client, ensure you add a condition that the buyer must seek professional advice from a tax lawyer or tax accountant before proceeding. It is so important that you recognize you are not licensed to provide tax advice to clients, so please stay in your lane and have your clients consult a professional regarding GST implications.

Exceptions — This is the frustrating part for your broker, however, some properties have a dwelling but more closely relate to agricultural use. Your broker needs to make that call in discussion with you as the associate. In rural real estate, there are no cookie-cutter properties, but the vast majority should fall into one of the two standard forms with their appropriate schedules, and your broker can provide invaluable help here.

What is a stigmatized property and how should I handle it?

Bryan Statt | Jan 16, 2025 1:55:58 AM | [Original article](#)

Stigmatized property in real estate has long been a sticky situation as a point of confusion and frustration for REALTORS® and clients alike. The main reason for such confusion is that stigmatized property is not clearly defined and requires some digging to determine if a stigma exists. Let's think through some of the issues to help identify waypoints to guide your direction on this issue.

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How is a property stigmatized?

This question is the toughest of all because the stigma arises not from a physical defect or issue but from a perception of the public based on cultural, situational, religious, or media-based factors that do not immediately manifest themselves to the buyer. As a rule, a stigmatized property is a property the buyer or general public considers less desirable based on perception or belief that the demand for such a property is reduced, and therefore its value is diminished. Property stigmas can be things like a death in the home, typically violent or gruesome, drug or crime-related activities such as grow ops or gang clubhouses, or even things like proximity to graveyards, mental health facilities, or power wires. This list is just the tip of the iceberg, but it should have been enough for you to consider your position on buying one of these properties, thus illustrating my point about stigma.

Selling Stigmatized property

It is the practice of listing REALTORS® to try and appeal to the largest possible market to achieve the best exposure for the property, resulting in the best price for the seller. The listing of a stigmatized property could potentially decrease the demand for that property, and subsequently the purchase price. It's not true in every situation, as I once had buyers who dreamed of owning a haunted house and wanted me to keep my ears open for one! The task of selling a stigmatized property is daunting, to say the least, but as a wise man once said, "there is nothing wrong with any property that the right price and terms cannot fix," and a REALTOR® is skilled in putting the property in its best light regardless of the challenges.

Disclosure distress

So what about disclosing the stigma on a property? Is it mandatory by law? In a word, no. The law is silent in the disclosure of stigma so it is not technically mandatory for a seller to disclose stigma related to a property, however, best practice is to disclose known stigmas. The fact is that if the seller doesn't disclose, their neighbours will, and the buyer will learn after the fact that there was a murder in the home, or their new family home was a former meth lab. The perception in this scenario is that they were swindled by the seller, which will certainly invite some level of litigation in most cases claiming damages associated with the seller not disclosing the stigma. That is for the courts to decide, but no seller, REALTOR®, or brokerage wants to go through that if a simple disclosure could avoid the whole situation. In most cases, when the buyer learns of the stigma early in the process, they can decide to be ok with it or move on, but cannot claim they didn't know, which protects everyone. A REALTOR® with the help of their broker can help determine which things should be disclosed and how to manage the disclosures.

Removing the stigma

Unfortunately, not all stigmas can be removed. A home where a violent murder occurred may lose its offence over time, but the event is forever associated with that home in the neighbourhood. Similarly, a home that is considered haunted will live on in the imaginations of surrounding residents for possible generations. On the other hand, former marijuana grow operations may be professionally and publicly remediated, becoming more acceptable to most buyers, or a former gang house is completely renovated, and the neighbourhood goes through a revival of new families. As mentioned before, the stigma is related more to the public perception of a property than the property itself and can be reduced or eliminated over time in most cases.

Because the Stigmatized property is such a complex issue, sellers should discuss issues with their REALTOR® and work together to determine how best to disclose. REALTORS® working with buyers need to be sensitive to concerns their buyers may have, and be sure to disclose everything they learn about a property for the buyer's consideration.

How can I best work with sellers in a low inventory market?

Bryan Statt | Jan 16, 2025 1:54:48 AM | [Original article](#)

If you listen closely on a quiet night in Alberta during a low inventory market, you can hear the sounds of sellers' REALTORS® navigating offers and counteroffers into the late hours. Of course, I jest, but the reality of a low inventory or seller's market does add all kinds of new complications to the process for sellers and their REALTORS® which aren't as evident in a more balanced market. Let's take a few moments to consider some of the high points.

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Timing Turbulence

A seller's market is temporary. That shouldn't be a surprise to anyone outside of Vancouver or Toronto, but sellers can sometimes forget that their advantage today can quickly shift to a buyer's market in Alberta long before the news stations pick up on it. The very best way to stay current on local real estate trends is to have a candid conversation with a REALTOR® and not to make the mistake of trying to time the market. When a seller is ready to sell and move on to their next home, there is no time like the present for predictability since markets in Alberta are forever shifting. It's like Sir John Templeton once said, "the four most dangerous words in investing are, it's different this time."

Leverage Shift

It is not uncommon to see multiple offers in a low-inventory market because the multiple buyers are slugging it out for the same property. When the seller receives multiple offers, they start walking with a swagger and making demands of the buyers regarding price, terms, and conditions that suit their purposes. Of course, I am exaggerating a little for effect, but it is important to remind sellers that the moment they sign and send back that final purchase contract, all that leverage transfers to the buyer. The seller is instantly beholden to the buyer and the conditions entirely for the buyer's benefit, while all the competing buyers scurry off to find another property. It's not a bad idea to maintain some goodwill and cordial relations with the buyer during negotiations for this reason. If you put buyers through the grinder during negotiation, the buyer may look to repay the favour during the conditional period.

Don't get Twitterpated

Any fans of the film Bambi will get the reference, but it is not uncommon for a seller in a low inventory market and presented with multiple offers to get twitterpated or fuzzy-headed with the offer price. Part of the REALTOR® job is to help a seller give equal consideration to all the terms, conditions, dates, and details in all the offers so the seller can make decisions that best match their larger goals and not only price. Although the auction mentality of driving up the price is exciting, sometimes the best play is to focus on the offer details and try and get the best price you can from that buyer whose terms and dates are most likely to help the seller achieve their goals.

Dealing with Disappointments

I have often said that one of the most difficult parts of being a REALTOR® is the emotional highs and lows. It is not uncommon to have multiple highs and lows even in a single transaction that can be extremely hard on

clients and REALTORS® alike. Add in a healthy dose of multiple offers, a sprinkle of a high-stakes negotiation, a dash of lender promises, and a last-minute home inspection, and you have a recipe for tears. It is not uncommon to go from king of the hill in a multiple offer situation to losing the deal on financing or a tough inspection, so it is paramount that the steady rock in the relationship is the REALTOR® who has anticipated the possibilities. If possible, consider working on backup offers once an offer is accepted, keep a list of interested parties who call for viewing during the conditional period, and above all, be actively and cooperatively involved in the details of the transaction right up to closing day.

Although a seller's market is the dream of sellers everywhere, it is not without its challenges for both sellers and REALTORS®. It is not a guarantee that a seller will get multiple offers in a low-inventory market but using a REALTOR® will always be the best chance a seller can have to get the best deal, in the shortest timeframe, and with the least number of complications. During a hot seller's market, recognize that listing REALTORS® have an increased level of anxiety in a decreased timeframe, and a buyer's REALTORS® have a whole other kettle of fish to deal with. As colleagues, we are never too busy to be kind, and as clients, understanding goes a long way.

What things should I think about when working with new construction Buyers?

Bryan Statt | Jan 16, 2025 1:53:43 AM | [Original article](#)

According to the Canadian Homebuilders Association, new home construction in Alberta is a 6.8 Billion dollar industry annually. It's not an overstatement to say this is a big part of the real estate market landscape as it creates over 130,000 jobs. Buyers, whether they disclose it or not, are considering new home construction each time they look to purchase a home, and REALTORS® need to maintain open lines of communication with their clients to ensure they don't end up in a bad situation. Let's run through some key aspects of working with buyers and new home construction.

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Clear communication

Buyers are looking to buy. What they want is a matter of balancing preference, price, and value, meaning that there are very few buyers who haven't thought about new construction as part of the list of options available to them. It's important to both client and REALTOR® that the possibility of new home construction is addressed at the buyer consultation. This is so the buyer knows that a REALTOR® can help them with purchases of new home construction as well as resale. Additionally, REALTORS® need to understand when buyers are considering new home construction and help them navigate the process.

Contracts confusion

Although most new home builders use a REALTOR® to help them market their properties on the MLS® system, most of the time the final purchase contract used is not an AREA standard purchase contract. One of the main reasons for this is that the new home warranty provider required in Alberta has the documents they want to transact on. This means the buyer will be contracting with a document that is not as balanced as the AREA standard purchase contract, and both the client and the REALTOR® need to read each contract carefully to understand potential pitfalls. Especially in situations where the original offer is being transcribed onto a builder contract, it needs to be reviewed with a fine-tooth comb to ensure nothing is missed.

Investor speculation

Often investors look to contract on one or more properties in a condo project or neighbourhood that has just started to hopefully get the best price and have the opportunity to sell it for a higher price once it has been constructed. There has been a growing trend of speculation buyers who sign a purchase contract with a builder for a new construction build or pre-construction condo and then try and sell the contract itself before they need to close on the property. This practice is misinformed because many, if not most, builder contracts include clauses that refuse assignment of the contract, give the builder the first right of refusal on the property, or otherwise force the buyer to close on the property or lose their deposit(s). REALTORS® representing such clients must offer triple value by (1) reading the contract, (2) encouraging their clients to read the contract, and (3) encouraging their clients to seek legal advice before proceeding.

Active representation

Another benefit of discussing new-construction homes at the initial buyer's consultation is the ability for the

REALTOR® to actively represent a buyer client in the show home and ensure that the buyer has the independent advice to make a good decision with all available information. Otherwise, the very real possibility of buyers shopping in showhomes without their REALTOR® and getting into a contract without complete market information is always looming. By actively helping your client through the process, you will be able to meet them for show home tours, register as their REALTOR® with the builder, and ensure the independent advice provided to the buyer is compensated by the builder. Builders recognize the benefit of having a REALTOR® introduce their clients to quality builders and generally enjoy working cooperatively with the real estate community.

Working with buyers is a unique experience every time, and buyers benefit greatly from having all the information available to make an informed decision. New construction properties are a great way to introduce additional options to buyer clients, especially in markets where resale home inventory is low. There are few things more satisfying to a REALTOR® than knowing you helped a buyer get the perfect property to enjoy life in.

What should I know about the Land Titles Pending Registration Queue (PRQ)?

Bryan Statt | Jan 16, 2025 1:50:57 AM | [Original article](#)

The Alberta land titles system is based on the system called the Torrens system, where the Government of Alberta guarantees all land titles in the province. The Torrens system is arguably the best of all possible systems for the management of real property ownership rights, and Alberta is fortunate to have it. As the owner and operator of the system, the provincial government experiences some long lag times for title transfers and other important registrations when the market is busy. The Government recognizes the challenges this lag can cause and has implemented a system to address these concerns called the Pending Registration Queue (PRQ). Let's look at some things you need to know about the PRQ in Alberta.

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What issue does it address specifically?

In the land titles system the priority of a registration on the title – for example a mortgage or easement – is determined by the position of that registration on the title itself. The higher up the list of registrations on the title, the higher priority that registration has in charging that property. Before recent amendments, the priority of registration was guaranteed upon the REGISTRATION of that interest, but after April 1, 2021, a registration's priority is guaranteed upon the SUBMISSION of that registration. This is an important distinction because it gives a lender, for example, the security of knowing they are protected in their priority without needing to wait the eight or ten weeks it could take to register that mortgage on the title.

How can I tell if there are pending registrations on a title?

The land titles office has changed the formatting of land titles, which now shows a section at the bottom of a land title called "Pending Registrations." This section will show the pending registrations that are guaranteed on the title and their priority of submission in order.

Do I need to do anything to use the PRQ?

No, the PRQ is an automatic addition to the land titles Document Registration Request (DRR) process, so all DRR requests will be pending registrations until the registration is processed. Consumers can help bring attention to the new program by discussing it with their lawyer or lender when transacting real estate. Lenders and lawyers need to know that the PRQ system is guaranteed by the Government of Alberta and can be relied upon to close the transaction without waiting for the final registration.

The Government of Alberta has indicated they are continuing work in other areas to modernize the Alberta Land Titles system and streamline the process of registrations without changing the Torrens system we all rely upon. The Pending Registration Queue is a valuable tool for the continual spikes in real estate activity we see in Alberta, which causes the land titles system to experience these backlogs. A better understanding of this process helps REALTORS[®], their clients, and other stakeholders keep the economy moving despite the challenges of a brisk real estate market.

How can I best work with buyers in a low inventory market?

Bryan Statt | Jan 16, 2025 1:49:55 AM | [Original article](#)

Home to the Rocky Mountains, Canada's energy powerhouse, and the roller coaster real estate market – that's Alberta. One of the symptoms of our beneficial energy sector is that Alberta's economy, and subsequently its real estate market, has fluctuations that other markets don't see as regularly. One of these challenging markets is the low-inventory market resulting in buyers struggling to find homes that suit their needs while competing with other buyers for the few available listings.

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Economics 102

Economics 102 was one of my favourite university courses. I'm not an economist, but one thing that stuck with me from that course is the relationship between supply and demand. The best way I have learned to explain it is like this: on one side you have supply, representing the number of homes available in each market. On the other side, you have demand, which represents the number of buyers anxious to purchase those properties. The only common language the two sides speak is price. As the inventory drops and the number of buyers remains constant, the price rises to help balance the scales. As the number of buyers drops when inventory stays constant, the prices will fall to try and balance the scales on the other side. This is a simplistic view, but it helps explain what we see in the real estate market.

Preemptive advice

The best time to handle an issue is before it happens. This requires the REALTOR® to have hard conversations with their buyer clients before they stare down the barrel of a multiple offer situation. For success in a low inventory market, it is crucial to take the time at the beginning of a home search to detail the process as well as potential situations like multiple offers. The buyer needs to understand what to prepare for and the speed the process will move. Using an Exclusive Buyer Representation Agreement at the beginning of the relationship allows clarifying roles and responsibilities to be clear so the buyer has a good idea of what to expect.

Price is a prince, not a king

In a fast-paced seller's market, buyers need to understand that many factors go into a seller's decision to accept a particular offer, and that means the price is not always king. Often, a specific closing date or lack of conditions will outweigh the price in the seller's decision to accept an offer. The buyer's REALTOR® can best prepare the buyer for success by helping them think through the terms and conditions with as much attention as the price.

Don't get caught up

In a high-pressure situation like multiple offers, the buyer can get caught up in the speed and anxiety of the process, forgetting key things that are important to them and falling into the trap of wanting to win at all costs. This could mean writing an offer at a price that an appraiser won't be able to validate, removing a financing condition when the buyer really does need that protection, or even leaving out a property inspection condition that could discover unforeseen defects important to the buyer. A REALTOR® should help the buyer stay grounded and advise about potential liabilities through these negotiations.

In a low inventory market, preparation is key. Preparing the buyer for the market they are in by setting expectations early will help ensure a less hectic situation when they decide to write an offer. The advice from a REALTOR® and the ability to move quickly on the right property will always be the best recipe for success in a low inventory market. Then, like all roller coasters, once you are on the ride and the harness is down, all that's left is to enjoy the ride.

What happens if a purchase contract deposit is late?

Bryan Statt | Jan 16, 2025 1:48:48 AM | [Original article](#)

Life is busy – that seems to be a universal truth in every demographic and generation. The reality is that when life is busy, things get missed. That's the typical story given when a deposit that should have been delivered by a certain deadline, was not delivered on time. But at least it made it there, right? No big deal, right?? Well, let's back that truck up and take a quick look at the cascade of issues that flow out of a deposit delivered past its due date.

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Time is of the essence

You've likely heard this statement before, but when it comes to a contract at law in Alberta, statements like "time is of the essence" bear a ton of weight. When a purchase contract is signed between the buyer and the seller, the parties are agreeing to certain terms and conditions, and those things all hinge on dates that are material to the parties. Due to this simple fact, a near-miss of any of those dates constitutes a breach of the agreement and comes with consequences.

Void option variable

In the standard AREA Purchase Contract used by all REALTORS® in Alberta, a provision exists for the seller to be given a 'void option' should the deposit not arrive in exactly the way or timeframe anticipated in the agreement. This option gives the seller the massive unilateral authority to completely void the contract when the deposit does not arrive on time. This means that if the deposit is late, even by one day, the seller can terminate the whole agreement with no recourse by the buyer. It should be noted that the nuclear 'void option' is only just an option, and the seller could choose to accept the late deposit and give up their 'void option,' allowing the contract to continue to move forward.

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Brokerage responsibilities

In situations where one of the brokerages has been named as the trustee of the deposit money, the brokerage has certain responsibilities to ensure the parties are kept apprised of any late deposit situations. In an instance where a deposit is received late by the named trustee brokerage, they should be notifying all parties to the contract as well as both brokerages/agents that the deposit hasn't been received following the terms of the contract. Once everyone is aware of the situation, the seller's REALTOR® needs to communicate the options the seller has in light of the situation. Brokerages should not deposit funds received late until or unless the seller gives them instructions to do so.

REALTOR® Responsibilities

As you may have gathered, the delivery of the deposit to the brokerage/lawyer named as the trustee is a serious concern. The REALTOR® representing the buyer needs to ensure their client understands the consequences of any late deposits and how seriously the timelines need to be taken. Having this discussion

with the buyer at the time of the offer being written is ideal. This allows the buyer to identify any hiccups on their end and provides the REALTOR[®] with an opportunity to build appropriate timelines into the contract. For the seller's REALTOR[®], the main responsibility is to ensure the seller understands their options when such an event arises and not to assume they know the instructions of the seller surrounding the void option until they receive that instruction.

Deposits in a purchase contract seem like such a small part of the overall contract, however, when handled improperly the weight of the consequences can be massive. REALTORS[®] can help navigate both the buyer and the seller through these tricky waters when such a situation arises and ensure their clients make informed decisions.

What is a material latent defect in real estate?

Bryan Statt | Jan 16, 2025 1:47:30 AM | [Original article](#)

There are few terms in a real estate context like "material latent defect" that should make all clients and REALTORS® sit up and take notice. This term sounds like something serious, especially with the word 'defect' tacked onto the end, and rightly so. In Alberta, material latent defects must be disclosed, and for good reason, that has significant effects on the parties and the transaction. Let's break down some things to keep in mind regarding this term.

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Clarifying the term

In the simplest form, material means major, and latent means hidden. So a material latent defect is a "major hidden" defect related to a piece of real estate. A material latent defect is usually associated with the physical property itself, and generally, these are defects in the property known to the seller that is not discoverable through a reasonable inspection. Additionally, they could be defects that may make the property dangerous or potentially dangerous to occupants or unfit for habitation.

Loads of liability

It is important to note that, under the law, any attempt to try and make superficial improvements to make it difficult to discover a known material latent defect would be considered fraudulent misrepresentation. For example, if a basement floods every spring, but the seller replaces the basement flooring and drywall in autumn for sale before the spring, the seller could face serious charges under the law. Similarly, any health orders, stop-work orders, or lack of development permits need disclosure to the seller's brokerage. This is so they can make the best efforts to ensure all parties are informed and the seller is making disclosures to avoid legal liability.

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Obligations of the seller

As part of the AREA exclusive seller representation agreements, sellers are stated some of the types of defects that may be considered material latent and asked plain yes/no questions about main disclosures that need to be made under the law by the seller. These disclosures made to the brokerage must then be passed along to interested parties to ensure potential buyers understand any major hidden defects that they need to account for in their inspections and remediation plans. Sellers need to understand that when they sign a purchase contract, they will be making a warranty statement to the buyer that there are no known material latent defects unless otherwise disclosed.

Obligations of the seller's brokerage

Because we are considering the legality of disclosure regarding material latent defects, it is good for buyers and sellers to understand that REALTORS® do not have the option of keeping such things confidential. Alberta law requires that anyone who knows of defects that are both major AND hidden must disclose that information to anyone involved in a transaction who does not know. A seller cannot instruct their REALTOR® not to disclose a material latent defect, and similarly, the sellers are not permitted to hide that information either.

Any exceptions?

There is an important distinction to be made about mandatory disclosure of defects. If a defect is major but not hidden (ie. visible roof problems), or hidden but not major (ie. the basement floor had a surface crack before the carpet was put down), these types of defects do not need to be mandatorily disclosed. If a buyer was to ask about a specific defect, REALTORS® are obligated by honesty first and cannot lie about what they know. Since these defects are not BOTH material AND latent, the seller can instruct the brokerage to actively not disclose such defects. They can also advise the brokerage on how to answer questions such as, "I have been instructed by the seller not to answer the question." Although this isn't always the best idea, this is within the seller's rights and those instructions should be sought at the time of listing.

The mandatory disclosure of material latent defects is a law meant to protect market integrity, prevent fraud in consumer transactions, and is very important to avoid potential litigation. Sellers who know of material latent defects in their property should seek legal advice on proper disclosure. REALTORS® and their brokers can help the seller properly disclose what must be disclosed, and how to frame things that do not need to be. It is always expedient to disclose any items that could be concerning to a buyer at the earliest stage possible. Many buyers are willing to navigate those things as long as they feel sellers have been forthcoming and have confidence they know about the things they should know about their new home.

Which Buyer's Agreement should I use?

Bryan Statt | Jan 16, 2025 1:46:28 AM | [Original article](#)

You just hung up the phone with your brother's boss's second cousin's roommate, who was told you are the best REALTOR® for helping them buy a home. You have discussed mortgage pre-qualification and the type of property they are looking for, and as a professional, you have set a face-to-face meeting with them for a buyer's consultation where you will review the documents with them. Great job!... but what documents? The Consumer relationships guide is necessary but what kind of written service agreement should you use? Let's talk about the two different options.

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Exclusive Buyers Representation Agreement (EBRA)

This form is certainly the most common form of written service agreement used by professional REALTORS® in Alberta, and for good reason. The EBRA is used to identify the rights and responsibilities a professional REALTOR® has in the relationship, as well as the service they will offer. It also clearly states the rights and responsibilities of the buyer, including what they agree to pay the brokerage for the use of their services in successfully finding a home for them.

As is common in Alberta, the seller's brokerage often offers a fee to the buyer's brokerage through the MLS® system, and the EBRA gives the authority from the buyer to have their fee paid by the seller through the transaction. Even better, the professional REALTOR® will make best efforts to find all properties that match the buyer's criteria even if they are not listed on the MLS® system, and the EBRA allows the buyer's brokerage to get their fee from the seller directly in such situations.

Non-exclusive Buyers Representation Agreement (NEBRA)

This form is not as common in practice because although it still clearly lays out the rights and responsibilities of the buyer's brokerage and the buyers themselves, it does not commit the buyer to the brokerage. This means the buyer could sign a NEBRA with multiple different agents and none of them are securing a fee for the services provided by the REALTOR®.

Because the NEBRA does not define a fee for service to be paid by a buyer, when a buyer finds a home they want to write an offer on, the REALTOR® would require the buyer to sign a fee disclosure, disclosing the fee they will be paid by the seller or the seller's brokerage advertised through the MLS® system. However, the REALTOR® will not be able to negotiate a fee other than what they are offered through the MLS® system, or in the case of an unrepresented seller the amount defined by the agreement with the seller directly.

Choosing the option for the situation

The choice between using an EBRA and a NEBRA is a choice based on the core nature of the expectations between the buyer and the brokerage/REALTOR®. Both parties must be in agreement before signing, but If the buyer feels comfortable that the REALTOR® will be working exclusively for them, and wants to ensure adequate compensation for them then the EBRA is the right document. Whether the buyer and REALTOR® just met, or the relationship is tentative, then perhaps a NEBRA is the right choice for the buyer's comfort as trust is established.

Regardless of the option chosen the written agreement should always be clearly explained and completed before visiting homes or writing offers, so both parties understand the expectations each other have.

Is it ok for sellers to have cameras in a listed property?

Bryan Statt | Jan 16, 2025 1:45:20 AM | [Original article](#)

As the technological landscape shifts and high-end tech gets more and more affordable, the desire for security cameras in and around homes has exploded. As you have witnessed, all the big-name tech companies are in the game and these high-definition cameras can move, record video and audio to the cloud, and notify the homeowner whenever there is motion. The security features these cameras and video doorbells offer are admirable but they do cause some potential issues for the real estate industry that should be discussed. Let's think about some of the issues at hand.

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Legal Implications

Some cameras are visible, and some are less so, but the main purpose of the camera is to record events that take place in front of those cameras. When the property gets listed on the MLS[®] system, it becomes a venue for members of the public to enter, and the implications of having cameras do change. In Canada, it is illegal to secretly record potential buyers in a home which would be considered an illegal collection of consumers' personal information. This would be a violation of federal privacy legislation, but there are potentially more serious breaches of the Criminal code where a private conversation is recorded, such as between spouses, or between agent and client. This would also apply to external cameras such as doorbell cameras or floodlight cameras despite those being outside of the home.

Working with Sellers

As professional REALTORS[®] are out in the marketplace and meeting with potential seller clients, it's so important in this moment of cameras everywhere, to have the conversation about what the seller intends to do with cameras in and around their home. Seeing as cameras may or may not be visible in or around the home, it's best practice for a professional REALTOR[®] to ask the question every time as part of their listing process. Assuming sellers have no intention of removing cameras for the sake of showing the home, the seller should be informed about the potential liability that the cameras could raise if they haven't obtained the consent of the people entering the property. Perhaps the simplest way to inform folks about the cameras is to post a sign on the property or in the front entrance for example stating that there are active cameras in the property and that they may be recorded. If they choose to enter after reading the notice there is a level of implied consent and a low chance of a privacy complaint.

Working with Buyers

This is so important to think through because it's a virtual guarantee that the buyers have not considered the possibility of them being monitored and recorded in the homes they visit. The best practice would be to raise awareness of the issue at the first consultation meeting between the REALTOR[®] and the potential buyers and determine their level of concern. If they are extremely concerned, their REALTOR[®] could ask the question of each seller before showing the property and allow the buyer to decide whether or not they want to view that home. Alternately, if the buyer is not as concerned about this issue, a professional Realtor[®] should remind their buyer clients at the beginning of each showing tour that they may be recorded from the moment they arrive at the home, even at the street. Because of this, clients should save their excitement, criticisms, or

comments about the property for a private conversation with their Realtor® away from the home so as not to potentially hinder any future negotiations.

I think it is safe to say that the trend of increased personal video surveillance in homes will continue to grow, and the expansion of the affordability, types and accessibility of cameras will not slow down. This reality is something that should cause some consideration for all of us as homeowners, consumers, and citizens when we think about whether or not we would be comfortable knowing that the video and audio of our conversation were being recorded without our knowledge. However, if given the courtesy of disclosure of that fact before the recording, I would certainly feel more comfortable personally, and that knowledge would likely help me guard my words a little more as well.

What must a REALTOR® understand about the Dower Act?

Bryan Statt | Jan 16, 2025 1:44:21 AM | [Original article](#)

For over 100 years, the *Dower Act* has been a part of the legislative landscape in Alberta. The *Act* was originally introduced to protect the rights of a wife – who, at the time, could not own property – from being evicted should the husband decide to sell the property in such cases as a marital dispute. This isn't a history lesson, and I'm not a lawyer, but to understand how it applies today, you need to understand the purpose for which dower rights are supposed to function.

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Fast forward over 100 years, and Alberta still has the *Dower Act* with few revisions in that time. Like it or hate it, dower relates directly to the disposal of real property, landing directly on your plate. That said, if you are to provide competent service to your clients, you must understand how it applies for as long as it is in effect. Let me walk you through some key points you should know when dealing with dower rights.

When does dower apply?

This is a super simple three-step process. Step 1 – Does the land title have only one name showing as a titleholder? If Yes, then Step 2 – Is the person named on the title LEGALLY married? If Yes, then step 3 – Has EITHER the person named on title OR their legal (non-titled) spouse ever lived on the property... like ever... like even for a day? If the answer is yes, then the *Dower Act* applies to the disposal of that property.

What does legally married mean for the *Dower Act*?

Legally married means if the person is currently married, separated, going through divorce proceedings, or divorced but has not yet received the final divorce certificate. Yes, all of those are still LEGALLY married. No, there is no such thing as legally separated as a category; you are still married until you are not married. Notice the categories of common-law or cohabitation are not included in the list because the *Dower Act* does not protect these statuses.

Is the gender of the titled or un-titled spouse important?

Nope. That was an easy one! Any gender who can be legally married is protected by the current version of the *Dower Act*.

What is the *Dower Act* designed to protect?

Great question and so often misunderstood. The dower rights enshrined in the *Dower Act* protect the un-titled spouse from the disposal of the 'homestead' or family home only. That means the un-titled spouse has the right of veto on the sale of the property but dower has NOTHING to do with the money side of the asset, which is handled in other legislation, such as the *Matrimonial Property Act*.

How do I manage dower rights in a listing?

First things first, pull the title before signing the **Exclusive Seller Representation Agreement** and determine if there is one name on the title. If there is only one name, you need to ask the other two questions as described above. This process is outlined in the dower section of the agreement itself. If you determine that dower rights do apply, the non-owner spouse needs to sign the listing in the designated non-owner spouse section. You will need to give the **AREA Exclusive Seller Representation Agreement Dower Consent and**

AcknowledgementForm to the un-titled spouse and send them to their lawyer for proper legal advice on completing the form in line with the legislation. NOTE: It is not best practice to handle the form at the real estate brokerage level, even if you or your broker are a commissioner for oaths in Alberta. This is because the *Dower Act* is very prescriptive of how the consent must be completed.

How do I manage the dower once I get an offer on the property?

Because the professional REALTOR® will pull title to the property when they write the offer, they should ask the question of the listing REALTOR® whether or not dower applies. If applicable, add a reasonable date to the dower section of the agreement, allowing time for the un-titled spouse to get the new consent for the purchase contract completed. The un-titled spouse will then sign the specific non-owner spouse section of the purchase contract and will need to attend the lawyer's office again but this time with the **AREA Purchase Contract Dower Consent & Acknowledgment**Form. Once completed, they need to supply a copy to the listing brokerage for the file and the buyer's REALTOR® for the contract satisfaction before the specified date. This needs to be done for each subsequent offer that is accepted. As the listing REALTOR®, it is important to understand that the AREA residential purchase contract states that dower does not apply as a default. You will need to be certain that the date for provision of the dower is inserted and reasonable to give sufficient time to the un-titled spouse to get the document completed.

If I complete all those things as described, do we satisfy our *Dower Act* responsibilities?

Yes, if you complete the process in the way described, you will have satisfied your responsibilities. However, it should be understood that dower rights are activated at the time of the transfer of the title that happens when the transaction closes. This matters because the *Dower Act* allows for the un-titled spouse to revoke their consent up to, and in rare cases, slightly after the closing of the property, so your handling of the entire process properly and transparently is crucial to mitigating as many complications as possible.

Dower responsibilities may not win the prize for most loved and appreciated legislation, nonetheless, you cannot avoid your responsibilities under the legislation. If you provide clarity for your clients, and leadership in the transaction, you can help your clients avoid all kinds of trouble related to this area of real estate practice.

What are the implications of reporting conditional sales on the MLS® system?

Bryan Statt | Jan 16, 2025 1:43:06 AM | [Original article](#)

The real estate industry is a dynamic and fast-paced industry with new listings, sales, expiries, etc. happening in real-time with real people. All of this beautiful motion would be chaotic without some level of organization which can help signal to REALTOR® members and consumers alike, the state of the current market at any given time so they can make the best decisions possible at the moment. One of the levers used to help in this regard is statuses in the MLS® system which represent the current state of a listing for the clear view of all REALTOR® members. Pending status is an internationally recognized standard for properties that are currently engaged with a buyer who has a conditional offer on the property. This status gives clarity to the pace of the real estate market in any given region. Let's consider some of the ways this works.

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Clarity out of confusion

In Alberta, the reporting of Conditional Sales, also known as pending sales in the MLS® system is mandatory upon the acceptance of a conditional offer by the seller. This mandate ensures that other REALTORS® and their clients can be assured of what properties have offers and which do not so they can make the best decision for their situation instead of feeling deceived when learning the status at some later stage of the process.

Savvy sellers

With the clarity that mandatory reporting of conditional sales provincially brings, a potential seller who is considering listing with a REALTOR® will have the ability through their market research to know the landscape they are competing with. By having a clear understanding of the total properties on the market, and the number of properties already under contract, the seller can gain a clarifying view of the pace of property activity, and get a better understanding of where their property may fit into that picture. Often properties will remain in a pending status for weeks while the buyer completes their due diligence so this differentiation between active competition and pending properties can be invaluable to a seller.

Better Buyer Base

Buyers who have the knowledge they need are better buyers. By having the assurance that the status of a listing is the true status of the listing, the buying public can make better decisions that match their specific situation. Transparency in the transaction process leads to less frustration and helps buyers understand their options, including the opportunity to work with their REALTOR® to write a backup offer on a property already pending. This full knowledge of the current situation also provides the seller with confidence that a buyer writing a backup offer has prior knowledge of their pending status, which leads to greater comfort in negotiating by both parties.

More Market Data

REALTORS® love to bring the most and best data to their clients, so they can help them chart the best path to success. By having more data and surety of data integrity, real estate associations and boards can produce better and more accurate statistics. Statistics such as average time in pending status helps sellers know what

to expect, the time between active and pending status, or time between pending status and sale status are also statistics invaluable to both buyers and sellers. The ability for a REALTOR® to bring that kind of value to the real estate transaction is good practice, and a window on the market conditions could mean the difference between “for sale” and “sold”!

REALTOR® members are always striving to provide the best experience for their clients, with honesty, clarity, and expertise, and the surety of listing status is one of those huge benefits to the marketplace. Clients demand the most up-to-date information on which to base their purchasing and selling decisions and REALTORS® love to provide it. The saying goes that you can never step into the same river twice, and the real estate market is the same so that the fast pace of market activity benefits greatly from the steady and expert hand of a REALTOR® to navigate.

What are best practices around communication?

Bryan Statt | Jan 16, 2025 1:42:01 AM | [Original article](#)

Boomer, Gen-X, Gen-Z, and Millennial are just a few of the buzz words thrown around to describe different generations of people who have similar ages and cultural experiences. There are no hard lines in these categories, but the different generations do seem to struggle sometimes in communication amongst other groups as well as have their preferred methods of communicating with each other. This difference can lead to a communication frustration that can easily be avoided with some basic considerations. Let's take a quick look at some best practices around communication in business.

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Messaging, SMS, Direct messaging services

Messaging is great for quick information transfer without any formal expectations. For example, "What time is the meeting?", "Is Jenny's number 867-5309?", "How big was the garage on that house we liked?", are all good examples of questions that can be quickly and efficiently handled by messaging directly with an individual. "Tell me what kind of a home you are searching for?" is an example of a question that is too open-ended for a message and should be bumped up the hierarchy of communication.

Emails expand the range

Email is a modern version of a letter and is expected to have more content and context when communicating a complexity not suited for messaging. Email should always use more formal language, punctuation, and introductory and closing etiquette where messaging does not require it. Emails start with "Hello Jenny" and end with a closing statement like "talk soon", or "regards", and the body can contain a significantly more developed explanation of what you are communicating as well as may include attachments for reference. An email of 500 words would not be considered onerous, but a text message with the same content would be seen as contemptuous and annoying.

Telephone talk

It may be a surprise to many folks these days, but those smartphones you carry around in your pockets everywhere you go also have the capability of dialing out! Let's call that voice-to-voice technology to make it exciting, but the power of the telephone cannot be underestimated. When you are speaking on the phone, you have not only the ability to pass much more information between people in a short time, but you also gain real-time feedback from the other party, with the huge benefit of voice inflection. Voice inflection is a huge benefit when communicating because it can signal empathy, sympathy, conviction, passion, urgency, understanding, etc. just by the way you say something over the words you actually say. On the negative side of this, we have all been in situations where a recipient of an email or text message read something into our message that wasn't actually there in the words, leading to frustration or upset feelings.

In-person Invaluable

It shouldn't need to be said, but it does. Face-to-face communication is the single greatest tool in your communication toolbox, which includes information transfer, voice inflection, body language, and rapport building in a nice compact package where you may even get to drink coffee! This requires the most effort

because you need to get your body to the same place as their body and then “start” the conversation, however, the practice will pay dividends beyond all other methods combined.

Hierarchy harmony

Having described some of the main differences in the various forms of communication used in real estate, let's talk about the hierarchy of use. The hierarchy should be, from most top to bottom, In-person, voice-to-voice, email, text, and you should deploy this model in most of your interactions. As a rule, you should always respond to someone in at least the same level as they have reached out to you, for example, if someone calls you, you call them back rather than text them back. Or, If someone requests a meeting, you meet with them, rather than email them. As the best practice, always try to achieve the highest level possible for the situation or person, so if someone emails you, you can call them, or ask for a meeting over coffee. By using this method as a rule of thumb you will meet people at their level at least, or exceed their expectations at best.

Recognizing not all situations work in this model, it is important to keep this in mind when interacting with people. The technology has become so intuitive and convenient, that it's just “easier” to degrade your communications to a lower level for the sake of expediency and getting on with other things. By doing that you harm your chances for a higher-level relationship, and increase the probability of miscommunication and even frustration. To date in human history telepathy is not an option, so if you are locked into a written or spoken communication as a transfer of information between people, choose the highest and best you can.

How should I think about offers in real estate?

Bryan Statt | Jan 16, 2025 1:40:09 AM | [Original article](#)

Like honey from the honeycomb, so indeed is a good offer written for a seller and their REALTOR[®]. Yes, it is a wonderful thing to see the fruits of the labour of listing and marketing a home, all the cleaning, and preparation for the seller, and then the plan comes together in the offer to purchase. It can be an emotional time for all parties involved and I think it's valuable to point out a few key thoughts on offers and how to think about them.

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Obligation situation

When a buyer client decides to write an offer on a property, they have usually considered many variables not only related to the market and property but also related to their situation and finances. There are times when the buyer wants to write an offer with terms and prices that are different from those their REALTOR[®] believes will be successful. The REALTOR[®] must ensure they provide sound advice on the buyer's best strategy for success, however, where the buyer insists, the REALTOR[®] has only two options, either prepare the offer following the buyer's lawful instructions or end the relationship. The third option of "I won't write an offer at that price, or I refuse to add that term" is a non-option, and a violation of fiduciary duties owed to the buyer. Once a REALTOR[®] prepares the offer for their client, agreeing or disagreeing with the content, they will support the buyer's decision and negotiate to the best of their ability on the buyer's behalf.

Seller's Struggle

A seller's REALTOR[®] may find themselves in a tricky spot too when it comes to offers. Although the excitement is high upon hearing an offer is being written sometimes that balloon is burst when they receive it and need to take it to their seller for discussion. The legislation is clear that ALL offers must be presented, so there is no option for a seller's REALTOR[®] to say "I won't present that stinky offer", or "Write something better and then I'll take it to the seller". The seller is the only authority in the relationship and for this reason, only the seller can make those decisions upon being presented the offer. Regardless of what the REALTOR[®] thinks about the offer itself, they must present the offer promptly and let the seller decide what to do next.

Verbal Vexation

Although rare, there are times when a seller's REALTOR[®] will receive a verbal offer. For example, during an open house, one of the interested parties says "Will the seller take \$350,000? We don't need financing and could move in quick!". In this type of scenario the buyer is making a verbal offer, and as mentioned before ALL offers must be presented, written or verbal. With this in mind, the REALTOR[®] would need to contact the seller and inform them about what this person offered and let the seller determine the next steps. It should be noted that verbal offers/contracts are not enforceable under the statute of frauds, but it does not prevent the REALTOR[®] from their obligation to present, at the same time making their seller client aware of the dangers of this type of negotiation without fixed terms and conditions in writing.

3rd party with limited authority

The REALTOR[®] role in the transaction is not as a party to the transaction. The only role the REALTOR[®] plays is as a third party with limited authority, and this reality keeps the seller and buyer clients in

the proverbial driver's seat throughout the transaction but also introduces a huge benefit to the transaction. Because the REALTORS[®] have no authority to alter the contract itself, they stand between the sometimes volatile clients, ensuring the objectives of their respective clients are represented and not clouded by the emotional fog of decision making. This allows the parties to continue the negotiations blissfully unaware of tensions or reactions of the other party and helps keep the REALTORS[®] focused on the best interests of their client as they take instruction from their client as the decision-maker.

Although the offer process in real estate may seem simple on the surface, the complexities, variables, and tensions run deep. REALTORS[®] plays a vital role in helping clients achieve their objectives in a smooth, systematic, and legal way while managing the hundreds of tasks required to get the desired result of a completed sale. If a transaction goes smoothly, it's not because it was "an easy one", but because the transaction was managed professionally.

REALTORS® are worth their fee but how can it be secured?

Bryan Statt | Jan 16, 2025 1:38:00 AM | [Original article](#)

Marketing, advertising, fees, licensing, education, and insurance are only the tip of the iceberg for costs associated with being a professional REALTOR®. Add to that the industry experience, product knowledge, negotiation expertise, and contract prowess required for a successful transaction, and it's plain to see that a professional REALTOR® earns their fee.

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The real estate industry in Alberta is varied in the ways compensation can flow to the buyer's brokerage, and ultimately to the REALTOR®, so let us talk a moment about what those ways are, and how to ensure it is done properly and transparently.

The Law in Alberta

It is important to first recognize that in the province of Alberta, only the brokerage is licensed to trade in real property. Because of this, a professional REALTOR® is registered with a brokerage and goes out into the real world representing the transactions on the brokerage's behalf. This is the reason why all agreements are between clients and the brokerage, and all fees paid concerning a trade in real estate must be paid to the brokerage and not the REALTOR® directly. Once the fee is received by the brokerage, the REALTOR® is compensated by the brokerage based on their agreement, but a REALTOR® must never accept any payment directly, for any reason or they would be in violation of Alberta law.

How the fee flows

The most common flow of compensation is through the Exclusive Seller Brokerage agreement. In that agreement, the seller agrees to pay their brokerage a total fee for the successful sale of their home. Also, as part of that agreement, the seller agrees with the brokerage the amount of compensation that will be offered to any cooperating brokerage out of that total fee. The seller's brokerage then displays that cooperating fee amount in the listing through the MLS® system. The buyer's brokerage will have a written agreement with the buyer for compensation, usually through the Exclusive Buyers Representation Agreement detailing the amount of the fee. Once the buyer purchases the property and everything closes successfully then the fee is paid to the seller's brokerage from the seller's lawyer out of proceeds of the sale, and the seller's brokerage subsequently compensates the buyer's brokerage their portion, who subsequently compensates the REALTOR® their portion.

What if the fee offered in the MLS® system is less than what the buyer has agreed to pay the buyer's brokerage?

Ah, now we come to the nitty-gritty. Because all compensation is negotiable in Alberta and there is no standard fee for service and no standard service offerings, there can be some difference in the amount expected by the buyer's brokerage and the amount offered by the seller's brokerage. The best way to handle such a situation, when the REALTOR® and the buyer are using an Exclusive Buyer Representation Agreement which includes a set fee, is by way of a specific term in the purchase contract. Because only the buyer and seller are parties to the purchase contract and the brokerages are not, the buyer must be the party to insist on

the seller meeting their obligations to the buyer's brokerage if they are to purchase the home. A sample term would look like the following, but legal advice would be advised in the crafting of a term for compensation:

The buyer requests and the seller agrees to pay the buyers brokerage, [insert buyers brokerage name], the sum of [insert fee amount described in EBRA] + GST on the final selling price at closing, in order to allow the buyer to fulfill the buyer's obligations to the buyer's brokerage through the Exclusive Buyer Representation agreement #_____. This compensation is in lieu of advertised compensation.

Are there exceptions?

Yes, of course. This is the most common flow of compensation for the buyer's brokerage, however, it does not answer every situation. For example, if the buyer and the buyer's brokerage have used a Non-exclusive Buyers Representation Agreement, the brokerage has no option to receive anything other than the compensation offered by the seller through the MLS[®] system. This too must be disclosed to the buyer, in this case, using a fee disclosure form.

Other variations may also arise in specific situations and a professional REALTOR[®] will be able to advise on the various situations as they arise based on the relationship agreements they have with the buyers, and the specifics of the purchase. When things get too complex, as they sometimes can, do not hesitate to seek competent legal advice.

Should a buyer consider a pre-possession walkthrough?

Bryan Statt | Jan 16, 2025 1:36:41 AM | [Original article](#)

Possession in real estate is the happy day when a buyer gets their keys, and a buyer's REALTOR® can begin to breathe again. A walkthrough could be defined as the opportunity for a buyer to take another look at the property at some stage of a transaction. Based on those definitions then, a pre-possession walkthrough is a chance for the buyer to take one more look at the property between when they removed all their conditions to buy the property, and when they get the keys and the money has transferred. Let's take a look at some thoughts surrounding this practice and see how it could be troublesome.

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Unconditional means exactly that

Once a property has been selected as a buyer's very favourite of all available in the market, they make an offer that usually has several conditions. Most common are financing and property inspection, but could run the spectrum of any number of conditions the buyer determines are important to them, and the seller agrees to allow. Once the buyer removes their conditions, the contract becomes an unconditional purchase contract and the buyer immediately has an insurable interest in real property despite the weeks or months it may take for the title and money to change hands. This unconditional status means that regardless of circumstances the buyer IS buying that home or the consequences are huge and potentially far-reaching.

One last look

If a buyer has reservations about the condition of a property after the sellers move out, or want to ensure that a specific thing the seller agreed to do to the property gets done, they may ask their REALTOR® for one last look a few days before possession takes place. Unless this was written into the contract, the seller has no obligation whatsoever to permit such a request. If it is written into the contract as a term, the seller is obligated to allow the entry, but it changes nothing about the contract itself, or the buyer's ability to "back-out". Essentially, the buyer is in the position of seeing the property one more time, in possibly their most vulnerable emotional moment before closing, with no power to change the outcome of the situation.

A clear contract makes a good closing

The best time to handle situations is of course before the situations happen, if possible. Checking up on a seller's obligations is easily handled by way of evidence before closing, and consequences for non-performance are built right into the term. A REALTOR® can help a buyer ensure the situation is covered in the contract without the need for a pre-possession walkthrough in most cases. Check out my article on hold-back terms [here](#). As for conditions, the buyer can ask for as many types of inspections, entries, or experts as they feel they need to be comfortable with the purchase by way of condition. This ensures that the seller has agreed to the conditions as part of the contract with the understanding that the buyer could be unsatisfied with what they find before removing their conditions. If a buyer completes all of their due diligence and removes their conditions, the seller can then feel secure that the transaction will proceed. This avoids the futile attempt of a buyer trying to stall the closing when the stakes are high during a pre-possession walkthrough where no teeth were built into the contract.

One-off

It would be foolish to say there is never a place for a pre-possession walkthrough, since predicting all the possible real estate situations would be like trying to count evergreen trees in Banff national park. A REALTOR® is specially situated to help a buyer navigate the complexities of a specific transaction and help determine where a term is best, additional conditions are better, or if in the rare circumstance that a pre-possession walkthrough may be necessary. Because of the legal pitfalls, and high buyer stakes attached to such walkthroughs, legal advice on crafting an adequate term for the contract should be sought.

Although a pre-possession walkthrough and the drama that could potentially result make for great television, in the real world of real estate, there are better tools to employ to protect the buyer's and seller's interests. Leaving the pre-possession walkthrough as a rarity serves all parties best, and ensures the gravity of the situation that requires one is given its proper legal consideration.

Condominium documents, what are they good for?

Bryan Statt | Jan 16, 2025 1:35:43 AM | [Original article](#)

Condominium properties represent a large number of sales in all Alberta markets every year, and the issues that surround the purchase and sale of condominium properties are specific and intrinsically linked to the condominium documents. It is widely understood that condominium ownership provides a carefree lifestyle option, but confusion over condominiums can be expensive. Let's take a few minutes to think through some of the high points.

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Legislative landscape

As you would expect, the Real Estate Act of Alberta as well as the Real Estate Act Rules, govern the transaction of condominium properties, because condominium is a form of owning real property. As an additional complexity, condominiums are also governed by the Condominium Properties Act of Alberta which relates to the running of the condominium corporation itself, as well as specifics about how condominiums are bought and sold.

Condominium clarity

One of the biggest misconceptions about condominiums is what exactly a condominium is. Many consumers believe a condominium is an apartment-style property in a complex which offers amenities for its owners. Although this may be accurate, it is not the whole story, as a condominium can be almost anything from an apartment or townhouse to the lot under a single-family home or a 20-acre parcel of rural land. The reason for this is that a Condominium is a type of corporate ownership of a project, rather than simply owning a piece of individual real estate. One of the benefits of condominium ownership includes the right to dispose of your interest in that corporation which is why in the real estate space it feels a lot like non-condominium property.

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Condominium Docs importance

When a buyer considers buying a condominium property, it's important to frame thoughts around that purchase so the buyer clearly understands what condominium ownership means. If the buyer were going to spend \$300,000 to invest in a popular hamburger franchise restaurant, they would likely want to know a few crucial details about that company. Financial health, assets, liabilities, renovation funds, debts, and restrictions, are only a few of the things a restaurant buyer would like to know about before investing their hard-earned money into that corporation to ensure investment success. This is the same as buying a condominium property, where the buyer needs the same information when deciding to invest their money into a condominium corporation. The big difference is that as a benefit of owning shares (unit factors) of that condominium corporation, the purchaser gets to own a specific piece of the physical property. The condominium documents serve the purpose of satisfying the informational needs of the purchaser to evaluate that investment profile.

What documents are required?

Thankfully consumers are not left alone to figure out what documents are critical when considering a Condominium purchase, as the Condominium Properties act specifies which documents should be prepared by all condominium corporations in Alberta, and the Alberta Real Estate Association has undertaken to include this list and other important documents in the standard purchase contract for condominiums used by REALTORS®. By ensuring consumers make their purchase conditional to the review of condominium documents, REALTORS® help buyers gain the transparency they need when making the purchasing decision.

Who should review the documents?

The REALTOR® responsibilities end with helping the buyer understand their need for these documents and where to get them. A REALTOR® is not qualified to review condo documents or provide advice on their contents. A REALTOR® may help a buyer check the list of documents provided by the condo board or management company against the list in the purchase contract, however, it is the buyer's responsibility to review the content themselves. If a buyer does not feel confident in reviewing the documents themselves, there are several qualified condominium document review services available at an additional fee which can help a buyer identify points of concern in the documents and give advice on the contents of the documents themselves.

Potential Pitfalls

Condominium ownership is different from traditional non-condominium ownership in that your ownership is a share of the whole project. This means if the project requires upgrades it is the responsibility of all owners to pay for those upgrades. If the financial management of the corporation has not been diligent in planning for upgrades or maintenance, the result is usually a special assessment, or "cash call", which is a bill due and payable by the individual owners. Special assessments can run in the tens of thousands per unit and can not be avoided as an owner, but can often be avoided through competent examination of the condominium documents before the purchase. Other things that can be caught at the time of purchasing through the documents are pet restrictions, parking issues, age restrictions, and financial health of the corporation all of which may be concerns the purchaser should know about before they own the property.

Condo Fee confusion

Condo fees in their most pure form are simply the amount of money required to run the corporation, maintain the total project in good repair, and save a portion for future repairs and replacements. Oftentimes buyers look for the property with the lowest fee, however, if that low fee is not covering the expenses and required savings for future repair and replacement, then a special assessment is inevitable. Good financial stewardship is vitally important to the health of a condominium corporation, and the condo docs can help determine if the condo has been well run and the condo fees are representative of the current and future needs of the complex for the benefit of all owners, present, and future.

Bryan Statt | Jan 16, 2025 1:34:33 AM | Original article

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The National building code, the Alberta building code, and the Alberta Health Minimum Housing and Health Standards all line up regarding the 'egress' or escape requirements of a bedroom. As far as legislation goes this seems to be the only codified bedroom requirement enshrined in law. Here are the specific regulations detailed in those documents summarized at the writing of this article:

It is a good rule of thumb for the sake of fire safety to ensure that bedrooms have 2 points of exit in case of emergency and that an occupant can reach the window if needed. Think about a 9 ft basement with a large enough window for egress but a child occupies that room... they need a way to get to the properly sized window! Now we have all the legal stuff out of the way, let's consider some additional criteria that should be considered when listing a property for sale on the MLS® system.

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Minimum Square Footage

As would be assumed in the name, a *bedroom* should be understood to be able to fit a bed, don't you agree? Well in most cases this would be a 70-80 sqft room at minimum with no dimension less than 7ft to be adequately sized for a bed and some space to walk around it. There could be reasonable exceptions to this but it's a rule of thumb

Enclosed Space

Considering it's called a *bedroom*, the name itself would imply that the bed is in a 'room' which has a basic understanding to be somewhat or entirely enclosed. Must it have a door? Maybe. How about a bead curtain? Sure! There are no specifics around a closeable door but the person sleeping there may feel differently.

Minimum Height

It may not have occurred to anyone outside of a boarding house, but height may be a consideration as well. The Residential Measurement Standard in Alberta, principal 7 states that saleable footage of a room requires a height of 5ft minimum with at least 7ft of height somewhere in that same room. There is no good reason not to apply that same principle generally to your thoughts on bedrooms as well as something to consider.

Heating... Alberta winters come every year

Similar to the Minimum height consideration, the Residential Measurement Standard in Alberta, principal 6 states that to be included in saleable footage the property space must be weatherproof and suitable for year-round use (ie heated for winter). Notwithstanding that some basements are pretty drafty and cold, this could be another consideration when determining if a room could be used as a bedroom.

Closet space

Contrary to popular belief, a closet has not always been a standard feature in home construction. Most pre-war homes did not have closets built into the walls and the inhabitants still survived such a hardship. Joking aside, a bedroom does not necessarily have to have a closet to be a bedroom, but perhaps sufficient space for a cabinet, dresser, or clothes rack will make life a little more organized for the room's potential inhabitant.

Transparency

Now for the Elephant in the room...or bedroom as the case may be. There are countless homes that were built with tiny windows in the basement, and even some historic homes without proper egress in upper floor rooms, so what to do about those? The Real Estate Act rules 42(b) state you cannot participate in unlawful activities, and as the logic goes if a bedroom doesn't meet basic legal egress requirements then it is not a legal bedroom. Following the bouncing ball takes you to The Real Estate Insurance Exchange (REIX) who states that coverage will not extend to members who list properties with a bedroom that does not meet legal egress criteria. In that case, it becomes very crucial that a REALTOR® disclose to the public in remarks and on a purchase contract that "rooms in the basement currently used as bedrooms do not meet current legal egress requirements"

After discussion with several boards in Alberta, there are no hard and fast rules surrounding your choice to designate a room as a bedroom in your new listing. However, your fellow REALTORS®, your broker, your association, and potential buyers would appreciate it immensely if you just took a few minutes to think through a few of these considerations to avoid conflict and potential legal liability.

Are backup offers a valuable tool in the tool box?

Bryan Statt | Jan 16, 2025 1:33:13 AM | [Original article](#)

If you have ever experienced a brisk Sellers' market or noticed a cream puff property one day too late, you are likely familiar with the concept of backup offers. Even though the backup offer can be a valuable tool in the professional REALTORS® tool box, many agents shy away from its use thinking it is too complicated or trying to create a backup offer without first considering some key points. Let's walk through some of the things you need to think about when considering if a backup offer will work for your situation.

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Buyers side:

The first thing to consider is if the property is significantly unique so that the buyer's desire to potentially purchase the property outweighs their ability to find something else similar. For example, if the buyer could buy the same basic property a block over, they may simply want to negotiate an offer on that one instead.

Second, the buyer needs to clearly understand that a backup offer has the same responsibilities and obligations as a regular offer, and isn't just a placeholder if they don't find anything better in the meantime. They are agreeing to act in good faith and make their best efforts to fulfill the contract, even in a backup position.

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Sellers side:

The first consideration is if your seller is interested in committing themselves to another buyer at a fixed price and terms in the event the first offer fails to remove conditions. In a rising market, the seller may think they are better off going back on the market, or they may be more interested in the security of having an additional offer waiting in the wings. The seller should get the pros and cons from a professional REALTOR® before proceeding.

Second, the seller should understand that when they accept a backup offer, they are agreeing to sell the property for a fixed price and terms just like a normal offer acceptance. Because of this, the seller must understand any amendment or extension to the primary offer while a backup offer is in place can be very litigious.

Thirdly, a backup offer does offer a clear advantage in some cases to a seller where they have some level of security that they will likely sell either to the first or to the second offer. Also, just the existence of a backup offer, if the seller instructs their REALTOR® to disclose its existence, may prevent the first offer from trying to renegotiate the contract after a home inspection or appraisal.

So how do you create a backup offer you ask? Simple, you are already a pro at negotiating an offer, and that is how it starts. Under the law, all offers must be presented, so if you write an offer on a conditionally sold property the seller's REALTOR® must present it to the seller. Once negotiating the price, terms, and conditions

as normal, now the secret sauce on the final contract is adding a condition, or in rare cases, a term, to make it a backup offer.

Seller Condition method

The seller condition method is preferred because it uses a clear process of waiver/non-waiver to rigidly determine if/when the backup offer advances to the first position or ends. Simply add an **additional seller's condition** stating

"Subject to the seller being released from all obligations under a previously accepted purchase contract #[insert purchase contract number provided by the seller's REALTOR®], on or before [insert time and date suitable for the seller to know if the first offer has completed or collapsed]. The seller agrees not to alter or extend the previously accepted purchase contract."

Tada! Once the seller and buyer have signed, you have a backup offer in place. Now there will be a very clear and orderly progression of transaction where the seller will either waive or non-waive the seller's condition of backup offer giving the buyer an indelible indication of when they are the primary offer.

Contract Term method (seek legal advice if using)

In some cases, you may be tempted to opt for a contract term instead of a condition. It is often viewed as favoring the buyer and in effect 'forcing' the backup offer into the first position on a fixed date and time. But the use of a term instead of a seller's condition is not only clunky but can invite both contract frustration and litigation. In addition, the attempt at crafting a term that adequately protects both buyer and seller is difficult and should not be attempted without legal counsel.

What is FINTRAC and why should I care?

Bryan Statt | Jan 16, 2025 1:32:10 AM | [Original article](#)

FINTRAC has been part of every real estate transaction for years and I am continually surprised by the general lack of knowledge around what FINTRAC does. REALTORS® may look at FINTRAC as just another piece of paper to fill out when helping buyers or sellers transact but FINTRAC regulations play a crucial role in the financial and physical security of Canada and the world. Let's consider the high points.

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What exactly is FINTRAC?

FINTRAC stands for the *Financial Transactions and Reports Analysis Centre of Canada* and exists as Canada's federal financial intelligence unit. FINTRAC's mandate is to "facilitate the detection, prevention, and deterrence of money laundering and the financing of terrorist activities". FINTRAC gets its authority from federal legislation under the *Proceeds of Crime, Money Laundering, and Terrorist Financing Act* (PCMLTFA), which means failure to comply with FINTRAC regulations is a violation of federal law. Check out this [FINTRAC Case video](#).

Is FINTRAC bigger than just Canada?

Yes, FINTRAC is only the Canadian branch of a united body of over 200 Financial intelligence units in countries around the world! FINTRAC and its affiliates work globally together to help authorities go after the money of criminals dealing in illegal drugs, human trafficking, and even funding for weapons of mass destruction.

What are REALTOR® and consumer responsibilities?

REALTORS® are required to identify all individuals who transact in real estate as either buyers or sellers. This identification requires that a REALTOR® see a Photo Identification document and record that information for the brokerage to keep on file for 5 years. In addition, the REALTOR® must ask questions about a client's occupation, or other details about their situation to assess risk levels. Corporations who buy or sell real estate also must be identified through corporate registries, individuals who have signing authority, and details about all beneficial owners of the corporation. Even individuals who are not represented by a REALTOR® must be asked for ID as well. A REALTOR® is a front-line operator who gathers data that may be necessary for FINTRAC to use in the future, and it's the law.

What if FINTRAC regulations are not followed?

As federal legislation, FINTRAC is mandatory, and non-compliance has penalties of up to \$2,000,000 and/or 5 years of prison! The Government of Canada is serious about stopping financial fraud, money laundering, human trafficking, criminal cash flows, and terrorist funding methods, and REALTORS® have an important role to play.

Before FINTRAC, Canada did not have a coordinated and targeted strategy for financial intelligence gathering and reporting, but the terrorist attacks of September 11, 2001, in New York City changed all that. The concept for a global cohesive community to develop a strategy around stopping the flow of criminal financing has led to the PCMLTFA and the FINTRAC regulations we have today.

Where does intellectual property fit into real estate?

Bryan Statt | Jan 16, 2025 1:30:55 AM | [Original article](#)

Licenses, trademarks, and copyrights, oh my! All of these are vehicles for securing intellectual property rights for everything from pictures to text, but the issue relates to any media created by an individual or company being owned by that creator forever unless they explicitly sign away those rights or license usage to another entity. Thoroughly confused? Let's just say the one who made it, owns it and has the sole right to use it.

Because of this, and the overarching power and validity of intellectual property rights, REALTOR® members need to be aware of some key points to steer clear of trouble.

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Pictures of your listing

When a REALTOR® takes a listing, the listing photos, including in some cases drone photos or videos, are a big part of attracting a buyer to view the home. Most buyers start their search online and the digital photos posted for the property are the first connection they make with their future home... like eyes meeting across a crowded room. Because of this important element of marketing, many REALTORS® have chosen to work with a professional photographer to help frame the property in the best possible light. But once the photos are taken who owns them? According to the law, in absence of a written agreement to the contrary, the photographer maintains ownership and usage rights forever. They would be permitted to use them on their website or marketing, sell them to a magazine or stock library, or do anything else they want to do. If a REALTOR® is using a photographer it's best practice to have that conversation about the terms of use, and/or ownership of those images because posting them on the local boards MLS® system means you are warranting you have the right to ownership or use and are granting a usage license to the MLS® system in perpetuity. If you take the photos yourself, you own the rights to them but if you pay for the photos you should confirm in writing.

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Internet images

You just need a nice photo of a handsome well-dressed man, shaking hands with a perfectly coiffed woman while holding a contract and smiling in a gorgeous downtown office building. Simple enough right? A quick search of your favorite search engine, and bam it's ready for download in high definition for your new awesome brochure. Bad, bad idea! Just because that image is searchable and downloadable does not mean you can use it. There are purpose-built technologies designed just to seek out images used without a license, so the photographer can commence an action against the user under copyright law... and they win. Several photo services are no charge and royalty-free or provide a limited license for a fee, but you need to read the terms of service and in some cases provide attribution for the use so know your rights before using an image you found online. The best solution for stock photos? Grab your camera or smartphone and do a weekly photo walk in your town. Every picture you take yourself is yours to use how you like forever, and you might be surprised at your previously unknown skills.

Plagiarism

Just like for images, words bear the same style of protection under the law. Just like they drilled into you in school that you cannot plagiarize an author of a novel or textbook, the same goes for any text created by anyone without their expressed written consent and attribution. If a REALTOR® writes their remarks for a listing, that becomes their intellectual property and cannot be used in whole or in part by anyone else including a future listing REALTOR® of that property. Similarly, you can't use fancy wordsmithed text found on the web for your new listing presentation, etc. Write it yourself and it's yours, find it somewhere else, or have it written for you, think about your rights and responsibilities in using that text.

Satellite imagery

Surely a chunk of metal with a built-in camera orbiting our common planet miles above the ground taking pictures and publishing them publicly on the world wide web is free to use right? Wrong. The company that put that satellite in orbit took the pictures and owns them. If you do a screenshot of that satellite image and use it for your purposes without written consent you violate copyright law and invite the full weight of that companies legal department into your life. Many folks don't know that most local municipalities actually take the high-resolution images of their jurisdictions and they can be obtained legally for a fee if you are trying to get that perfect shot of the new acreage listing.

Forms

Since we are on the topic and well-marinated in the idea of intellectual property, it bears mentioning that the dozens of AREA forms that all REALTORS® in Alberta have access to have been created over many years at great cost to the membership. The content is so well respected and proven through practice and legal defense that this forms a huge benefit for all REALTORS® in Alberta, but only REALTORS® in Alberta. The forms themselves are protected by trademark and copyright as original intellectual property and permitted for use only by REALTORS®, but are not permitted for use by anyone else without the written consent of AREA, and may never be distributed by members for non-authorized use.

It needs not to be mentioned that this article only scratches the surface of this weighty subject and some who read it are rightly biting their nails as they anticipate how to correct some business practices in light of this new information. Take heart that a simple understanding of the basic principle of intellectual property will help guide you to simply think about the use of media in your business and spare you any legal wrangling. Remember if you didn't create it, you don't own it.

What are land titles registrations and how do I interpret them? - Part Two

Bryan Statt | Jan 16, 2025 1:29:14 AM | [Original article](#)

Land titles are integral to the real estate transaction, however often a REALTOR® misses out on the great advantage that having a current land title before listing or writing an offer can be. Let's review some of the common registrations and what they could mean to the transaction. Obviously, this list is not exhaustive and anytime you come across something you don't understand on a title you should always consult a real estate broker or lawyer to get clarity.

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Utility right of way

Nearly every home in Alberta has some kind of utility services such as water, natural gas, or electricity. To ensure the utility providers have access to repair and maintain the lines they register a registration on the title giving them that 'right'. This will stay on the title and the buyer agrees to continue to allow this when purchasing the property and generally nothing significant can be built or placed over the right-of-way itself, otherwise, the utility provider has the right to move damage or destroy it without recourse in order to access the utility.

Restrictive Covenant

Restrictive covenants are by definition *restricting* the ownership rights of the titleholder, and the titleholder covenants (contracts) abide by those restrictions. This also will stay on the title and the buyer agrees to this restriction by purchasing the property. Restrictive covenants can vary widely from the relatively cosmetic such as the color of fences or types/colors of roofing to the more serious such as the size of buildings on the lot, or the ability to have livestock. Because these items restrict usage rights, they are always important and should be obtained and provided to the buyer for review.

Mortgage

This registration will show if there are any mortgages borrowed against the property. The amount of the mortgage registration does not necessarily equal the amount owing but it can be a good indicator of possible equity issues. For example, if the property is listed for \$400,000 but the mortgage registration shows \$422,500 and its date is only 6 months ago, you may want to inquire of the seller's REALTOR® if they verified the mortgage payout balance with the seller to avoid any issues with the seller being able to close. Sometimes the lender registers the maximum value of a line of credit but only a small portion of that is actually owed, but it is worth asking the question.

Certificate of Lis pendens

Lis Pendens is a Latin term in law meaning 'pending suit' so when you see it on a title you want to take notice. It could be related to several different litigation issues such as divorce, unpaid debts, or foreclosure proceedings but whatever it is it will need to be investigated before listing or writing an offer to purchase on a property.

Writ

A writ means that someone actually won their lawsuit against the property owner and serves as registration of

that judgment upon the property itself for the sake of security. The seller cannot sell without dealing with it so it could seriously complicate a transaction and should be dealt with very early in the transaction to ensure the seller can actually sell.

Caveat

Here is another Latin term which is broader, simply and concerningly means “beware”! If it was written in English on a title in capital letters BEWARE, do you think it would be important to discover what you need to beware of? Of course, that is the case and any mention of a caveat on the title should have a similar effect on professional REALTORS® practice.

Easement

This is another type of right-of-way which essentially is an agreement registered on the title to use a portion of another adjacent property. This is normally to allow for things like maintenance to the property when access is only viable from an adjoining property, allowing for use of a shared on an adjacent property to access this property, use of shared wells, and other such issues. Easements will remain on the title after closing so once again a professional REALTOR® should be obtaining the easement information and providing it to the buyer.

Zoning Regulations

This is most common around airports in places like Edmonton or Calgary, or military bases elsewhere which also have an airstrip. The main purpose is to ensure a buyer knows they cannot build any structure or improvement higher than a certain height because it interferes with flight approaches or other operations. That should tell you that it is not unlikely that the new buyer may hear airplanes overhead or in the area from time to time as well!

Alberta Health orders

This is much rarer but extremely important in the sale of a property. It means that a significant health risk event has been discovered on the property and the provincial health authority requires the owner to remediate it and warn all potential purchasers of the issues involved. These could be grow ops, rodent infestations, hoarders, or cat houses, all of which a buyer will be keenly interested in knowing about BEFORE writing an offer.

BONUS

One additional option in the land titles system for Alberta is the ability to obtain a historical title. The historical title shows all previous registrations in the history of the property which, if it's important to the buyer client, could help a REALTOR® determine past issues registered on the title which have been subsequently removed or remediated. Anything not on a current title is no longer binding upon the property owner, however, the historical information can help tell the story of the property.

What are REALTORS®' Best Practices for Land Titles? - Part One

Bryan Statt | Jan 16, 2025 1:27:58 AM | [Original article](#)

For a professional REALTOR®, land titles are integral to the real estate transaction, however, often a REALTOR® doesn't realize that obtaining a current land title before listing or writing an offer can be a great advantage. Let's consider some general best practices when it comes to land titles and real estate practice.

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Pull the title before taking a listing, or writing an offer.

Because there is a cost involved with obtaining land titles documents, sometimes a REALTOR® decides to order the current title after they secure the listing or purchase contract. Big mistake! So much angst and confusion can be avoided by having crucial information from a land title before getting involved in a contract.

Read the title!

This is often a missed step as often in the whirlwind of activity in a trade, obtaining the title can become a checkmark to complete the file without ever looking at it. A quick review of the title can help highlight key issues regarding the property, or at least provoke good questions to be asked of the seller or their REALTOR®.

Ensure the owner you expect on the title, is actually on the title.

There will be times when you are surprised to find only one name on the title when you expect a couple or a corporation instead of a person, and even sometimes wrong names altogether. A professional REALTOR® must be certain the person(s) they are working with have the authority to sell the property.

Review registrations.

If you do not fully understand what each registration is, pull the registration itself and be sure you understand it completely. If all else fails, consult a real estate broker or lawyer for clarification before proceeding. Registrations such as mortgage registrations restrictive covenants, easements, or lis pendens can be very timely pieces of information crucial to the listing or selling of a property.

Provide information to a buyer client.

When working with a buyer, a professional REALTOR® should obtain registrations that will remain on the title, such as restrictive covenants, easements or lease agreements, etc. for the buyer to review themselves. This ensures they understand what they will be required to agree to when they ultimately take control of the property and doesn't come as a surprise to them at closing.

What are best practices for REALTORS® regarding home inspections?

Bryan Statt | Jan 16, 2025 1:26:38 AM | [Original article](#)

The property inspection condition is one of the most common and widely used contract conditions in Alberta real estate. The property inspection condition in the standard AREA purchase contracts provides some guidance for the wording of the condition itself, but what about its use in practice? What are some practical considerations when using this condition in a residential purchase contract?

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REALTOR® recommendation

If you have been practicing real estate in the same area for a while, chances are you have interacted with several local home inspectors. I'd bet you also have your favourites for various reasons – price, personality, attention to detail, specific knowledge, etc. – and in best representing your buyer client, you want them to hire a great inspector like... WHOA, pump the brakes. Like REALTORS®, home inspectors are regulated to meet a certain standard, but you should never recommend just one home inspector. When you recommend a single service provider, you will wear any resulting problems like a cheap suit. The best practice is to recommend three or more service providers, if any, and allow your client to choose without your influence.

Remember: if you are going to recommend inspectors or other licensed service providers, you have an obligation to confirm they hold a valid licence. Home inspection licences can be [verified here](#).

Necessary or no?

Yes, yes; a thousand times, yes. A property inspection is crucial because your client needs to understand what they are buying! When the question comes, "This is such a beautiful house. Do you think we need an inspection?" Answer, "Yes," without exception. Employing a property inspection condition allows your client to obtain independent, professional advice before financially committing to the deal. There will still be times when your buyer insists they don't want an inspection. When this happens, the best practice would be to put a big showy strike through the property inspection condition; write a big showy "DECLINED" beside it; and have the buyer initial and date the deletion. This provides certainty that the buyer understood but declined the option for a property inspection and creates transparency for the seller too.

Prefer listening to reading? Check out Practically Speaking: The Podcast.

Where Bryan brings Practically Speaking to life in audio format. [Click here to listen now](#).

Paying for the inspection

Just don't. Not paying is the best practice because paying for the service gives the impression that the inspector works for you, not the client, eliminating the arms-length advice provided to the client without bias. When the buyer hires and pays for the inspector themselves, the inspector understands whom they work for and whose interests they are protecting.

Expectations of the inspection report

For most buyers, this could be their first inspection in several years, or ever. Help your client understand in advance that some items WILL be discovered by the home inspector, with their specialized building

knowledge and cool gadgets. Going in knowing that this is normal and part of making an informed financial decision may help curb some buyer anxiety about an imperfect inspection report. Also, encourage your buyer to clarify what sort of report they can expect from an inspector because there is no provincial standard and inspection reports may vary widely.

Remember: cosmetic or obvious items known before negotiations should be handled in the contract during negotiations. Using a home inspection as a tool for future negotiations can be considered a violation of the good faith clause in the purchase contract.

Buyer to inspect

The standard AREA purchase contracts contain a prewritten property inspection condition but it only applies if your buyer will use a licensed property inspector. Because the purchase contract is an agreement between the buyer and seller, confirm the buyer's intention to hire a licensed inspector. If the buyer insists, "Uncle Larry built houses for 30 years and we want him to do the inspection," make sure the wording of the condition is altered appropriately and initialled, so the seller clearly understands the buyer's intentions. Adherence to the signed purchase contract is key.

On inspection day

The Provincial Harmonized Rules require all buyers' REALTORS[®] to attend the full duration of the home inspection from start to finish. The care and control of the property lie with you as a REALTOR[®] member granting access to the property unless you obtain written consent from the seller for an alternate arrangement. As the best practice, also clarify with your buyers onsite, if they attend, that the home inspector works for them and not for you. Because of this, your interaction with the home inspector during and after the inspection should be minimal. Allow the inspector the space and opportunity to explain their findings to the buyer client without interruption. Once the buyer has obtained that independent professional advice, they can decide what they need to share with you for the sake of continuing the purchase process.

Although the home inspection process is routine for most REALTORS[®], remember that this may be a time of great uncertainty and turmoil for your buyer. Use the chance to share your expertise on the process and expectations of hiring and using an inspector to improve the buyer experience.

Remember: facts fight fear, and fear unresolved collapses contracts.

What should a REALTOR® consider regarding Digital Security?

Bryan Statt | Jan 16, 2025 1:24:55 AM | [Original article](#)

REALTORS® live their lives exposed to the public eye. It is common practice to have multiple advertising vehicles containing your email, website, photo, social media account info, and more. This exposure can make REALTORS® a target for bad actors to seek to hijack your digital footprint for their own purposes. But you can take some basic precautions to keep from being an easy mark. Let's consider some basics.

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Password Pain

I don't need to be a mind reader to know that if I figured out one of your passwords I have probably just figured out all your passwords. It's common knowledge that most people reuse the same passwords over and over again so they don't need to remember another one. I feel your pain, but good and diverse passwords are really important in our digital world.

Modern browsers and mobile devices are now built with encrypted password keeper options to store complex passwords safely, making them accessible with a fingerprint or face scan – Apple has its iCloud Keychain, Google has Google passwords – and these services are generally free and sync across devices. As a bonus, the password services will notify you if your passwords are used too often, or if they have been detected in a data breach so you can change them before coming to any harm.

If 16-digit passwords and password services are not your thing, you can update the passwords you have used across multiple platforms for years by including upper and lower case letters, symbols, and numbers to add complexity. But best yet are personal word associations you can remember concerning the application you are setting a password for or a personal connection. For example, if you are logging into your banking system you could use a password like Workn4Ottawa! which is hard to guess password but clever enough for you to remember. Similarly, if growing up your mom's favourite bank teller was Betsy, maybe the password 8etSy\$Bi1l would be helpful. If you use this simple trick for all the major places you access online you will become your own password keeper genius.

Don't click or open things without a pause

When you received a digital communication – email, text, messenger or other – and it contains a link or attachment, before you click: PAUSE. Ask yourself:

1. Do I know the sender?
2. Was I expecting this from this person?
3. Can I visit the website directly to accomplish the same thing rather than clicking the link or button?

If yes, then CLICK. Unfortunately, the like hood a foreign prince has left an inheritance to you is slim to NIL.

Internet Router

We all have an Internet router at home or in our office for accessing the Internet. If your router was sourced from a major service provider like Shaw or Telus, it probably has decent password protection straight from the

factory, but if you bought a router aftermarket and just plugged it in, the password may be basic. By accessing your wireless router, a hacker can monitor and control all your network traffic and devices connected to your network. In more serious cases, your network could be used to facilitate the sharing of illegal materials, communications, or even launch an attack on another entity. For your digital safety, check the admin passwords on your wireless router to ensure they are complex.

Sharing is not always good

Your kindergarten teacher taught you to share, but when it comes to social media, think twice . Consider turning off embedded location data on personal photos before posting them and think before posting too much personal information on social media that could be mined to determine your patterns of activity. Many REALTORS® keep two accounts on their favourite social media sites: one for professional purposes where their content is curated to be digestible in public and one that is private for people they know personally. As a REALTOR® you have both a public persona and a private life to protect.

A final reminder: bad digital actors value your data and personal information over your money. Your data can be leveraged, sold and otherwise exploited for criminal purposes. . Be just as data smart as you would be with a briefcase of gold coins. Guard it, think about it, actively protect it.

How does the REALTOR® Safety App work to protect me?

Bryan Statt | Jan 16, 2025 1:23:38 AM | [Original article](#)

It's likely that you or a REALTOR® you know has felt unsafe on the job. REALTORS® often work alone, in unfamiliar situation and with relative strangers. And while helping clients is an important part of the job, living in fear is not healthy! Safety should be a priority. Statistics show that **43.4% of Canadians check their smartphones at least every 30 minutes**. Did you know you can use your smartphone to increase your safety with a tap of your screen?

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Since 2019, AREA has partnered with Kinetic Global to help protect members when they are alone or feel unsafe. Kinetic Global is a premier mobile safety application to request immediate emergency assistance. The app provides real-time global threats to increase your situational awareness. No matter where you are, immediate emergency assistance is at your fingertips.

"It is always disturbing to hear of situations where my peers have felt unsafe, sadly I have been there as well. The REALTOR® safety app has given me the opportunity to be proactive about my safety. The application is user friendly and includes both timer and thumb modes as well as a silent alarm option. With this app in hand I feel prepared for whatever unexpected situations come my way." AREA Director Jennifer Gilbert, Associate Broker, Coldwell Banker City Side Realty

Key Features

When using *thumb mode* an alert is activated the moment your thumb leaves the phone screen. Emergency services will be notified promptly.

Timer mode allows you to set the time you check in once you have arrived at your destination safely.

With *threat intelligence*, you will be alerted with threat notifications in your area, as well as add your own report for others.

Using *LifeLines*, you can put your loved ones' minds at ease by fill in the names and numbers of friends and family who will be notified in the case of an emergency.

Ready to get started? Download Kinetic Global app to your mobile device from the app store. Follow instructions from the Kinetic Global onboarding email to enroll through Flex-N-Gate on the app and then set up the app according to your own preferences.

We have your back in 2 quick steps

1. **Download** the Kinetic Global App.

2. **Open** the app on your phone using your email address.

Visit our [website](#) for more information, including REALTOR® Safety App Frequently Asked Questions and How To guides, or contact us at 403-228-6845 with your questions.

Are there any tips for a REALTOR® working alone?

Bryan Statt | Jan 16, 2025 1:21:44 AM | [Original article](#)

I'm glad you asked because this topic is one of the least considered, and possibly most crucial topics to think about throughout your real estate career. The risks associated with working in the real estate industry are very real and not diminished with age, experience, gender, physical size, or size of ego. As a REALTOR® you should regularly do a check up on your practice to ensure you haven't been getting sloppy in the area of safety. Here are a couple of basics to think about.

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Office First Policy

If someone calls you up and says they want you to help them find a home, here is a pro tip - use home-court advantage. After answering customary 'what kind of home?', 'what price range?' etc. questions, the very next statement from your lips should be 'Great, when can you come to the office?'. By making this statement you may be weeding out bad actors if they assume your office will have people, possibly cameras, etc., which could make them a bit anxious if they were planning on doing you harm. By meeting at a coffee shop you lose that advantage despite there being other people there, or worse yet, you put yourself at greater risk when meeting directly at the home they want to see.

Showing Expectation

When you are working with a buyer you haven't met before and arranging a showing tour of properties with them, ask the question, "So who will be attending the showings?" This way if they show up with additional people, or you are expecting a female and instead a male shows up, you can be on alert.

The Buddy System

You learned it during your pre-school field trip to the park, and it is still a great system today. If you find yourself showing a property that is vacant, in the evening, out of town, or all of the above, or your gut simply tells you something isn't quite right, reschedule or refuse. If the siren call of a potential commission drives you onward, use the buddy system. Ask your spouse, friend, co-worker, or sibling to come for the ride. The simple presence of another person could be enough of a deterrent if someone had nefarious plans. You might have to buy your buddy a coffee, but they are unlikely to refuse to help.

The Showing Game

Make this one a regular part of your practice for all open houses, pre-listing appointments, and showings so you never forget to do it. The showing game is where you never enter a room, hallway, or basement before your clients. Make it like a game in your mind where you are constantly inviting the clients to go ahead of you with the phrase 'after you' and the appropriate hand gesture. The reality is that you must always be able to maintain a straight line of escape to an exit. If you enter a bedroom ahead of the client and they stand in the door, you have unwittingly cut off your only means of escape from a bad situation. In addition...guys...it doesn't matter how big or tough you are, if you are heading down the steps to the basement and you get a foot in your back, you are in a pile of hurt at the bottom of the steps in a basement. Don't get caught unaware, just make it a regular game.

Secret Distress Code

This is not intended to make you into a secret agent but to pre-establish, a distress code with a spouse, friend, or even your broker/office staff, is prudent and potentially life-saving. If you find yourself in an uncomfortable situation and are feeling nervous, you simply make a quick phone call to your pre-arranged distress code individual. *“Hi Tom, I’m just over at 123 Happy Hollow and just realized I forgot the file for my next meeting, could you run it over here for me right away?”* This pre-arranged script would alert the person you call that you need them, and where you are without tipping off the person you are with.

All of these tips can be quite easily adopted into your daily routine for the rare circumstance you find yourself in a bad situation. In addition, AREA has partnered with Kinetic Global to offer their global safety app to all Alberta REALTORS® at no charge, so visit our [website](#) to learn more. As a parting tip, remember your parents' advice and make sure someone knows where you are... Oh, and eat your vegetables.

What should a REALTOR® consider in the new COVID reality?

Bryan Statt | Jan 16, 2025 1:20:08 AM | [Original article](#)

Congratulations on making it to the first sentence of this article. I say that with tongue firmly planted in cheek because I know these days, when I read those five capital letters, C-O-V-I-D, I hear white noise and want to tune out. I will try to give you some succinct but important tips surrounding the COVID real estate realities in 2021, as we all try to keep the doors open for real estate transactions and keep everyone safe.

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Restriction Roller Coaster

At the time of writing, restrictions in Alberta are in flux...again. However, the temporary relaxation of government restrictions or the re-imposing of restrictions does not change your obligations to your clients. As professionals, REALTORS® have an obligation to adhere to provincial or local ordinances around COVID safety at minimum. As a REALTOR®, you have a duty of lawful obedience to your client. And, as you may have noticed, not all Albertans agree on the path forward, through, or out of the pandemic.

Working with Sellers

When working with sellers, be sure to ask specific questions about their comfort with COVID safety protocols surrounding people visiting their home for the purpose of selling. This includes asking if they want special restrictions for showings, such as limiting the number of people present, or requiring buyers to answer health qualifying questions prior to entering the home. If you don't ask, you simply don't know if your sellers have specific anxieties or health conditions that might make them more adverse to the risk of infection.

Once you have your seller client's instructions, you must make their showing instructions clear to all REALTOR® members through the MLS® system remarks and/or showing instructions, so that your REALTOR® peers can ensure compliance.

Working with Buyers

Similarly, have a candid conversation with your buyers about their own health-related COVID concerns, specifically how it relates to viewing homes of sellers who may or may not have the same feelings about COVID safety protocols as they do. You should also inform them immediately, as part of your process, if the seller has given specific requirements to find out if the buyer is comfortable agreeing to those requirements. Your client has the final say if they are comfortable visiting a home. Make sure you always seek instruction from them before proceeding with booking showings and be extra diligent about following sellers' instructions found in the MLS® system remarks and/or showing instructions.

Working with Yourself

As a REALTOR®, you are also a party to this process and have your own comfort level with COVID protocols to consider. If you are uncomfortable with showing or listing a property without certain safety protocols in place, make sure you share those protocols with your clients. Be prepared with a backup plan in case sellers or buyers want to work outside your desired protocols, so you can refer them to an associate who will be comfortable helping them.

As a final note, consider sharing your personal COVID protocols with your broker so they can help you navigate the fluid global landscape around COVID-19. REALTORS® have a role in ensuring listings, showings, and inspections take the highest possible standard of safety as a public-facing industry. In accordance with today's government restrictions: mask up and stay safe.

What safety issues exist with open houses?

Bryan Statt | Jan 16, 2025 1:18:50 AM | [Original article](#)

Open houses are an enduring part of the real estate ecosystem around the world, and they give buyers a non-committal opportunity to see the home and interact with the agent if they have a couple of questions. Sellers like it as an additional marketing opportunity to generate buzz on a listing. REALTORS® like open houses of course because it allows them to meet real-live buyers who have some level of interest in the neighborhood and find themselves at some point in the buying process. Win-Win-Win.

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Although the benefits of open houses in marketing are debated by new and experienced REALTORS® alike, the fact that they will endure is unchanged, so let's chat about some things to be aware of regarding your safety while conducting them.

Everyone Welcome...

It goes without saying that most of your open houses are going to be just you, a tray of cookies and Netflix for the slow moments. Be aware that anyone, literally anyone, could walk through that door since the house is 'open'. The assumption that everyone coming to the home has pure buyer intentions is a good one but possibly misplaced. Keep your radar on for anything out of the ordinary in action, talk, or behavior, and always keep a clear line of exit from the property.

Cell phone as a lifeline

Although you can use that cell phone to open the lockbox, watch reruns of Friends, and take selfies in the home with yourself and your delicious cookie tray for social media, watch your battery power. That device also makes calls. I know it's a novel concept, but it may be necessary in a panic situation to reach out to someone for help, especially in modern times where landlines in a home are much less common. You may need medical help for a visitor, police for an actual problem, or a lifeline call made if you feel uncomfortable or threatened in some way by a visitor. Don't forget in most cases your cell phone is your only connection to the world when you are sitting alone in an empty house.

Sign placement and collection

I have seen some of you, secret agents out there dashing across 3 lanes of traffic to place or collect an open house sign from just the perfect spot. This is an unnecessary risk for sure, but even in general, the placement of open house signs involves stopping in traffic with your blinkers on, throwing your door open into traffic, running to place the sign while the car idles away, all while you are late for the open house. How about setting up your signs the night before, or giving yourself an extra half an hour for that task so you can do it safely and be aware of your surroundings.

Make sure someone knows where you are

Your marketing, social media, and signage all tell the public where you are for the purpose of the open house, but did you tell any loved ones where you will be and for how long? Tell your spouse or partner the specifics about your open house time and address so they know. No spouse or partner? Tell a friend or co-worker. Better yet, call your mom. You know she would love to hear from you... She never hears from you...

Something came up in the home inspection, now what?

Bryan Statt | Jan 15, 2025 12:50:48 PM | [Original article](#)

It is an all-too-common scenario; you have found the right property, in the right location and the buyer simply wants to get a property inspection to verify what they are buying before they own it. No problem, right? Well, most of the time that is right, every property inspection will turn up some small repairs or cosmetic issues, often most of which the buyer knew about during the showing(s). However, occasionally, the home inspection turns up something more serious that wasn't or couldn't have been discovered without the expertise of a professional home inspector, and now it needs to be dealt with if the transaction is to move forward successfully. A professional REALTOR® will know there are two good options to handle this in the transaction when both the buyer and seller agree to move forward.

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The first, and often easiest option is to simply negotiate with the seller for a price adjustment which would be equal to the amount of work to be done. This option allows the work to be completed by the buyer, at their speed, to their standards and using their professionals. The downside of this option is that although the price would be lower to compensate the buyer for the repairs, the buyer would not physically get the cash to do the work. If the buyer does not have the money to do the repairs apart from the money they need to buy the home, then you need a different option.

The second option is to negotiate a hold-back term in the contract, especially useful when the buyer doesn't have the money to do the necessary repair. When framing a holdback term remember 'W5H'. Answer the questions Who, What, When, Where, *Whoops*, and How to ensure you have covered all your bases.

Who will be doing the work?

What specific work needs to be done?

When does the work need to be done?

Where will the money be held in trust?

Whoops, it didn't get done so what happens to the money?

How will the parties determine what qualifies as completion?

Here is a sample term that handles these aspects:

***The seller, at the seller's expense, will repair**[detailwhatneeds to be done],before [time and datewhenrepairs need to be done]*

***The repairs will be done by**[whowill do the work, professional contractor of the seller or buyer's choice, a named contractor, even the seller themselves]**with materials and quality of workmanship equal to or better than the surrounding construction. The seller and buyer agree that**[Howwill the buyer and seller determine when the work is complete. Ie. A paid receipt detailing the completed work is evidence of completion of this term.]*

The~~*where*~~*hold back funds will be held. I.e. "buyer will instruct the buyer's lawyer to hold back \$_____ from the payment of the Purchase Price]*~~*until*~~*[evidence of completion. I.e. "the receipt is provided."]* If ~~*[Whoops,*~~ *the evidence of completion]***is not received by the agreed date,**~~*[then what happens to the holdback funds. I.e. "the holdback funds will be paid to the buyer."]*~~

In conclusion, a significant problem discovered in a home inspection does not have to kill the dream of owning that perfect property. If you think through the requirements to move forward, all parties are in agreement, and you have the right term to ensure all parties act as agreed upon.

What should I know about Title Insurance?

Bryan Statt | Publication date not displayed | [Original article](#)

Few topics have been more misunderstood and wrongly applied than the topic of title insurance and its value to the real estate industry in Alberta. Without a doubt, this product exists because it offers unique features that provide a benefit to both the transaction and the buyer. Unfortunately, many folks look at it like a simple fix to every ailment, and it simply is not. Although I am not a licensed insurance provider, for the sake of our members, I will take a few minutes to work through the high-level concept of title insurance in general and advise the reader to seek additional information from a licensed professional or lawyer.

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Picking a product

Yes, title insurance is a product. It may come as a surprise, but just like your home or auto insurance, there are variations in coverage between policies and companies. Although there are fewer companies selling title insurance, there is variation across them. The most natural division is to split the product offering between policies for buyers and policies for lenders. As the name suggests, they are developed to cover different elements of risk based on who they're for. Although there is some overlap between them, they are not the same thing. In many cases, for real estate transactions, the buyer may want or need both. As mentioned, though not all policies even within these divisions are the same across companies, and the coverages do change periodically based on risk, so a careful review of coverages prior to purchase is advisable.

Locked in time

One key element of title insurance compared to other types of insurance is this type of “frozen in time” concept. If you have car insurance, for example, it covers you against the possibility of a future accident; however, title insurance is not the same. Title insurance coverage crystallizes at the time of purchase, generally covering only things that may be discovered in the future but existed at the time of the policy purchase. There are a couple of exceptions of course, such as if someone tried to steal the homeowner's identity at any time in the future and fraudulently attempted to take control of the title, which would be something typically covered. Most coverage is not for future events, only future discovery of existing or past issues that were not previously known.

Gap Coverage

Title insurance has two potential uses in a real estate transaction which need to be separated in the mind of REALTORS® and their clients. Title insurance is primarily a “gap” coverage product. This “gap” terminology refers to the time gap between the closing day, when all parties sign, the mortgage is funded, and keys are released, and the eventual day when the land titles finally register the new mortgage and owners on the title. This time, “gap” presents a risk because there is a potential for an intervening registration to slip in on the title,

which could affect the lender's position of primacy. Title insurance provides security to the lender (through the lender policy) that if all proper legal underwriting procedures were followed, then the title insurance policy will cover that rare circumstance and secure the lender's position. Although this article focuses on title insurance, it is essential to note for the reader that in Alberta, an alternative gap coverage is provided by the Law Society of Alberta, which is free and available to all lawyers in most transactions. This is called the Western Law Societies Conveyancing Protocol, or "Protocol closing" for short. This protocol option is free and accessible to all lawyers when appropriate for the transaction, accomplishing the gap coverage that lenders need without the cost of an insurance policy.

Real Property Report (RPR) Replacement

Nope. Title insurance is not a replacement for a current RPR with evidence of municipal compliance or non-conformance, as the standard AREA purchase contract requires. As I have written in detail about real property reports in other articles, I won't go down that rabbit hole here. Suffice it to say that a current RPR with that compliance or non-conforming status is the most secure way for a buyer to know what they are buying before they own it. The reason I am bringing RPRs into this discussion is that this is the second way a title insurance policy is used in real estate transactions. When buying a property, the buyer and the lender want verification that what they are buying and lending on is not going to have any unforeseen property issues that could cause the buyer problems or even result in a loan default. For this reason, they want either an RPR with compliance or some other coverage for potential risks that an RPR would have otherwise discovered if it were obtained. Title insurance in this case can help mitigate the risks resulting from the lack of an RPR, or even a current RPR, for both the buyer and the lender, where they are unaware of any existing issues. What title insurance does not do is replace the other benefits of an RPR with compliance, such as confirming the physical location of improvements. However, it only covers the risk of what could be discovered in the future when an RPR is inevitably created. Because the RPR and title insurance both serve different purposes, quite simply, the best option is to use both!

Double Duty

One of the key reasons why title insurance is blended in the understanding of Realtors® and their clients is that in situations where there is no current RPR and the parties agree to use a title insurance policy to cover that risk. That same policy may cover the gap coverage situation as well. Remember, the policy covers risk and does not solve all problems but can pragmatically help facilitate these two functions under the same policy, thereby doing double duty.

Despite the brevity of this article, I hope I have been able to help clarify some misconceptions about title insurance and even prompt you to do your own research into the numerous benefits and coverages. The reality of the situation is that title insurance does serve a valuable purpose in the real estate industry. Still, it is not the magic bullet that slices, dices, and waxes your car like some late-night infomercial product that solves all your problems. Buyers need to have a basic understanding of their options and then seek out the advice of a legal professional for their specific situation regarding the coverage they need.

What are the boundaries to Client Solicitation?

Bryan Statt | Publication date not displayed | [Original article](#)

Real estate is a people business. The common misconception around real estate, especially on home and garden shows, is that it's all about the deals, negotiation, and clever marketing. No doubt, those are all parts of the process, but the core of real estate is relational. Where the development of the relationship with a client leads to the activities of the transaction. As I get off my soap box, I want to go back a half step before the relationship to the first interaction with the client and what boundaries exist there.

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Consumer misunderstanding

Let's face it, most consumers have no idea how the business end of real estate functions. It's not a slight, but rather a statement of fact since many consumers assume a REALTORS® life is not so different from theirs. Go to the office, do some stuff, and take home a paycheck at the end of the month; plus, if they do something extra like sell a house, they may even get a bonus or something. This could not be further from the truth. Realtors® are most commonly on a straight commission basis, meaning they often work long, thankless hours for no pay in the hopes that when they help their clients successfully achieve their real estate goals, they might earn a fee, or they might not. If they do earn a fee, they share it with their brokerage, pay for the services they provided, and share a large portion with our elected friends in Ottawa. Don't get me wrong, real estate is a great career, but it is a business and not a job, so just like any business, Realtors® are always interested in seeking new clients.

Strings attached

Because consumers are a bit fuzzy on the details sometimes, it is incumbent upon the Realtor® to determine if the potential client has any current commitments that could cause them problems. In Alberta's Provincial rules, a Realtor® is prohibited from soliciting a consumer who already has a written service agreement with another Realtor®. When a potential buyer contacts a Realtor®, they must be asked if they have entered into any other agreement. If the answer is no, they can proceed, but if the answer is yes, the buyer must be warned that they could have legal obligations under that previous agreement. If they choose to proceed, they should seek legal advice on the matter.

MLS® System Abuse

In the hunt for new clients, every creative tactic is deployed. From clever advertising to sphere of influence networking, to joining clubs and associations to develop relationships. All of these are valid and productive ways of expanding a network; however, one way that is strictly forbidden in Alberta is the use of MLS® system "off-market" data to target consumers who were not successful in selling their property during the normal course of their listing agreement. The data housed in the MLS® system for these off-market listings is exclusively for statistical and evaluation purposes. It's there to aid members in having the most reliable data possible, but use of the information for solicitation purposes is strictly forbidden and enforced with extreme prejudice. Despite the bright sales trainers of places far flung promoting how to successfully "work" off-market listings, in Alberta it is strictly prohibited to use MLS® data in this way.

Targeted advertising

As mentioned, advertising is a common way to seek out potential clients for listing or purchase. Even though the ability to advertise for clients comes in every possible modality, there are some restrictions even here. For example, if a Realtor® is sending postcards to a neighbourhood about their awesome listing marketing program, or special process for buyer success, it is likely that some of those recipients will be in existing agreements with other Realtors®. For this reason, the materials cannot be targeted to specific people or addresses that the Realtor® knows or should've known is in a relationship with a fellow Realtor®. As a precaution all materials in a campaign must have a disclaimer on the piece that informs recipients the piece is not intended to solicit anyone already in a relationship with a fellow Realtor®.

Direct communication

Direct communication between a potential client and a Realtor® is a great way to develop a relationship, and should be sought out at the kids' ball game, in the grocery store line-up, or other social spaces. However, it is improper solicitation for a Realtor® to have direct communication with a consumer whom they know, or ought to know, has an existing written service agreement with a fellow Realtor®. This prevents the potential of interfering with an existing relationship and causing potential issues without all the information. It should be noted, however, that this prohibition is not intended to prevent consumers from initiating that contact at any time to allow the consumer to request information for future considerations of their path forward. In such cases, Realtors® are advised to be very careful about making statements or providing advice that would violate the mutual respect rule or be considered interfering with a contract. A Realtor® can never counsel anyone on how to break a contract, and if an unhappy consumer is looking for such advice, they need legal help regarding their contract and should be advised appropriately.

There is no question as to the value a Realtor® can bring to the consuming public in discussing real estate trends or statistics, providing expert services, or using their experience to negotiate transactions or steer around hazards in the process. Consumers should regularly seek out the aid of a local Realtor® in all aspects of their real estate needs as it's their best strategy to success. It is important to understand, however, that restrictions exist in the solicitation of potential clients to ensure that the consumer remains in the driver's seat and that the consuming public can expect trust, integrity and fairness in the way a Realtor® conducts their business.